

PUBLIC FINANCE AND TAXATION

PART I

CPA Section 2

CCP Section 2

CIFA Section 2

CS Section 2

STUDY TEXT

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TOPIC 1

INTRODUCTIONS TO PUBLIC FINANCIAL MANAGEMENT LEGAL FRAMEWORK

INTRODUCTION TO PUBLIC FINANCE

Meaning of Public Finance

Public finance is related to the financing of the state activities and a narrow definition of the public finance would try to say that public finance is a subject which discusses the financial operation of the fiscal or of the public treasury.

Nature of Public Finance

Public finance has been held as a science which deals with the income and expenditure of the government's finance. It has been held as a study of principles underlying the spending and raising of funds by the public authorities. The various theories which form the basis of the collection; maintenance and expenditure of the public income constitute the subject and matter of finance.

Scope of Public Finance

The scope of public finance is not just to study the composition of public revenue and public expenditure. It covers a full discussion of the influence of government fiscal operations on the level of overall activity, employment, prices and growth process of the economic system as a whole.

According to Musgrave, the scope of public finance embraces the following three functions of the government's budgetary policy confined to the fiscal department the:

- allocation branch,
- distribution branch, and
- stabilization branch.

These refer to three objectives of budget policy, i.e., the use of fiscal instruments to secure:

- Adjustments in the allocation of resources
- Adjustments in the distribution of income and wealth, and
- Economic stabilization.

Public finance is composed of the following constituents public:

- Expenditure
- Revenue
- Debt
- (Financial) administration

Private finance is the study of the income, debt and expenditure of the individual or a private company or business venture or an association. It includes the study of their own view regarding earning expenditure and borrowing.

Similarities and Differences between Public Finance and Private Finance

Despite the differences in scope and nature of the public finance and private finance, following are similarities.

Similarities

I. Based on Similar Theories

The basis of public as well as private finance is the same. Both seek the help of various principles of economics in determining various interrelated problems. For example, a person wants to secure maximum utility on count of minimum expenditure and government too wants to secure public utility by spending the least possible amount of public money.

II. Both Face the Problem of Scarcity

Limitation of the resources is the problem before private as well as public finance. Individuals' resources are limited up to this earnings; past savings and ancestral property similar governments' resources also depend on taxable capacity of the individuals earnings of the various corporations etc. None of the two is capable of extending its expenditure beyond a certain limit; hence non can afford to go to the infinity in the use of finance.

III. Both Require Efficient Administration

Private as well as public finance require efficient administration to look after the various acts of extravagance. In the event of the failure of an efficient administration both might be compelled to face 'dire-consequence' in their financial field, individual never wants any kind of wastage or misuse of his income, so the government if it is alive to the sense of duty.

IV. Both Borrow and Must Repay

To run the administration of finance sometimes money in hand fails to fulfill the requirements especially in the times of emergency, governments borrow money from individuals and also borrow from different sources like relatives, banks, at the same it is obligatory for both the public finance as well as the private finance to repay the debt. The point here is that none can live without repaying the amount.

V. Both are Based on Rationality of Thought

When an individual spends some money he makes it certain in his mind that money is spent in the best way. He applies his rational faculties. In the same way any irrational step taken by the government may bring wastage and misuse of finance. This irrationality lead them to damages while rationality to prosperity and achievement of goals.

Differences between Public Finance and Private Finance

- i. Individual determines his expenditure on the basis of his income but government determines its income on the basis of its expenditure. As far as an individual is concerned he determines his expenditure on the basis of the income, in the sense that he cannot think of spending more than his income. He distributes the amount of income to be spent on various subjects with income at his finger tips. The position is quite contrary in the case of government. The government first decides the amount of expenditures to be done during a period of time, and then frames scheme to secure money to meet the expenditure. Government has the power to increase its income be internal borrowings but this is not possible for an individual.
- ii. Government's source of income is more flexible in comparison to private source. Government has legal power to extend the sources of its income according to the needs of the time. Government has the control over the whole national property but individual has to rely upon his own individual standing. Moreover, government can take the help of the foreignment and this is not possible for a person to secure such supports. The last resort available to the government is the printing of new currency notes to increase its income. But an individual will be definitely but behind the bars for such an office.
- iii. It is easy for an individual to base his expenditure on the law of equal marginal utility, but far difficult for governments. Individual is free to measure his expenditure in the sense of utility and spends his money on the certain weighted subjects. These subjects may not be of social need or may not add anything to social advantage. Such expenditures are very prominent in the democratic countries for example building of hospitals, roads, parks.
- iv. Private finance is narrow and short lived in comparison to public finance. Private finance faces suspension with the end of the individual's life or with the closure of the particular business enterprise. But governments are more tenable. It is well said in this context is that 'king may come and king may go but government is eternal.' Governments keep on moving form generation to generation interlinking past from present with an eye on future.
- v. Public finance is subject to public censor but not the private finance. A complete secrecy may be maintained by an individual regarding his income and savings. But the government records are furnished to let the people see through the desirability of the expenditure. Public is entitled to know, criticize and the press is free to comment on the public finance outlays, its drawbacks and failures.

- vi. There are pre-determined policies behind public expenditure but not so in the case of private expenditure. Public expenditure is done to achieve the goals which are predetermined in their nature.
- vii. There is difference in the budgeting process of the public finance and the private finance. The budget of the government is subject to the approval of the parliament of the concerned country. It is now a well established principle no taxation without representation and no tax shall be without the due/process of law. Unless the demand gets approval of the parliament of the executive cannot spend even a single penny. But individual is his own master and he need not ask for parliamentary approval for spending his bricks.
- viii. Governments' accounts are audited by constitutional authorities but private finance has its own arrangement. An individual can audit his accounts without performing formalities about it. But there is procedural necessity in the case of public finance. The budget is to be prepared in the prescribed manner and to be presented according to the settled norms.
- ix. A private individual can face the crises of being bankrupt but no government can be bankrupt. An individual may 'run-riot' his money and thus may become an insolvent, but the question of the government being bankrupt is impracticable. It is funny to talk of the bankruptcy of the government; since all the currencies are printed and circulated by it.

Functions of Modern Government

We should know the role of the government to enable us to appreciate the importance of government sector. Government of a modern state generally undertakes the following functions:

1. Security - Both external and internal involving outlay for military, police and other protective services.
2. Justice or settlement of disputes
3. The regulation and control of economy – including the services such as coinage,
 - a. weights and measures, the business practices , operation of public sector
 - b. undertakings
4. Of social and cultural welfare through education, social relief, social insurance, health and other activities.
5. Conservation of natural resources.
6. Promotion of the unity of the state by control of transportation and communication.
7. Administration and financial system, government revenue expenditure and fiscal control.
8. Education and employment.
9. Housing.
10. Public health.
11. Upliftment of weaker sections of the society.
12. Restore social justice in the society.

Functions of modern governments are broadening due to socio-political reasons. Therefore, to discharge these increasing functions, the government has to increase its expenditure. To meet out the enormous amount of expenditure it has to mobilize funds with the help of public finance policy. Hence public finance has developed into an important branch of economics.

Scope of Public Finance

Public finance deals with the income and expenditure pattern of the Government. Hence the substances concerned with these activities become its subject matter. The subject matter of the public finance is classified under five broad categories of which the first two are discussed. They are,

1. Public Revenue
2. Public Expenditure
3. Public Debt
4. Financial Administration
5. Economic Stabilization

Public Revenue

Under this category, the sources of the public revenue, principles of taxation, effects of taxes on the economy, methods of raising revenue and the like are dealt with. Public revenue is the means for public expenditure. Various sources of public revenue are:

- A. Tax Revenue, and**
- B. Non-tax Revenue**

A. Tax Revenue

Taxes are compulsory payments to government without expectation of direct return or benefit to tax payers. It imposes a personal obligation on the taxpayer. Taxes received from the taxpayers, may not be incurred for their benefit alone. Tax revenue is one of the most important sources of revenue.

Taxation is the powerful instrument in the hands of the government for transferring purchasing power from individuals to government. The objectives of taxation are to reduce inequalities of income and wealth; to provide incentives for capital formation in the private sector, and to restrain consumption so as to keep in check domestic inflationary pressures.

From the above discussion we can conclude that the elements of taxation are as follows:

- a. it is a compulsory contribution
- b. government only imposes taxes
- c. in payment of tax an element of sacrifice is involved
- d. taxation is aimed at welfare of the community
- e. the benefit may not be proportional to tax paid
- f. tax is a legal collection.

The various types of taxes can be listed under three heads. First type can be titled taxes on income and expenditure which include income tax, corporate tax etc. The second is taxes on property and capital transactions and includes estate duty, tax on wealth, gift tax etc. The third head, called taxes on commodities and services, covers excise duties, customs duties, sales tax, service tax etc. These three types can be reclassified into direct and indirect taxes. The first two types belong to the category of direct taxes and the third type comes under indirect taxes.

B. Non-tax Revenue

This includes the revenue from government or public undertakings, revenue from social services like education and hospitals, and revenue from loans or debt service. To sum up, non-tax revenue consists of:

- i) interest receipts
- ii) dividends and profits
- iii) Fiscal services and others.

Public Expenditure

Recently, there has been both quantitative and qualitative change in government's expenditure. This category deals with the principles of public expenditure and its effect on the economy etc.

Government of a country has to use its expenditure and revenue programs to produce desirable effects on national income, production, and employment. The role of public expenditure in the determination and distribution of national income was emphasized by Keynes.

The term "Public Expenditure" is used to designate the expenditure of government-central, state and local bodies. It differs from private expenditure in that governments need not pay for themselves or yield a pecuniary profit. Public expenditure plays the dual role of administration and economic achievement of a nation. Wise spending is essential for stability of government and proper earnings are a prerequisite for wise spending. Hence planned expenditure and accurate foresight of earnings are the important aspects of sound government finance

Public expenditure is done under two broad heads viz., developmental expenditure and non-developmental expenditure. The former includes social and community services, economic services, and grants in aid. The latter mainly consists of interest payments, administrative services, and defense expenses. Expenditure can also be classified into revenue and capital expenditure.

A. Plan and Non-plan Expenditure

Expenditure is classified under the following heads:

I. Non-plan Expenditure

Non-plan expenditure of central government is divided into revenue and capital expenditure. Under non-plan revenue expenditure we include interest payment, defense expenditure, major subsidies, interest and other subsidies, debt relief to farmers, postal deficit, police, pensions, other general services, social services, grants to states and union territories. Non-plan capital expenses include defense expenses, loan to PSUs, loans to states and union territories, foreign governments etc.

II. Plan Expenditure

The second major expenditure of central government is plan expenditure. This is to finance the following:

- i) Central plans such as agriculture, rural development, irrigation and flood control, energy, industry, and minerals, communication service and technology, environment, social service and others.
- ii) Central assistance for plans of the states and union territories.

Expenditure can also be categorized into revenue and capital expenditure. Revenue expenditure relates to those, which do not create any addition to assets, and covers activities of government departments' services, subsidiaries and interest charges. Capital expenditure involves that expenditure, which results in creation of assets. Finance ministry is responsible for plan expenditure. This includes grants to the state.

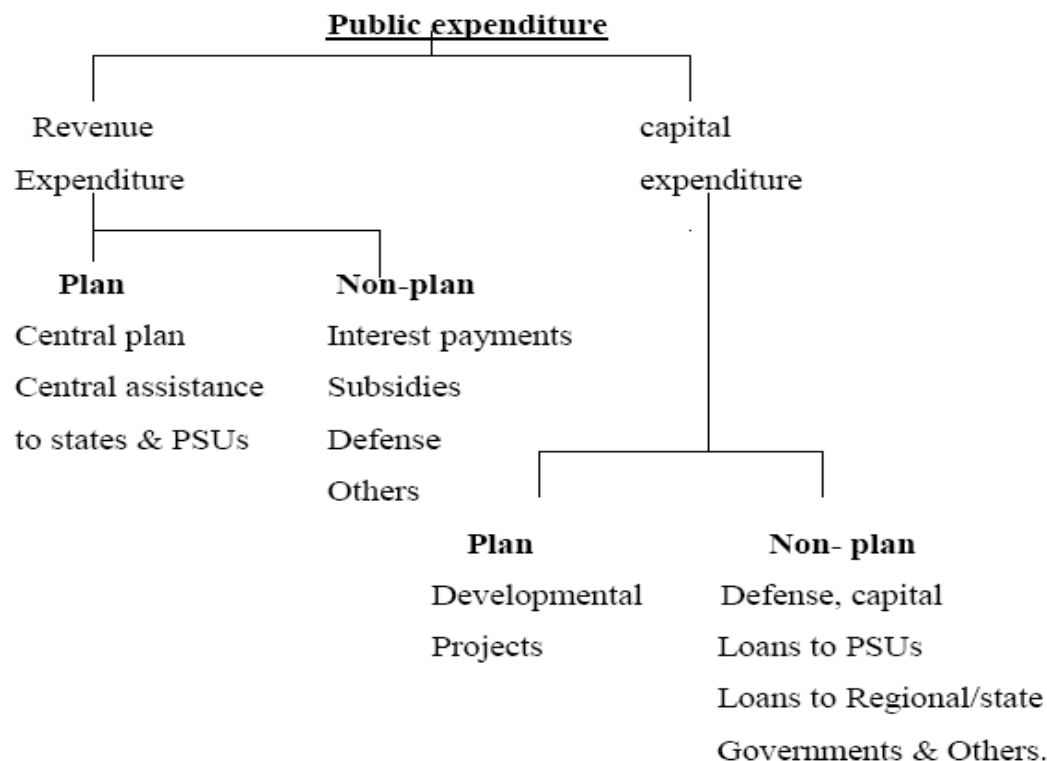
Hence the expenditures are classified as capital and revenue. Alternatively, these expenses can be re-classified into plan and non-plan expenditure.

B. Social Expenditure

Government takes the responsibility of protecting the interests of the community as a whole and promotes the implementation of welfare programs. Government spends huge amounts for providing benefits such as old age pensions, accident benefits free education and medical services. This expenditure on human resources comes under social expenditure.

Governments are moving towards the objective of achieving maximum social welfare. Expenditure on education, public health, welfare schemes for workers, relief and rehabilitation of displaced persons and such other services may not yield direct benefit in the short run. But in the long run they contribute to improvement in the quality at human resources.

The main classifications of Government expenditure can be seen in the following diagram.



Role of Fiscal Policy- Its Significance to Business Economy in Developing Countries

The main goal of the fiscal policy in developing countries is the promotion of the highest possible rate of capital formation. Underdeveloped economies are in the constant deficit of the capital in the economy and thus, in order to have balanced growth accelerated rate of capital formation is required. For this purpose the fiscal policy has to be designed in a way to raise the level of aggregate savings and to reduce the actual and potential consumption of people.

- To divert existing resources from unproductive to productive and socially more desirable uses. Hence, fiscal policy must be blended with planning for development.
- To create an equitable distribution of income and wealth in the society.
- To protect the economy from the ills of inflation and unhealthy competition from foreign countries
- To maintain relative price stability through fiscal measures.
- The approach to fiscal policy must be aggregate as well as segmental. The sectoral imbalances can be curbed by appropriate segmental fiscal measures.
- The government expenditure on developmental planning projects must be increased. For this deficit financing can be used. It refers to creation of additional money supply either by creation of new money by printing by government or by borrowing from the central bank.
- Public borrowing, loans from foreign nations etc can be used in the development of the resources for public sector.

- Fiscal policy in the developing economy has to operate within the framework of social, cultural and political conditions which inhibit formation and implementation of good economic policies.
- In order to reduce inequalities of wealth and distribution, taxation must be progressive and government spending must be welfare-oriented.
- The hindrances in the effective implementation of fiscal policy in the developing countries are loopholes in taxation laws, corrupt tax administration, a high population growth, extravagant governmental spending on non-developmental items, an orthodox society etc.

INTRODUCTION TO PUBLIC FINANCIAL MANAGEMENT LEGAL FRAME WORK

Public Finance Management in Kenya is covered in the constitution of Kenya 2010, Chapter 12 and Public Finance Management Act, 2012. This Act of parliament provides effective management of public finances by the national and county governments; the oversight responsibility of Parliament and county assemblies; the different responsibilities of government entities and other bodies, and for connected purposes

Interpretation of terms

"Accounting officer" means—

- (a) an accounting officer of a national government entity referred to in section 67;
- (b) an accounting officer of a county government entity referred to in section 148;
- (c) in the case of the Judiciary, the Chief Registrar of the Judiciary; or
- (d) in the case of the Parliamentary Service Commission, the Clerk of the Senate;

"Accounting Standards Board" means the Public Sector Accounting Standards Board

"Appropriation" means—

- (a) Authority granted by Parliament to pay money out of the Consolidated Fund or out of any other public fund; or
- (b) authority granted by a county assembly to pay, money out of the relevant County Revenue Fund or out of any other county public fund;

"Appropriation Act" means an Act of Parliament or of a county assembly that provides for the provision of money to pay for the supply of services;

"Authorized officer"—

- (a) in relation to the National Treasury, means any of its members or officers authorised by

the National Treasury in accordance with section 13; or
(b) in relation to a County Treasury, means any of its officers authorised by the County Treasury in accordance with section 105;

"Borrower" means a person to whom a loan has been or is to be made;

"Budget Policy Statement", in relation to a financial year, means the Budget Policy Statement referred to in section 25;

"Cabinet Secretary" means the Cabinet Secretary responsible for matters relating to finance;

"chart of account" means a structured list of accounts used to classify and record budget revenue and expenditure transactions as well as government assets and liabilities on a standard budget classifications system;

"Chief Officer" means the person appointed by the County Governor to administer the County department responsible for financial affairs;

"commitment" means entering into a contract or other binding arrangement under which expenses or liabilities may be incurred;

"collector of revenue"—

(a) in relation to the national government, means a person authorised under section 76 to be a collector of revenue for the national government;

(b) in relation to a county government, means a person authorised under section 158 to be a collector of revenue for that county government;

"Contingencies Fund" means the Contingencies Fund established by Article 208(1) of the Constitution;

"county corporation" means a public corporation within a county established by an Act of Parliament or county legislation;

"County Emergency Fund" means a Fund established under section 110;

"County Exchequer Account" means a County Exchequer Account referred to in section 109;

"County Executive Committee member for finance" means the member of a County Executive Committee responsible for the financial affairs of the County and for the County Treasury;

"County Fiscal Strategy Paper", in relation to a county government, means the County Fiscal Strategy Paper referred to in section 117;

"county government entity" means any department or agency of a county government, and any authority, body or other entity declared to be a county government entity under section 5(1);

"county government government from levies, or an Act of Parliament;

revenue" means all money derived by or on behalf of a county rates, fees, charges or any other

source authorised by the Constitution

"county government security" means a security issued by the county government under section 144 and includes a treasury bill, treasury bond, treasury note, government stock and any other debt instrument issued by the county government;

"County Public Debt" means all financial obligations attendant to loans raised and securities issued by the county government;

"County Treasury" means a County Treasury established under section 103;

"development expenditure" means the expenditure for the creation or renewal of assets;

"development partner" means a foreign government, an international organisation of states or any other organization prescribed by regulations for the purpose of this Act;

financial statements", in relation to a financial year or other accounting period of the national government, county government, or a national government or county government entity, means—

- (a) the financial statements referred to in Part III and Part IV of this Act; and
- (b) the financial statements prescribed by the Accounting Standards Board;

"fiscal responsibility principles" means the principles of public finance specified in Article 201 of the Constitution, together with—

- (a) the principles of fiscal responsibility referred to in section 15, in relation to national government; and
- (b) the principles of fiscal responsibility referred to in section 107, in relation to a county government;

"financial objectives" means the financial objectives set out in a Budget Policy Statement of the national government or in the County Fiscal Strategy Paper of the county governments;

"Intergovernmental Budget and Economic Council" means the Council established under section 187;

"internal auditing" means an independent, objective assurance and consulting activity designed to add value and improve an organisation's operations, which helps an organisation accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of risk management, control, and governance processes;

"Medium term" means a period of not less than three years but not more than five years;

"National government entity" includes any department or agency of the national government and any authority, body or other entity declared to be a national government entity

"National government revenue" Means all taxes imposed by the national government under the

Constitution, excluding county government revenue;

"national government security" includes a security issued by the national government and a treasury bill, treasury bond, treasury note, government stock and any other debt instrument issued by the national government;

"Principal Secretary", in relation to the National Treasury, means the person responsible for the administration of the National Treasury;

"Public money" includes—

- (a) all money that comes into possession of, or is distributed by, a national government entity and money raised by a private body where it is doing so under statutory authority; and
- (b) money held by national government entities in trust for third parties and any money that can generate liability for the Government;

"publicise", in relation to a document, means to make known to the public, through the national or local media—

- (a) The general nature of the document; and
- (b) How and where it may be accessed and read by members of the public;

"Publish", in relation to a document, includes—

- (a) Publishing the document in a newspaper, Government Gazette or other publication of general circulation in Kenya; or
- (b) Publication of an abridged or summary versions of the documents without losing the core content of the document; or
- (c) Making the document available for reference at public libraries or offices of national government entities or in archives of those institutions; or
- (d) Posting the document on the internet on a Government website; or
- (e) If the document relates only to a county government or any of its entities—
 - (i) Publishing the document in a newspaper or other publication of general circulation in the County;
 - (ii) Making the document available for reference at public libraries or offices of the county government or those entities; or
 - (iii) Posting the document on the Internet on a county government website;

"Receiver of revenue"—

- (a) In relation to the National government, means a person designated to be a receiver of

revenue under section 75;

- (b) In relation to the county government, means a person designated to be a receiver of revenue under section 157;

"Recurrent expenditure"—

- (a) In relation to the national government, means the expenditure that is incurred in operating the services provided by the national government; and
- (b) in relation to a county government, means the expenditure that is incurred in operating the services provided by that county government, but does not include expenditure incurred in creating or renewing assets belonging to or managed by that government;

"Short term borrowing" means borrowing by a government by way of Treasury Bills, bank-overdraft or other instrument to cover temporary cash shortfalls and is repayable within twelve months;

"State Corporation" means a state corporation within the meaning of the State Corporations Act;

"Treasury Single Account"—

- (a) In relation to the national government, means a centralised bank account system where all deposits and payment transactions are processed for State Departments, Commissions and Independent Offices, and any national government entity which draws directly from the Consolidated Fund;
- (b) in relation to the county government, means a centralised bank account system established in each county where all deposits and payment transactions are processed for county departments and any other county entity which draws directly from the County Revenue Fund;

"Urban Board" means a city or municipal board within the meaning of the Urban Areas and Cities Act, 2011;

"Vote" means money authorised by an appropriation Act for withdrawal from the Consolidated Fund or a County Revenue Fund; and

"Wasteful expenditure" means any expenditure that was incurred which could have been avoided had due care and diligence been exercised.

Overview of public financial management Act

The Public Financial Management (PFM) Act is an Act of Parliament meant to provide for effective management of public finances by the national and county governments. In developing the PFM Act, Parliament was keenly aware of the importance of having a good PFM system in determining the success or failure of devolution. To ensure a good PFM system, two objectives were taken into account:

- i. That the PFM was consistent with the Constitution and in particular provide for safe-guarding autonomy in financial management at both levels of government but within a unitary system of devolution. This autonomy is supported by articles 6 and 189 of the Constitution. Article 6(2): The governments at the national and County levels are distinct and inter-dependent and shall conduct their mutual relations on the basis of consultation and cooperation; article 189(1)(a): Government at either level shall perform its functions, and exercise its powers, in a manner that respects the functional and institutional integrity of government at the other level, and respects the Constitutional status and institutions of government at the other level.

The spirit of these articles is that both levels of government should not interfere in the day-to-day management of finances and other affairs in the other level of government. Specifically, each level of government should be able to formulate, plan, implement and report on their budgets and plans without the interference of the other government. To operationalize this concept and to avoid favouring one level of government over the other, the Act has mirrored many of the institutional structures for financial management of the national government at the county government level as shown below:

NATIONAL ASSEMBLY	COUNTY ASSEMBLY
– Reviews the Budget Policy Statement and makes recommendations to National Treasury – Approves the Budget Estimates for National Government, Parliament and Judiciary – Provides overall oversight at National Government level – Approves the establishment of other National Government public funds – Monitors budgets and public finances and related matters – Approves the Budget Policy Statement (BPS) and the Budget Review and Outlook Paper (BROP) – Reviews the Annual Budget Estimates for National Government	– Reviews the Fiscal Strategy Paper and makes recommendations to County Executive Committee – Approves the budget estimates for County Government, Urban areas and Cities – Provides overall oversight over public finances at the County Government level – Approves the establishment of other County public funds – Monitors budgets and public finances and related matters – Approves the Fiscal Strategy Paper (FSP) and the County Budget Review and Outlook paper (C- BROP); – Reviews and approves the Annual Budget Estimates for the County Government – Has powers to establish a County Emergency Fund but with approval of County Assembly

CABINET	COUNTY EXECUTIVE COMMITTEE
– Approves the Budget Policy Statement (BPS) and the Budget Review and Outlook Paper (BROP) – Reviews the Annual Budget Estimates for National Government	– Approves the Fiscal Strategy Paper(FSP) and the County Budget Review and Outlook paper(C-BROP); – Reviews and approves the Annual Budget Estimates for the County Government – Has powers to establish a County Emergency Fund but with approval of County Assembly.
NATIONAL TRESURY	COUNTY TRESURY
– Has overall responsibility for macroeconomic formulation and management – Prepares annual budget estimates of revenues and expenditure of National Government and coordinates the preparation and implementation of the National Government budget – Prepares the BPS for the National Government.	– Head of County Treasury and oversees formulation of economic policies – Manages the County Government budget process – May at the request of Cabinet Secretary stop transfers of funds to a County Government entity for serious material breach or persistent material breaches – Has power to raise loan on behalf of County Government in accordance with the law – Has overall responsibility for economic affairs at the County Government – Prepares annual budget estimates for County Government and coordinates the preparation and implementation of the CG budget – Prepares Fiscal Strategy Paper, as the integrated Development Plan for County Government – Enforces the Fiscal responsibility principles at the County Government

NATIONAL GOVERNMENT	COUNTY GOVERNMENT
– Accounting Officers are responsible for accounting for money appropriated by Parliament – Accounting Officers for National Government entities, Parliament and the Judiciary are accountable to the National Government for financial management – Accounting officers for National Government entities are to be designated by Cabinet Secretary for Finance – Accounting Officers to ensure that public resources are used lawfully, effectively and efficiently – Receivers of National Government revenue are to be designated by the Cabinet Secretary– Finance	– Accounting Officers are to be responsible for money appropriated by County Government – Accounting Officers for County Government entities are accountable to the County Assembly for financial management – Accounting Officers for County Government entities are to be designated by County Executive Member responsible for Finance – Accounting Officers to ensure that public resources are used lawfully, effectively and efficiently – Receivers of County revenue are to be designated by County Executive Committee member –Finance – Receivers of County Government revenue are to be responsible for receiving and accounting for

– Receivers of National Government revenue are to be responsible for receiving and accounting for National Government revenue – Kenya Revenue Authority has been retained in the PFM Act as collector of National Government revenue	- County Government revenue – County Executive Committee member–Finance has to appoint KRA as collector of County Government revenue
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- ii. To ensure that the PFM Act is firmly anchored in article 201 of the Constitution that deals with the principles of public finance. In particular, this Act provides for open-ness, accountability, public participation, equitable sharing of revenue and tax burden, promote equitable development, promote equitable sharing of debt burden/ benefits between current and future generations, and ensure prudent and responsible use of public resources and responsible financial management and clear fiscal reporting.

This Act has also other links to other sections of the Constitution: article 206 spells out the principles of management of consolidated funds and other public funds; article 207 establishes the County Revenue Funds and provides for setting up of other funds at the county level; article 208 provides for the setting up of contingencies fund; articles 211 to 214 spell out on the borrowing and guarantees; article 220 requires national legislation to prescribe the form, content and timing of budgets; article 225 provides for financial controls at the national and county level; and article 226 requires an Act of Parliament to provide for financial records and audit of all accounts of governments, and article 227 on public procurement.

- iii. A third objective was to consolidate the many public financial management laws into one integrated PFM law. With the enactment of the PFM, the following acts have been repealed:

- The Government Financial Management Act, 2004;
- The Fiscal Management Act, 2009;
- The Internal Loans Act;
- The External Loans Act;
- The National Government Loans Guarantee Act, 2011; and
- The Contingencies Fund and County Emergency Funds Act, 2011.

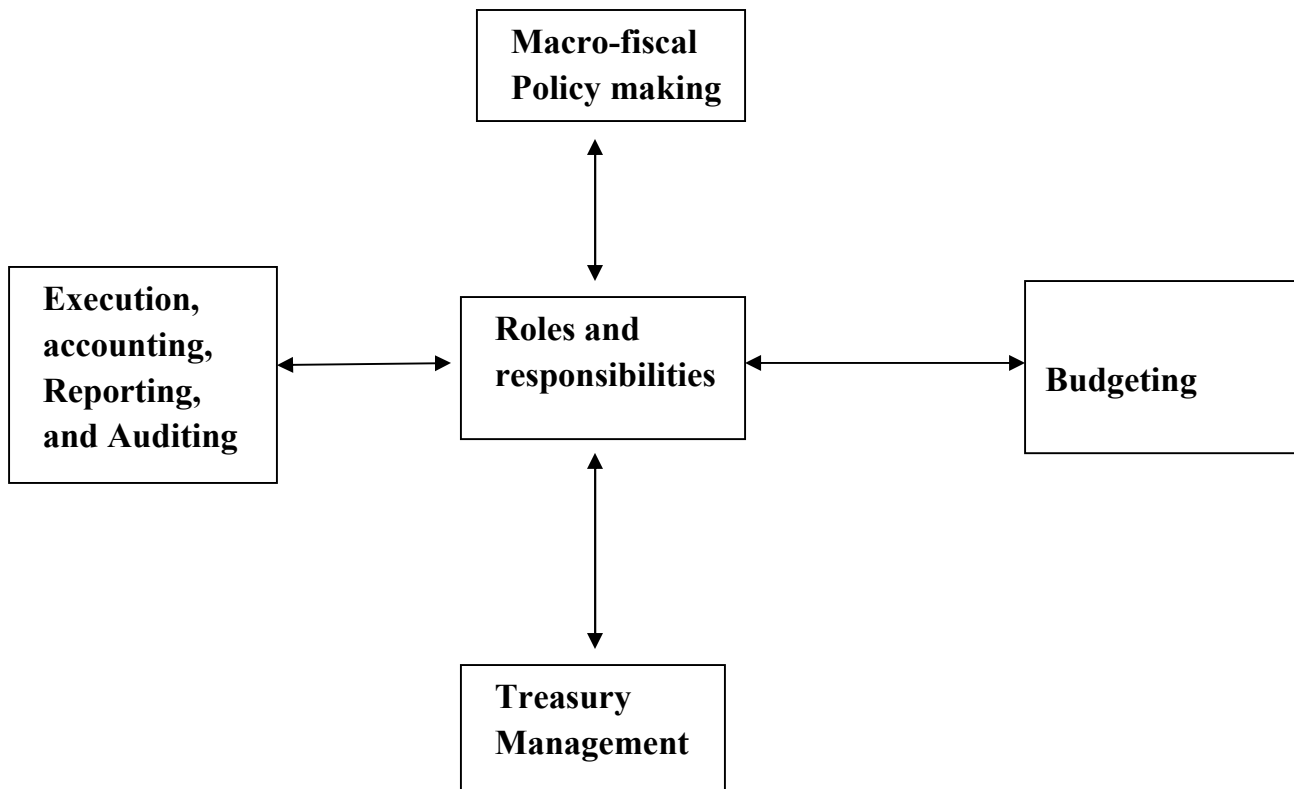
The Act also caters for all legislations required under the Fifth Schedule of the Constitution, except for the procurement law, which will be separate.

- iv. The final objective was to ensure that the Act incorporated best international practices. The Act did this by:

- Holding extensive public consultations within/outside government, counties, getting more comments from international/local experts on public financial management;
- Ensuring the PFM as a single law at the county and national government; and

- Basing the policy framework on the five core areas of a good system of public finances, as shown in the diagram below.

Figure 1: Five core areas of a good PFM system



The main objective of the Act is to ensure that national and county governments manage public finances in accordance with the principles spelt out in Article 201 of the Constitution, and that public officer's account to the public through Parliament and county assemblies. The PFM Act outlines a new budget calendar with clear deadlines, and clarifies the roles and responsibilities of the various stakeholders. The Act also introduces new PFM reforms, such as a Single Treasury Account, which will have far reaching implications on public finance management.

Initially, the PFM Act was divided into two: a National Act and the County Act. Due to obvious overlaps, it was found necessary to merge the two. Amendments to the Act were therefore necessary because the previous drafts did not clearly promote accountability at both the national and the county level. For instance, previous drafts of the Act only indicated how resources would be disbursed but did not indicate which institutions were involved and how and when this should have been done.

PRINCIPLES OF PUBLIC FINANCE

The following principles shall guide all aspects of public finance in the Republic—

1. There shall be openness and accountability, including public participation in financial matters;
2. The public finance system shall promote an equitable society, and in particular—
 - i. the burden of taxation shall be shared fairly;
 - ii. revenue raised nationally shall be shared equitably among national and county governments; and
 - iii. expenditure shall promote the equitable development of the country, including by making special provision for marginalised groups and areas;
3. the burdens and benefits of the use of resources and public borrowing shall be shared equitably between present and future generations;
4. public money shall be used in a prudent and responsible way; and
5. financial management shall be responsible, and fiscal reporting shall be clear

Equitable sharing of national revenue

Revenue raised nationally shall be shared equitably among the national and county governments. County governments may be given additional allocations from the national government's share of the revenue, either conditionally or unconditionally.

Equitable share and other financial laws

The following criteria shall be taken into account in determining the equitable shares provided for under Article 202 and in all national legislation concerning county government enacted in terms of this Chapter—

- i. the national interest;
- ii. any provision that must be made in respect of the public debt and other national obligations;
- iii. the needs of the national government, determined by objective criteria;
- iv. the need to ensure that county governments are able to perform the functions allocated to them;
- v. the fiscal capacity and efficiency of county governments;
- vi. developmental and other needs of counties;
- vii. economic disparities within and among counties and the need to remedy them;
- viii. the need for affirmative action in respect of disadvantaged areas and groups;
- ix. the need for economic optimisation of each county and to provide incentives for each county to optimise its capacity to raise revenue;
- x. the desirability of stable and predictable allocations of revenue; and

- xi. the need for flexibility in responding to emergencies and other temporary needs, based on similar objective criteria.

For every financial year, the equitable share of the revenue raised nationally that is allocated to county governments shall be not less than fifteen per cent of all revenue collected by the national government.

The amount referred to in clause (2) shall be calculated on the basis of the most recent audited accounts of revenue received, as approved by the National Assembly.

Consultation on financial legislation affecting counties

When a Bill that includes provisions dealing with the sharing of revenue, or any financial matter concerning county governments is published, the Commission on Revenue Allocation shall consider those provisions and may make recommendations to the National Assembly and the Senate.

Any recommendations made by the Commission shall be tabled in Parliament, and each House shall consider the recommendations before voting on the Bill.

PROCESS OF DEVELOPING COUNTY GOVERNMENT FINANCE BILL

County Treasury to prepare County Fiscal Strategy Paper

The County Treasury shall prepare and submit to the County Executive Committee the County Fiscal Strategy Paper for approval and the County Treasury shall submit the approved Fiscal Strategy Paper to the county assembly, by the 28th February of each year.

The County Treasury shall align its County Fiscal Strategy Paper with the national objectives in the Budget Policy Statement.

In preparing the County Fiscal Strategy Paper, the County Treasury shall specify the broad strategic priorities and policy goals that will guide the county government in preparing its budget for the coming financial year and over the medium term.

The County Treasury shall include in its County Fiscal Strategy Paper the financial outlook with respect to county government revenues, expenditures and borrowing for the coming financial year and over the medium term.

In preparing the County Fiscal Strategy Paper, the County Treasury shall seek and take into account the views of—

- a) the Commission on Revenue Allocation;
- b) the public;
- c) any interested persons or groups; and
- d) any other forum that is established by legislation.

Not later than fourteen days after submitting the County Fiscal Strategy Paper to the county assembly, the county assembly shall consider and may adopt it with or without amendments.

The County Treasury shall consider any recommendations made by the county assembly when finalising the budget proposal for the financial year concerned.

The County Treasury shall publish and publicise the County Fiscal Strategy Paper within seven days after it has been submitted to the county assembly.

County Treasury to prepare a County Budget Review and Outlook Paper

A County Treasury shall—

- a) prepare a County Budget Review and Outlook Paper in respect of the county for each financial year; and
- b) Submit the paper to the County Executive Committee by the 30th September of that year.

In preparing its county Budget Review and Outlook Paper, the County Treasury shall specify—

- a) the details of the actual fiscal performance in the previous year compared to the budget appropriation for that year;
- b) the updated economic and financial forecasts with sufficient information to show changes from the forecasts in the most recent County Fiscal Strategy Paper;
- c) information on—
 - i. any changes in the forecasts compared with the County Fiscal Strategy Paper; or
 - ii. how actual financial performance for the previous financial year may have affected compliance with the fiscal responsibility principles, or the financial objectives in the County Fiscal Strategy Paper for that financial year; and
- d) Reasons for any deviation from the financial objectives in the County Fiscal Strategy Paper together with proposals to address the deviation and the time estimated for doing so.

The County Executive Committee shall consider the County Budget Review and Outlook Paper with a view to approving it, with or without amendments, within fourteen days after its submission.

Not later than seven days after the County Budget Review and Outlook Paper is approved by the County Executive Committee, the County Treasury shall—

- a) arrange for the Paper to be laid before the County Assembly; and
- b) as soon as practicable after having done so, publish and publicise the Paper.

Banking arrangements for county government and its entities

The County Treasury is responsible for authorising the opening, operating and closing of bank accounts for the county government and its entities, except as otherwise provided by other legislation and in accordance with regulations made under this Act.

As soon as practicable, each County Treasury shall establish a Treasury Single Account at the Central Bank of Kenya or a bank approved by the County Treasury through which payments of money to and by the various county government entities are to be made.

The Treasury Single Account shall not be operated in a manner that prejudices any entity to which funds have been disbursed.

An accounting officer for a county government entity shall not cause a bank account of the entity to be overdrawn beyond the limit authorised by the County Treasury or a Board of a county government entity, if any.

A County Treasury shall keep complete and current records of all bank accounts for which it is responsible under the Constitution, this Act or any other legislation.

Accounting officer who authorises the bank account of a county government entity to be overdrawn is liable for the full cost of the overdrawn amount, in addition to any other disciplinary measures that—

- a. the County Executive Committee member for finance may impose; or
- b. Any other relevant authority may impose under the provisions of any other legislation.

Management of cash at the county government level

A County Treasury shall manage its cash within a framework established by the county assembly and by regulations.

Every county government entity shall submit an annual cash flow plan and forecasts to the County Treasury in a form and manner directed by County Treasury, and shall send a copy to the Controller of Budget.

The County Treasury may invest subject to any regulations that may be prescribed, any money kept in a bank account of the county government.

Except as otherwise provided by other legislation, the following are payable into the County Exchequer Account—

- a. all interest received from investments;

- b. All money received from the redemption or maturity of the investments, and from the sale or conversion of securities relating to the investments.

The County Treasury may incur costs, charges and expenses in connection with negotiating, placing, managing, servicing, or converting any investment entered into under subsection (3).

Any costs, charges or expenses incurred above are payable from the County Exchequer Account.

County Treasury to maintain records of county government loans.

The County Treasury shall maintain a record of all loans made to the county government and make the record available to the county assembly within seven days of request.

The County Treasury shall include in the record under subsection (1), the following information—

- a. the principal of the loan and the terms and conditions of the loan, including interest and other charges payable and the terms of repayment;
- b. the amount of the loan advanced at any particular time;
- c. the principal amount, interest and other charges paid at any particular time; and
- d. the balance of principal, interest and other charges outstanding at any particular time.

The county treasury shall maintain the following additional information with respect to every such loan—

- a. the names of the parties to the loan;
- b. the amount of the loan and the currency in which it is expressed and in which it is repayable;
- c. the terms and conditions of the loan, including interest and other charges payable and the terms of repayment;
- d. the amount of the loan advanced at the time the report under subsection (3) is submitted;
- e. the purpose for which the loan was used and the perceived benefits of the loan; and
- f. any other information that the county assembly requests.

The County Treasury shall submit both quarterly and annual reports of all loans made to the county government to the county assembly.

County Treasury to submit county government debt management strategy to county assembly

On or before the 28th February in each year, the County Treasury shall submit to the county assembly a statement setting out the debt management strategy of the county government over the medium term with regard to its actual liability and potential liability in respect of loans and its plans for dealing with those liabilities.

The County Treasury shall include the following information in the statement—

- a. the total stock of debt as at the date of the statement;
- b. the sources of loans made to the county government;
- c. the principal risks associated with those loans;
- d. the assumptions underlying the debt management strategy; and
- e. An analysis of the sustainability of the amount of debt, both actual and potential.

As soon as practicable after the statement has been submitted to the county assembly under this section, the County Executive Committee member for finance shall publish and publicise the statement and submit a copy to the Commission on Revenue Allocation and the Intergovernmental Budget and Economic Council.

County Treasury to provide county assembly with additional reports when required

On being requested to do so by the county assembly, the County Treasury shall prepare and submit to the county assembly a report on any matter relating to its responsibilities within fourteen days of the request.

Stages in county government budget process

The budget process for county governments in any financial year shall consist of the following stages—

- a. integrated development planning process which shall include both long term and medium term planning;
- b. planning and establishing financial and economic priorities for the county over the medium term;
- c. making an overall estimation of the county government's revenues and expenditures;
- d. adoption of County Fiscal Strategy Paper;
- e. preparing budget estimates for the county government and submitting estimates to the county assembly;
- f. approving of the estimates by the county assembly;
- g. enacting an appropriation law and any other laws required to implement the county government's budget;

- h. implementing the county government's budget; and
- i. accounting for, and evaluating, the county government's budgeted revenues and expenditures;

The County Executive Committee member for finance shall ensure that there is public participation in the budget process.

County government to prepare development plan

Every county government shall prepare a development plan in accordance with Article 220(2) of the Constitution, that includes—

- a. strategic priorities for the medium term that reflect the county government's priorities and plans;
- b. a description of how the county government is responding to changes in the financial and economic environment;
- c. programmes to be delivered with details for each programme of—
 - i. the strategic priorities to which the programme will contribute;
 - ii. the services or goods to be provided;
 - iii. measurable indicators of performance where feasible; and
 - iv. the budget allocated to the programme;
- d. payments to be made on behalf of the county government, including details of any grants, benefits and subsidies that are to be paid;
- e. a description of significant capital developments;
- f. a detailed description of proposals with respect to the development of physical, intellectual, human and other resources of the county, including measurable indicators where those are feasible;
- g. a summary budget in the format required by regulations; and (h) such other matters as may be required by the Constitution or this Act.

The County Executive Committee member responsible for planning shall prepare the development plan in accordance with the format prescribed by regulations.

The County Executive Committee member responsible for planning shall, not later than the 1st September in each year, submit the development plan to the county assembly for its approval, and send a copy to the Commission on Revenue Allocation and the National Treasury.

The County Executive Committee member responsible for planning shall publish and publicise the annual development plan within seven days after its submission to the county assembly.

County government to prepare cash flow projections

Not later than the 15th June of each financial year, every county government shall prepare an annual cash flow projection for the county for the next financial year, and submit the cash flow projection to the Controller of Budget with copies to the Intergovernmental Budget and Economic Council and the National Treasury.

Regulations shall prescribe the format and content of the annual cash flow projections.

County Executive Committee member for finance to manage budget process at county government level

The County Executive Committee member for finance shall manage the budget process for the county.

Not later than the 30th August in each year, the County Executive Committee member for finance shall issue a circular setting out guidelines to be followed by all of the county government's entities in the budget process.

The County Executive Committee member for finance shall include in the circular—

- a. a schedule for preparation of the budget, specifying the key dates by which the various processes are to be completed;
- b. the methodology for the review and projection of revenues and expenditures;
- c. key policy areas and issues to be taken into consideration when preparing the budget;
- d. the procedures to be followed by members of the public who wish to participate in the budget process;
- e. the format in which information and documents relating to the budget are to be submitted;
- f. the information to be in conformity with standard budget classification systems as prescribed by regulations; and
- g. any other information relevant to the budget process.

A county government entity shall comply with the guidelines and, in particular, shall adhere to the key dates specified in the schedule referred to in the above

County Executive Committee member to submit budget estimates and other documents to County Executive Committee for approval

A County Executive Committee member for finance shall submit to the County Executive Committee for its approval—

- a. the budget estimates and other documents supporting the budget of the county government, excluding the county assembly; and
- b. the draft Bills at county level required to implement the county government budget, in sufficient time to meet the deadlines prescribed by this section.

Following approval by the County Executive Committee, the County Executive Committee member for finance shall—

- a. submit to the county assembly the budget estimates, supporting documents, and any other Bills required to implement the budget, except the Finance Bill, by the 30th April in that year; and
- b. Ensure that the estimates submitted are in accordance with the resolutions adopted by county assembly on the County Fiscal Strategy Paper.

Each county assembly clerk shall prepare and submit to the county assembly the budget estimates for the county assembly and a copy shall be submitted to the County Executive Committee member for finance.

The County Executive Committee member for finance shall prepare and present his or her comments on the budget estimates presented by the county assembly clerk.

The County Executive Committee member for finance shall ensure that the budget process is conducted in a manner and within a timeframe sufficient to permit the participants in the process to meet the requirements of the Constitution and this Act.

As soon as is practicable after the budget estimates and other documents have been submitted to the County Assembly under this section, the County Executive Committee member for finance shall publish and publicise the documents.

Upon approval of the budget estimates by the county assembly, the County Executive Committee member for finance shall prepare and submit a County Appropriation Bill to the county assembly of the approved estimates.

County Executive Committee member for finance to submit budget documents to county assembly

The County Executive Committee member for finance shall submit to the county assembly the following documents in respect of the budget for every financial year—

A budget summary that includes—

- i. a summary of budget policies including revenue, expenditure, debt and deficit financing; and
- ii. an explanation of how the budget relates to the fiscal responsibility principles and the financial objectives;

- iii. a memorandum by the County Executive Committee member for finance explaining how the resolutions adopted by the county assembly on the budget estimates have been taken into account;

Budget estimates that include—

- i. a list of all county government entities that are to receive funds appropriated from the budget of the county government;
- ii. estimates of revenue projected from the Equalisation Fund over the medium term;
- iii. all revenue allocations from the national government over the medium term, including conditional and unconditional grants;
- iv. all other estimated revenue by broad economic classification;
- v. all estimated expenditure, by Vote, and by programme, clearly identifying both recurrent and development expenditures;
- vi. information regarding loans made to the county government, including an estimate of principal, interest and other charges to be paid by that county government in the financial year in respect of those loans;

information relating to any payments and liabilities to be made or incurred by the county government for which an appropriation is not included in an Appropriation Act, together with the constitutional or national legislative authority for any such payments or liabilities; and

a statement by the County Executive Committee member for finance specifying the measures taken by the county government to implement any recommendations made by the county assembly with respect to the budget for the previous financial year.

In preparing the annual Appropriation Bill to put before the County Assembly, the County Executive Committee member for finance shall ensure that the expenditure appropriations in the Bill are in a form that—

- a. is accurate, precise, informative and pertinent to budget issues; and
- b. Clearly identifies the appropriations by Vote and programme.

County Assembly to consider budget estimates

The county assembly shall consider the county government budget estimates with a view to approving them, with or without amendments, in time for the relevant appropriation law and any other laws required to implement the budget to be passed by the 30th June in each year.

Before the county assembly considers the estimates of revenue and expenditure, the relevant committee of the county assembly shall discuss and review the estimates and make recommendations to the county assembly, and in finalising the recommendations to county assembly, the committee shall take into account the views of the County Executive

Committee member for finance and the public on the proposed recommendations.

An amendment to the budget estimates may be made by the county assembly only if it is in accordance with the resolutions adopted regarding the County Fiscal Strategy Paper and if—

- a. any increase in expenditure in a proposed appropriation, is balanced by a reduction in expenditure in another proposed appropriation; and
- b. Any proposed reduction in expenditure is used to reduce the deficit.

Where a Bill originating from a member of a county assembly proposes amendments after the passing of budget estimates and the Appropriations Bill by the county assembly, the county assembly may proceed in accordance with the resolutions adopted regarding the County Fiscal Strategy Paper and ensure—

- a. an increase in expenditure in a proposed appropriation is balanced by a reduction in expenditure in another proposed appropriation; or
- b. a proposed reduction in expenditure is used to reduce the deficit.

Not later than twenty-one days after the county assembly has approved the budget estimates, the County Treasury shall consolidate the estimates and publish and publicise them.

The County Executive Committee member for finance shall take all reasonably practicable steps to ensure that the approved budget estimates are prepared and published in a form that is clear and easily understood by, and readily accessible to, members of the public.

Submission and consideration of the revenue raising measures in the county assembly

Each financial year, the County Executive member for finance shall, with the approval of the County Executive Committee, make a pronouncement of the revenue raising measures for the county government.

The County Executive Committee member for finance shall, on the same date that the revenue raising measures are pronounced, submit to the county assembly the County Finance Bill, setting out the revenue raising measures for the county government, together with a policy statement expounding on those measures.

Any recommendations made by the relevant committee or adopted by the county assembly on revenue matters shall—

- a. ensure that the total amount of revenue raised is consistent with the approved fiscal framework and the County Allocation of Revenue Act;
- b. take into account the principles of equity, certainty and ease of collection;
- c. consider the impact of the proposed changes on the composition of tax revenue with

- reference to direct and indirect taxes;
- d. consider domestic, regional and international tax trends;
 - e. consider the impact on development, investment, employment and economic growth; and
 - f. Take into account the taxation and other tariff agreements and obligations that Kenya has ratified, including taxation and tariff agreements under the East African Community Treaty.

The recommendation of the County Executive Committee member for finance shall be included in a report and tabled in the county assembly.

Approval of the Finance Bill

Not later than ninety days after passing the Appropriation Bill, the county assembly shall consider and approve the Finance Bill with or without amendments.

Action to be taken in case of delay in enacting County Appropriation Bill

if the County Appropriation Bill for a financial year has not been assented to, or is not likely to be assented to by the beginning of that financial year, a county assembly may authorise the withdrawal of money from the County Revenue Fund.

Money withdrawn under the above condition,

- a. may be used only for the purpose of meeting expenditure necessary to carry on the services of the county government during the financial year concerned until such time as the relevant appropriation law is passed; and
- b. may not exceed, in total, one-half of the amount included in the estimates of expenditure submitted to the county assembly for that year.

The Speaker of the county assembly shall, within seven days, communicate the authorization to the County Executive Committee member for finance.

The money withdrawn shall be included in the appropriation law, under separate votes, for the services for which it is withdrawn.

County government to submit to county assembly supplementary budget in certain circumstances

A county government may spend money that has not been appropriated if the amount appropriated for any purpose under the County Appropriation Act is insufficient or a need has arisen for expenditure for a purpose for which no amount has been appropriated by that Act, or money has been withdrawn from the county government Emergency Fund.

A county government shall submit a supplementary budget in support of the additional

expenditure for authority for spending

In complying with the above rule, a county government shall describe how the additional expenditure relates to the fiscal responsibility principles and financial objectives.

Except as provided the approval of the county assembly for any spending under this section shall be sought within two months after the first withdrawal of the money.

If the county assembly is not sitting during the time contemplated, or is sitting but adjourns before approval has been sought, approval shall be sought within fourteen days after it next sits.

When the county assembly has approved spending, a supplementary Appropriation Bill shall be introduced for the appropriation of the money spent.

In any financial year, the county government may not spend under this section more than ten percent of the amount appropriated by the county assembly for that year unless that county assembly has, in special circumstances, approved a higher percentage.

Appropriation of money for county government purpose to lapse if unspent.

Subject to any other legislation, an appropriation that has not been spent at the end of the financial year for which it was appropriated lapses immediately at the end of that financial year.

If, at the end of a financial year, a county government entity is holding appropriated money that was withdrawn from the County Exchequer Account but has not been spent, it shall repay the unspent money to the County Exchequer Account and prepare a refund statement which shall be forwarded to the Controller of Budget.

Establishment of county budget and economic forum for county budget consultation process

As soon as practicable after the commencement of this Act, a county government shall establish a forum to be known as the (Name of the County) County Budget and Economic Forum.

The County Budget and Economic Forum shall consist of—

- a. the Governor of the county who shall be the chairperson;
- b. other members of the county executive committee;
- c. a number of representatives, not being county public officers, equal to the number of executive committee members appointed by the Governor from persons nominated by organisations representing professionals, business, labour issues, women, persons with

disabilities, the elderly and faith based groups at the county level.

The purpose of the Forum is to provide a means for consultation by the county government on—

- a. preparation of county plans, the County Fiscal Strategy Paper and the Budget Review and Outlook Paper for the county; and
- b. Matters relating to budgeting, the economy and financial management at the county level.

In addition to the above, consultations shall be in accordance with the consultation process provided in the law relating to county governments.

TOPIC 2

THE OPERATIONS OF THE NATIONAL AND COUNTY GOVERNMENTS ON MANAGEMENT AND CONTROL OF PUBLIC FINANCE

Establishment of the National Treasury

There is established, pursuant to Article 225 of the Constitution, an entity of the national government to be known as the National Treasury.

The National Treasury shall comprise of—

- a) the Cabinet Secretary;
- b) the Principal Secretary; and
- c) The department or departments, office or offices of the National Treasury responsible for economic and financial matters.

The Cabinet Secretary shall be the head of the National Treasury.

General responsibilities of the National Treasury

1. formulate, implement and monitor macro-economic policies involving expenditure and revenue;
2. manage the level and composition of national public debt, national guarantees and other financial obligations of national government within the framework of this Act and develop a framework for sustainable debt control;
3. formulate, evaluate and promote economic and financial policies that facilitate social and economic development in conjunction with other national government entities;
4. mobilize domestic and external resources for financing national and county government budgetary requirements;
5. design and prescribe an efficient financial management system for the national and county governments to ensure transparent financial management and standard financial reporting as contemplated by Article 226 of the Constitution;
6. Provided that the National Treasury shall prescribe regulations that ensure that operations of a system under this paragraph respect and promote the distinctiveness of the national and county levels of government;
7. in consultation with the Accounting Standards Board, ensure that uniform accounting standards are applied by the national government and its entities;
8. develop policy for the establishment, management, operation and winding up of public funds;
9. within the framework of this Act and taking into consideration the recommendations of

the Commission on Revenue Allocation and the Intergovernmental Budget and Economic Council, prepare the annual Division of Revenue Bill and the County Allocation of Revenue Bill;

10. strengthen financial and fiscal relations between the national government and county governments and encourage support for county governments in terms of Article 190(1) of the Constitution in performing their functions; and
11. Assist county governments to develop their capacity for efficient, effective and transparent financial management in consultation with the Cabinet Secretary responsible for matters relating to intergovernmental relations.

The National Treasury shall have the following functions, in addition:-

1. promote transparency, effective management and accountability with regard to public finances in the national government;
2. ensure proper management and control of, and accounting for the finances of the national government and its entities in order to promote the efficient and effective use of budgetary resources at the national level;
3. co-ordinate the preparation of annual appropriation accounts and other statutory financial reports by the national government and its entities;
4. prepare annual estimates of revenue of the national government, and co-ordinate the preparation of the budget of the national government;
5. consolidate reports of annual appropriation accounts and other financial statements of the national government and county governments and their entities;
6. report every four months to the National Assembly on the implementation of the annual national budget on areas not reported on by the Controller of Budget;
7. be the custodian of an inventory of national government assets except as may be provided by other legislation or the Constitution;
8. monitor the management of the finances of public enterprises and investments by the national government and its entities;
9. monitor the financial aspects of risk management strategies and governance structures for the national government and national government entities;
10. monitor the financial performance of state corporations; and
11. Issue guidelines to national government entities with respect to financial matters and monitoring their implementation and compliance.

The National Treasury shall take such other action, not inconsistent with the Constitution, as will further the implementation of this Act

Powers of the National Treasury

The Cabinet Secretary may generally give to the National Treasury such powers as are necessary to facilitate the Cabinet Secretary and national government to exercise their powers in the Constitution, and in particular, the National Treasury may do all or any of the following—

1. With prior notification to the entity, access any system of public financial management and control of national government entity;
2. where reasonably necessary in the execution of its functions, access the premises of any national State Organ or other public entity and inspect the entity's records and other documents relating to financial matters after giving notice;
3. require national government entities to comply with any specified applicable norms or standards regarding accounting practices and budget classification systems;
4. require any public officer in the national government to provide information and if necessary, explanations with respect to matters concerning public finance:

Provided that a person providing information shall not be liable if at the time of providing the information that person, in writing, objected to providing such information on grounds that the information may incriminate him or her;

5. Provide any County Treasury with any information as it may require to carry out its responsibilities under the Constitution; and
6. Perform any other act as the Cabinet Secretary may consider necessary including power to intervene where a state entity or state organ fails to operate a financial system that complies with requirements provided for in accordance with Constitution.

The National Treasury may authorise any of its officers in writing to carry out a responsibility or exercise a power specified in the authorisation on behalf of the National Treasury.

When acting, an authorized officer, if requested by the person in relation to whom the responsibility or power is being carried out or exercised, shall produce the authorisation for inspection and failure to comply with that request invalidates any subsequent action purporting to be taken in terms of the authorisation.

An authorization given above remains in force for a period specified in it or, if no period is specified, until it is revoked by the National Treasury

The National Treasury may, in writing, revoke or vary an authorisation given above

Secondment of public officers by National Treasury to County Treasury

National Treasury may, upon request by the County Treasury, and for a period that shall be agreed, second to a County Treasury for purposes of capacity building, such number of officers as may be necessary for the County Treasury to better carry out its functions under this Act.

A public officer seconded to a County Treasury under above, shall be deemed to be an officer of the County Treasury and shall be subject only to the direction and control of the County Treasury.

The National Treasury to enforce fiscal responsibility principles

The National Treasury manages the national government's public finances in accordance with the Constitution, and the principles of fiscal responsibility set out

In managing the national government's public finances, the National Treasury enforces the following fiscal responsibility principles—

- a. Over the medium term a minimum of thirty percent of the national and county government's budget shall be allocated to the development expenditure.
- b. the national government's expenditure on wages and benefits for its public officers shall not exceed a percentage of the national government revenue as prescribed by regulations;
- c. over the medium term, the national government's borrowings shall be used only for the purpose of financing development expenditure and not for recurrent expenditure;
- d. public debt and obligations shall be maintained at a sustainable level as approved by Parliament for the national government and the county assembly for county government;
- e. fiscal risks shall be managed prudently; and
- f. a reasonable degree of predictability with respect to the level of tax rates and tax bases shall be maintained, taking into account any tax reforms that may be made in the future.

Short term borrowing shall be restricted to management of cash flows and in case of a bank overdraft facility it shall not exceed five per cent of the most recent audited national government revenue.

National Treasury ensures that the level of National Debt does not exceed the level specified annually in the medium term national government debt management strategy submitted to Parliament.

Regulations made under this Act may add to the list of fiscal principles set out

National government deviation from financial objectives

The national government may, with the approval of Parliament, deviate from the financial objectives in a Budget Policy Statement on a temporary basis where such deviation is necessitated by a major natural disaster or other significant unforeseen event.

If there is a change of national government, the new government may, with the approval of Parliament, deviate from the financial objectives in a Budget Policy Statement but shall not deviate from the fiscal responsibility principles.

The National Treasury shall provide a report to Parliament regarding the deviation, and shall include in the report—

- a. The reasons for and the implications of the deviation;
- b. proposals to address the deviation;
- c. the period the deviation is estimated to last; and
- d. The status of development projects initiated by the national government and if any project has been stopped, the reasons for doing so.

The National Treasury shall publish and publicize the report made above within fifteen days after its submission to Parliament.

National Treasury to prepare annual Budget Policy Statement

The National Treasury shall prepare and submit to Cabinet the Budget Policy Statement for approval.

The National Treasury shall submit the Budget Policy Statement approved in terms of subsection (1) to Parliament, by the 15th February in each year.

In preparing the Budget Policy Statement, the National Treasury shall set out the broad strategic priorities and policy goals that will guide the national government and county governments in preparing their budgets both for the following financial year and over the medium term.

The National Treasury shall include in the Budget Policy Statement—

- a. an assessment of the current state of the economy and the financial outlook over the medium term, including macro-economic forecasts;
- b. the financial outlook with respect to Government revenues, expenditures and borrowing for the next financial year and over the medium term;
- c. the proposed expenditure limits for the national government, including those of Parliament and the Judiciary and indicative transfers to county governments; and
- d. The fiscal responsibility principles and financial objectives over the medium term including limits on total annual debt.

In preparing the Budget Policy Statement, the National Treasury shall seek and take into account the views of—

- a. the Commission on Revenue Allocation;
- b. county governments;
- c. Controller of Budget;
- d. the Parliamentary Service Commission;
- e. the judicial Service Commission;
- f. the public; and
- g. any other interested persons or groups;

Regulations made under this Act shall prescribe circumstances and the manner in which persons or groups may make written or oral representations about the contents of the statement.

Parliament shall, not later than fourteen days after the Budget Policy Statement is submitted to Parliament, table and discuss a report containing its recommendations and pass a resolution to adopt it with or without amendments.

The Cabinet Secretary shall take into account resolutions passed by Parliament in finalising the budget for the relevant financial year.

The National Treasury shall publish and publicise the Budget Policy Statement not later than fifteen days after submission of the Statement to Parliament.

National Treasury to prepare Budget Review and Outlook Paper

The National Treasury shall prepare and submit to Cabinet for approval, by the 30th September in each financial year, a Budget Review and Outlook Paper which shall include—

- a. actual fiscal performance in the previous financial year compared to the budget appropriation for that year;
- b. updated macro-economic and financial forecasts with sufficient information to show changes from the forecasts in the most recent Budget Policy Statement;
- c. information on how actual financial performance for the previous financial year may have affected compliance with the fiscal responsibility principles or the financial objectives in the latest Budget Policy Statement; and
- d. The reasons for any deviation from the financial objectives together with proposals to address the deviation and the time estimated to do so.

Cabinet shall consider the Budget Review and Outlook Paper with a view to approving it, with or without amendments, not later than fourteen days after its submission.

Not later than seven days after the Budget Review and Outlook Paper has been approved by Cabinet, the National Treasury shall—

- a. submit the Paper to the Budget Committee of the National Assembly to be laid before each House of Parliament; and
- b. Publish and publicise the Paper not later than fifteen days after laying the Paper before Parliament.

Publication of pre and post- election economic and fiscal reports by National Treasury

The National Treasury shall arrange to be published—

- a. a pre-election economic and fiscal update not earlier than four months before the polling day for any general election; and
- b. a post-election economic and fiscal update not later than four months after the polling day of any general election.

The pre-election and post-election economic and fiscal update shall—

Detail all election related spending including—

- i. direct election expenses such as those for the Independent Electoral and Boundaries Commission for costs of elections and election materials;
- ii. indirect election expenses such as allocations to police and security forces for the election year; and any other expenses related to the election specified in regulations or instructions; and

Be accompanied by a statement signed by the Principal Secretary stating that the economic and fiscal updates include—

- a. all policy decisions with material economic or fiscal implications that the national government made before the day on which the contents of the economic and fiscal updates were finalised;
- b. all other circumstances with material economic or fiscal implications of which the National Treasury was aware before those days; and
- c. a confirmation that the economic and fiscal updates were prepared using the best professional judgment and information available before the economic and fiscal updates were finalised.

If the day of dissolution of Parliament is less than two months before the day appointed as polling day for the general election, the Cabinet Secretary shall arrange for the pre-election economic and fiscal update required under this section to be published not later than fourteen days after the day of the dissolution of Parliament.

Banking arrangements for national government entities

The National Treasury shall authorise the opening, operating and closing of bank accounts and sub accounts for all national government entities in accordance with regulations made under this Act.

The National Treasury shall establish a Treasury Single Account into which all revenues received by national government entities shall be deposited and from which all payments of money to or on behalf of national government entities shall be made.

The Treasury Single Account shall not be operated in any manner that prejudices any entity

to which funds have been disbursed.

An accounting officer for a national government entity shall not cause a bank account of the entity to be overdrawn beyond the limit authorised by the National Treasury or a board of a national government entity, if any.

Subject to subsection (3), an accounting officer who authorises the bank account of a national government entity to be overdrawn is liable for the full cost of the overdrawn amount, in addition to any other disciplinary measures that—

- a. the Cabinet Secretary may impose by regulations; or

Any other relevant authority may impose under the provisions of any other legislation.

The National Treasury shall keep complete and current records of all bank accounts for which it is responsible under the Constitution, this Act or any other legislation.

The National Treasury shall give monthly statements on actual revenue collected in the accounts relating to Article 206 of the Constitution to the Commission on Revenue Allocation.

Management of cash at the national government level

The National Treasury shall establish a framework within which the national government shall manage its cash transactions.

Every national government entity, other than a state corporation, shall submit an annual cash plan and forecast to—

- a. the National Treasury in a form and manner and relating to such periods directed by that Treasury; and
- b. The Controller of Budget.

Subject to the Constitution, the Cabinet Secretary may, notwithstanding any previous authority given, limit or suspend national government expenditure, if in the Cabinet Secretary's opinion, the exigencies of the financial situation render such a limitation or suspension necessary.

The approval of the National Assembly for any limitation or suspension under subsection (3) shall be sought within two months of the decision being made.

The National Treasury may invest, subject to any regulations that may be prescribed, any money kept in a bank account of the national government.

Except as otherwise provided by legislation—

- a. interest received from investments made under subsection (5); and
- b. money received from the redemption or maturity of those investments, and from the sale or conversion of securities relating to them, is payable into the National Exchequer Account.

The National Treasury may incur costs, charges and expenses in connection with negotiating, placing, managing, servicing, or converting any investment entered into under subsection (5).

Costs, charges or expenses referred to under subsection (7) shall be paid from the Consolidated Fund in accordance with Article 228 of the Constitution.

Procurement of goods and services

For the purposes of this Act, all procurement of goods and services required for the purposes of the national government or a national government entity is to be carried out in accordance with Article 227 of the Constitution and the relevant legislation on procurement and disposal of assets.

Cabinet Secretary to report all loans

The Cabinet Secretary shall submit to Parliament, every four months, a report of all loans made to the national government, national government entities and county governments, in accordance with Article 211(2) of the Constitution.

Where either House of Parliament is canvassing a matter relating to the national debt, the Cabinet Secretary shall submit to Parliament, a report of all loans made to the national government, national government entities, and county governments, not later than seven days after receiving a request to do so from either House of Parliament.

At the end of every four months, the Cabinet Secretary shall submit a report to Parliament stating the loan balances brought forward, carried down, drawings and amortizations on new loans obtained from outside Kenya or denominated in foreign currency, and such other information as may be prescribed by regulations, specifying—

- a. the names of the parties to the loan;
- b. the amount of the loan and the currency in which it is expressed and in which it is repayable;
- c. the terms and conditions of the loan, including interest and other charges payable and the terms of repayment;
- d. the amount of the loan advanced at the time the report is submitted;
- e. the purpose for which the loan was used and the perceived benefits of the loan; and such other information as the Cabinet Secretary may consider appropriate.

Cabinet Secretary to report on national government guarantees

The Cabinet Secretary shall submit to Parliament, a record of all guarantees given by the national government, not later than seven days after receiving a request to do so from either House of Parliament.

The Cabinet Secretary shall, with respect to every such guarantee, specify the following information in the record—

- (a) names of the parties to the loan that is guaranteed;
- (b) principal amount of that loan;

(c) terms and conditions applicable to that loan, including—

- (i) interest and other charges that are payable in respect of that loan; and
- (ii) terms of its repayment.

Not later than two months after the end of each financial year, the Cabinet Secretary shall publish and publicise a report giving details of the guarantees given by the national government during that year.

Cabinet Secretary to submit national government debt management strategy to Parliament annually

On or before the 15th February in each year, the Cabinet Secretary shall submit to Parliament a statement setting out the debt management strategy of the national government over the medium term with respect to its actual liability and potential liability in respect of loans and guarantees and its plans for dealing with those liabilities.

The Cabinet Secretary shall ensure that the medium-term debt management strategy is aligned to the broad strategic priorities and policy goals set out in the Budget Policy Statement.

The Cabinet Secretary shall include in the statement the following information—

- a. the total stock of debt as at the date of the statement;
- b. the sources of loans made to the national government and the nature of guarantees given by the national government;
- c. the principal risks associated with those loans and guarantees;
- d. the assumptions underlying the debt management strategy; and
- e. an analysis of the sustainability of the amount of debt, both actual and potential.

Within fourteen days after the debt strategy paper is submitted to Parliament Under this section, the Cabinet Secretary shall submit the statement to the Commission on Revenue Allocation and the Intergovernmental Budget and Economic Council and publish and publicise the statement.

The National Treasury to provide Parliament with additional reports when required

Either House of Parliament may request the Cabinet Secretary or the National Treasury to prepare and submit to that House a report on any matter relating to the Cabinet Secretary or National Treasury's responsibilities as the House of Parliament may specify.

Stages in the budget process

The budget process for the national government in any financial year shall comprise the following stages—

- a. integrated development planning process which shall include both long term and medium term planning;
- b. planning and determining financial and economic policies and priorities at the national

level over the medium term;

- c. preparing overall estimates in the form of the Budget Policy Statement of national government revenues and expenditures;
- d. adoption of Budget Policy Statement by Parliament as a basis for future deliberations;
- e. preparing budget estimates for the national government;
- f. submitting those estimates to the National Assembly for approval;
- g. enacting the appropriation Bill and any other Bills required to implement the National government's budgetary proposals;
- h. implementing the approved budget;
- i. evaluating and accounting for, the national government's budgeted revenues and expenditures; and
- j. reviewing and reporting on those budgeted revenues and expenditures every three months.

The Cabinet Secretary shall ensure public participation in the budget process provided for under subsection (1).

Cabinet secretary to manage budget process at national level

The Cabinet Secretary shall manage the budget process at the national level.

Not later than the 30th August in each year, the Cabinet Secretary shall issue to all national government entities a circular setting out guidelines on the budget process to be followed by them

The circular shall include—

- a schedule for preparation of the budget indicating key dates by which various exercises are to be completed;
- the procedures for the review and projection of revenues and expenditures;
- key policy areas and issues that are to be taken into consideration when preparing the budget;
- procedures setting out the manner, in which members of the public shall participate in the budget process;
- the format in which budget information and documents shall be submitted; and
- any other information that, in the opinion of the Cabinet Secretary, may assist the budget process.

Every national government entity shall comply with the guidelines, and in particular, such dates as are specified in the schedule referred to in subsection (3)(a).

The Cabinet Secretary shall by regulations, prescribe procedures specifying how, when and where members of the public shall participate in the budget process at the national level.

The Cabinet Secretary shall notify the members of the Intergovernmental Budget and Economic Council of the commencement of the budget process.

Submission of budget estimates and related documents for approval

The Cabinet Secretary shall, within a period allowing time to meet the deadlines specified in this section, submit to the Cabinet for its approval—

- (a) the budget estimates and other documents supporting the budget; and
- (b) the draft Bills required to implement the national budget.

The Cabinet Secretary shall submit to the National Assembly, by the 30th April in that year, the following documents—

- (a) the budget estimates excluding those for Parliament and the Judiciary;
- (b) documents supporting the submitted estimates; and
- (c) any other Bills required to implement the national government budget.

The accounting officer for the Parliamentary Services Commission shall, not later than the 30th April in each financial year—

Submit to the National Assembly the budget estimates for Parliament, including proposed appropriations; and provide the National Treasury with a copy of those documents.

The Chief Registrar of the Judiciary shall, not later than the 30th April in each financial year—

- a. submit to the National Assembly the budget estimates for the Judiciary, including proposed appropriations; and
- b. provide the National Treasury with a copy of those documents.

In preparing the documents referred to in subsections (3) and (4), the accounting officer for the Parliamentary Service Commission and the Chief Registrar of the Judiciary—

- a. shall ensure that members of the public are given an opportunity to participate in the preparation process; and
- b. may make and publish rules to be complied with by those who may wish to participate in the process.

The Cabinet Secretary shall submit to the National Assembly not later than the 15th May any comments of the National Treasury on the budgets proposed by the Parliamentary Service Commission and the Chief Registrar for the Judiciary.

The Cabinet Secretary shall ensure that the budget process is conducted in a manner and within a timeframe sufficient to permit the various participants in the process to comply with the requirements of the Constitution and this Act.

As soon as practicable after the budget estimates and other documents have been submitted to the National Assembly under this section, the Cabinet Secretary shall publicise those documents.

Upon approval of the budget estimates by the National Assembly, the Cabinet Secretary shall prepare and submit an Appropriation Bill of the approved estimates to the National Assembly.

Submission of other budget documents to the National Assembly

The Cabinet Secretary shall submit to the National Assembly the following other budget documents for each financial year—

(a) a budget summary that includes—

- i. a summary of budget policies including policies on revenue, expenditure, debt and deficit financing;
- ii. an explanation of how the budget relates to the fiscal responsibility principles and to the financial objectives; and
- iii. a memorandum by the Cabinet Secretary explaining how the resolutions adopted by the National Assembly on the Budget Policy Statement under section 25(7) have been taken into account.

(b) the format of the budget estimates shall include—

- i. a list of all entities that are to receive funds appropriated from the budget of the national government;
- ii. estimates of revenue allocated to, and expenditures projected from, the Equalisation Fund over the medium term, with an explanation of the reasons for those revenue allocations and expenditures and how these estimates comply with the policy developed by the Commission on Revenue Allocation under Article 216(4) of the Constitution;
- iii. all revenue allocations to county governments from the national government's share in terms of Article 202 (2) of the Constitution, including conditional and unconditional grants;
- iv. all estimated revenue by broad economic classification;
- v. all estimated expenditure, by vote and by programme, clearly identifying both recurrent and development expenditures; and
- vi. an estimate of any budget deficit or surplus for the financial year and medium term and the proposed sources of financing;

(c) information regarding loans made by the national government, including an estimate of principal, interest and other charges to be received by the national government in the financial year in respect of those loans;

(d) information regarding loans and guarantees made to and by the national government, including an estimate of principal, interest and other charges to be paid by the national government in the financial year in respect of those loans;

(e) information regarding any payments to be made and liabilities to be incurred by the national government for which an appropriation Act is not required which shall include the constitutional or national legislative authority for any such payments or liabilities; and

(f) a statement by the National Treasury specifying the measures taken by the national government to implement any recommendations made by the National Assembly with respect to the budget for the previous financial year or years.

The nature of information that is to be presented in the budget estimates and the form of its presentation shall be prescribed in regulations and the regulations shall be tabled in Parliament for approval.

The Cabinet Secretary shall ensure that the expenditure appropriations and the budget estimates in an appropriation Bill are presented in a way that—

- a. is accurate, precise, informative and pertinent to budget issues; and
- b. clearly identifies the appropriations by vote and programme.

National Assembly to consider budget estimates

The National Assembly shall consider the budget estimates of the national government, including those of Parliament and the Judiciary, with a view to approving them, with or without amendments, in time for the Appropriation Bill and any other relevant Bills, except the Finance Bill, required to implement the budget to be assented to by the 30th June each year.

Before the National Assembly considers the estimates of revenue and expenditure, the relevant committee of the National Assembly shall discuss and review the estimates and make recommendations to the National Assembly, taking into account the views of the Cabinet Secretary and the public on the proposed recommendations.

The National Assembly may amend the budget estimates of the national government only in accordance with the Division of Revenue Act and the resolutions adopted with regard to the Budget Policy Statement ensuring that —

- a. an increase in expenditure in a proposed appropriation is balanced by a reduction in expenditure in another proposed appropriation; or
- b. a proposed reduction in expenditure is used to reduce the deficit.

Where a Bill originating from a member of the National Assembly proposes amendments after passing the budget estimates and the appropriations Bill by Parliament, the National Assembly may only proceed in accordance with—

- a. the Division of Revenue Act;
- b. Article 114 of the Constitution; and
- c. any increase in expenditure in a proposed appropriation is balanced by a reduction in expenditure in another proposed appropriation or any proposed reduction in expenditure is used to reduce the deficit.

Not later than twenty-one days after the National Assembly has approved the budget estimates, the National Treasury shall consolidate, publish and publicise the budget estimates.

The National Treasury shall take all reasonably practicable steps to ensure that the approved budget estimates are prepared and publicised in a form that is clear and easily understood by, and readily accessible to, members of the public.

Following approval of the budget estimates under this section, and before the Appropriation Act is assented to, the National Assembly may authorise withdrawals in accordance with Article 222 of the Constitution, and such authority shall be communicated to the Cabinet Secretary responsible for finance by the Speaker of the National Assembly within seven days of that authority being granted by the National Assembly.

The Controller of Budget shall ensure that members of the public are given information on budget implementation both at the national and county government level in accordance with Article 228 of the Constitution.

Submission and consideration of budget policy highlights and the Finance Bill in the National Assembly

Each financial year, the Cabinet Secretary shall, with the approval of Cabinet, make a public pronouncement of the budget policy highlights and revenue raising measures for the national government.

In making the pronouncement under subsection (1), the Cabinet Secretary shall take into account any regional or international agreements that Kenya has ratified, including the East African Community Treaty and where such agreements prescribe the date when the budget policy highlights and revenue raising measures are to be pronounced, the Cabinet Secretary shall ensure that the measures are pronounced on the appointed date.

On the same date that the budget policy highlights and revenue raising measures are pronounced, the Cabinet Secretary shall submit to Parliament the Finance Bill, setting out the revenue raising measures for the national government, together with a policy statement expounding on those measures.

Following the submission of the Finance Bill by the Cabinet Secretary, the relevant committee of the National Assembly shall introduce the Bill in the National Assembly, together with the report of the committee on the Bill.

Any of the recommendations made by the relevant committee of the National Assembly or adopted by the National Assembly on revenue matters shall—

- a. ensure that the total amount of revenue raised is consistent with the approved fiscal framework and the Division of Revenue Act;
- b. take into account the principles of equity, certainty and ease of collection;
- c. consider the impact of the proposed changes on the composition of the tax revenue with reference to the direct and indirect taxes;
- d. consider domestic, regional and international tax trends;
- e. consider the impact on development, investment, employment and economic growth;
- f. take into account the recommendations of the Cabinet Secretary as provided under Article 114 of the Constitution; and
- g. take into account the taxation and other tariff agreements and obligations that Kenya

has ratified, including taxation and tariff agreements under the East African Community Treaty.

(The recommendations of the Cabinet Secretary in subsection (5) (f) shall be included in the report and tabled in the National Assembly.

Passing of the Finance Bill

Not later than ninety days after passing the Appropriation Bill, the National Assembly shall consider and approve the Finance Bill with or without amendments.

Consideration by Parliament of Division of Revenue and County Allocation of Revenue Bills

Parliament shall consider the Division of Revenue and County Allocation of Revenue Bills not later than thirty days after the Bills have been introduced with a view to approving them, with or without amendments.

Limited powers of accounting officer of national government entity to reallocate appropriate funds

An accounting officer may reallocate funds from the authorised use but may not reallocate funds where—

- a. the funds are appropriated for transfer to another government entity or person;
- b. the funds are appropriated for capital expenditure except to defray other capital expenditure;
- c. the reallocation of funds is from wages to non-wages expenditure; or
- d. the transfer of funds may result in contravention of fiscal responsibility principles.

An accounting officer for a national government entity, other than a state corporation, may reallocate funds between programs, or between Sub-Votes, in the budget for a financial year if—

- a. there are provisions in the budget of a program or Sub-Vote which are unlikely to be utilised;
- b. a request for the reallocation has been made to the National Treasury explaining the reasons for the reallocation and the National Treasury has approved the request; and
- c. the total sum of all reallocations made to or from a program or Sub-Vote does not exceed ten percent of the total expenditure approved for that program or Sub-Vote for that financial year.

Regulations made under this Act may provide for the reallocation of funds within Sub-votes or programs.

National government to submit supplementary budget to Parliament

The national government shall submit to Parliament for approval, a supplementary budget in support of money spent under Article 223 of the Constitution.

After Parliament has approved spending under subsection (1), an Appropriation Bill shall be introduced for the appropriation of the money spent.

The supplementary budget shall include a statement showing how the additional expenditure relates to the fiscal responsibility principles and financial objectives.

Appropriations to lapse if unspent at the end of the financial year.

An appropriation that has not been spent at the end of the financial year for which it was appropriated shall lapse immediately at the end of that financial year.

Subject to any other legislation, where, at the end of a financial year, a national government entity is holding appropriated money that was withdrawn from the National Exchequer Account but has not been spent, it shall repay the unspent money into the National Exchequer Account and shall prepare and submit a statement of the same to the Controller of Budget.

COUNTY GOVERNMENT RESPONSIBILITIES IN PUBLIC FINANCE

Each county government shall ensure adherence to—

- a) the principles of public finance set out in Chapter Twelve of the Constitution;
- b) the fiscal responsibility principles provided in section 107 under this Act;
- c) national values set out in the Constitution; and
- d) any other requirements of this Act.

The County Executive Committee shall observe principles of collective responsibility in exercising their functions under this Act.

In making decisions a county assembly shall take cognisance of Article 216 (2) of the Constitution.

Establishment of county treasuries

There is established for each county government, an entity to be known as County Treasury. The County Treasury shall comprise—

- a) the County Executive Committee member for finance;
- b) the Chief Officer; and
- c) The department or departments of the County Treasury responsible for financial and fiscal matters.

The County Executive Committee member for finance shall be the head of the County Treasury.

General responsibilities of a County Treasury

Subject to the Constitution, a County Treasury shall monitor, evaluate and oversee the management of public finances and economic affairs of the county government including—

1. developing and implementing financial and economic policies in the county;
2. preparing the annual budget for the county and co-ordinating the preparation of estimates of revenue and expenditure of the county government;
3. co-ordinating the implementation of the budget of the county government;
4. mobilising resources for funding the budgetary requirements of the county government and putting in place mechanisms to raise revenue and resources;
5. managing the county government's public debt and other obligations and developing a framework of debt control for the county;
6. consolidating the annual appropriation accounts and other financial statements of the county government in a format determined by the Accounting Standards Board;
7. acting as custodian of the inventory of the county government's assets except where provided otherwise by other legislation or the Constitution;
8. ensuring compliance with accounting standards prescribed and published by the Accounting Standards Board from time to time;
9. ensuring proper management and control of, and accounting for the finances of the county government and its entities in order to promote efficient and effective use of the county's budgetary resources;
10. maintaining proper accounts and other records in respect of the County Revenue Fund, the County Emergencies Fund and other public funds administered by the county government;
11. monitoring the county government's entities to ensure compliance with this Act and effective management of their funds, efficiency and transparency and, in particular, proper accountability for the expenditure of those funds;
12. assisting county government entities in developing their capacity for efficient, effective and transparent financial management, upon request;
13. providing the National Treasury with information which it may require to carry out its responsibilities under the Constitution and this Act;
14. issuing circulars with respect to financial matters relating to county government entities;
15. advising the county government entities, the County Executive Committee and the county assembly on financial matters;
16. strengthening financial and fiscal relations between the national government and county governments in performing their functions;
17. reporting regularly to the county assembly on the implementation of the annual county budget; and
18. Taking any other action to further the implementation of this Act in relation to the county.

Powers of a County Treasury

A County Treasury has such powers as are necessary to enable it to carry out its functions and responsibilities under this Act including—

- a) with prior notice, access any system of public financial management used by any of the county government entities and the internal controls used to monitor the system;
- b) taking appropriate measures, including the stoppage of funds, to deal with any failure of a county government entity to comply with this Act;
- c) with prior notice, accessing the premises of a county government entity and inspecting all records and other documents relating to the financial affairs of that county government entity, kept by that entity;
- d) requiring county government entities to comply with all applicable norms or standards regarding accounting practices, budget classification systems and other public financial management systems as prescribed by the Accounting Standards Board;
- e) requiring any public officer employed by a county government or county government entity to provide explanations, information and assistance in respect to matters relating to the county government's public finances:
- f) Provided that a person providing the information shall not be liable if at the time of providing the information, that person, in writing, objected to providing such information on grounds that the information may incriminate him or her;
- g) issuing guidelines to accounting officers for the county government entities, or public officers employed by those entities, with respect to the financial affairs of that Government or those entities, and monitoring compliance with those guidelines; and
- h) Ensuring that county government entities operate a financial management system that complies with national standards as prescribed by the Accounting Standards Board.

A County Treasury may, in writing, authorise any of its officers to carry out a specified responsibility, or exercise a specified power, on its behalf.

When carrying out a responsibility, or exercising a power, on behalf of a County Treasury, an authorised officer shall, if requested to do so by the person in relation to whom the responsibility or power is being carried out or exercised, produce the officer's authorisation for inspection and failure to comply with such a request invalidates any subsequent action purporting to be taken under the authority of the authorisation.

An authorisation given under subsection (3) remains in force for such period as is specified in it or, if no such period is specified, until it is revoked by the County Treasury concerned.

A County Treasury may, in writing, revoke or vary an authorisation given under subsection (3).

Secondment of public officers by a County Treasury to the National Treasury

A County Treasury may, upon the request of the National Treasury, second to the National Treasury such number of officers as may be necessary for the National Treasury to better carry out its responsibilities under this Act.

A public officer seconded to the National Treasury under subsection (1), shall be deemed to be an officer of the National Treasury and shall be subject only to the direction and control of the National Treasury.

County Treasury to enforce fiscal responsibility principles

A County Treasury shall manage its public finances in accordance with the principles of fiscal responsibility set out in subsection (2), and shall not exceed the limits stated in the regulations.

In managing the county government's public finances, the County Treasury shall enforce the following fiscal responsibility principles—

- a) the county government's recurrent expenditure shall not exceed the county government's total revenue;
- b) over the medium term a minimum of thirty percent of the county government's budget shall be allocated to the development expenditure;
- c) the county government's expenditure on wages and benefits for its public officers shall not exceed a percentage of the county government's total revenue as prescribed by the County Executive member for finance in regulations and approved by the County Assembly;
- d) over the medium term, the government's borrowings shall be used only for the purpose of financing development expenditure and not for recurrent expenditure;
- e) the county debt shall be maintained at a sustainable level as approved by county assembly;
- f) the fiscal risks shall be managed prudently; and
- g) a reasonable degree of predictability with respect to the level of tax rates and tax bases shall be maintained, taking into account any tax reforms that may be made in the future.

For the purposes of subsection (2) (d), short term borrowing shall be restricted to management of cash flows and shall not exceed five percent of the most recent audited county government revenue.

Every county government shall ensure that its level of debt at any particular time does not exceed a percentage of its annual revenue specified in respect of each financial year by a resolution of the county assembly.

The regulations may add to the list of fiscal responsibility principles set out in subsection (2).

County government deviation from financial objectives

A county government may, with the approval of its county assembly, deviate from the financial objectives in the relevant County Fiscal Strategy Paper, but only on a temporary basis and only if the deviation is required because of a major natural disaster or some other significant unforeseen event.

If there is a change of county government, the new county government may deviate from the financial objectives in a County Fiscal Strategy Paper, but may not deviate from the

fiscal responsibility objectives.

The County Treasury shall also provide a report to the county assembly regarding the deviation and its implication and shall include in the report—

- a) information on the reasons and implication for the deviation;
- b) proposals to address the deviation;
- c) the time the deviation is estimated to last; and
- d) The status of development projects initiated by the county government and if any projects have been stopped, the reasons for doing so.

The County Treasury shall publish and publicise the report not later than fifteen days after it has been submitted to the county assembly.

Establishment of a County Revenue Fund for each county government

There is established, for each county a County Revenue Fund in accordance with Article 207 of the Constitution.

The County Treasury for each county government shall ensure that all money raised or received by or on behalf of the county government is paid into the County Revenue Fund, except money that—

- a) is excluded from payment into that Fund because of a provision of this Act or another Act of Parliament, and is payable into another county public fund established for a specific purpose;
- b) may, in accordance with other legislation, this Act or County legislation, be retained by the county government entity which received it for the purposes of defraying its expenses; or
- c) is reasonably excluded by an Act of Parliament as provided in Article 207 of the Constitution.

The County Treasury shall administer the County Revenue Fund and ensure that the county government complies with the provisions of Article 207 of the Constitution.

The County Treasury shall—

- a) arrange for the County Revenue Fund to be kept in the Central Bank of Kenya or a bank approved by the County Executive Committee member responsible for finance and shall be kept in an account to be known as the "County Exchequer Account; and
- b) ensure that all money authorised to be paid by the county government or any of its entities for a public purpose is paid from that account without undue delay.

The County Treasury shall ensure that at no time is the County Exchequer Account overdrawn. The County Treasury shall obtain the written approval of the Controller of Budget before withdrawing money from the County Revenue Fund under the authority of—

- a) an Act of the county assembly that appropriates money for a public purpose;

- b) an Act of Parliament or county legislation that imposes a charge on that Fund; or
- c) This Act in accordance with sections 134 and 135.

The approval of the Controller of Budget to withdraw money from the County Revenue Fund, together with written instructions from the County Treasury requesting for the withdrawal, is sufficient authority for the approved bank where the County Exchequer Account is held to pay amounts from this account in accordance with the approval and the instructions.

Any unutilised balances in the County Revenue Fund shall not lapse at the end of the financial year but shall be retained for the purposes for which it was established.

Financial reports shall be submitted to the Commission on Revenue Allocation with a copy to the Controller of Budget.

County Government Executive Committee may establish county government Emergency Fund

A County Executive Committee may, with the approval of the county assembly, establish an emergency fund for the county government under the name "..... County Emergency Fund" and the fund shall consist of money from time to time appropriated by the county assembly to the Fund by an appropriation law.

The purpose of an Emergency Fund is to enable payments to be made in respect of a county when an urgent and unforeseen need for expenditure for which there is no specific legislative authority arises.

County Executive Committee member for finance to administer the Emergency Fund

The County Executive Committee member for finance shall administer the county government Emergency Fund for the county government in accordance with a framework and criteria approved by the county assembly.

The County Executive Committee member for finance shall establish and maintain a separate account into which all money appropriated to the Emergency Fund shall be paid.

Power of County Executive Committee member to make payments from Emergency Fund

Subject to section 113, the County Executive Committee member for finance may make payments from the county government's Emergency Fund only if he or she is satisfied that there is an urgent and unforeseen need for expenditure for which there is no legislative authority and shall be in accordance with operational guidelines made under regulations approved by Parliament and the law relating to disaster management.

(For the purposes of subsection (1), there is an urgent and unforeseen event for expenditure if the County Executive Committee member for finance, guided by regulations and relevant laws, establishes that—

- a) payment not budgeted for cannot be delayed until a later financial year without harming the general public interest;
- b) payment is meant to alleviate the damage, loss, hardship or suffering which may be caused directly by the event; and
- c) The damage caused by the event is on a small scale and limited to the county.

For the purposes of subsection (1), the unforeseen event is one which—

- a) threatens damage to human life or welfare; or
- b) Threatens damage to the environment.

Limitation on power of County Executive Committee member for finance to make payments from Emergency Fund

The County Executive Committee member for finance may not, during a financial year, make a payment from the Emergency Fund under section 112 exceeding two per cent of the total county government revenue as shown in that county government's audited financial statements for the previous financial year, except for the first year.

ESTABLISHMENT, PURPOSE AND COMPOSITION OF THE INTERGOVERNMENTAL

BUDGET AND ECONOMIC COUNCIL

There is established a council known as the Intergovernmental Budget and Economic Council comprising—

- 1. the Deputy President who shall be the Chairperson;
- 2. the Cabinet Secretary;
- 3. a representative of the Parliamentary Service Commission;
- 4. a representative of the Judicial Service Commission;
- 5. the Chairperson of the Commission on Reville Allocation or a person designated by the Chairperson;
- 6. the Chairperson of the Council of County Governors;
- 7. every County Executive Committee member for finance; and
- 8. The Cabinet Secretary responsible for intergovernmental relations.

(The purpose of the Council is to provide a forum for consultation and cooperation between the national government and county governments on—

- a. the contents of the Budget Policy Statement, the Budget Review and Outlook Paper and the Medium-Term Debt Management Strategy;
- b. matters relating to budgeting, the economy and financial management and integrated development at the national and county level;
- c. matters relating to borrowing and the framework for national government loan guarantees, criteria for guarantees and eligibility for guarantees;
- d. agree on the schedule for the disbursement of available cash from the Consolidated Fund on the basis of cash flow projections;
- e. any proposed legislation or policy which has a financial implication for the counties, or for any specific county or counties;
- f. any proposed regulations to this Act; and
- g. recommendations on the equitable distribution of revenue between the national and county governments and amongst the county governments as provided in section 190; and
- h. Any other matter which the Deputy President in consultation with other Council members may decide.

An appointed member of the Council holds office for 2 years and is eligible for re-nomination and re-appointment at the end of a term of office for another term not exceeding two years.

The National Treasury shall provide secretariat services to the Council and assign or appoint such support staff as may be necessary for the Council to effectively perform its functions.

The Council shall meet at least twice a year and the Deputy President shall decide the time and agenda for meetings of the Council in consultation with the other members of the Council.

In the absence of the Chairperson from any meeting of the Council, the Cabinet Secretary shall chair the meeting.

The Council may determine its own rules and procedures in such manner as it considers appropriate.

The Council may invite other persons to attend any of its meetings.

Vacation of office by a member

A member of the Intergovernmental Budget and Economic Council shall cease to be a member if that person ceases to hold office by virtue of which he or she became a member to the Council.

THE PROCESS OF SHARING REVENUE

The process of sharing revenue raised by the national government between the national and county governments, and among the county governments, shall be in accordance with the Constitution and this Act.

Recommendations of the Commission on Revenue Allocation

At least six months before the beginning of the financial year, or at a later date agreed between the Cabinet Secretary and the Commission on Revenue Allocation, the Commission shall submit to the Senate, the National Assembly, the County Assembly, the National Executive and the County Executives, recommendations for the following financial year regarding—

- a. an equitable division of revenue raised nationally, among the national and county levels of government; and
- b. The determination of each county's equitable share in the county share of that revenue.

When making its recommendations, the Commission takes into account the criteria listed in the Constitution.

Division of Revenue Bill and County Allocation of Revenue Bill

Each year when the Budget Policy Statement is introduced, the Cabinet Secretary submits to Parliament a Division of Revenue Bill and County Allocation of Revenue Bill prepared by the National Treasury as provided in this Act for the financial year to which that Budget relates.

The Division of Revenue Bill shall specify the share of each level of government of the revenue raised nationally for the relevant financial year.

The County Allocation of Revenue Bill shall specify—

- a. each county's share of that revenue under subsection (2); and
- b. Any other allocations to the counties, from the national government's share of that revenue, and any conditions on which those allocations shall be made.

Before the submission of the Division of Revenue Bill and County Allocation of Revenue Bill, the Cabinet Secretary notifies —

- a. the Intergovernmental Budget and Economic Council; and
- b. The Commission on Revenue Allocation.

When the Division of Revenue Bill or County Allocation of Revenue Bill is submitted, it shall be accompanied by a memorandum which explains—

- a. how the Bill takes into account the criteria listed in Article 203 (1) of the Constitution;
- b. the extent of the deviation from the Commission on Revenue Allocation's recommendations;

- c. the extent, if any, of deviation from the recommendations of the Intergovernmental Budget and Economic Council; and
- d. any assumptions and formulae used in arriving at the respective shares above

THE ROLE OF THE COMMISSION ON REVENUE ON ALLOCATION (COR)

There is an established commission of revenue allocation; the Commission consists of the following persons appointed by the President—

- a) a chairperson, who shall be nominated by the President and approved by the National Assembly;
- b) two persons nominated by the political parties represented in the National Assembly according to their proportion of members in the Assembly;
- c) five persons nominated by the political parties represented in the Senate according to their proportion of members in the Senate; and
- d) The Principal Secretary in the Ministry responsible for finance.

The persons nominated are not be members of Parliament.

To be qualified to be a member of the Commission a person shall have extensive professional experience in financial and economic matters.

The principal function of the Commission on Revenue Allocation is to make recommendations concerning the basis for the equitable sharing of revenue raised by the national government—

- a) between the national and county governments; and
- b) Among the county governments.

The Commission also makes recommendations on other matters concerning the financing of, and financial management by, county governments, as required by this Constitution and national legislation.

In formulating recommendations, the Commission seeks—

- a) To promote and give effect to the criteria mentioned the article relating to Equitable share and other financial laws.
- b) when appropriate, to define and enhance the revenue sources of the national and county governments; and
- c) to encourage fiscal responsibility.

The Commission shall determine, publish and regularly review a policy in which it sets out the criteria by which to identify the marginalised areas for purposes of Article 204 (2).

The Commission shall submit its recommendations to the Senate, the National Assembly, the national executive, county assemblies and county executives.

REVISION QUESTION

Describe six roles of the Commission on Revenue Allocation

Answer:

The principal function of the Commission on Revenue Allocation is to make recommendations concerning the basis for the equitable sharing of revenue raised by the national government;-

- (a) Between the national and county governments; and
- (b) Among the county governments.

The Commission shall also make recommendations on other matters concerning the financing of, and financial management by, county governments, as required by this Constitution and national legislation.

In formulating recommendations, the Commission shall seek;-

- when appropriate, to define and enhance the revenue sources of the national and county governments; and
- To encourage fiscal responsibility.

The Commission shall determine, publish and regularly review a policy in which it sets out the criteria by which to identify the marginalised areas.

The Commission shall submit its recommendations to the Senate, the National Assembly, the national executive, county assemblies and county executives

TOPIC 3

ESTABLISHMENT OF PUBLIC FUNDS IN THE PUBLIC SECTOR

ESTABLISHMENT OF A COUNTY REVENUE FUND FOR EACH COUNTY GOVERNMENT

There is established, for each county a County Revenue Fund in accordance with the Constitution.

The County Treasury for each county government shall ensure that all money raised or received by or on behalf of the county government is paid into the County Revenue Fund, except money that—

- a) is excluded from payment into that Fund because of a provision of this Act or another Act of Parliament, and is payable into another county public fund established for a specific purpose;
- b) may, in accordance with other legislation, this Act or County legislation, be retained by the county government entity which received it for the purposes of defraying its expenses; or
- c) is reasonably excluded by an Act of Parliament as provided in Article 207 of the Constitution.

The County Treasury shall administer the County Revenue Fund and ensure that the county government complies with the provisions of the Constitution.

The County Treasury shall—

- a) arrange for the County Revenue Fund to be kept in the Central Bank of Kenya or a bank approved by the County Executive Committee member responsible for finance and shall be kept in an account to be known as the "County Exchequer Account; and
- b) ensure that all money authorised to be paid by the county government or any of its entities for a public purpose is paid from that account without undue delay.

The County Treasury shall ensure that at no time is the County Exchequer Account overdrawn.

The County Treasury shall obtain the written approval of the Controller of Budget before withdrawing money from the County Revenue Fund under the authority of—

- (a) an Act of the county assembly that appropriates money for a public purpose;
- (b) an Act of Parliament or county legislation that imposes a charge on that Fund; or

The approval of the Controller of Budget to withdraw money from the County Revenue Fund, together with written instructions from the County Treasury requesting for the withdrawal, is sufficient authority for the approved bank where the County Exchequer Account is held to pay

amounts from this account in accordance with the approval and the instructions.

Any unutilised balances in the County Revenue Fund shall not lapse at the end of the financial year but shall be retained for the purposes for which it was established.

Financial reports shall be submitted to the Commission on Revenue Allocation with a copy to the Controller of Budget.

County Government Executive Committee may establish county government Emergency Fund.

A County Executive Committee may, with the approval of the county assembly, establish an emergency fund for the county government under the name "..... County Emergency Fund" and the fund shall consist of money from time to time appropriated by the county assembly to the Fund by an appropriation law.

The purpose of an Emergency Fund is to enable payments to be made in respect of a county when an urgent and unforeseen need for expenditure for which there is no specific legislative authority arises.

County Executive Committee member for finance to administer the Emergency Fund

The County Executive Committee member for finance shall administer the county government Emergency Fund for the county government in accordance with a framework and criteria approved by the county assembly.

The County Executive Committee member for finance shall establish and maintain a separate account into which all money appropriated to the Emergency Fund shall be paid.

Power of County Executive Committee member to make payments from Emergency Fund

The County Executive Committee member for finance may make payments from the county government's Emergency Fund only if he or she is satisfied that there is an urgent and unforeseen need for expenditure for which there is no legislative authority and shall be in accordance with operational guidelines made under regulations approved by Parliament and the law relating to disaster management.

There is an urgent and unforeseen event for expenditure if the County Executive Committee member for finance, guided by regulations and relevant laws, establishes that—

- a) payment not budgeted for cannot be delayed until a later financial year without harming the general public interest;
- b) payment is meant to alleviate the damage, loss, hardship or suffering which may be caused directly by the event; and
- c) the damage caused by the event is on a small scale and limited to the county.

The unforeseen event is one which—

- a) threatens damage to human life or welfare; or
- b) threatens damage to the environment.

Limitation on power of County Executive Committee member for finance to make payments from Emergency Fund

The County Executive Committee member for finance may not, during a financial year, make a payment from the Emergency Fund exceeding two per cent of the total county government revenue as shown in that county government's audited financial statements for the previous financial year, except for the first year.

County Executive Committee member for finance to seek approval for payments from Emergency Fund

The County Executive Committee member for finance shall seek approval of the county assembly within two months after payment is made from the Emergency Fund.

If the county assembly is not sitting during the period, or soon thereafter, the County Executive Committee member for finance shall seek the approval for the payment within fourteen days after the County Assembly next sits.

As soon as practicable after the county assembly has approved the payment, the County Executive Committee member for finance shall cause a draft of the appropriation Bill to be introduced in the county assembly for the appropriation of the money paid and for the replenishment of the county government's Emergency Fund to the extent of the amount of the payment.

County Treasury to submit a report to Auditor-General in respect to Emergency Fund

Where an Emergency Fund has been established for a county government, the County Treasury shall, not later than three months after the end of each financial year, prepare and submit to the Auditor-General, financial statements in respect of the Emergency Fund for that year.

The County Treasury shall include in the financial statements—

- a. the date and amount of each payment made from that Fund;
- b. the person to whom the payment was made;
- c. the purpose for which the payment was made;
- d. whether the person to whom the payment was made has spent the money for that purpose, and a statement made to that effect;
- e. if the person to whom the payment has been made has not yet spent the money for that purpose, a statement specifying the reasons for not having done so; and
- f. a statement indicating how the payment conforms to the set guidelines

Power to establish other county public funds

A County Executive Committee member for finance may establish other public funds with the approval of the County Executive Committee and the county assembly.

For every county public fund established, the County Executive Committee member for finance shall designate a person responsible for administering that fund.

The administrator of a county public fund shall ensure that the earnings of, or accruals to a county public fund are retained in the fund, unless the County Executive Committee member for finance directs otherwise.

The administrator of a county public fund shall ensure that money held in the fund, including any earnings or accruals is spent only for the purposes for which the fund is established.

The County Executive Committee member for finance may wind up a county public fund with the approval of the county assembly.

On the winding up of a county public fund—

- a. the administrator of the fund shall pay any amount remaining in the fund into the County Exchequer Account; and
- b. The County Executive Committee member for finance shall, with the approval of the county assembly, pay any deficit in the fund from the County Exchequer Account.

The administrator of a county public fund shall—

- a. prepare accounts for the fund for each financial year;
- b. not later than three months after the end of each financial year, submit financial statements relating to those accounts to the Auditor-General; and
- c. Present the financial statements to the county assembly.

The administrator of a county public fund shall ensure that the accounts for the fund and the annual financial statements relating to those accounts comply with the accounting standards prescribed and published by the Accounting Standards Board from time to time.

Regulations may provide for the establishment, management, operation or winding-up of county public funds under this section.

The funds and usage of money through the funds shall be published and publicised.

CONSOLIDATED FUND

There is established Consolidated Fund into which all monies raised or received by or on behalf of the national government, except money that—

- a) is reasonably excluded from the Fund by an Act of Parliament and payable into another public fund established for a specific purpose; or
- b) May, under an Act of Parliament, be retained by the State organ that received it for the purpose of defraying the expenses of the State organ.

Money may be withdrawn from the Consolidated Fund only—

- a) in accordance with an appropriation by an Act of Parliament;
- b) in accordance with the constitution
- c) As a charge against the Fund as authorised by this Constitution or an Act of Parliament.

Money is not withdrawn from any national public fund other than the Consolidated Fund, unless the withdrawal of the money has been authorised by an Act of Parliament.

Money is not withdrawn from the Consolidated Fund unless the Controller of Budget approves the withdrawal.

Revenue Funds for county governments

There is also established Revenue Fund for each county government, into which payment of all money raised or received by or on behalf of the county government, except money reasonably excluded by an Act of Parliament is kept

Money may be withdrawn from the Revenue Fund of a county government only—

- a) as a charge against the Revenue Fund that is provided for by an Act of Parliament or by legislation of the county; or
- b) As authorised by an appropriation by legislation of the county.

Money cannot be withdrawn from a Revenue Fund unless the Controller of Budget has approved the withdrawal

An Act of Parliament may—

- a) make further provision for the withdrawal of funds from a county Revenue Fund; and
- b) Provide for the establishment of other funds by counties and the management of those funds.

Administration of the Consolidated Fund

The National Treasury administers the Consolidated Fund in accordance with the Constitution.

The National Treasury also maintains the Consolidated Fund in an account known as the National Exchequer Account, kept at the Central Bank of Kenya and shall, subject to Constitution—

- a. facilitate payment into that account all money raised or received by or on behalf of the national government; and
- b. Pay from that National Exchequer Account without undue delay all amounts that are payable for public services.

The National Treasury ensures that the National Exchequer Account is not overdrawn at any time.

Where a withdrawal from the Consolidated Fund is authorised under the Constitution or an Act of Parliament for the appropriation of money, the National Treasury makes a requisition

for the withdrawal and submits it to the Controller of Budget for approval.

The approval of a withdrawal from the Consolidated Fund by the Controller of Budget, together with written instructions from the National Treasury requesting for the withdrawal, is sufficient authority for the Central Bank of Kenya to pay amounts from the National Exchequer Account in accordance with the approval and instructions provided.

The National Treasury at the beginning of every quarter, and in any event not later than the fifteenth day from the commencement of the quarter, disburses monies to county governments.

The disbursement referred to here is done in accordance with a schedule prepared by the National Treasury in consultation with the Intergovernmental Budget and Economic Council, with the approval of the Senate, and published in the Gazette, as approved, not later than the 30th May in every year.

CONTINGENCIES FUND

There is established a Contingencies Fund, the operation of which is in accordance with an Act of Parliament.

An Act of Parliament provides for advances from the Contingencies Fund if the Cabinet Secretary responsible for finance is satisfied that there is an urgent and unforeseen need for expenditure for which there is no other authority

Source of the Contingencies Fund

The Contingencies Fund consists of monies appropriated from the Consolidated Fund by an appropriation Act in any financial year.

Cabinet Secretary to administer the Contingencies Fund

The Cabinet Secretary administers the Contingencies Fund.

The permanent capital of the Contingencies Fund is not to exceed ten billion shillings or such other amount as may be prescribed by the Cabinet Secretary with the approval of Parliament.

The Cabinet Secretary keeps the Contingencies Fund in a separate account, maintained at the Central Bank of Kenya and shall pay—

- a. into that account all monies appropriated to the Contingencies Fund by an appropriation Act; and
- b. From the Contingencies Fund, without undue delay, all advances made under section 21.

Advances from the Contingencies Fund

The Cabinet Secretary may make advances from the Contingencies Fund if, on the basis of the set criteria and the process and operational guidelines as prescribed in regulations approved by Parliament and the laws relating to disaster management, the Cabinet Secretary is satisfied

that an urgent and unforeseen need for expenditure has arisen for which there is no specific legislative authority.

For the purposes of the above section, there is an urgent need for expenditure if the Cabinet Secretary, guided by regulations and relevant laws, establishes that—

- a. the payment which was not budgeted for because it was unforeseen and cannot be delayed until a later financial year without harming the general public interest; and
- b. The event was unforeseen.

In addition to regulations and relevant laws, and for the purposes of this section, an unforeseen event is one which—

- a. threatens serious damage to human life or welfare;
- b. threatens serious damage to the environment; and
- c. Is meant to alleviate the damage, loss, hardship or suffering caused directly by the event.

An event threatens damage to human life or welfare under subsection (3)(a) only if it involves, causes or may cause —

- a. loss of life, human illness or injury;
- b. homelessness or damage to property;
- c. disruption of food, water or shelter; or
- d. Disruption to services, including health services.

The Cabinet Secretary, by regulations and with Parliament approval, prescribes the criteria for making advance under the above power

Cabinet Secretary seeks Parliamentary approval for payments made from Contingencies Fund.

Not later than two months after a payment from the Contingencies Fund, the Cabinet Secretary submit to Parliament a detailed report in respect of the payment setting out the information specified and seek Parliament to approve the payment.

If Parliament does not sit during that period of 2 months or is not sitting at the end of that period and the Cabinet Secretary has not sought the approval of Parliament before the end of that period, the Cabinet Secretary should seek the approval for the payment not later than fourteen days after Parliament next sits.

As soon as practicable after the Parliament has approved the payment, the Cabinet Secretary causes an appropriation Bill to be introduced in Parliament for the appropriation of the money paid and for the replenishment of the Contingencies Fund to the extent of the amount of the payment.

Financial statements in respect of the Contingencies Fund

Not later than 3 months after the end of each financial year, the National Treasury should prepare and submit to the Auditor-General financial statements for that year in respect of the Contingencies Fund.

The National Treasury should include the following information in the financial statements:-

- a. the date and amount of each payment made from that Contingencies Fund;
- b. the person to whom the payment was made;
- c. the purpose for which the payment was made;
- d. if the person to whom the payment was made has spent the money for that purpose, a statement to that effect;
- e. if the person to whom the payment was made has not yet spent the money for that purpose, a statement specifying the reasons for not having done so; and
- f. a statement indicating how the payment conforms to section 21.

Establishment of Parliamentary Fund and other national government public funds

There is established a fund to be known as the Parliamentary Fund.

The Secretary to the Parliamentary Service Commission shall, on the directions of the Commission, open and operate such bank accounts as may be necessary for the purposes of the Parliamentary Fund.

Notwithstanding any other provisions of this Act, where a Fund is established under any other law for the purposes of Parliament or a House of Parliament, the Parliamentary Service Commission shall—

- a. establish procedures and systems for proper and effective management of the monies and property of the Fund;
- b. establish accounting procedures and systems for the Commission to properly account for the monies and property;
- c. superintend the expenditure of the monies of the Fund to ensure that the monies are properly accounted for;
- d. prepare and submit accounts for each financial year in accordance with the written law for the time being relating to audit for audit by the Auditor-General; and
- e. Ensure that accounts prepared under paragraph (d) comply with the provisions of this Act.

The Cabinet Secretary may establish a national government public fund with the approval of the National Assembly.

The Cabinet Secretary shall designate a person to administer every national public fund

The administrator of a national public fund shall ensure that the earnings of, or accruals to a national public fund are retained in the fund unless the Cabinet Secretary directs otherwise.

The administrator of a national public fund shall ensure that money held in the fund, including any earnings or accruals referred to above, is spent only for the purposes for which the fund is established.

The Cabinet Secretary may wind up a national public fund with the approval of the National Assembly.

On the winding up of a national public fund—

- a. the administrator of the national public fund shall pay any amount remaining in the fund into the National Exchequer Account for the credit of the national government; or
- b. the Cabinet Secretary shall pay any deficit in the fund from funds of the national government in the National Exchequer Account with the approval of the National Assembly; and
- c. The Cabinet Secretary shall submit a final statement of accounts to Parliament.

The administrator of a national public fund—

- a. prepares financial statements for the fund for each financial year in a form specified by the Accounting Standards Board; and
- b. Not later than three months after the end of each financial year, submit those statements to the Auditor-General and deliver a copy of the statements to the National Treasury, Commission on Revenue Allocation and the Controller of Budget.

The regulations provides for the establishment, management, operation or winding-up of national public funds.

This section applies to all other national public funds including funds earmarked for specific purposes established by an Act of Parliament but does not apply to a public fund established by the Constitution.

In this section—

"administrator", in relation to a national public fund, means a person designated by the Cabinet Secretary to administer the fund; and

"national public fund" means a public fund

EQUALISATION FUND

There is established an Equalisation Fund into which shall be paid one half per cent of all the revenue collected by the national government each year calculated on the basis of the most recent audited accounts of revenue received, as approved by the National Assembly.

The national government shall use the Equalisation Fund only to provide basic services including water, roads, health facilities and electricity to marginalised areas to the extent necessary to bring the quality of those services in those areas to the level generally enjoyed by the rest of the nation, so far as possible.

The national government may use the Equalisation Fund—

- a. only to the extent that the expenditure of those funds has been approved in an Appropriation Bill enacted by Parliament; and
- b. Either directly, or indirectly through conditional grants to counties in which marginalised communities exist.

The Commission on Revenue Allocation is consulted and its recommendations considered before Parliament passes any Bill appropriating money out of the Equalisation Fund.

Any unexpended money in the Equalisation Fund at the end of a particular financial year shall remain in that Fund for use during any subsequent financial year.

Money shall not be withdrawn from the Equalisation Fund unless the Controller of Budget has approved the withdrawal.

REVISION QUESTIONS

Distinguish between "consolidated fund" and "contingencies fund".

Answer:

The Consolidated Fund is money set aside by the government in an account known as the National Exchequer Account, Into this account all money raised or received by or on behalf of National government is deposited; and all amounts that are payable for public services are withdrawn.

A contingencies fund or contingency fund is a fund for emergencies or unexpected outflows, mainly economic crises.

TOPIC 4

SUPPLY CHAIN MANAGEMENT IN PUBLIC ENTITIES

Procurement of public goods and services

When a State organ or any other public entity contracts for goods or services, it shall do so in accordance with a system that is fair, equitable, transparent, competitive and cost-effective.

The public procurement and disposal act prescribe a framework within which policies relating to procurement and asset disposal are to be implemented and provides the following—

- a) categories of preference in the allocation of contracts;
- b) the protection or advancement of persons, categories of persons or groups previously disadvantaged by unfair competition or discrimination;
- c) sanctions against contractors that have not performed according to professionally regulated procedures, contractual agreements or legislation; and

Sanctions against persons who have defaulted on their tax obligations, or have been guilty of corrupt practices or serious violations of fair employment laws and practices

Definitions and terminologies

—accounting officer¹ means—

(a) for a public entity other than a local authority, the person appointed by the Permanent Secretary to the Treasury as the accounting officer or, if there is no such person, the chief executive of the public entity; or

(b) for a local authority, the town or county clerk of the local authority;

—Advisory Board¹ means the Public Procurement Oversight Advisory Board established under section 21;

—Authority¹ means the Public Procurement Oversight Authority established under section 8; —candidate¹ means a person who has submitted a tender to a procuring entity;

—citizen contractor¹ means a natural person or an incorporated company wholly owned and controlled by persons who are citizens of Kenya;

—contractor¹ means a person who enters into a procurement contract with a procuring entity;

—corruption¹ has the meaning assigned to it in the Anti Corruption and Economic Crimes Act, 2003 and includes the offering, giving, receiving or soliciting of anything of value to influence the action of a public official in the procurement or disposal process or in contract execution.

—Director-General¹ means the Director-General of the Authority provided for under section 10;

—disposal¹ means the divestiture of public assets, including intellectual and proprietary rights and goodwill and other rights of a procuring entity by any means including sale, rental, lease, franchise, auction or any combination however classified, other than those regulated by any other written law;

—fraudulent practice¹ includes a misrepresentation of fact in order to influence a procurement or

disposal process or the exercise of a contract to the detriment of the procuring entity, and includes collusive practices amongst bidders prior to or after bid submission designed to establish bid prices at artificial non competitive levels and to deprive the procuring entity of the benefits of free and open competition;

—goods¹ includes raw materials, things in liquid or gas form, electricity and services that are incidental to the supply of the goods;

—local contractor¹ means a contractor who is registered in Kenya under the Companies Act and whose operation is based in Kenya;

—Minister¹ means the Minister responsible for matters relating to finance;

—prescribed¹ means prescribed by regulation under this Act;

—procurement¹ means the acquisition by purchase, rental, lease, hire purchase, license, tenancy, franchise, or by any other contractual means of any type of works, assets, services or goods including livestock or any combination;

—procuring entity¹ means a public entity making a procurement to which this Act applies;

—public entity¹ means—

- a) the Government or any department of the Government;
- b) the courts;
- c) the commissions established under the Constitution;
- d) a local authority under the Local Government Act;
- e) a state corporation within the meaning of the State Corporations Act;
- f) the Central Bank of Kenya established under the Central Bank of Kenya Act;
- g) a co-operative society established under the Co-operative Societies Act;
- h) a public school within the meaning of the Education Act;
- i) a public university within the meaning of the Universities Act;
- j) a college or other educational institution maintained or assisted out of public funds; or
- k) an entity prescribed as a public entity for the purpose of this paragraph;

—public funds¹ has the meaning assigned to it in the Exchequer and

Audit Act and includes monetary resources appropriated to procuring entities through the budgetary process, as well as extra budgetary funds, including aid grants and credits, put at the disposal of procuring entities by foreign donors, and revenues of procuring entities;

—Review Board¹ means the Public Procurement Administrative Review Board established under section 25;

—services¹ means any objects of procurement or disposal other than works and goods and includes professional, non professional and commercial types of services as well as goods and works which are incidental to but not exceeding the value of those services;

—the regulations¹ means regulations made under this Act;

—urgent need¹ means the need for goods, works or services in circumstances where there is an imminent or actual threat to public health, welfare, safety, or of damage to property, such that engaging in tendering proceedings or other procurement methods would not be practicable;

—Works¹ means the construction, repair, renovation or demolition of buildings, roads or other structures and includes—

- a) the installation of equipment and materials;
- b) site preparation; and
- c) Other incidental services.

GENERAL OVERVIEW OF PUBLIC PROCUREMENT AND DISPOSAL (PPD) ACT

The purpose of this Act is to establish procedures for procurement and the disposal of unserviceable, obsolete or surplus stores and equipment by public entities to achieve the following objectives—

- a) To maximise economy and efficiency;
- b) To promote competition and ensure that competitors are treated fairly;
- c) To promote the integrity and fairness of those procedures;
- d) To increase transparency and accountability in those procedures; and
- e) To increase public confidence in those procedures;
- f) To facilitate the promotion of local industry and economic development.

Application of Act

This Act applies with respect to—

- a) procurement by a public entity;
- b) contract management;
- c) supply chain management, including inventory and distribution; and
- d) Disposal by a public entity of stores and equipment that is unserviceable, obsolete or surplus.

For greater certainty, the following are not procurements with respect to which this Act applies—

- a) the retaining of the services of an individual for a limited term if, in providing those services, the individual works primarily as though he were an employee;
- b) the acquiring of stores or equipment if the stores or equipment are being disposed of by a public entity in accordance with the procedures set.
- c) The acquiring of services provided by the Government or a department of the Government.

For greater certainty, the following are procurements with respect to which this Act applies—

- a. the renting of premises, except as described under above;
- b. the appointing, other than under the authority of an Act, of an individual to a committee, task force or other body if the individual will be paid an amount other than for expenses;
- c. The acquiring of real property.

Conflicts with other Acts

If there is a conflict between this Act or the regulations made under this Act and any other Act or regulations, in matters relating to procurement and disposal, this Act or the regulations made under this Act shall prevail.

For greater certainty, a provision of an Act that provides for a person or body to approve any work or expenditure shall not be construed as giving that person or body any power with respect to procurement proceedings.

Conflict with international agreements

Where any provision of this Act conflicts with any obligations of the Republic of Kenya arising from a treaty or other agreement to which Kenya is a party, this Act shall prevail except in instances of negotiated grants or loans.

Where a treaty or agreement referred to above contains provisions favourable to citizens and local contractors, full advantage shall be taken of these in the interest of promoting domestic capacity development.

Where the Republic of Kenya is required under the terms of any treaty or agreement to which she is a party, to contribute from her resources, in any form, to any procurement activities within Kenya, either in part or wholly, jointly or separately, procurement through such contributions shall be—

- a. in discrete activities where possible; and
- b. subject to the applicable provisions of this Act.

The disposal of any or all of the goods or public assets accruing to Kenya as a result of procurement activities subject to the provisions of this Act.

Where procurement to which conflict with any obligations of the Republic of Kenya arising from a treaty or other agreement to which Kenya is a party favours an external beneficiary—

- a) the procurement through contributions made by Kenya, shall be undertaken in Kenya through contractors registered in Kenya; and
- b) all relevant insurances shall be placed with companies registered in Kenya and goods shall be transported in carriages registered in Kenya.

a. Conflict with conditions on donated funds.

If there is a conflict between this Act, the regulations or any directions of the Authority and a condition imposed by the donor of funds, the condition shall prevail with respect to a procurement that uses those funds and no others.

This does not apply if the donor of funds is a public entity.

The Public Procurement Oversight Authority is hereby established as a body corporate.

The Authority shall have all the powers necessary or expedient for the performance of its functions.

Without limiting the generality of the above power the Authority shall have perpetual succession and a common seal and shall be capable of—

- a. suing and being sued in its corporate name; and
- b. Holding and alienating moveable and immovable property.

Functions of Authority

1. to ensure that the procurement procedures established under this Act are complied with;
2. to monitor the public procurement system and report on the overall functioning of it and present to the Minister such other reports and recommendations for improvements as the Director-General considers advisable;
3. to assist in the implementation and operation of the public procurement system and in doing so—
 - i. to prepare and distribute manuals and standard documents to be used in connection with procurement by public entities;
 - ii. to provide advice and assistance to procuring entities;
 - iii. to develop, promote and support the training and professional development of persons involved in procurement; and
 - iv. to issue written directions to public entities with respect to procurement including the conduct of procurement proceedings and the dissemination of information on procurements; and
 - v. To ensure that procuring entities engage procurement professionals in their procurement units.
4. To initiate public procurement policy and propose amendments to this Act or to the regulations; and
5. To perform such other functions and duties as are provided for under this Act.

PROCUREMENT GUIDELINES AS ENVISAGED BY PPD ACT**GENERAL PROCUREMENT RULES****Choice of procurement procedure**

For each procurement being done, the procuring entity should use open tendering under or an alternative procurement procedure and the, procuring entity can use an alternative procurement procedure only if that procedure is allowed.

A procuring entity can also use restricted tendering or direct procurement as an alternative procurement procedure only if, before using that procedure, the procuring entity—

- (a) Obtains the written approval of its tender committee; and
 - (b) Records in writing the reasons for using the alternative procurement procedure.
- A procuring entity can use such standard tender documents as may be prescribed

Procurement not to be split or inflated

No procuring entity may structure procurement as two or more procurements for the purpose of avoiding the use of a procurement procedure.

Any person who contravenes the provisions of this section shall be guilty of an offence.

Standard goods, services and works with known market prices shall be procured at the prevailing real market price.

Public officials involved in transactions in which standard goods, services and works are procured at unreasonably inflated prices shall, in addition to any other sanctions prescribed in this Act or the regulations, be required to pay the procuring entity for the loss resulting from their actions.

Qualifications to be awarded contract

A person is qualified to be awarded a contract for a procurement only if the person satisfies the following criteria—

- a) the person has the necessary qualifications, capability, experience, resources, equipment and facilities to provide what is being procured;
- b) the person has the legal capacity to enter into a contract for the procurement;
- c) the person is not insolvent, in receivership, bankrupt or in the process of being wound up and is not the subject of legal proceedings relating to the foregoing;
- d) the procuring entity is not precluded from entering into the contract with the person under section on Limitation on contracts with employees,
- e) the person is not debarred from participating in procurement proceedings under Limitation on contracts with employees,

The procuring entity may require a person to provide evidence or information to establish that the criteria above are satisfied.

The criteria above) and any requirements shall be set out in the tender documents or the request for proposals or quotations or, if a procedure is used to pre-qualify persons, in the documents used in that procedure.

The procuring entity shall determine whether a person is qualified and that determination shall be done using the criteria and requirements set out in the documents or requests described above

The procuring entity may disqualify a person for submitting false, inaccurate or incomplete information about his qualifications.

No person shall be excluded from submitting a tender, proposal or quotation in procurement proceedings except under this section and under section on Participation in procurement

Procuring entities shall use creative approaches, such as design and build in order to enhance efficiency of the procurement process and project implementation.

Pre-qualification procedures

To identify qualified persons a procuring entity may use a pre-qualification procedure or may use the results of a pre-qualification procedure used by another public entity

Limitation on contracts with employees, etc

Except as expressly allowed under the regulations, a procuring entity shall not enter into a contract for procurement with—

- a) an employee of the procuring entity or a member of a board or committee of the procuring entity;
- b) a Minister, public servant or a member of a board or committee of the Government or any department of the Government or a person appointed to any position by the President or a Minister; or
- c) a person, including a corporation, who is related to a person described above

Whether a person is related to another person for the purpose of above rule shall be determined in accordance with the regulations.

Specific requirements

The procuring entity shall prepare specific requirements relating to the goods, works or services being procured that are clear, that give a correct and complete description of what is to be procured and that allow for fair and open competition among those who may wish to participate in the procurement proceedings.

The specific requirements shall include all the procuring entity's technical requirements with respect to the goods, works or services being procured.

The technical requirements shall, where appropriate—

- a) relate to performance rather than to design or descriptive characteristics; and
- b) Be based on national or international standards.

The technical requirements shall not refer to a particular trademark, name, patent, design, type, producer or service provider or to a specific origin unless—

- a) there is no other sufficiently precise or intelligible way of describing the requirements; and
- b) The requirements allow equivalents to what is referred to.

Verification that not debarred

A tender, proposal or quotation submitted by a person shall include a statement verifying that the person is not debarred from participating in procurement proceedings under Part IX and a declaration that the person will not engage in any corrupt practice.

Termination of procurement proceedings

The procuring entity shall give prompt notice of a termination to each person who submitted a tender, proposal or quotation or, if direct procurement was being used, to each person with whom the procuring entity was negotiating.

On the request of a person described above the procuring entity shall give its reasons for terminating the procurement proceedings within fourteen days of the request.

If the procurement proceedings involved tenders and the proceedings are terminated before the tenders are opened, the procuring entity shall return the tenders unopened.

The procuring entity shall not be liable to any person for a termination under this section. A termination under this section shall not be reviewed by the Review Board or a court.

A public entity that terminates procurement proceedings shall give the Authority a written report on the termination.

A report under subsection (7) shall include the reasons for the termination and shall be made in accordance with any directions of the Authority with respect to the contents of the report and when it is due.

Form of communications

If the procurement procedure used is open or restricted tendering or a request for proposals, communications between the procuring entity and a person seeking a contract for the procurement shall be in writing.

If the procurement procedure used is direct procurement or a request for quotations, communications between the procuring entity and a person seeking a contract for the procurement shall either be—

- a. in writing; or
- b. Referred to and confirmed in writing.

To the extent allowed under written directions of the Authority, electronic communications may be used instead of written communications.

Inappropriate influence on evaluations, etc

After the deadline for the submission of tenders, proposals or quotations—

- a. no person who submitted a tender, proposal or quotation shall make any unsolicited communications to the procuring entity or any person involved in the procurement proceedings that might reasonably be construed as an attempt to influence the evaluation and comparison of tenders, proposals or quotations; and
- b. No person who is not officially involved in the evaluation and comparison of tenders, proposals or quotations shall attempt, in any way, to influence that evaluation and

comparison.

A person who contravenes the above rule is guilty of an offence and is liable on conviction—

- a. if the person is an individual, to a fine not exceeding four million shillings or to imprisonment for a term not exceeding three years or to both; or
- b. if the person is a corporation, to a fine not exceeding ten million shillings.

Participation in procurement

Candidates shall participate in procurement proceedings without discrimination except where participation is limited in accordance with this Act and the regulations.

The Minister shall, in consideration of economic and social development factors, prescribe preferences and or reservations in public procurement and disposal.

The preferences and reservations referred to in the above shall—

- a. be non-discriminatory in respect of the targeted groups;
- b. allow competition amongst the eligible;
- c. Be monitored and evaluated by the Authority.

The preferences and reservations shall apply to—

- a. candidates such as disadvantaged groups, micro, small and medium enterprises;
- b. works, services and goods, or any combination thereof;
- c. identified regions; and
- d. such other categories as may be prescribed.

A procuring entity shall, when processing procurement, comply with the provisions of this Act and the regulations in respect of preferences and reservations.

To qualify for a specific preference or reservation, a candidate shall provide evidence of eligibility.

The Authority shall maintain an up-to-date register of contractors in works, goods and services, or any combination thereof, in order to be cognizant at all times of the workload and performance record.

In applying the preferences and reservations under this section—

(a) Exclusive preference shall be given to citizens of Kenya where—

- i. the funding is 100% from the Government of Kenya or a Kenyan body; and
- ii. the amounts are below the prescribed threshold.

(b) A prescribed margin of preference shall be given—

- i. in the evaluation of bids to candidates offering goods manufactured, mined, extracted and grown in Kenya; or
- ii. works, goods and services where a preference shall be applied depending on the percentage of shareholding of the locals on a graduating scale as prescribed.

Corrupt practice

No person, agent or employee shall be involved in any corrupt practice in any procurement proceeding.

If a person or an employee or agent of a person contravenes the above rule the following shall apply—

- a. the person shall be disqualified from entering into a contract for the procurement; or
- b. if a contract has already been entered into with the person, the contract shall be voidable at the option of the procuring entity.

The voiding of a contract by the procuring entity does not limit any other legal remedy the procuring entity may have.

A person, employee or agent who contravenes the above rules shall be guilty of an offence

Fraudulent practice

No person shall be involved in a fraudulent practice in any procurement proceeding.

If a person contravenes the above rule the following shall apply—

- a. the person shall be disqualified from entering into a contract for the procurement; or
- b. if a contract has already been entered into with the person, the contract shall be voidable at the option of the procuring entity.

The voiding of a contract by the procuring entity does not limit any other legal remedy the procuring entity may have.

Collusion

No person shall collude or attempt to collude with any other person

- (a) to make any proposed price higher than would otherwise have been the case;
- (b) to have that other person refrain from submitting a tender, proposal or quotation or withdraw or change a tender, proposal or quotation; or
- (c) to submit a tender, proposal or quotation with a specified price or with any specified inclusions or exclusions.

If a person contravenes the above rule the following shall apply —

- (a) both persons shall be disqualified from entering into a contract for the procurement; or
- (b) if a contract has already been entered into with either persons referred above, the contract shall be voidable at the option of the procuring entity.

The voiding of a contract by the procuring entity, does not limit any other legal remedy the procuring entity may have.

A person who contravenes subsection (1) shall be guilty of an offence.

Conflicts of interest

- a) An employee or agent of the procuring entity or a member of a board or committee of the procuring entity who has a conflict of interest with respect to a procurement —

(a) shall not take part in the procurement proceedings; and

(b) shall not, after a procurement contract has been entered into, take part in any decision relating to the procurement or contract.

An employee, agent or member described above who refrains from doing anything prohibited under that subsection that, but for that subsection, would have been within his duties shall disclose the conflict of interest to the procuring entity.

If a person contravenes the above rule with respect to a conflict of interest and the contract is awarded to the person or his relative or to another person in whom one of them had a direct or indirect pecuniary interest, the contract shall be voidable at the option of the procuring entity.

The voiding of a contract by the procuring entity under subsection (3) does not limit any other legal remedy the procuring entity may have.

For the purpose of this section, a person has a conflict of interest with respect to a procurement if the person or a relative of the person —

(a) seeks, or has a direct or indirect pecuniary interest in another person who seeks, a contract for the procurement; or

(b) owns or has a right in any property or has a direct or indirect pecuniary interest that results in the private interest of the person conflicting with his duties with respect to the procurement.

Confidentiality

During or after procurement proceedings, no procuring entity and no employee or agent of the procuring entity or member of a board or committee of the procuring entity shall disclose the following—

- a. information relating to a procurement whose disclosure would impede law enforcement or whose disclosure would not be in the public interest;
- b. information relating to a procurement whose disclosure would prejudice legitimate commercial interests or inhibit fair competition;
- c. information relating to the evaluation, comparison or clarification of tenders, proposals or quotations; or
- d. the contents of tenders, proposals or quotations.

This section does not prevent the disclosure of information if any of the following apply—

- a. the disclosure is to an employee or agent of the procuring entity or a member of a board or committee of the procuring entity involved in the procurement proceedings;
- b. the disclosure is for the purpose of law enforcement;

- c. the disclosure is for the purpose of a review under Part VII or an investigation under Part VIII or as required under section 105;
- d. the disclosure is pursuant to a court order; or
- e. the disclosure is allowed under the regulations.

Notwithstanding the provisions of subsection (2), the disclosure to an applicant seeking a review under Part VII shall constitute only the summary referred to in section 45 (2) (e).

Any person who contravenes the provisions of this section shall be guilty of an offence.

Procurement records

A procuring entity shall keep records for each procurement for at least six years after the resulting contract was entered into or, if no contract resulted, after the procurement proceedings were terminated.

The records for procurement must include—

- a. a brief description of the goods, works or services being procured;
- b. if a procedure other than open tendering was used, the reasons for doing so;
- c. if, as part of the procurement procedure, anything was advertised in a newspaper or other publication, a copy of that advertisement as it appeared in that newspaper or publication;
- d. for each tender, proposal or quotation that was submitted—
 - i. the name and address of the person making the submission; and
 - ii. the price, or basis of determining the price, and a summary of the other principal terms and conditions of the tender, proposal or quotation;
- e) ea summary of the evaluation and comparison of the tenders, proposals or quotations, including the evaluation criteria used;
- f) (if the procurement proceedings were terminated without resulting in a contract, an explanation of why they were terminated;
- g) a copy of every document that this Act requires the procuring entity to prepare; and
- h) such other information or documents as are prescribed.

After a contract has been awarded or the procurement proceedings have been terminated, the procuring entity shall, on request, make the records for the procurement available to a person who submitted a tender, proposal or quotation or, if direct procurement was used, a person with whom the procuring entity was negotiating.

The procuring entity may charge a fee for making the records available but the fee shall not exceed the costs of making the records available.

A procuring entity shall maintain a proper filing system with clear links between procurement and expenditure files.

COMMITTEES RESPONSIBLE FOR PROCUREMENT

Establishment of Committees

For the purpose of ensuring that procurement and asset disposal decisions are made in a systematic, corporate and structured manner, a county procuring entity shall establish the following standing committees from within its members of staff—

- i. tender committees specified in the Schedule to these Regulations;
- ii. disposal committee; and
- iii. vi. Such other bodies as prescribed under the Act.

For greater certainty, a county procuring entity shall establish

- tender opening committee;
- tender evaluation committee;
- negotiation committee; and
- inspection and acceptance committee.

Where a county public entity lacks capacity to comply with paragraph (2), the accounting officer shall seek advice from the Authority.

Composition of tender committees

The membership of the tender committees shall be as set out in the Schedule.

The accounting officer shall inform the Authority on the composition of the county public entity's tender committee and respective alternates within fourteen days from the date of appointment in a format as prescribed under these Regulations.

The accounting officer or head of the procuring entity shall appoint an alternate member for each member of the county and designated tender committee and only the alternate shall attend any meeting of the county and designated tender committee whenever the member is unable to attend.

Compliance

A county procuring entity shall ensure that it complies with the provisions of the Act, all the Public Procurement and Disposal Regulations, 2006, these Regulations, the directions of the Authority and the Administrative Review Board in respect of its procurement and disposal activities.

County preference and reservations

County governments shall apply preference and reservations to small and micro enterprises and other disadvantaged groups that are located and operate within the counties as specified in the Public Procurement (Preference and Reservations) Regulations, 2011

Transfer of procurement and contractual records and responsibilities

All existing procurement and contractual records and responsibilities by—

- (a) local authorities under the repealed Local Government Act; or
- (b) district commissioners under the Districts and Provinces Act, shall be transferred to the respective county service delivery coordinating unit.

Termination of procurement and disposal proceedings

Any procurement and disposal proceedings commenced but not finalized by any local authority, district, any health unit other than a referral hospital, the roads development fund, or any constituency development fund committee, before the coming into operation of these Regulations are terminated.

Deployment of supply chain management staff

For the purposes of this regulation, a procurement and disposal proceeding is finalized when a contract has been entered into between the parties in accordance with section 67 and 68 of the Act.

Any procurement officer or supply chain management staff currently employed by the Public Service Commission and who is currently deployed in a local authority, district, a health unit other than a referral hospital, the roads development fund, or any constituency development fund committee shall report to the Interim County Head of Supply Chain Management for deployment upon commencement of these Regulations.

TENDER COMMITTEES AND THEIR COMPOSITION**1. County Government Tender Committee**

Chairperson-An officer appointed in writing by the Secretary of the county.

Deputy Chairperson-County Chief Officer (head of department) appointed in writing by the chief secretary of the county;

Member- Five county chief officers (heads of departments) appointed in writing by the chief secretary of the county; and

Secretary-The procurement professional heading the procurement unit of the county Government

2. County Government Entities Tender Committee

Chairperson-An officer appointed in writing by the accounting officer of the county government entity;

Deputy Chairperson-County government entity chief officer (head of department) appointed in writing by the accounting officer;

Member- Five county government entity chief officers (heads of departments) appointed in writing by the accounting officer; and

Secretary-The procurement professional heading the procurement unit of the county government entity

3. County Assembly Tender Committee

Chairperson-An officer appointed in writing by the county assembly clerk;

Deputy Chairperson-Head of department of the county assembly appointed in writing by the county assembly clerk;

Member- Five heads of departments appointed in writing by the county assembly clerk;

Secretary-The procurement professional heading the procurement unit of the county assembly

4. City Tender Committee

Chairperson-An officer appointed in writing by the city manager;

Deputy Chairperson-Head of department of the city appointed in writing by the city manager;

Member- Five heads of departments appointed in writing by the city manager; and

Secretary-The procurement professional heading the procurement unit of the city

5. Urban Area Tender Committee

Chairperson-An officer appointed in writing by the municipal or town manager;

Deputy Chairperson-Head of department of the urban area appointed in writing by the municipal or town manager;

Member- Five heads of departments appointed in writing by the municipal or town manager;

Secretary-The procurement professional heading the procurement unit of the urban area

6. County Service Delivery Co-ordinating Unit Tender Committee

Chairperson-An officer appointed in writing by the county commissioner;

Deputy Chairperson-Head of department of the service delivery co-ordinating unit of the county appointed in writing by the county commissioner;

Member- Five heads of departments appointed in writing by the county commissioner; and

Secretary-The procurement professional heading the procurement unit of the service delivery co-ordinating unit of the county;

CONCEPT OF E-PROCUREMENT

E-Procurement is an automated business process which includes procurement planning, management of suppliers, requisitions, quotations, contracts and receipts will be shifted to a more effective and cost efficient online transaction.

Categories for E-procurement:

According to Baily (2008), the following are the types of E-procurement

1. Web-based ERP (Enterprise Resource Planning).

This deals with creating and approving purchasing requisitions, placing purchase orders and receiving goods and services by using a software system based on Internet technology.

2. E-MRO (Maintenance, Repair and Operations)

This deals with creating and approving purchasing requisitions, placing purchase orders and receiving non-product related MRO supplies

3. The third type is E-sourcing.

This involves Identifying new suppliers for a specific category of purchasing requirements using Internet technology.

4. E-tendering

This involves sending requests for information and prices to suppliers and receiving the responses of suppliers using Internet technology

5. E-reverse auctioning

This is another type of e-procurement. This uses Internet technology to buy goods and services from a number of known or unknown suppliers.

6. E-informing

This involves gathering and distributing purchasing information both from and to internal and external parties using Internet technology

7. E-market sites.

Here, buying communities can access preferred suppliers' products and services, add to shopping carts, create requisition, seek approval, receipt purchase orders and process electronic invoices with integration to suppliers' supply chains and buyers' financial systems.

Benefits of E-Procurement

An organisation which uses E-procurement has the following advantages:

1. Price reduction in tendering:

In this method, there is no paperwork, postage fee and other costs associated with preparation and sending tender documents. It is also faster to send a document electronically as compared to the traditional method of sending tender documents through post office. It results to improved order tracking and tracing, for it is much easier to trace the orders and make necessary corrections in case an error is observed in the previous order.

2. There is reduction in time to source materials:

A lot of time is spend on paper invoicing in terms of writing, filing and postal communication but while in e-procurement, staff have sufficient time to engage on strategic issues of procurement The time wasted in moving from one town or country to another to look for a potential supplier or buyer is greatly reduced since with a click of a button, you can readily get the information in the internet. By extension, E-procurement leads to reduction in maverick buying. Maverick buying is when staff buys from suppliers than those with whom a purchasing agreement has been negotiated.

3. Lower Administration costs

Reduction in paperwork and this leads to lower administration costs.

4. Reduction in procurement staff

Since most of the procurement process is done electronically, the number of staff needed to facilitate the process reduces. Reduction in staff is an important way of producing competitive advantage through reduced costs.

5. e-procurement gives an organization competitive advantage over its competitors.

As a centralized department can oversee all procurement activities and different offices worldwide can access the same documentation when required, this gives a distinct advantage over the much slower process of having to post documentation between offices. This extends the supply chain beyond geographical boundaries to a much wider group. Suppliers can be monitored on timely delivery, quality delivery of products and services hence performing suppliers can be contacted in future. This implies that with e-procurement, every prospective supplier and buyer is always accessible to his/her convenience. The result is not only greater market access but also increased productivity.

6. e-procurement is improvement of communication

E-procurement allows sections of electronic documentation to flow through the supply chain; it improves the speed of returns and subcontractor price visibility.

7. Enhanced inventory management

8. Increased accuracy of production capacity

9. Negotiated unit cost reduction

Perceived challenges with E-Procurement

Despite its benefits, e-procurement is also faced with some problems that hinder its adoption in various departments.

The following are some of the challenges:

1. Company culture and upper management support:

There is resistance to change, lack of a widely accepted solution and lack of leadership, which are cultural, are some of the biggest barriers to the introduction of e-procurement within the public sector. To counter this problem a cultural change needs to take place prior to adoption of an e-procurement system. People need to be appointed and backed with full senior management support in order to effect this change. Adequate sensitization on the system will greatly reduce the resistance to the change.

it is the cultural change brought about by senior management support which can enable e-procurement is to be successfully implemented.

2. Uncertainty as to the legal position of e-procurement

Some organizations doubt whether electronically sent documents can be recognized by a third party as valid or legal.

3. Lack of IT infrastructure, is also another challenge of e-procurement

Some companies lack relevant technology to carry out e-procurement.

Technological integration, data quality, system-to-system integration, and ICT/technical issues is also as major challenges for many organizations when implementing e-procurement

4. Cost implications of the system.

Some organizations perceive the system is too expensive to implement. Budgeting and costs, change management, as well as need of training and resources Harrigan (2008). Therefore in their opinion, they would rather stick to their system. Furthermore, engaging suppliers in the process - especially smaller organizations - is also proving to be difficult given the level of investment expected in terms of providing catalogue information to buyers, and marketplaces using different technologies, platforms and business languages (OGC, 2002). As noted by Heywood (2002), sometimes e-Procurement results in large investments of time and money, without absolute certainty that its full potential will be achieved every time. Besides, there is also lack of technical expertise. Most organizations lack the expertise to operate the system if initiated. In their view, embracing e-procurement technology implies employing the necessary manpower to operate it. Lack of e-procurement knowledge / skilled personnel is another barrier hindering smooth implementation of e-procurement. The older generation that has not kept up to the advances in IT related issues. This makes them rely heavily on traditional forms and means of procurement. In fact, this forms the majority of those against change, especially when the change requires anything more that the training they already have. Therefore, as e-Procurement includes new technologies and changes in traditional procurement approaches, the need to train staff in procurement practices and the use of e-Procurement tools are critical to the success of an e-Procurement initiative (World Bank, 2003).

The seventh challenge stated by Eadie (2007) is lack of a business relationship with suppliers capable of e-procurement. Hawking et al (2004) argues that lack of business relationships with suppliers showing the need for an e-procurement enabled supply chain as another barrier for the implementation of e-procurement. The eighth challenge is Security of transactions. Working on the internet has become risky due to hacking of information. This has made organizations fear using it. Banks have lost money. Data which is transmitted on the World Wide Web can be garbled, can reassemble wrongly at the other end, or can display only partially because of incompatible software (Jennings, 2001). There are also interoperability concerns: Providing procurement information over the internet produces interoperability concerns. This is due to the fact that software companies have sought to make their product unique. In doing so, they have endeavoured to stop migration of data between systems. Rankin (2006) further shows that compatibility, interfacing with other systems and stability, are technical issues which have become barriers to e-procurement implementation. Lastly, organizations are of the view that there is no business benefit realized.

E-procurement in the Government of Kenya

In Kenyan E-procurement was launched on august year 2014, the system was meant for submitting and evaluating procurement applications as a way of becoming more efficient. The government's goal was also to weed corruption while also speeding up the procurement process.

The shift from manual to e-procurement enhanced transparency and credibility in the management of public finances and tendering process through the Integrated Financial Management Information System (IFMIS). The system which enables monitoring of all transactions during the procurement process provides functionalities such as the approval hierarchy, which is an end to end process that facilitates the procurement process from planning to payment.

Among the e-procurement functions is the item master responsible for standardizing the use of items within all Government Ministries, Department and Agencies (MDA's) and counties. This is set to manage the price inflation of commonly used items in Government offices.

Another function of the e-procurement system is the Kenya Supplier portal that is set to enable suppliers to access the status of their purchase or service order issued and payments. This means all government suppliers must be duly registered with the Registrar of Companies and own a tax compliance certificate among other details such as business contacts, IFMIS number to access the Kenya Supplier portal.

REVISION QUESTIONS

- (a) In the context of the Public Procurement and Disposal Legislation:
- (i) Outline four recognised methods of disposing stores and equipment.
 - (ii) Summarise three criteria that a person is required to satisfy in order to qualify for an award of procurement contract.

Answer**i) Recognized methods procurement**

- Open tendering.
- Restricted tendering
- Direct procurement
- Request for quotation

ii) A person is qualified to be awarded a contract for procurement only if the person satisfies the following criteria.

- The person has the necessary qualifications, capability, experience, resources, equipment and facilities to provide what are being procured;
- The person has the legal capacity to enter into a contract for the procurement;
- The person is not insolvent, in receivership, bankrupt or in the process of being wound up and is not the subject of legal proceedings relating to the foregoing;
- The procuring entity is not precluded from entering into the contract with the person

TOPIC 5

OVERSIGHT FUNCTION IN PUBLIC FINANCE MANAGEMENT

Role of National Assembly

National assembly has established budget committee in public finance matters meant to oversee public finance management.

The committee is established to deal with budgetary matters and has responsibility for the following matters, in addition to the functions set out in the Standing Orders—

- a) discuss and review the Budget Policy Statement and budget estimates and make recommendations to the National Assembly;
- b) provide general direction on budgetary matters;
- c) monitor all budgetary matters falling within the competence of the National Assembly under this Act and report on those matters to the National Assembly;
- d) monitor adherence by Parliament, the Judiciary and the national government and its entities to the principles of public finance and others set out in the Constitution, and to the fiscal responsibility principles of this Act;
- e) review the Division of Revenue Bill presented to Parliament and ensure that it reflects the principles of the Constitution;
- f) examine financial statements and other documents submitted to the National Assembly and make recommendations to the National Assembly for improving the management of Kenya's public finances;
- g) make recommendations to the National Assembly on "money Bills", after taking into account the views of the Cabinet Secretary; and
- h) table in the National Assembly a report containing the views of the Cabinet Secretary
- i) Introduce the Appropriations Bill in the National Assembly.

Role of Senate

There is established Committee of the Senate set to deal with budgetary and financial matter's, it has responsibilities for the following matters, in addition to the functions set out in the Standing Orders present to the Senate, subject to the exceptions in the Constitution, the proposal for the basis of allocating revenue among the Counties and consider any bill dealing with county financial matters; review the County Allocation of Revenue Bill and the Division of Revenue Bill in accordance with the Constitution at least two months before the end of the financial year;

examine financial statements and other documents submitted to the, and make recommendations to the Senate for improving the management of government's public finances; and

- c) Monitor adherence by the Senate to the principles of public finance set out in the Constitution, and to the fiscal responsibility principles of this Act.
- d) In carrying out its functions under the Committee shall consider recommendations from the Commission on Revenue Allocation, County Executive Committee member responsible for finance, the Intergovernmental Budget and Economic Council, the public and any other interested persons or groups.

Parliamentary Budget Office

The office known as the Parliamentary Budget Office shall continue to exist as an office of the Parliamentary Service.

In addition to any other criteria established by the Parliamentary Service Commission, the Budget Office shall consist of persons appointed on merit by virtue of their experience in finance, economics and public policy matters.

Responsibilities of the Parliamentary Budget Office

The Parliamentary Budget Office shall—

- a) provide professional services in respect of budget, finance, and economic information to the committees of Parliament;
- b) prepare reports on budgetary projections and economic forecasts and make proposals to Committees of Parliament responsible for budgetary matters;
- c) prepare analyses of specific issues, including financial risks posed by Government policies and activities to guide Parliament;
- d) consider budget proposals and economic trends and make recommendations to the relevant committee of Parliament with respect to those proposals and trends;
- e) establish and foster relationships with the National Treasury, county treasuries and other national and international organisations, with an interest in budgetary and socio-economic matters as it considers appropriate for the efficient and effective performance of its functions;
- f) subject to Article 35 of the Constitution, ensure that all reports and other documents produced by the Parliamentary Budget Office are prepared, published and publicised not later than fourteen days after production; and
- g) report to the relevant committees of Parliament on any Bill that is submitted to Parliament that has an economic and financial impact, making reference to the fiscal responsibility principles and to the financial objectives set out in the relevant Budget

Policy Statement; and

- h) Propose, where necessary, alternative fiscal framework in respect of any financial year.
- i) In carrying out its functions the Parliamentary Budget Office shall observe the principle of public participation in budgetary matters.

Auditor-General

An Auditor-General is nominated by the President and, with the approval of the National Assembly.

To be qualified to be the Auditor-General, a person is required to have extensive knowledge of public finance or at least ten years experience in auditing or public finance management

The Auditor-General holds office, for a term of eight years and is not eligible for re-appointment.

Within six months after the end of each financial year, the Auditor-General shall audit and report, in respect of that financial year, on—

- a) the accounts of the national and county governments;
- b) the accounts of all funds and authorities of the national and county governments;
- c) the accounts of all courts;
- d) the accounts of every commission and independent office established by this Constitution;
- e) the accounts of the National Assembly, the Senate and the county assemblies;
- f) the accounts of political parties funded from public funds; (g) the public debt; and
- g) The accounts of any other entity that legislation requires the Auditor-General to audit.

The Auditor-General may audit and report on the accounts of any entity that is funded from public funds.

An audit report confirms whether or not public money has been applied lawfully and in an effective way.

Audit reports shall be submitted to Parliament or the relevant county assembly.

Within three months after receiving an audit report, Parliament or the county assembly shall debate and consider the report and take appropriate action.

The role of Internal Auditor

The Internal Auditor-General Department of the National Treasury ensures that its arrangements for conducting internal auditing include—

- (a) Reviewing the governance mechanisms of the entity and mechanisms for transparency and accountability with regard to the finances and assets of the entity;
- (b) Conducting risk-based, value-for-money and systems audits aimed at strengthening internal control mechanisms that could have an impact on achievement of the strategic objectives of the entity;
- (c) Verifying the existence of assets administered by the entity and ensuring that there are proper safeguards for their protection;
- (d) Providing assurance that appropriate institutional policies and procedures and good business practices are followed by the entity; and
- (e) Evaluating the adequacy and reliability of information available to management for making decisions with regard to the entity and its operations.

Controller of Budget

Controller of Budget is nominated by the President and, with the approval of the National Assembly. To be qualified to be the Controller, a person needs have extensive knowledge of public finance or at least ten years experience in auditing public finance management.

The Controller, hold office for a term of eight years and is not eligible for re-appointment.

His roles:

1. To oversees the implementation of the budgets of the national and county governments by authorising withdrawals from public funds
2. Not approve any withdrawal from a public fund unless satisfied that the withdrawal is authorised by law.
3. In every four months, to submits to each House of Parliament a report on the implementation of the budgets of the national and county governments.

REVISION QUESTION

Discuss four roles played by the Controller of Budget in the budgeting process in your country.

Answer:

The controller of budget ensures:

1. That all reasonable precautions have been taken to safeguard—
 - a) the collection of revenue; and
 - b) the receipt, custody, issue and proper use of property;
2. That the applicable law has been complied with in relation to—
 - a) the collection of revenue; and
 - b) the receipt, custody, issue and proper use of property;
3. That all money, other than money-that has been appropriated by Parliament, has been dealt with in accordance with the proper authority.

PART 2:

TAXATION

TAX RATES: INDIVIDUALS, COMPANIES, WITHHOLDING TAXES

INDIVIDUAL RATES OF TAX

RATES OF TAX (Including wife's employment, self employment and professional income rates of tax)

Year of Income 2011

Monthly taxable pay (Shillings)	Annual taxable pay (Shillings)	Rate of tax % in each shilling
1 - 10,164	1 - 121,968	10%
10,165 - 19,740	121,969 - 236,880	15%
19,741 - 29,316	236,881 - 351,792	20%
29,317 - 38,892	351,793 - 466,704	25%
Excess over -38,892	Excess over - 466,704	30%

Personal relief Sh.1,162 per month (Sh.13,944 per annum)

COMMISSIONER'S PRESCRIBED BENEFIT RATES

Services	Monthly rates Sh.	Annual rates Sh.
(i) Electricity (Communal or from a generator)	1,500	18,000
(ii) Water (communal or from a borehole)	500	6,000
Agricultural employees: Reduced rates of benefits		
(i) Water	200	2,400
(ii) Electricity	900	10,800

PRESCRIBED BENEFIT RATES OF MOTOR VEHICLE PROVIDED BY EMPLOYER

			Monthly Rates (Sh)	Annual Rates (Sh.)
i.	Saloons, Hatch Back and Estates			
	Up to	1200cc	3,600	43,200
	1201	1500cc	4,200	50,400
	1501	1750cc	5,800	69,600
	1751	2000cc	7,200	86,400
	2001	3000cc	8,600	103,200
	Over	3000cc	14,400	172,800
ii.	pick-ups, Panel Vans (unconverted)			
	Up to	1750cc	3,600	43,200
	Over	1750cc	4,200	50,400
iii.	Land Rovers/ Cruisers		7,200	86,400

CAPITAL ALLOWANCES: WEAR AND TEAR ALLOWANCES

Class I	37.5%
Class II	30%
Class III	25%
Class IV	12.5%
Software	20%

INDUSTRIAL BUILDING ALLOWANCE:

Industrial buildings	10%
Hotels	10%
Hostels/Education buildings	50%
Farm works allowance	100%
Investment deduction allowance	100%
Shipping investment deduction	40%
Mining allowance:	
Year 1	40%
Year 2-7	10%

WITHHOLDING TAX:

Income	Resident		Non- Resident	
	Income Tax	Withdrawing Tax	Income Tax	Withdrawing Tax
Business / Trade	(1)	N/A	(1)	N/A
Employment / services rendered	(1)	N/A(2)	(1)	N/A(2)
Management / Professional fees	(1)	10%(7)	N/A	20%(3)
Entertainment & sporting fees	(1)	N/A	N/A	20%(3)
Royalties	(1)	5%	N/A	20%(3)
Rents	(1)	N/A	N/A	30%(3)
Equipment hire	(1)	N/A	N/A	15%(3)
Telecommunication				5%(3)
Dividends	N/A	5%(3)	N/A	5%(1) / 10%(3)
Interest from financial institutions and government bearer bonds of more than two year duration	N/A	15%(3)	N/A	15%(3)
Interest on bearer certificates	N/A	25%(3)	N/A	25%(3)
Interest on bearer bonds with maturity of 10 years and more	N/A	10%(3)	N/A	N/A
Interest on housing bonds	(1)	10%(4)	N/A	15%(3)
Pension payment / withdrawal	N/A	(5)	5%(3)	5%(3)
Retirement annuities	N/A	N/A	5%(3)	5%(3)
Insurance commissions	(1)	(6)	N/A	20%(3)
Presumptive income tax	-	2%(7)	-	2%(7)
Consultancy / Agency fees	N/A	5%	-	20%(8)
Contractual fees	N/A	3%	-	20%(8)

Notes:

- (1) Final tax
- (2) Limited to income of Sh. 300,000 per annum.
- (3)
 - Withholding tax is deductible from insurance commissions paid at the rate of 5% from amounts paid to brokers and 10% from amount paid to agents.
 - From 1st January 2004, commission or fees paid by an insurance company to another for provision of insurance cover is not subject to withholding tax.
- (4) The rate for presumptive income tax (PIT) has remained while section 17A dealing with PIT was repealed on 15th June 2000.
- (5) Special provisions may apply in relation to the petroleum industry, mining and resident life assurance companies.
- (6) Prior to 11th June 2010, lease rentals paid to residents were subject to 3% withholding tax.

- (7) Prior to 9th June 2011 management and professional fees were subject to 5% withholding tax.
- (8) Withholding tax on winnings from betting and gaming, is effective from 1st

COMPANIES

	Resident		Non- Resident With Kenya branch		Non – resident No Kenya branch	
Income	Income Tax	Withholding Tax	Income Tax	Withholding Tax	Income Tax	Withholding Tax
Business / Trade	30%	N/A	37.5%	N/A	N/A	N/A
Management, Professional & training fees	30%	10% (7)	37.5%	N/A	N/A	20%(1)
Entertainment & sporting fees	30%	N/A	37.5%	N/A	N/A	20%(1)
Royalties	30%	5%	37.5%	5%	N/A	20%(1)
Rents	30%	N/A	37.5%	N/A	N/A	30%(1)
Equipment hire	30%	N/A	37.5%	N/A	N/A	15%(1)
Telecommunication						5%(1)
Dividends	N/A	5%	N/A	5%	N/A	10%(1)
Interest from financial institutions and government bearer bonds of more than two year duration	30%	15%	37.5%	10%	N/A	N/A
Interest on bearer certificates	30%	25%	37.5%	20%	N/A	25% (1)
Interest on bearer bonds with maturity of 10 years and more	30%	10%	37.5%	10%	N/A	N/A
Interest on housing bonds	30%	15%(2)	37.5%	15%	N/A	15% (1)
Insurance commissions	30%	(3)	37.5%	(3)	N/A	20%(1)(3)
Presumptive income tax	-	2%(4)	-	2%(4)	N/A	N/A
Contractual fees	30%	3%	37.5%	N/A	N/A	20%(1)
Consultancy & agency fees	30%	5%	37.5%	N/A	N/A	20%(1)
Lease rentals	30%	N/A(6)	37.5%	N/A	N/A	15%(1)
Winnings from betting and gaming	30%	20%(8)	37.5%	N/A	N/A	N/A

Notes:

1. Final tax
2. Limited to income of Sh. 300,000 per annum.
3. •Withholding tax is deductible from insurance commissions paid at the rate of 5% from amounts paid to brokers and 10% from amount paid to agents.
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7. Prior to 9th June 2011 management and professional fees were subject to 5% withholding tax.
8. Withholding tax on winnings from betting and gaming, is effective from 1st

TOPIC 6

INRODUCTION TO TAXATION

HISTORY AND PURPOSE OF TAXATION

Before 1897, Kenya was made up of multifarious tribal-based societies each with its own geographical and sociological background. These societies were communist/socialist in the sense that property was communally owned by all the members of a particular social setup. Upon amassing wealth in form of harvests, part of it was required to be submitted to the community leaders in form of tithe. This “tithe” was to be used in future to assist those who didn’t have enough property to sustain them or even to assist those who were hit by calamities. In a sense, this was a form of taxation because the percentage that was submitted to the community leaders was used to help others in future.

The principles and systems of taxation that existed in most African Kingdoms during this period were therefore informal. It was only upon the influx of foreigners that some form of formal taxation started. The Arabs who entered Kenya in the seventh century for example taxed the coastal region on the basis of Islamic Law. Islamic law upholds the right of leaders to tax their subjects within bearable limits and therefore taxation is not forbidden. Capitation of such tax was done by charging a fixed amount for each and every slave that was to be exported from the Sultanate of Oman. Custom duties were also charged on other exports like ivory, cloves and beads.

The Portuguese arrived at the Kenyan coast and were now taking over from the Arabs. The first recorded treaty that involved a form of taxation in this period was in **1502**. The then Sultan Ibrahim of Malindi was held against his wishes and forced to accept defeat. While being held hostage during negotiations on **Vasco da Gamma’s** boat, a treaty of surrender was signed with Portugal for an annual tribute of **1,500 meticals of gold**.

However, the Portuguese were violent and thus this led to a complete failure to use equity in the creation and levy of taxes there were riots (you thought riots started the other day?) were punctuated with civil disobedience and widespread cases of tax evasion and avoidance.

By the end of the rule of the Arabs and Portuguese along the East coast of Africa the existing balance of taxation that was inherited by the British included a capitation tax payable per head of slave exported and customs revenue shared equally between the Arabs and Portuguese. The tax base was, however, limited to traders only.

Exit Portuguese and Arabs, Enter The British

Next were the British who ruled what is presently Kenya and Uganda together to form British East Africa Protectorate. British colonial tax policy developed mostly on the grounds that Britain needed to support its own economy by creating foreign markets and sources of raw materials for its industries, thus obtain maximum gains with minimum input. This was done by initially through the Chartered company concept. However, later in order to encourage rule from within the territory to make it viable after the accidental discovery of arable land in Kenya.

British Taxes

Hut and Poll Tax: The 1901 Hut Tax Regulation imposed a tax of **one rupee**, payable in kind or through labour, upon every native hut in British East Africa. Hut tax or poll tax was **increased to 5 rupees** in 1915 and again in 1920 to **8 Rupees**.

Land Tax: The levying of a graduated land tax on individual holdings was introduced by the British as a sound basis for land policy in East Africa. The protectorate government in East Africa argued in early 1908 for preserving the means of obtaining some share of any future appreciation in the value of the land, particularly because much of the land acquired by settlers was not being developed.

Graduated Personal Tax: The Graduated Personal Tax was introduced in 1933. The Act was modeled on the Colonial Income Tax Ordinance which itself was a ‘simplified synthesis’ of the United Kingdom Income Tax Act of 1920. Now graduated taxes on global income would have been considered revolutionary because non-Africans were liable to a flat poll rate and an Educational Tax. This tax was applied for the first time in 1934 at rates graduated according to the taxpayer’s income with certain amendments.

Income tax: It was first introduced in Kenya in **1921**, and in 1954, the rates of personal income tax were set at **20 shillings** for anyone earning less than **£60**, for earnings between £ 60- 120 charge of **40 shillings** and for earnings over £120 a charge of **60 Shillings**. In 1956, a Commission of Enquiry into the Administration of Income was established and was chaired by Sir Erick Coates.

Kenya’s taxation system and policy after independence

The first post-independence strategy on matters taxation and policy was set out in Kenya’s earliest planning document entitled Sessional Paper No. 10 of 1965 on African Socialism and its Application to planning in Kenya. The main purpose of the paper was to guarantee all citizens equal political and economic rights. The paper stated that the economic approach of the government was to ensure Africanisation of the economy and also the public service¹⁶. The government would concentrate investment in places where it was likely to maximize returns which would subsequently be distributed to the rest of the country.

The paper laid down the foundation for the country's fiscal policy framework. By the year 1972, the economy of the country expanded and this saw the introduction of Sales Tax in 1973 which, coupled with the first oil crisis of 1973, led to an economic shock and an increasing debt problem. The resultant fiscal reforms included 20% withholding tax on nonresident entrepreneurs, capital allowance restricted to rural investment, a new tax on the sale of property, taxes on shares, the sale of land and a custom tariff of 10% on a range of previously duty-free goods.

Kenya later came up with its own income tax department as a department of treasury and also came up with its own income tax legislation known as the Income tax Act which commenced on 1st January 1974 and it was codified as Chapter 470 of the laws of Kenya. The preamble to this Act reads as follows, "An Act of Parliament to make provision for the charge, assessment and collection of income tax: for the ascertainment of the income to be charged; for the administrative and general provisions relating thereto; and for matters incidental to and connected with the foregoing". The preamble gives us the scheme or the various components with which this law has dealt with.

PURPOSE OF TAXATION

1. **Raising public revenue** to meet public expenditure for a common cause.
2. **Protection of the health of citizens.** Heavy taxes are imposed on goods that are considered to be harmful to the health of citizens if consumed in large quantities such as beer and cigarettes.
3. **Protection of local industries.** Heavy taxes are imposed on imported goods which are substandard or goods that are available locally in plenty.
4. **Encourage exportation** and hence the generation of foreign currency e.g. Exports are zero rated for VAT purposes, i.e. VAT paid on purchases used for processing exports is refundable.
- **Export processing zones (EPZ).** These are designated areas where the industries located are granted attractive tax incentives in exchange of exporting manufactured goods e.g.
 - Corporation tax is not payable during the first ten years of operation.
 - Corporation tax is payable at a rate of 25% from the 11th to 20th year of operation.
 - Capital expenditure on machinery and factory building is deductible at 100% cost known as investment deduction.
- **Manufacturers under bond (MUB).** These are manufacturers that are licensed by the customs department to manufacture for export purposes for at least three years. Such manufacturers are granted 100% investment deduction on capital expenditure incurred on machinery and factory buildings.
5. **To encourage savings for retirement.**
 - **As a contributor:** contributions to a registered pension scheme are **exempted** from tax up to a maximum of **Sh. 240,000** p.a. (20,000 per month)

TYPES OF TAXES

- **Income tax**

This is the tax imposed on income derived by individuals, (i.e. Pay as You Earn) and businesses (i.e. Corporation Tax).

- **Value Added Tax (VAT)**

This is the tax imposed on goods and services supplied in Kenya and goods and services imported into Kenya.

- **Excise duty**

This is tax imposed on locally manufactured goods such as textiles, shoes wines and spirits.

- **Custom duty**

This is tax imposed on imported goods such as machinery, cars, Electronics e.t.c.

TAXES CHARGED ON SPECIFIC ITEMS

1. **Petroleum levy**

This is the tax that is imposed on the prices of petroleum products. The revenue collected is used to maintain roads in the country.

2. **Airport tax**

This is the tax imposed on air tickets through various airlines. The amounts collected are used to improve or maintain airport facilities such as the run-ways.

3. **Stamp duty**

It is imposed by the government on the transfer of properties and on certain instruments or legal documents. The purpose of stamp duty is to ensure that the transactions are legalised.

4. **Catering levy**

This is a tax imposed by the government on services and food supplied in certain hotels. The amounts collected from catering levy are used to improve tourism industry e.g. maintaining of institutions offering courses in hospitality such as Utalii College.

TAXES BY LOCAL AUTHORITIES

1. **Rates**

These are charged by local authorities on property owners e.g. land and buildings within the local authority.

2. **Cess**

This is the levy imposed by the rural local authorities on certain products such as sand, stones etc. The amounts collected are used to develop roads, hospitals, schools and provision of water within the local authorities.

SUB-TAXES

1. **Presumptive tax**

This is tax that is levied on farm produce at the rate of 2%. Such produce include wheat, tea, coffee, maize e.t.c

2. **Withholding tax**

This is tax deducted at source i.e. income is paid net of withholding tax e.g. incase of dividends withholding tax is 5% of income received.

3. **Advance tax**

It is charged in advance on commercial vehicles before granting road licenses. Commercial vehicles include Lorries, vans, matatus, pickups e.t.c.

Advance tax is payable annually in respect of all commercial vehicles at the following rates:-

- For vans, pick-ups, trucks, lorries with effect from 11 June 2010, prime movers and trailers but excluding tractors and trailers used for agricultural purposes; Sh. 1,500 per ton of load capacity p.a. or Sh. 2,400 p.a. whichever is higher; and
- For saloons, station-wagons, mini-buses, buses and coaches; Sh. 60 per passenger capacity p.m. or Sh. 2,400 p.a. whichever is higher.

Prior to 11 June 2010 advance tax was applicable on all public service vehicles.

4. **Turnover Tax**

Turnover tax was introduced with effect from 1 January 2007 for businesses with a turnover of less than Sh. 5 Million p.a., but exceeding sh. 500,000 p.a. The applicable rate is 3% of the gross receipts of the business.

Turnover Tax shall not apply to:

- Rental income and management or professional or training fees;
- The income of incorporated companies; and
- Any income which is subjected to a final withholding tax

STATUTORY DEDUCTIONS

These are **mandatory** deductions made from **employees salaries and wages** by the employers who remit the amounts deducted. Statutory deductions include:-

P.A.Y.E

It is a statutory duty of all employers to deduct income tax from the wages or salaries paid to the employees. This provision also applies to the Government. The P.A.Y.E. system does not apply to the case of casual employees.

P.A.Y.E is not a tax; it is a system of collecting tax from the income of the employees. Under this system, tax is deducted from the salaries and the net amount paid to the employees. If the employee does not have any other taxable income, the tax deducted under P.A.Y.E. will be enough to cover his tax liability and he will not be required to pay any extra tax at the end of the year. The normal P.A.Y.E. year runs from 1st January to 31st December.

It is the employers' statutory duty to deduct income tax from the pay of his employees. If an employer fails to deduct tax from salaries paid to his employees (or remit the money so deducted) to the income tax department, the Commissioner of Domestic Taxes has the power to impose penalty not exceeding Sh. 10,000 and require him to pay the tax which he should have deducted from his employees' income.

NATIONAL SOCIAL SECURITY FUND (NSSF)

The contributions are at 12% of the monthly employee's pensionable pay, with 6% deducted from the employee and 6% contributed by the employer. *The is deducted in a two Tier contributions system i.e.;* Subject to an upper limit of the Sh2,160 for employees earning above Sh18,000. The lower earnings limit being Sh6,000.

Contributions for people earning above Sh18,000 are however divided into two levels of accounts which are referred to as Tier I and Tier II.

In Tier I account, contributions are up to Sh720 while in Tier II is the balance of the contributions of earnings between the minimum and up to the maximum which is Sh1,440

Voluntary Contributions

That under the National Social Security Fund (NSSF) Act, you can make your contributions even if you are not formally employed

Voluntary contributors will remit into the Provident Fund;

- A minimum of **200 shillings** in a month or **4, 800 shillings** in a year

THE FOLLOWING BENEFITS ARE PROVIDED UNDER THIS SCHEME:

- **Age benefits** – This will be paid to a member at age of sixty or when he ultimately retires from paid employment, whichever is later.
- **Withdrawal Benefit** – This will be paid to a member who is at least fifty-five years of age and has not engaged in paid employment during the previous three months
- **Invalidity Benefit** – This will be paid to a member who is permanently incapable of work because of physical or mental disability.
- **Survivors Benefit** – This will be paid to the dependants of the deceased member.
- **Emigration Grants** – This will be paid to a member who is permanently emigrating from Kenya.

- As a person in the service of any University or College who is entitled to receive benefits under superannuation scheme other than the Superannuation Scheme for Universities.

NATIONAL HOSPITAL INSURANCE FUND (NHIF)

This is a statutory deduction made under the National Hospital Insurance Act. The Act requires every employee to contribute some amount per month towards this fund

The rates are as follows:

Gross Income (Ksh)	Monthly NHIF Premium (Ksh)
0-5,999	150
6,000 – 7,999	300
8,000 – 11,999	400
12,000 – 14,999	500
15,000 – 19,999	600
20,000 – 24,999	750
25,000 – 29,999	850
30,000 – 34,999	900
35,000 – 39,999	950
40,000 – 44,999	1,000
45,000 – 49,999	1,100
50,000 – 59,999	1,200
60,000 – 69,999	1,300
70,000 – 79,999	1,400
80,000 – 89,999	1,500
90,000 – 99,999	1,600
100,000 and above	1,700
Self Employed (special)	500

Members or contributors and their families (husband, wife or children) enjoys both inpatient and outpatient services.

Key Term

Tax – It is a compulsory contribution made by citizen to the state for it to meet its expenses for a common cause.

Charge – It maybe compulsory or voluntary but related to the enjoyment of a certain benefit or privilege

QUESTION:

Mr. KK was paid a salary of sh.22, 000 per month. He contributed Sh. 4,000 per month to a registered pension scheme. Calculate his taxable income

ANSWER:

		Sh.
Basic salary		22,000
Less contribution to pension:		
Actual	4,000	} (4,000)
Set limit	20,000	
30% gains from employment (30% x 22,000)	6,600	
Taxable income		<u>18,000</u>

- **On retirement:** In case pension is received in **lumpsum** the first **Sh. 600,000** is **exempted** from taxation. However, where pension is received in **periodic** amounts, the first **sh.300,000** received per annum is **exempted** from taxation.

QUESTION:

Mrs. Chagua received pension of Sh. 1,200,000 out of which sh. 350,000 was annual entitlement. Calculate her taxable income.

ANSWER:

		Sh.
Pension-Lump sum	850,000	
Less exempt	<u>(600,000)</u>	250,000
Periodic	350,000	
Less exempt	<u>(300,000)</u>	<u>50,000</u>
Taxable income		<u>300,000</u>

6. Encouragement of citizens to acquire residential property

- The interest paid on a loan acquired to purchase a residential house which is owner occupied is allowable deduction from income up to a maximum of sh. 150,000 per annum.

QUESTION:

Mr. Ali was paid a salary of Sh.550, 000 during the year 2011. He obtained a loan from HFCK of Sh.4, 000,000 which he used to purchase his residential house. He paid interest on the loan amounting to sh. 210,000 during the year. Calculate his taxable income.

ANSWER:

		Sh.
Basic salary		550,000
Less mortgage interest		
Actual	210,000	} (150,000)
Set limit	150,000	
Taxable income		<u>400,000</u>

- Savings to a registered home ownership savings plan is allowable as a deduction up to a maximum of sh.4,000 (sh.48,000 per annum)

QUESTION:

Mr. Najibu received a salary of Sh.600,000 during the year 2011. He contributed 25% of his salary to the company's registered pension scheme and 10% of his salary to a registered home ownership savings plan. Calculate his taxable income

ANSWER:

<u>Mr. Najibu</u>		
<u>2011 computation of taxable income</u>		
		Sh.
Basic salary		600,000
Less contribution to pension:		
Actual 25% x 600,000	150,000	} (150,000)
Set limit	240,000	
30% gains from employment	180,000	
Less contribution to Hosp:		
Actual 10% x 600,000	60,000	} (48,000)
Set limit	48,000	
Taxable income		<u>402,000</u>

7. Taxes are used to stabilize the economy.

During inflation i.e. when price levels increase due to increased demand, taxes are levied heavily in order to reduce the money in circulation. During deflation when activities in the economy are low, taxes may also be reduced to improve demand, increase economic activity and employment in the economy.

8. Redistribution of income

Persons with more income i.e. for both individuals and companies are taxed more than those with lower incomes and the revenue collected is used to develop all the under-developed areas.

9. To encourage the development of industries.

Capital expenditure incurred on purchase of machinery and factory buildings is allowed as a deduction at the rate of 100% referred to as investment deduction.

Key Terms

Inflation – this is defined as a situation of **increasing price** levels due to an **increase in money** in circulation

Deflation – This is defined as a case of **lack of demand** for goods and services due to **high level of interest rates** hence increased cost of borrowing.

PRINCIPLES OF AN OPTIMAL TAX SYSTEM

These refer to the rules or standards established by economic scholars for an optimal tax system. The principles guide the formulation of tax systems by the government.

Adam smith was the first economic scholar to state four principles of taxation. Other economic scholars proposed 5 additional principles.

The major principles of taxation include:

1. PRINCIPLE OF EQUITY

Adam smith stated that every taxpayer should pay tax according to his ability in proportion to his income. Persons with high incomes should pay more tax than the persons with lower incomes.

In Kenya the principle of equity is achieved in two ways i.e.:

- By adopting the graduated scale rates.

In 2011 the graduated scale is as follows:

Income Sh. P.a

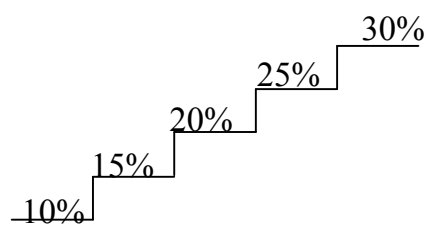
Excess above 466,704

351,793 – 466,704

236,881 – 351,792

12,969 – 236,880

1 – 121,968



- Employment income of up to sh.11, 135 p.m. is exempted from income tax under the PAYE system.

2. PRINCIPLE OF CERTAINTY

Adam Smith also stated that the tax which every person should pay must be certain and not arbitrary.

This principle facilitates planning by both the government and the taxpayers.

In case of the taxpayers, they need to be certain about the dates and the amount of tax to be paid, the methods and the rates of tax used in order to plan their cash flows.

In case of the government, it should be certain about the amount of public revenues and the time it is expected to flow to the exchequer.

In the Kenyan tax system certainty is achieved as follows:

- VAT is paid on the 20th day of the following month after the month of transactions.
- Corporation tax is charged at the rate of 30%.
- Withholding tax on dividend is 5% and 15% on interest income.

3. PRINCIPLE OF CONVENIENCE

Every tax should be levied at the time or in a manner that is most likely to be convenient to the taxpayers.

This principle encourages tax compliance by the tax payers e.g. a tax payer may pay installment tax in 4 equal installments during the year.

Income tax on employment income is paid at the end of the month i.e. when the employees have the means of payment after receiving their salaries.

NB: VAT may be inconvenient to a person in case of supplies of goods and services which are made on credit. This is because VAT has to be paid by the 20th day of the month after the month of transactions, whether cash has been received from the debtors or not.

4. PRINCIPLE OF ECONOMY

The tax system should be economical to both the taxpayer and the state. In the case of the tax payer, he should be left with some income after paying tax both for his needs and for saving and investments. A very heavy tax will discourage saving and investments, thus have a negative impact on the economy.

In case of the government, the cost of tax collection, administration and carrying out in-depth investigation should not exceed the tax revenue to be collected. In the Kenya tax system the tax payers are granted tax relief i.e. Personal relief of sh.13,944 p.a is deducted from tax liability for every tax payer.

In addition income of up to Sh.11, 135 p.m. is exempted from income tax in Kenya.

The other principles are:

5. PRINCIPLE OF SIMPLICITY

The tax system should be simple to understand by ordinary tax payers, Complexities in the tax law, multiple taxes and rates should be streamlined to encourage tax compliance. Additionally, the government should not face administrative challenges in implementing the tax system. In Kenya simplicity has been achieved by:

- Online filing of tax returns.
- Tax payment through Commercial Banks.
- Few documents required in filing of tax returns.
- Ease in calculating taxes e.g. turnover tax at the rate of 3% of turnover

6. PRINCIPLE OF ELASTICITY

The tax system should be responsive to changes in the economy.

More revenue should be collected in time of economic prosperity while taxpayers should be cushioned in times of economic depression to sustain demand and employment. The system should provide tax relief for large tax payers during difficult economic times. In addition the government should be able to increase or decrease the rates of tax according to the revenue requirements of the state e.g. the VAT rate was 15% in 1990 and was subsequently increased to 18% and is currently 16%.

7. PRINCIPLE OF FLEXIBILITY

There should be no rigidity in the tax system and the tax legislation. The tax provisions and sections should be easily adjusted, amended or abolished if necessary to meet the revenue requirements of the state.

In 1998 section 12B of the income tax Act was introduced. This was an amendment to the income tax Act, which deals with fringe benefit tax (FBT) charged on loans granted to employees at an interest rate that is lower than the market interest rate. Before 12th June 1998 the tax was known as low interest benefit tax.

Fringe benefit tax is paid by the employer at the corporation tax rate.

8. PRINCIPLE OF PRODUCTIVITY

The tax system should yield substantial amounts of revenue to the government. A few taxes that yield much revenue are better than a variety of taxes yielding small amounts of revenue. Any system that does not yield sizeable amounts of revenue should be discarded and replaced with more productive taxes. In Kenya certain taxes have been abolished over the years

e.g.

- Capital gains tax
 - inheritance tax
 - gift tax
 - Sales tax
 - Accommodation tax
 - Telephone and electricity tax
- } abolished in 1985 and replaced with increased stamp duty
- } absorbed in VAT in 1990

9. PRINCIPLE OF DIVERSITY

A single or very few types of taxes may not meet the revenue requirements of the state or satisfy the principal of equity. It is required to have a variety of taxes to enable citizens to contribute towards public revenue according to their ability. However, there should be an optimal number of taxes so that it is economical for the government to administer.

Key Term

Elasticity- It refers to how the tax system responds to changes in the economy e.g. it is expected that tax revenue should increase in times of economic boom

Flexibility – It refers to the sections of the tax law which should be possible to change or amend or discard.

CLASSIFICATION OF TAXES

1. BY EFFECTS

The effect of tax may be considered through its impact and incidence;

- The impact of a tax is on the person on whom it is imposed i.e. the person with the ultimate responsibility to account for the tax to the authorities.
- The incidence of a tax refers to the money burden or where payment of tax is made.

In this case a tax may be classified as either a Direct or Indirect tax. In case of a direct tax, both the impact and the incidence of tax are on the same person i.e. the tax cannot be shifted to another person e.g. income tax, corporation tax e.t.c

In case of an indirect tax, the impact is on one person while the incidence is on another person. It means that the tax can be shifted e.g. VAT where it is imposed on the suppliers of goods and services but paid by the consumers.

MERITS AND DEMERITS OF DIRECT TAXES

MERITS

Direct taxes possess the following merits:

a) Equitable

Direct taxes are based on the canon of equity. Tax burden is equitably distributed as they are progressive in nature. As the income of a person increases, the rate of income tax also increases. So all direct taxes fall heavily on the people whose income and wealth increase. The poor are not affected by such taxes.

b) Certain

Direct taxes satisfy the canon of certainty. The tax payer is certain as to the time and manner of payment, and the amount to be paid in the case of these taxes. Similarly, the government is also certain as to the revenue it shall receive from these taxes.

c) Economical

These taxes also satisfy the canon of economy. The cost of collection of direct taxes is low. In the case of income tax, it is deducted at the source from salaried persons. The assessments of wealth, incomes, inheritances, gifts e.t.c. can be made by the same officers. No separate staff is needed for each. Such taxes are also economical to the tax payers who make payments directly into the treasury.

d) Elastic

Direct taxes satisfy the canon of elasticity. The government can increase or decrease the rates of direct taxes according to the requirements of the economy. In case of war, natural calamities, or emergency, the state can raise the rates of taxes in order to have larger tax revenue. During a depression, it can reduce rates of taxes considerably.

e) Simple

Direct taxes are simple and easy to understand.

f) Desirable

These taxes do not involve general opposition from the public because they are paid by those persons or firms who come under the jurisdiction of income tax or corporation tax. Thus, they are based on the canon of equity.

g) Reduce inequalities

These taxes help to reduce income and wealth inequalities because of their progressive nature. The rich are taxed heavily through income tax, property rates, expenditure tax,

corporation tax, etc. The poor and the income groups which lie below the minimum tax limit of Sh.11,135 p.m. are exempted from income tax.

h) Civic consciousness

Direct taxes create civic consciousness among the taxpayers. They are conscious that they are paying taxes to the government and take interest in the activities of the state as to whether public expenditure is incurred on public welfare or not. Such civic consciousness puts a check on the wastage of public expenditure in a democratic county.

DEMERITS

Direct taxes have the following demerits.

a) Pinch

Direct taxes pinch the tax payers because they have to pay directly out of their incomes or salaries. They are, therefore, unpopular.

b) Inconvenient

These taxes are inconvenient in nature because traders, businessmen, producers, etc., have to comply with a number of formalities relating to their sources of income and expenditure incurred in earning that income. Often the details are incomplete and the various sections of the Act so complicated that the tax payers have to use the help of tax consultants hence incurring additional cost for tax compliance. Moreover, these taxes are payable in advance and in lump sum, except in the case of salaried persons. Hence they are inconvenient.

c) Arbitrary

Direct taxes possess an element of arbitrariness in them. They leave much to the discretion of the tax authorities in fixing the rates of taxation and in interpreting them.

d) Evasion

Since direct taxes pinch every tax payer, tax evasion is perpetrated by filing wrong returns and engaging tax consultants. Thus such taxes encourage dishonesty and result in loss of revenue to the government.

e) Not imposed on all

Direct taxes are not imposed on all income groups. Low income groups do not come under the purview of these taxes. Such groups, therefore, do not contribute anything to state exchequer through direct taxation.

f) Discourage saving and investment

Direct taxes adversely affect saving and investment. When people are aware that with increase in their income and wealth, more tax is paid, they are reluctant to increase their saving and investment. This adversely affects the will to work, save and invest.

g) Discourage production

Corporation taxes discourage those industries and firms which produce essential goods.

MERITS AND DEMERITS OF INDIRECT TAXES**MERITS**

Indirect taxes possess the following merits:

a) Convenient

Indirect taxes are convenient and less burdensome e.g. these are paid only when a commodity or a service is bought. Therefore the amounts paid are small rather than in lump sum. Since these taxes are included in the prices of commodities, buyers do not feel the burden. Such taxes are like sugarcoated pills.

b) Wide coverage

These taxes reach the pockets of all income groups – low, middle and high. The taxes are levied on different types of goods e.g. necessities, comforts and luxuries. Thus such taxes have a wide coverage and every consumer pays to the state exchequer according to his ability to pay. Thus they are equitable.

c) Elastic

Indirect taxes are also elastic in nature. The government can reduce or increase the rates of tax e.g., excise duties or custom duties according to its requirements. But care should be taken in order to avoid imposing high rates on necessities which are mostly consumed by the poor.

d) Economical

These taxes are economical in the sense that the cost of collection is reduced because the producers and sellers deposit the amounts collected with the government.

e) Diversity

Indirect taxes satisfy the canon of diversity. These can be levied on a variety of commodities and services. So the government can be sure of continuous and sufficient revenue, even if it is required to reduce the rates of taxes on certain commodities due to the fall in demand.

f) Less evasion

There is less possibility of evasion in the case of indirect taxes since these are included in the prices of commodities. As these taxes are transferable to the ultimate consumers, the producers, the wholesalers and the retailers do not mind paying them. The consumers can evade them only if they decided not to buy the taxed commodities. However, these taxes are generally evaded by producers when they sell their products to the wholesalers and retailers without entering the goods in their stocks and without issuing cash receipt for the same.

g) Check the consumption of Harmful Goods

Indirect taxes have the great merit of checking the consumption of harmful goods like wine, cigarettes and other intoxicants. The state levies heavy duties on goods which are harmful to the health and efficiency of the citizens if consumed in large quantities. As a result, their prices rise and their consumption is reduced. The state also earns substantial revenue.

h) Powerful tool of economic policies

Indirect taxes can be used as a powerful tool for implementing economic policies by the government. If the government wants to protect domestic industries from foreign competition, it can levy heavy import duties. This will help to develop domestic industries. If the government wants to encourage one industry on priority basis, it may not levy any taxes on its products but continue the taxes imposed on other industries. The government may do so in order to encourage a particular technology or employment in a particular industry.

DEMERITS**a) Uncertain Revenue**

The revenue from indirect taxes is uncertain because it is not possible to accurately estimate the effect of such taxes on the demand for products. If heavy excise duty is levied on some luxury goods, the price will rise. Since the demand for luxury goods is elastic, sales may be adversely affected by a fall in demand and the state revenue may actually decline.

b) Regressive

Indirect taxes are charged on necessities, which are consumed by the poor. This makes them regressive in nature. The rich and the poor are required to pay the same amount of tax on commodities such as matches, kerosene, toilet soap, washing soap, tooth paste, razor blades, shoes etc., but the burden is heavier on the poor than on the rich. Thus these do not satisfy the canon of equity.

c) Uneconomical

These taxes are uneconomical in that the cost of collection to the state is heavy. The state has to appoint inspectors to check the accounts and stocks of producers, wholesalers, and retailers in order to find out whether they are paying taxes or not. Thus they are more expensive than direct taxes.

d) Bad effect on production and employment

Sometimes, these taxes adversely affect production of commodities, and even employment. When the price of a commodity increases with the levy of a tax its demand falls (if it happens to be a commodity with elastic demand). As a result, its production falls, and so does employment.

e) Feed inflation

Imposition of these taxes tends to raise the prices of commodities, thereby leading to higher prices. Thus price-wage-cost spiral sets in the economy, which feeds inflation.

f) Lack of civic consciousness

A person who buys a commodity does not know that he is paying a tax to the government in the price of the commodity. Therefore, such taxes do not create civic consciousness among the majority of tax payers who are ignorant of the fact that they are contributing tax to the state exchequer.

2. By tax bases

The tax base is the object that is subjected to the rates of tax to determine the tax payable. In this case taxes may be classified as:

- **Income tax**

The tax base is the income derived by an individual.

- **Corporation tax**

The tax base is the profit derived by a company.

- **VAT**

The tax base is the value of supplies of goods and services.

- **Import duty**

The tax base is the value of imported goods.

- **Excise duty**

The tax base is the value of locally manufactured goods.

3. By rates

The rate of a tax is the percentage or proportion of the tax base. Rates of tax can be:

- Progressive
- Degressive
- Regressive
- Proportional

PROGRESSIVE RATES

In this case the rates of tax increase as income increases. This form of taxation affects the rich more than the poor and is widely used all over the world.

In Kenya progressive rates are used to determine the tax liability of individuals' e.g. the graduated scale rates for 2011 are as follows:

Income (Sh.) p.a

Excess above	-	466,704	
351,793	-	466,704	30%
236,881	-	351,792	25%
121,969	-	236,880	20%
1	-	121,968	15%
			10%

Personal relief is Sh.13,944 p.a.

DEGRESSIVE RATES

These are similar to progressive rates of taxation in that the rates of tax increase as income increases. However in the case of degressive taxes, the rate of progression is not as steep as in the case of progressive rates e.g. comparing 1980 graduated scale rates to those of 2011 shows the 1980 rates as degressive.

1980 Graduated Scale Rates

1K£ = sh.20

Income (K£) p.a

Excess above	-	8,400								Sh.13
7201	-	8,400								
6001	-	7,200							Sh.11	
4801	-	6,000							Sh.9	
3601	-	4,800							Sh.7	
2401	-	3,600							Sh.5	
1201	-	2,400							Sh.4	
1	-	1,200							Sh.3	
									Sh.2	

Personal relief is Sh. 7,820 p.a.

REGRESSIVE RATES

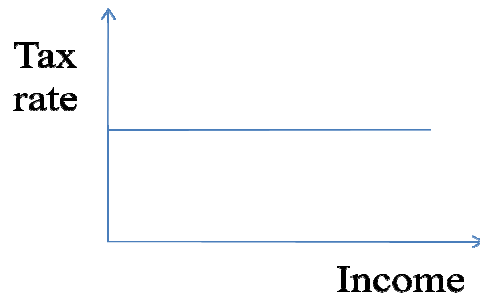
The rates of tax reduce as income increases, it means that those with lower incomes are taxed at higher rates than those with higher incomes.

The main purpose of taxation is income redistribution; therefore regressive rates cannot achieve that purpose. Regressive rates are not commonly used in many countries, however VAT may be

said to be regressive in nature since both the rich and the poor pay VAT at the same rate of 16%, hence the tax burden is heavier on the poor than on the rich.

PROPORTIONAL RATES

In this case the same rate of tax is applied at all levels of income e.g. corporation tax rate is 30% for all companies regardless of the level of profit.



QUESTIONS:

1. Bidii company Ltd, reported a profit of Sh. 12,000,000 in 2011
Calculate the tax payable.
2. Swift Kenya Ltd is a branch of Swift International Co. of USA. Swift Kenya Ltd reported a profit of Sh.8, 000,000 in 2011. Calculate the tax payable.
3. Jaza company Ltd reported income in 2011 was follows:
 - Business income Sh.3, 000,000
 - Rental income Sh.8, 000,000
 - Farming loss Sh.2,800,000
 Calculate the tax payable.

ANSWERS:

1. Corporation tax payable

$$30\% \times \text{Sh. } 12,000,000$$

$$= \text{Sh. } \underline{3,600,000}$$

2. Corporation tax payable

$$37.5 \times 8,000,000$$

$$= \text{Sh. } \underline{3,000,000}$$

3. Corporation tax payable

$$(3,000,000 + 8,000,000) \times 30\%$$

$$= \text{Sh. } \underline{3,300,000}$$

N/B. Farming Loss is carried forward to be offset against future profits from the same source

IMPACT AND INCIDENCE OF A TAX

- The impact of a tax is on the person on whom it is imposed i.e. the person with the ultimate responsibility to account for the tax to the authorities.
- The incidence of a tax refers to the money burden or where payment of tax is made.

In this case a tax may be classified as either a Direct or Indirect tax. In case of a direct tax, both the impact and the incidence of tax are on the same person i.e. the tax cannot be shifted to another person e.g. income tax, corporation tax e.t.c

In case of an indirect tax, the impact is on one person while the incidence is on another person. It means that the tax can be shifted e.g. VAT where it is imposed on the suppliers of goods and services but paid by the consumers.

TAX SHIFTING

This refers to the transfer of the money burden of tax to another person. Tax shifting is carried out through the revision of price. Tax may be shifted forward, backward or partly forward and backward.

In case of forward shifting of tax a supplier is able to pass additional tax to the consumer through the increase in price of a commodity.

Forward shifting of tax is possible where the demand of a commodity is inelastic i.e. the responsiveness of demand to changes in price is proportionately lower e.g. increase of goods such as beer wines and spirits or cigarettes.

Backward shifting of tax occurs where the producer is unable to pass an increase of tax to his consumers but instead he negotiates lower purchase prices with the suppliers of factors of production.

Backward shifting of tax occurs where the demand of a commodity is elastic i.e. the responsiveness of demand to changes in price is greater proportionately e.g. increase of goods with substitutes such as soaps, detergents, cooking fat, milk e.t.c

FACTORS THAT INFLUENCE TAX SHIFTING

- **Elasticities of demand and supply**
The higher the elasticity of demand, the lower the incidence of tax on the consumer. The higher the elasticity of supply, the higher the incidence of tax on the consumer
- **Nature of markets**
In an oligopolistic market (few sellers and many buyers) tax shifting to the buyers is high since the few sellers can team up to determine the market price. For many sellers and many

buyers, a large portion of tax will be borne by the sellers. For a monopolistic market, the entire tax burden falls on the shoulders of the buyers.

- **Time available for adjustment**

The person who can adjust faster (buyer or seller) will be able to shift tax e.g. if the buyer can shift to substitute goods, the seller will bear the tax burden.

- **Government policy on pricing**

Incase of Government price control, the supplier cannot increase price hence cannot shift tax burden to buyers.

- **Geographical location**

If taxes are imposed only on certain regions, it is hard to shift them to consumers because consumers will move to regions of low tax.

- **Nature of tax (direct or indirect)**

Direct taxes e.g. income tax cannot be shifted whatsoever, while indirect taxes can be shifted through increase in prices.

- **Rate of tax**

If too high, shifting can occur backwards or forwards.

If too low, it can be absorbed by the manufacturer.

Key Terms

Impact of tax – It is the person on whom tax is imposed

Incidence of tax – It is the person on whom the money burden of tax rests i.e. payment

TAXABLE CAPACITY

This refers to the maximum tax which may be collected from a person without producing undesirable effects on him.

A good tax system ensures that a person pays tax to the extent that they can afford it. There are two aspects of taxable capacity. i.e.

- Absolute taxable capacity
- Relative taxable capacity

Absolute taxable capacity

It is measured in relation to the general economic conditions and circumstances of a person e.g. the industry to which a person belongs and the economic environment. Incase an individual having regard to his circumstances and the prevailing economic conditions pays more tax than he should, his taxable capacity would have been exceeded in the absolute sense.

Relative taxable capacity

It is measured by comparing the absolute taxable capacities of different persons or companies.

FACTORS THAT INFLUENCE TAXABLE CAPACITY

1. Number of inhabitants

The larger the number of inhabitants of a country the greater the capacity to pay tax

2. **Distribution of income and wealth.** If income and wealth are more equally distributed in the country, taxable capacity is reduced. However, if there are large disparities of income and wealth distribution in the country, taxable capacity is increased.

3. Methods of taxation used

A tax system that is modernized to include ICT and electronic equipment would increase taxable capacity. However, a tax system with complex laws and administrative difficulties for the government would reduce taxable capacity of the country.

4. Purpose of taxation

Incase public revenue is utilized to promote the welfare of citizens through provision of goods and services, taxable capacity is increased. However if public revenue is used to pay a huge wage bill for the civil servants and Members of Parliament including other factors such as loss of revenue through corruption, taxable capacity is reduced.

5. Psychology of the tax payers

This refers to the citizen's perception of the government. Incase citizens feel patriotic towards the country and they identify positively with the government activities, taxable capacity is improved.

6. Economic stability

Incase of a stable economy and increased employment opportunities taxable capacity is increased.

During economic depression which causes unemployment due to reduced economic activities, taxable capacity is reduced.

7. **Inflation** This is a situation of increasing price levels caused by increased demand. It reduces the purchasing power of money and also the taxable capacity of the country.

BUDGETARY OBJECTIVES AND FISCAL POLICIES

Budgetary and fiscal policy measures are adopted by the government to maintain economic stability in the country and to increase the rate of economic growth.

The main aspects of budgetary and fiscal policy include:

THE BUDGET

- A budget is a statement, which contains the government revenue and expenditure estimates for one particular year.
- If the government expenditure is greater than the revenue then it is known as a deficit budget.
- If the government revenue is greater than the government expenditure, it is known as a surplus budget.
- Where the government expenditure is equal to the government revenue it is known as a balanced budget.
- Budgets may be of two kinds;
 1. A revenue budget
 2. A capital budget
- A revenue budget relates to normal income and expenditure items.
- In a revenue budget the main sources of public revenue are:
 1. Custom duty
 2. Excise duty
 3. Income tax
 4. Corporation tax
 5. Income from sale of state property or assets
 6. Income from fees and court fines

The main expenditure heads of a revenue budget are:

1. Internal and External Defence
2. Administration
3. Education
4. Health
5. Collection of taxes

A capital budget relates to development projects. The main sources of income for a capital budget are loans and grants obtained by the government.

The main expenditure heads of a capital budget are:

1. Development projects.
2. Establishment of new industrial and agricultural projects.

BUDGETARY POLICY

- The budgetary policies are measures designed to achieve clearly defined budgetary objectives.
- Budgets are annual plans designed by the Government to achieve the economic objectives of:
 1. Price stability
 2. Capital accumulation
 3. Economic growth
 4. Equitable distribution of income
 5. Raising of government revenue for provision of services
- It is the major means by which the government regulates the economy.

- The government uses both fiscal and monetary instruments to achieve budgetary objectives.

The budget as an instrument of planning

The following facts indicate the importance of budgeting as an instrument of planning:

- The budget in the framework of economic planning is an overall regulator of all the determinants of economic growth.
- The budget can play a fundamental role in increasing the rate of capital accumulation and economic growth.
- With the increased responsibility of the government for adequate spending in a planned economy, the theory of sound finance and balanced budget may not be applied.
- The above facts indicate that the budget is an important instrument in the hands of the government to achieve the objectives of fiscal policy.

Key Terms

Budgetary policy – These are measures designed by the government to achieve specific economic objectives. The government uses the budget as a means of implementing budgetary policy.

Budget – It is a statement of estimated government revenue and expenditure for a particular year

ROLE OF TAXATION IN ACHIEVING BUDGETARY OBJECTIVES

FISCAL POLICY

- Fiscal policy is a combination of deliberate changes in expenditure programs, revenue and tax programs and debt management policy.
- The main objectives of fiscal policy are the following:
 - The achievement of a desirable price level.
 - The achievement of a desirable consumption level.
 - The achievement of a desirable employment level.
 - The achievement of a desirable income distribution.
- The maintenance of a desirable general price level means that prices must not fall because incomes of the producers will be minimized.
- Similarly the prices must not rise because fixed incomes are greatly decreased in value.
- The general stability of prices is associated with the stability of the economy
- The second main objective of fiscal policy is to attain a desirable level of consumption.
- To achieve this, consumption patterns are evaluated on the following bases;
 - The degree to which satisfaction is maximized.
 - The effect on the quantity of savings
 - The effect on the efficiency of human productive activity
- A good quantity and distribution of consumption must fulfil the three requirements.

- i) The efficient employment of all productive persons is the most important factor in determining the standards of living of individuals in any economy.
- j) The concept of full employment is considered a necessity for political stability and for maximising of production.
- k) The distribution of income largely determines the type of economic activity and the amount of saving which are closely related to prices, consumption and productivity of human resources.

FISCAL POLICIES IN UNDERDEVELOPED COUNTRIES

- a) An under-developed economy is one in which the output per capita is relatively low and productive efficiency is increased very slowly.
- b) The main reasons for slow increase in the productive efficiency is lack of capital.
- c) Capital formation is the main objective of fiscal policy.
- d) The main objectives of fiscal policy for under developed countries like Kenya are the following.
 - To increase the rate of investment by checking consumption.
 - Encouraging the flow of investment into channels which are most desirable from the point of view of society.
 - To regulate the flow of purchasing power in accordance with the requirements of the plan.
- e) The instruments of fiscal policy are the following:
 - Public expenditure
 - Public revenue
 - Public debt
- f) When a country faces the threat of inflation, the government raises taxes and cuts on public expenditure.
- g) During deflation the government increases its expenditure and reduces taxes so that unemployment may be decreased by increasing effective demand.
- h) Economic stability can be maintained by utilizing public loans on productive programmes.

EFFECTIVE TAX POLICY FOR A DEVELOPING COUNTRY

- a) A developing country must have a different tax policy from a developed country because:
 - Its Primary objective is to achieve a high level of economic development not merely economic stability.
 - Greater attention has to be paid to the maximization of revenue and not to the ability to achieve equity.
 - It has to follow a policy of active intervention in economic affairs and not Laissez faire.

- It aims at accelerating economic growth and not to reduce economic inequalities.
- b) A developing country must aim at raising the rate of savings by taxing the big industrialists and landlords and diverting consumption to productive enterprises.
- c) The tax policy must mobilise economic surplus i.e. excess of current output over essential consumption, for accelerating economic growth.
- d) In under- developed countries, greater attention needs to be paid to indirect taxes, because
 - These promote development by checking conspicuous consumption.
 - Mobilise resources for the public sector.
 - Increase the savings ratio.
- e) The aim of a suitable tax policy for under developed countries must be to direct resources from:
 - The private to the public sector.
 - Consumption goods industries to investment goods industries.
 - Import goods to export goods.

FISCAL POLICY REFORMS AND THEIR IMPACT ON GOVERNMENT REVENUE, EXPENDITURE AND ECONOMIC ACTIVITIES

The reasons why the tax authority has undertaken major reforms in the Kenyan tax systems are:

- To simplify the current tax systems.
- To minimize political interference.
- Current tax systems may not create the necessary economic impact.
- To be able to cope with changes in business structures. Especially technological changes.
- To minimize corruption among the tax officers.

MAJOR STEPS TAKEN BY THE GOVERNMENT TO MODERNIZE THE KENYAN TAX SYSTEM

The revenue reform and modernization program commenced in the year 2004 / 2005 with the objective of transforming the tax authority into a modern, fully integrated and client focused organization. The revenue administration reform and modernization entered its second phase which ran until 2008 / 2009 entrenching reforms to the operational levels in order to achieve efficiency and enhance service delivery through the implementation of the following key projects:

i) Customs reform and modernization projects.

This has been achieved through:

- Implementation of a fully function based customs structure and re-engineering of customs procedures from physically controlled checks to risk based and post clearance controls through strengthening of audits.
- Taking a lead in implementing an inter-agency review of border processing and clearance time to enhance service delivery at borders.

- Taking the lead at the regional level customs in addressing deficiencies in the E. African management Act in order to streamline the import and export process.
- Enhancement of the simba 2005 system functionality in critical areas.
- Enhancement of staff competencies in critical areas such as risk based approaches to cargo management and the adoption of post release verification and audit.

ii) Domestic taxes department reform and modernization project.

The project sought to create a domestic taxes department structured along the key tax administration functions; Taxpayers education and services, returns and payment processing audit, enforcement, collection and tax operation policy. These were achieved through;

- Implementation of an integrated tax management system that integrates both income tax and VAT operations and takes a single view of the taxpayer.
- Enhancement of service delivery by achieving a complete taxpayer segmentation through building capacity in the large tax office and developing programs targeting middle and small taxpayers.

iii) Road transport department reforms and modernization project.

Considerable progress has been made in automating the road transport department processes with the aim of automating all manual processing. Administration procedures have been simplified through record keeping and file tracking features that support front office operations. In addition, the reforms aim at achieving full connectivity of the transport department with all other departments at the tax authority

iv) Investigation and enforcement reforms and modernization.

This project sought to create a modern business intelligence unit that analyses data to assess the risks inherent in transactions and ownership relationships which constitute the basis for tax evasion schemes.

The project also sought to strengthen the prosecution units and implement an enforcement strategy to discourage tax malpractices by imposing maximum penalties and making public the names of tax evaders.

v) Infrastructure development reforms and modernization project.

The project was aimed at ensuring that projects in the reform program were given adequate support through timely acquisition and provision of needed facilities, upgrading of infrastructure and enhancement of assets and security management systems.

It was also aimed at boosting the capacity of the revenue authority to respond to the various needs of stakeholders through implementation of taxpayer education, integrity and accountability programs.

vi) Business automation project

The project sought to develop and implement IT strategies for the tax authority which promotes the integration of domestic tax administration and the exchange of information between domestic taxes department, customs and road transport departments.

vii) Human resource revitalization program.

The project sought to upgrade and diversify the skills base at the tax authority to international best practice standards, with emphasis on competence based management, recruitment and retention policy.

For the reform program to be successful it had to be built on strong administration structures that created and enhanced ownership. The tax authority also put in place an elaborate corporate governance structure for the reform and modernization project.

CHALLENGES FACED BY THE TAX AUTHORITY IN THE IMPLEMENTATION OF REFORMS

The challenges include:

- Inadequate funding.
- Stakeholders resistance to reform initiatives
- The need for sustained efforts in fighting corruption and tax fraud.
- Timelines of legislative changes.
- Human resource issues such as remuneration, skills and integrity.

Key terms

Per capita income – Is the total output or national income of a country divided by the total population.

Productive capacity – It is measured by the resources available to a country to produce goods and services.

Tax reform – This refers to the transformation or modernization of tax systems.

Automation – This refers to changing from manual tax systems to computer based systems

- Tax is a compulsory contribution by citizens to the government to enable it to meet its expenses for a common cause.
- A charge is a payment which can be compulsory or voluntary but which is related to the enjoyment of a certain benefit or privilege extended by the government.
- Tax encourages desirable economic activities by providing incentives which are allowed as deductions against taxable income or reduced tax rates.
- An optimal tax system is one that includes as many of the principles or canons of taxation as possible.
- Taxes maybe classified according to their effect e.g. direct and indirect taxes, tax base such as income taxes, corporation tax, custom duties or according to the rates of tax which include progressive rates, degressive rates, regressive rates and proportional rates.
- The impact of tax is the person on whom tax is imposed and who bears the responsibility of accounting for the tax to the authorities.
- The incidence of tax is on the person who bears the money burden of tax.
- Tax can be shifted forward, backward or partly forward or backward.
- Tax shifting is achieved through revision of prices
- Taxable capacity is measured through the maximum amount of tax which can be paid by a person without causing desirable effects on him.

- There are two aspects of taxable capacity i.e. absolute taxable capacity and relative taxable capacity.
- Budgetary policies are measures designed by the government to achieve specific objectives in the economy,
- Fiscal policy is a combination of measures designed to achieve desirable objectives in the economy.
- Instruments of fiscal policy include; public revenue, public expenditure and public debt

REVISION QUESTIONS

1. Write brief explanatory notes on the following miscellaneous sources of government revenue.
 - (a) Motor vehicle licenses
 - (b) Training levies
2. Define each of the following taxes and state its purpose
 - (a) Cess
 - (b) Property rates
 - (c) Stamp duty
 - (d) Roads and maintenance levy
3. Explain the following canons of a good tax system;
 - (a) Equality
 - (b) Economy
 - (c) Productivity
 - (d) Flexibility
4. (a) Distinguish between the impact and incidence of a tax.

(b) State the impact and incidence of the following taxes.
 - (i) Pay As You Earn (PAYE)
 - (ii) VAT on accountancy services
 - (iii) Import duty on motor vehicles not intended for resale
 - (iv) Excise duty on sugar
5. The following figures represent the projected Government revenue and budgeted expenditure for the year 2011 / 2012 for Kenya:

Projected Government Revenue	Sh. '000, 000'
Tax Revenue	
Income tax	55,079
VAT	32,907
Import duty	23,932
Excise duty	29,091
Non – Tax income	19,002
	<u>160,011</u>
Budgeted Expenditure	
Salary and wages	56,411
Debt services	58,577
Operations and maintenance	38,859
Development expenditure	17,430
Other expenditure	8,893
Total expenditure	<u>180,175</u>

Required:

- Comment on the relationship between projected revenue and budgeted expenditure as shown by the above figures. (4 Marks)
 - Explain briefly four additional sources of funds to the Government other than the ones tabulated above, show clearly the constraints involved in using it as a source of funds. (6 Marks)
 - What are the economic consequences of increasing the Value Added Tax rate to raise additional revenue for the Government. (5 Marks)
 - Many of the big businesses in Kenya pay all the four types of taxes shown in the table. The Minister for finance is moving towards creating a 'one tax point' system for businesses. Specify the major advantages likely to be provided by this system. (5 Marks)
- (Total: 20 Marks)**

- The Kenya Revenue Authority (KRA) is geared towards a function-based organization rather than one structured along the types of taxes. This evidenced by the integration of VAT, Income Tax and Excise departments into the Domestic Taxes Department. Assess the likely benefits and drawbacks to KRA arising from integration. (10 Marks)
- Advancements in Information Communication Technology (ICT) among other areas have resulted in both positive and negative effects on the administration of tax. Discuss 4 positive effects and 2 negative effects of technological advancement on administration of tax in your country. (12 Marks)

SUGGESTED SOLUTION:

1. (a) Motor vehicle licenses – These are charges or levies imposed on owners of motor vehicles by the government before granting them licenses.
 (b) Training Levies – These are charges collected through hotels to support training in hotel colleges e.g. Utalii hotel
2. (a) Cess – This is a levy that is charged by rural local authorities on commercial activities within the local authority e.g. harvesting of sand, building materials, traders etc. the revenue collected is used to develop roads, hospitals and provision of other services by the local authority.
 (b) Property rates – These are charged by the local authorities on owners of property such as land or buildings within the local authority.
 (c) Stamp duty – This is a tax that is levied on transfer of properties and on certain instruments. The purpose of stamp duty is to legalise the transactions.
 (d) Roads and maintenance levy – This is charged on road users in the prices of petroleum product. The revenue collected is used to maintain roads.
3. (a) Canon of Equality – it means that every person should pay tax according to his ability and proportion of income the rich should pay more tax than the poor and a higher proportion of their income.
 (b) Canon of Economy – The tax system should be economical to both the taxpayers and the government. Incase of the taxpayers, they should be left with sufficient income after payment of tax for saving and investment. The tax system should also be economical to the government in that the cost of collections and administration of tax should not exceed the revenue expected.
 (c) Canon of Productivity – The tax system should yield substantial amounts of revenue to the government. A few taxes, that yield high amounts of revenue are preferable to a variety of taxes that yield low amounts of revenue.
 (d) Canon of Flexibility – the tax system should not be rigid. In that the tax sections of the law should be easy to amend or discard by the state where it is necessary.
4. (a) Impact of Tax – this is the person on whom tax is imposed and who has the responsibility of accounting for the tax to the tax authorities
 Incidence of Tax – This is the person who bears the money burden of tax.

	Impact	Incidence
(i) PAYE	Salary of employee	Salary of employee
(ii) VAT on Accountancy services	Supplier of accountancy services	Client or customer
(iii) Duty on motor vehicle not intended for resale	Importer of motor vehicle	Importer of motor vehicle
(iv) Excise duty on sugar	Producer of sugar	Consumer

5 (a) **Relationship between projected revenue and budgeted expenditure** – The budgeted expenditure is greater than the projected revenue of the government hence the budget is in deficit.

(c) **Additional sources of government revenue:**

- **Internal borrowing** – the government may borrow funds through sales of treasury bills and bonds by the central bank on its behalf. The effect of internal borrowing is to deny the private sector access to the same funds. This has an adverse effect on productivity and employment in the economy.
- **External borrowing** - the government may borrow funds from the World Bank or IMF. This has the effect of increasing the heavy burden of debt.
- **Sale of national assets** – The government may sell shares in state corporations. This is only a one time solution to the budget deficit problem. It may not be available in future when the government is faced with a budget deficit.
- **Aid and grants** – The government may receive Aid and grants from donor countries. The amounts may not be sufficient to meet the budget deficit. In addition it is given on strict terms and conditions which maybe humiliating to the country.

(c) **Economic consequences of increasing the rate of VAT to raise additional revenue for the government.**

Additional VAT imposed on the prices of goods and services will increase the price levels in the economy and hence the cost of living.

Workers will demand increased wages and salaries to cope with the increased cost of living. This will in turn increase the cost of production for the manufacturer who may also increase his prices to cover the increased cost, which will lead to inflation in the economy

(d) **Advantages of a one tax point system.**

- (i) Information may be shared by the different departments
- (ii) Tax evasion is reduced
- (iii) Efficiency in monitoring tax compliance is increased
- (iv) Duplication of resources is reduced leading to savings
- (v) Tax payers can be assessed for all taxes at the same point.

6. Benefits as a result of integration of the departments into domestic taxes department (DTD)

- The integration has eliminated duplication of functions, leading to resource savings that can be applied to other critical areas such automation.
- It has led to enhanced taxpayer compliance and risk assessment, given that taxpayers are monitored for all taxes and there is more sharing of information.
- There is better relationship with the clients since they are no longer subjected to separate audits from income tax and VAT officers. This is due to a better co-ordinated approach to tax audits and taxpayer education.
- The management is able to monitor the effectiveness of tax audits and other programs in totality as opposed to the previous situation where one program was being performed across different departments. Integration has reduced the likely incidence of corruption as a

taxpayer s now likely to be audited by a team and not an individual officer from a single department.

- Information sharing is possible.

Drawbacks from integration

- Lack of clear responsibilities – previously it was possible to place responsibilities for attaining targets on various commissioners be it for customs and excise, VAT, income tax etc. variations were easier to spot. Currently this is not possible since all departments are integrated into one.
- Tax payers do not know clearly whom to report to at KRA i.e. whether they fall under large tax payers unit or otherwise since there are no clear guidelines.

7. The effects of Information Communication Technology (ICT) on tax administration

(i) Positive effects

- Efficiency in tax collection – due to employment of computerized tax points, it is easier to correct revenue faster and more accurately since all the sales are made through a computer system.
- Economy – due to the shift from manual to a computerized system, tax payers are able to file their returns online thus making it more time saving and less costly.
- Convenience – the system of filing tax returns online is convenient to both the revenue authority and the tax payers since they do not have to queue to file returns manual. Incase of the revenue authority it is easier to use a software to do most of the work that was previously done by a number of employees
- Flexibility – A computerized tax system is also flexible considering that if changes are to be made, it is “just a click” away.

(ii) Negative effects

- Easy of tax evasion and avoidance - considering that it is a computerized system there exists chances that crude people can try to override the system to avoid paying tax

Security threats – in this era of computers, hackers has a chance to perfect their ill motives. This does not exclude a computerized taxsystem

TOPIC 7

TAXATION OF INCOME OF PERSONS

INTRODUCTION

Income tax is charged under the income tax Act (Cap 470) which contains rules and regulations relating to the following:

- Ascertainment of income
- Assessment of tax
- Collection of tax
- Entitlement of personal relief

S.3 (1) of the income tax act states that:

“Subject to, and in accordance with this Act, a tax to be known as income tax shall be charged for each year of income upon all the income of a person, whether resident or non-resident, which accrued in or was derived from Kenya.”

S.3 (2) of the income tax act states

‘Subject to this act, income upon which tax is chargeable is income in respect of

- a. Gains or profits from
 - i) A business for whatever period of time carried on
 - ii) Employment or service rendered
 - iii) A right granted to another person for use or occupation of property
- b. Dividends or Interest
- c. Pension income or withdrawal from a registered provident and provident fund.
- d. Any withdrawal from a registered Home Ownership Saving Plan
- e. Any deemed income
- f. Gains from transfer of property

The income tax Act (Cap 470) was enacted in 1973, and its date of commencement was January 1974. It replaced the East Africa Income Tax Management Act, which had served the countries of the East Africa Community, and which became outdated following the break up of the community. Income tax is charged for each year of income on all income of a person, whether resident or non-resident, which accrues in or is derived from Kenya.

Year of income and accounting year

Year of Income is a period of 12 months commencing 1 January and ending on 31 December in each year. It is the same as calendar year.

Income tax is charged for each year of income.

The year of income should be distinguished from the accounting year. There is a date to which accounts of a business are prepared each year, and this date would indicate the accounting year end. The accounting year ending on 31 December would coincide with the year of income.

Other accounting year-ends would however fall in a given year of income and the profit or loss per the accounts would be for that year of income. For example, an accounting date ended 31 May 2015 would fall to be treated as the year of Income 2015

TAXABLE AND NON TAXABLE PERSONS

A person whose income is taxed is either:

- a) An individual i.e. a natural person; or
- b) A legal person e.g. a company. The company here includes a Trust, Co-operative Society, Estate, Club, Trade Association etc.

A taxable person does not include a partnership. A partnership is not taxed on its income, but the partners are taxed on their share of profit or loss from the partnership. However, under Turnover Tax ((TOT), a taxable person has been defined to include a partnership.

Resident and non-resident persons

There are conditions for being a resident in case of an individual and also in case of a body of persons.

- a) Resident in relation to an individual means that the individual:
 - i) Has a permanent home in Kenya and was present in Kenya for any period during the year of income under consideration; or
 - ii) Has no permanent home on Kenya but was present in Kenya for a period or periods amounting in total to 183 days or more during the year of income under consideration; or
 - iii) Has no permanent home in Kenya but was present in Kenya for any period during the year of income under consideration and in the two preceding years of income for periods averaging more than 122 days for the three years.

Residence in relation to a company

A company is considered to be a resident in any year of income if:

1. It is incorporated in Kenya under the laws of Kenya.
2. Management and control of the affairs of the company was exercised in Kenya during the year of income under consideration.
3. The company has been declared by the Minister for finance to be a resident for any year of income through a notice in the Kenya gazette.

The significance of the concept of residence

The importance of residence is shown in the differences in the tax treatment of income derived by residents and non-residents e.g.

Resident	Non-resident
• Employment income arising in Kenya and other sources outside Kenya are taxable.	• Employment income arising only From Kenya is taxable.
• In case of individuals personal relief is granted as a deduction against tax liability.	• Individuals cannot claim personal relief as a deduction from tax liability.
• Pension Income - The first Sh.600,000 received in lump sum is tax exempt. In case of Periodic payment, the first Sh.300, 000 p.a. is tax exempt.	• The gross pension income received for services rendered in Kenya is subject to withholding tax of 5% As the final tax.
• Rental Income - The income from property less allowable expenses is taxed using the graduated scale for individuals or corporation tax for a company.	• The gross rental income is subject to withholding tax of 30% as the final tax.
• Royalty Income – • Gross royalties are subject to withholding of 5%.	• Gross royalties are subject to withholding tax at the rate of 20% as the final tax.
• Gross royalties net of allowable expenses are taxed using the corporation tax for a company.	
• In case of companies, profits are taxed at the rate of 30%.	• In case of companies the profits are taxed at the rate of 37.5%.

SOURCES OF TAXABLE INCOME

Tax treatment of residents and non-residents

- (i) Residents and non-residents of Kenya are taxable only on income derive from Kenya. In general income earned outside Kenya even if remitted into Kenya is not taxable.
- (ii) There is the exception in respect of residents who with regard to employment income are taxable on all such income derived from services rendered in or outside Kenya.
- (iii) Where a non-resident company has a permanent establishment in Kenya (e.g. a branch or office) its treatment for tax purposes is the same as for a resident company. But its tax rate is for the non- resident rate. A non-resident without a permanent establishment in Kenya, is subjected to withholding tax on all income derived from Kenya
- (iv) Where a Kenyan business is carried on partly in Kenya and partly in a foreign country all income is chargeable to tax irrespective of whether or not it has been derived from Kenya.
- (v) Where a non-resident is involved in carrying on business within Kenya of manufacturing, growing, mining or harvesting for delivery or use in his business outside Kenya then the gains and profits of that business are income derive from Kenya and is taxable at full open market value of the goods in question.
- (vi) A bank operated in Kenya by a non-resident owner which holds some of its deposits derive from Kenya outside Kenya, should account for the income from such deposits to tax in Kenya as such income is considered to be derived from Kenya.

Taxable income is classified according to specified sources.

The income tax Act lays down six categories of income or specified sources of income as follows:

- Gains from employment for services rendered.
- Profit from business such as trade, manufacture, vacation, adventure e.t.c
- Gains from the rights granted for use or occupation of property e.g. rental income or royalty income.
- Profits from farming or commercial agricultural activities e.g. horticulture
- Investment income such as dividends and interest income.
- Any other source of income that is chargeable to tax or unspecified sources e.g. pension income, insurance annuities e.t.c.

From 1 January 1979, losses incurred in any specified source may only be offset against income from the same source in the following or future years. From 1 January 2010 this will be for the subsequent four years unless an extension application is made and approved by the minister.

Note:

- i) The circumstances involving a transaction are very important such as purchase, quantity and the price offered. This determines the intention of a person.

RUTLEDGE v COMMISSIONER OF INLAND REVENUE 14T.C 490

The appellant was a money lender who was in 1920 interested in a cinema company. He had since that time been interested in various other businesses. Being in Berlin in 1920 on a business connected with the cinema company, he was offered an opportunity of purchasing very cheaply a large quantity of toilet rolls. He effected the purchase and within a short time of his return to England, he sold the whole consignment to one person at a considerable profit. He was assessed on that profit.

Held:

The appellant had bought a large stock of toilet rolls with a speculative intention as the quantity was too large for private consumption. He went through the process that an ordinary trader would do in business. The purchase and resale of the stock was an adventure in the nature of trade. Hence the profits were taxable as gains from an adventure.

ii) Profits from illegal trade or transactions are taxable business income

MANN v NASH 16 T.C. 523

The appellant who carried on the business of providing automatic machines for public use, dealt in and entered into arrangements for exploiting certain automatic machines, the use of which had been declared illegal. The machines were setup in the premises to which the public resorted and the profits arising there from were divided between the appellant and the occupier of the premises.

Held:

The profits were chargeable to tax the income tax act restricts its self to business whether the transaction is legal or not, however penalties are disallowed.

Key terms

Permanent establishment – a branch or office operated in Kenya by a non-resident company for a period of at least six months.

Open market value – This is defined as the value determined on the basis of the transaction without regard to any relationship between the buyer and seller.

NON- TAXABLE INCOME

- (i) These are incomes received by a person which are neither taxable nor are they listed as exempt under the 1st schedule of the income tax Act.

In practice such incomes are not usually subject to tax e.g. Harambee collections, donations e.t.c

N/B: with effect from January 2012 lottery winnings and bettings are subject to withholding tax at the rate of 20%.

- (ii) Interest with effect from 1 January 1996 not exceeding Sh. 300,000 known as “qualified interest” and by earned by an individual or jointly by wife and husband on housing development bond accounts with:

- HFCK
- Savings and Loan
- Eco Bank

i.e. institutions approved by the minister. The interest on housing development bond is subject to withholding tax of 10% which is treated as the final tax.

- (iii) With effect from 1 January 1996, income from a registered home ownership savings plan.

- (iv) Interest to non-residents on the following securities:

- Kenya Government Stocks
- Nairobi City Council Stocks

- (v) Dividend income of a registered venture capital company effective 1 September 1996.

- (vi) Dividend income of a resident company received from a company in which the resident company holds more than 12 ½% of the voting power.

- (vii) A dividend received as income by a financial institution specified in the fourth schedule of the income tax Act.

NB

The financial institutions specified in the fourth schedule of the income tax Act, include:

- Banking institutions
- Insurance companies
- Co-operative societies
- Building societies

- (viii) The first Sh. 600,000 received in lumpsum by an individual from a registered pension scheme or Sh. 300,000 received in periodic amounts are exempted from tax.

Key terms

Venture Capital Company – This is a company that enables a start up company with a high potential of growth to obtain capital by investing in the shares of that company for long term.

Government Stocks – These are securities traded on behalf of the government by the central bank to raise funds for public expenditure. Examples include treasury bills and bonds.

TAXABLE AND NON TAXABLE PERSONS AND INSTITUTIONS

Income is exempted from tax if it is specifically included in the first schedule of the income tax Act. Exempted income includes:

1. Salary and allowances paid to the president of the republic of Kenya out of the consolidated fund.
Allowances paid to the vice president, ministers MP's, speaker and deputy speaker of the National Assembly.
N/B: under the new constitution passed on August 2010, constitutional office holders and all other public servants are chargeable to tax on all their income.
2. Income of a registered pension fund or scheme.
3. Income of local authorities in form of rates, fees, fines, penalties e.t.c
4. Income of certain parastatals such as national irrigation board.
5. Income of amateur sporting associations subject to the following conditions:
 - The main objective of the association is to foster or control an outdoor sporting activity.
 - The members are amateurs and not professionals.
 - Its memorandum of association or articles states that any member who becomes professional will be discontinued from the association.
6. Income of religious bodies, charitable organizations, educational institutions and trusts. Such organizations are exempted from tax where they are:
 - Public in character and serve the whole or a section of the public.
 - Set up solely for the purpose of relief of distress or poverty in Kenya.
 - Set up for the advancement of religion or education in Kenya.

The income of such bodies is expended in Kenya or its expenditure will result into benefit to Kenyan residents.

TAX EVASION

This is where the taxpayers deliberately avoid paying tax by not declaring the true income or by claiming higher expenses to offset against income, or by making claims for allowances and / or relief to which a person is not entitled. All these acts are illegal and when the person evading tax is caught he will be required to pay penalties and fines and may also end up in prison.

CAUSES OF TAX EVASION

(1) High Rates of Taxation

The prevailing high rates of taxation are one of the main causes of evasion. It cannot be denied that the higher the rate or tax, the greater will be the temptation for evasion. However the tax rates by themselves are not to blame for the larger extent of evasion in the country.

(2) Complexity in Tax Laws:

The complicated provisions of the Tax Acts, not all of which are easily understandable, are also responsible, to some extent, for tax evasion. The average tax payer has inevitably to seek the assistance of tax consultants whose advice may also assist the tax payer in tax evasion and avoidance.

(3) Inadequacy of powers

The inadequacy of the powers vested in the personnel of the department is yet another cause for tax evasion. The information relating to income and expenditure etc. are known only to the tax payers and if he does not disclose all of them to the assessing officers, the task of the latter in determining the correct tax liability becomes very difficult.

TAX AVOIDANCE

Tax avoidance is where the taxpayer arranges his affairs and finances in such a way as to reduce his tax liability. Taxes can considerably be reduced if one is aware of loopholes existing in the tax law which the government itself provides to tax payers. By using reliefs and allowances, one could reduce his tax liability or avoid taxes altogether and yet remain on the right side of the law.

By exempting certain incomes from tax or by taxing it at reduced rates, the government can channelize investments and savings according to its prevailing economic policies. For instance, the provisions regarding deductions allowed for setting up industries in rural areas help the government in ensuring balanced regional development. Similarly, the provisions relating to the granting of tax benefits on savings are also intended not only to encourage savings but also to ensure the flow of savings into desired channels.

In general, tax can be avoided or reduced by claiming:-

- Income as totally exempted from tax e.g. interest from savings account at Kenya Post Office Saving Bank.
- Income which is subjected to withholding tax only e.g. interest from Housing Development bonds of up to Sh. 300,000.
- Reliefs and allowances i.e. personal relief, interest on mortgage on owner occupied house, investment allowance etc.

N/B. One should not decide on an investment merely because of the higher rate of interest given. The actual return will have to be worked out taking into account the rate of interest and the tax benefits available on the income received from the investment

Key Terms

Withholding Tax – This is tax that is deducted at source i.e. at the point where income is received

Final Tax – It means that the tax suffered is all the tax there is, and no more.

Dividend income – It is income received on investments such as shares in company's.

Qualifying dividend – It is subject to withholding tax at source of 5% which is the final tax.

Non-qualifying dividend – It is subject to withholding tax of 15% at source which is not the final tax

ALLOWABLE AND NON – ALLOWABLE DEDUCTIONS

ALLOWABLE DEDUCTIONS

When determining the taxable income of a business certain expenses are said to be allowable or deductible against taxable income. Sec 15(1) of Income tax act generally allows expenses that are wholly and exclusively incurred in the production of income. These are usually normal commercial expenses of a business such as wages, salaries, purchases, transport, rent, water etc.

When determining expenses which are wholly and exclusively incurred in production of income, the nature of business has to be considered because allowable expenses will differ from one type of business to another.

Example 1

Farming e.g. in case of a coffee farmer, allowable expenses will consist of wages of farm workers, fertilizers, picking of coffee, transport of coffee to the factory, mulching etc.

Example 2

In case of a transport business, allowable expenses will include salaries to drivers and touts, cost of fuel and oils, tyres, repairs and maintenance e.t.c.

Example 3

In case of a hotel, allowable expenses will include; purchase of foodstuffs, soft drinks, mineral water, salaries to waiters, electricity bills etc.

Sec 15(2) of the income tax Act specifically identifies the expenses that are wholly and exclusively incurred in the production of income and which are allowable or deductible against taxable income. These include:

1. The amount of trade and bad debts written off.

These bad debts must arise in the sale of trading stock or services on credit e.g. bad debts arising from sale of an asset or loans granted to friends are not allowable expenses since these are not trade bad debts

2. Specific provision for doubtful and bad trade debts e.g. debt owed by a particular individual or company.
3. Any Capital expenditure for prevention of soil erosion in a farm land. This expenditure must be incurred by the farmer or occupier of the farm land e.g. the cost of construction of gabions, terraces, windbreaks e.t.c
4. Capital expenditure on clearing and planting permanent or semi permanent crops such as sisal, coconuts, cashew nuts, bananas, tea, roses etc
5. Pre- trading expenses (preliminary expenses) incurred before the commencement of the business which would otherwise be allowable if the business was in operation e.g. in case of a farmer, the cost of cultivation, fertilizers before harvesting to obtain farming income could be allowable expenses. Consequently in case of a new hotel the cost of recruiting and training of staff before the commencement of the hotel business would be allowable expenses.
6. Legal costs and stamp duty.
The following legal expenses are specifically allowable:
 - a) For preparation of a lease agreement which does not exceed 99 years.
 - b) For collection of trade bad debts e.g. the legal expenses of filing a suit against a defaulting debtor.
 - c) For preparation of staff contracts when recruiting new employees.
 - d) When incurred in the floatation of shares by a company for the first time when the company is getting quoted in the stock exchange. Such shares must be issued to the members of public.
7. The expenditure on the structural alteration to enable premises to be let out. e.g. The cost of sub-division of open rooms in a house which is necessary to maintain the existing rent.

N/B: If the structural alterations lead to increase in rent income it is a disallowable expense.

8. Mortgage interest not exceeding Sh. 150,000 on borrowings in respect of owner occupied houses.
9. Club subscription paid by the employer on behalf of an employee with effect from 1 January 2006
10. Cash donations to charitable organizations subject to the income tax regulations 2007.
11. Expenditure on the construction of a public school, hospital, roads or any kind of social infrastructure upon approval of the minister.
12. Diminution / decrease in value of loose tools and implements.
 - The allowable amount is $\frac{1}{3}$ of the cost per annum. i.e. the cost is written off over 3 years on straight- line basis
13. The annual entrance and subscription fees paid by a company or an individual in case of a sole proprietorship to a trade association such as Kenya association of manufacturers (KAM), Kenya chamber of commerce and industry (KCCI), Federation of Kenya employers (FKE)
 - For the annual subscription to be allowable the trade association must have elected under Sec 21(2) of the Income Tax Act to be treated as a trading association and must have given such a notice to the commissioner i.e. The annual subscription is taxed on the trade association.

N/B

- Members clubs and trade associations will not be deemed to be trading if 75% or more of their gross income is inform of members subscriptions.
14. The expenditure incurred for scientific research, whether capital or revenue expenditure.
 15. The amount of contribution to a scientific research institution approved by the commissioner and which undertakes research related to the class of business of the contributor e.g. Ruiru coffee research.
 16. The amount of contribution to a university or research institution approved by commissioner for scientific research e.g. AMREF, Nairobi University, KEMRI, KARI e.t.c.
 - The research must be related to the class of business of the contributor.
 17. The contribution by the employer on behalf of employees to National Pension Scheme except NSSF.
 18. The expenditure on advertising to directly or indirectly promote the sale of goods or services provided by a given business e.g. adverts on TV, radio, calendars, journals, newspapers, horse races, rally cars, golf tournaments etc

N/B

- The advertisements inform of passenger shades at bus stops, signboards, neon light and signs are of capital nature thus disallowable expenses.
 - However these qualify for wear and tear allowances.
19. The amount of interest on money borrowed and used in production of income e.g. interest charges on loans, debentures, overdrafts etc
 20. The amount of loss brought forward from the previous year, such a loss is only allowable against the future income of the same source that generated the loss.
 21. The amount of realized foreign exchange loss of revenue or capital nature.
 22. All the capital deductions or allowable capital allowances specified in the second schedule of income tax Act. Which include:
 - a) Wear and tear allowances
 - b) Investment allowance / deduction
 - c) Industrial building deduction
 - d) Farm work deduction
 - e) Mining investment deduction
 - f) Shipping investment deduction
 23. The amount of trading loss of the business
 - A trading loss occurs where a business is a going concern and all the assets in a class of wear and tear allowance are sold/ disposed off at a value that is less than written down value of the assets in the same class.

N/B

If a business is under liquidation and such assets are sold at a value that is less than the written down value brought forward of assets in the same class of wear and tare allowances, it is called a balancing deduction, which is allowable against the taxable income

NON ALLOWABLE DEDUCTIONS

These are expenses not wholly and exclusively incurred by a person in the production of income. Usually these expenses are added back to the reported accounting profit since such expenses cannot be traced to the profits generated by the firm.

These are not commercial expenses of the business and include:

1. The expenditure or capital loss in form of depreciation, amortization, loss on sale of assets, writing off of assets etc

N/B

These are disallowed and capital deductions are granted instead.

2. General provisions for bad debts e.g. a provision equal 5% of all debtors.
3. Amount of personal expenditure incurred by an individual in the maintenance of himself or, his family or for domestic purpose e.g. entertainment expenses for private purposes, educational fees, personal traveling expenses, medical expenses for an individual paid by the company, hotel and catering expenses except:
 - When on a business trip
 - During training or work related conferences or business
 - Meals provided to low income employees at the employers premises
4. Pension payments, annuity premiums and contributions to pension provident schemes and funds except for those registered.
5. Legal expenses
 - The following legal expenses are specifically disallowable
 - For purchase of a house.
 - For preparation of memorandum of Association or a partnership deed.
 - For preparation of trade agreement or contract.
 - In defense of criminal charges/ proceedings.
 - In preparation of a lease agreement of more than 99 years.
 - In relation to floatation of shares for private subscription.
 - In relation to tax appeal, tribunal or local committee.
 - When issuing additional shares on the stock exchange in case of a company already quoted.
6. The amount of reserves and provisions other than specific provision for bad debts.
7. Any type of taxes paid by the person e.g. VAT, customs and excise etc.
8. Unrealized foreign exchange losses of revenue or capital nature.
9. The amount of expenditure or loss recoverable under insurance contract or indemnity.
10. The amount of expenditure in the production of income by a non – resident person with no permanent establishment in Kenya. The gross incomes of such persons are subject to withholding tax at specific rates which are final.

11. Interest payments by a non- resident controlled company to the extent that the loans made to that company exceed the greater of three times the sum of paid up capital and revenue reserves or the sum of all loans acquired prior to 16th June 1988 and still outstanding.

TAX DEFICITS

Tax deficits refer to business losses incurred in the cause of business for any particular year of income.

From 1 January 2010 tax losses for a year can only be carried forward for four years. If not utilized the losses will be lost unless an application for extension is made based on provision of evidence of the inability to extinguish the deficit and approval received from the minister. Previously there was no time limit on the carry forward of tax lost.

The income tax Act lays down six categories of income or specified sources of income as follows:

- Rents from immovable property.
- Employment and self employment income
- Wife's employment, self-employment and professional income.
- Agricultural, pastoral, horticultural, forestry and similar activities.
- Surplus funds from registered pension or provident funds.

From 1 January 1979, losses incurred in any specified source may only be offset against income from the same source in the following or future years. From 1 January 2010 this will be for the subsequent four years unless an extension application is made and approved by the minister.

Capital losses cannot be set off against trading income.

No allowance is made for a terminal loss but certain expenditure incurred after the cessation of a business may be regarded as incurred in the year in the business ceased

From 1 January 1987, interest paid on money borrowed to finance investment is restricted for tax purposes to the amount of investment income (excluding income for most dividends) in the same year, any excess being carried forward.

BUSINESS INCOME

Business includes any trade, manufacture, adventure and any concern in the nature of trade but not employment.

- The business profit reported for accounting purposes is different from the taxable profit.

The difference is due to the following:

- Certain expenses allowed for accounting purposes are not allowable expenses for tax purposes e.g. depreciation, provisions for bad debts, taxes paid e.t.c
- The profit reported for accounting purposes excludes capital expenditures. However capital allowances are granted on capital expenditures as allowable expenses for tax purposes.
- The profit reported for accounting purposes may include non taxable income such as gain on sale of fixed assets.

- The profit reported for accounting purposes may exclude taxable income such as income from illegal trading activities.

COMPUTATION OF TAXABLE PROFIT OR LOSS

The profit reported for accounting purposes may be adjusted to determine the profit required for tax purposes:

The adjustment may be carried out based on:

- The net profit per accounts.
- The gross profit per accounts

Taxations of sole proprietorship

A sole proprietor does not have a separate legal entity and for this purpose it is not treated as a separate taxable entity. Thus gains or profits from this form of business is taken to be income of the individual running the business and will be taxed on him using the graduated scale rate of tax.

This is illustrated below:

	Sh.	Sh.
<u>Net profit per accounts</u>		XX
<u>Add:</u>		
Disallowable expenses		XX
<u>Deduct:</u>		
Non-taxable incomes	XX	
Allowable expenses not yet		
Deducted e.g. wear and tear allowances	XX	
Non business incomes	<u>XX</u>	<u>(XX)</u>
Adjusted business profit (loss)		XX
<u>Add:</u>		
Other taxable income		<u>XX</u>
Total taxable income		<u>XX</u>

OR

	Sh.	Sh.
<u>Gross profit per accounts</u>		XX
<u>Add:</u>		
Business income e.g. discounts		XX
<u>Deduct:</u>		
Allowable expenses		<u>(XX)</u>
Business profit (loss)		XX
<u>Add:</u>		
Other taxable income		XX
Total taxable income		<u>XX</u>

QUESTION:

- (a) Highlight four benefits of progressive taxes to a country . (4 Marks)
- (b) Mr. A. Kimiti prepared the following profit and loss account for his business for the year ended 31 December 2011

	Sh.	Sh.
Income		
Sales		18,400,000
Discount received		600,000
Profit on sales of shares		100,000
Foreign dividends received		15,000
Foreign exchange gain		35,600
Insurance recovery on stolen stock		180,000
		<u>19,330,600</u>
Expenditure		
Purchases	12,800,000	
Salaries	1,200,000	
Audit Fee	45,000	
Tax consultancy fee	30,000	
Legal expenses	325,000	
Licenses & Permits	64,000	
Depreciation	145,600	
Loss on sale of equipment	78,400	
Bank Charges	44,200	
Donations to a political party	50,000	
Subscriptions	12,800	
Repairs & Maintenance	174,200	
Rent & Rates	150,000	
Purchase of loose tools	90,000	
Commission & brokerage tools	<u>23,000</u>	(15,232,700)
		<u><u>4,097,900</u></u>

Additional Information:

1. Legal expenses comprise:	Sh.
• Employment contracts	5,000
• Acquisition of trademark	80,000
• Successful defense of a legal suit for breach of a trade contrac	200,000
• Debt collection	<u>40,000</u>
	<u>325,000</u>

2. Subscriptions comprise:	Sh.
• Chamber of commerce and industry	2,800
• Child care international	8,000
• Golf club membership	<u>2,000</u>
	<u>12,800</u>

3. Repairs and maintenances expense includes Sh. 74,200 used for the renovation of a store.

4. Capital allowance were agreed with the tax authorities at Sh. 680,000.

Required

- (i) Prepare the adjusted taxable profit or loss for Mr. A. Kimiti for the year ended 31 December 2011 (12 Marks)
 - (ii) Determine the tax payable (if any), from the computations in (i) above (2 Marks)
 - (iii) Indicate the latest date for submission of tax returns by Mr. A. Kimiti. (2 Marks)
- (Total: 20 Marks)**

ANSWER:

Benefits of progressive taxes

1. Equality – The taxes enhance equity since the rates of tax increase as income increases, hence the rich pay more tax than the poor.
2. Income redistribution – The objective of income redistribution is achieved by taxing the rich more and using the revenue to provide public goods and services to poorer regions of the country.
3. Productivity – More tax revenue is collected for the country since the rich are taxed more and at higher rates of tax.
4. Economical – The cost of collection and administration to the government is minimal since the taxes are collected through agents e.g. employers.

Mr. Kimiti

2011 computation of adjusted profit (loss)

	Sh.	Sh.
Net profit per accounts		4,097,900
Add:		
Tax consultancy fee	30,000	
Legal expenses: Trade mark	80,000	
Breach of contract	200,000	
Depreciation	145,600	
Loss on sale of equipment	78,400	
Subscriptions – Child care	8,000	
-Club membership	2,000	
Renovation of store	74,200	
Donation to political party	50,000	
Loose tools	<u>90,000</u>	758,200

Deduct:

Profit on sale of shares	100,000	
Foreign dividends received	15,000	
Capital allowances	<u>680,000</u>	<u>(795,000)</u>
Adjusted profit (loss)		<u>4,061,100</u>
ii) Tax computation		
First Sh. $(121,968 \times 10\%) + (114,912 @ 60\%)$		81,144
Surplus $(4061100 - 466704) @ 30\%$		<u>1078318.8</u>
		1,159,462.8
Less p/relief		<u>(13944)</u>
Tax payable		<u>1,145,518.8</u>

TAXATION OF INDIVIDUALS**INDIVIDUALS**

Income from employment or services rendered S.3 (2) (a) (ii)

Income tax is imposed on the gains or profits from any employment or services rendered.

Employment is not legally defined but covers any relationship between master and servant arising from a contract or agreement. The scope of S.3 (2) (a) (ii) extends to services rendered by one person to another, other than in the course of employment or as part of business.

D.S TRIVEDI V CIT

The appellant, a practicing accountant was asked by a friend the managing director of a company to effect the sale of an estate belonging to the company. The appellant took little action to find a purchaser but succeeded in effecting a sale to another friend and was paid commission of £7,500. The appellant have never previously negotiated the sale of any property.

The appellant was assessed to income tax on the commission. He appealed to the local committee on the grounds that the commission was not a taxable receipt as it arose from services rendered and not either from business or employment. The appeal went up to the court of appeal for Eastern Africa.

Held:

1. The commission was gains or profits from a business and was taxable.
2. The commission was also gains from profit from employment.

Important definitions:

Employer – For purposes of PAYE, the term employer includes:

- An agent, manager or other representative in Kenya of any employer who is outside Kenya.
- Any person having control over employment and remuneration.
- Any paying office of the government or other public authority.
- Any trust or insurance company or other body paying pension to individuals.

Employee- This refers to any holder of an appointment or office whether public or otherwise for which remuneration is payable.

In this case employees include cabinet ministers, company CEOs, civil servants e.t.c.

In addition, retirees receiving pension income are also charged to tax under the PAYE system where they exceed Ksh 300,000 per annum.

Paying point- This is the place where remuneration is paid e.g.

- Where a non-resident employer calculates remuneration outside the country and remits it directly to his employees in Kenya, such income is taxed on the employees as individuals and the employer bears no responsibility for tax.
- When a non-resident employer remits gross salaries to a resident agent or representative in Kenya for payment to the employees, the employees must be paid salaries net of tax i.e. the employer has the responsibility for deducting tax on income.

Tax free remuneration- The employer may pay the employees salaries negotiated net of tax. In such cases the employer bears the burden of tax on behalf of the employees.

The income received by employees is called tax free remuneration. However the tax paid by the employer on behalf of the employee is a taxable benefit to the employee.

MONTHLY PAY

Monthly pay is the income from employment which includes cash and non-cash benefits.

Cash benefits comprise of:

- Receipts from employment such as salaries, leave pay, overtime e.t.c
- Cash allowances such as housing, entertainment hardship e.t.c
- Expenditure incurred by the employee which is paid for by the employer such as grocery bills.
- Contributions paid by the employer for the employees insurance or mortgage.

Facilities - This is a benefit or advantage enjoyed by the employee in connection with employment such as free transport, free company products e.t.c

The minimum taxable aggregate value of a facility is sh. 36,000 p.a

S.5 (2) (a) enumerates cash payments that are chargeable to tax. S.5 (2) (b) extends the scope of chargeability to include the value of any benefit, advantage of facility whose total value is Sh. 36,000 or more in a year. The value of a benefit is usually the cost to the employer. Some benefits may not entail a cost to the employer but are still chargeable to tax e.g. the option to subscribe for shares at a favourable price. The important criterion is that the benefit has some monetary value.

Weight V Salmon

An employee of a company was given the privilege of obtaining unissued shares at a value that was less than the prevailing market price.

Held:

Although the employee did not sell any of the shares, there was no restriction to do so if he wished. The privilege represented money's worth, for services rendered to the company equivalent to the difference between the par and the market value which was accessible.

Non-cash benefits include:

Servants - where the employer has provided servants to the employee such as cook, watchman e.t.c the taxable value of the benefit is the actual cost to the employer e.g. salaries paid to the servants.

Services- These include provision of electricity and water. The taxable benefit shall be the higher of:

- (i) The prescribed amount by commission or
- (ii) Actual amount paid

COMMISSIONER'S PRESCRIBED BENEFIT RATES

	Monthly rates Sh.	Annual rates Sh.
Services		
• Electricity (Communal or from a generator)	1,500	18,000
• Water (communal or from a borehole)	500	6,000
• Agricultural employees: Reduced rates of benefits		
• Water	200	2,400
• Electricity	900	10,800

Telephone services - where the employer has provided telephone services for the benefit of the employee. The taxable value is 30% of the telephone bill paid.

Furniture - In case the employer provides furniture for use by the employee, the taxable value is 1% per month of the cost of furniture.

Car benefit - where the employer has provided a car for the private usage of the employee, the taxable benefit shall be the higher of:

- (i) The quantified amount on the basis of cc rating of the car or
- (ii) Prescribed rate of benefit of 2% per month of the initial cost of the car.

However, where the car is hired or leased from a third party, the taxable value is the cost of hiring or leasing.

The commissioner may determine a lower rate of benefit where an employee has a restricted use of a motor vehicle provided by the employer with effect from 1st January 2008.

PRESCRIBED BENEFIT RATES OF MOTOR VEHICLE PROVIDED BY EMPLOYER

		Monthly Rates (Sh)	Annual Rates (Sh.)
•	Saloons, Hatch Back and Estates		
	Up to 1200cc	3,600	43,200
	1201 1500cc	4,200	50,400
	1501 1750cc	5,800	69,600
	1751 2000cc	7,200	86,400
	2001 3000cc	8,600	103,200
	Over 3000cc	14,400	172,800
•	pick-ups, Panel Vans (unconverted)		
	Up to 1750cc	3,600	43,200
	Over 1750cc	4,200	50,400
•	Land Rovers/ Cruisers	7,200	86,400

QUESTION:

Mr. Ole mboga an employee of Bidii company Ltd received income in 2011 as follows:

Basic salary of Sh.550,000 p.a

A day and night watchman whose salaries were Sh.5,000 p.m. and Sh.6,500 p.m. respectively.

Furniture was also provided at cost of Sh.280,000

A car of 2000 cc whose initial cost was Sh.1,400,000 was provided for his personal use.

The company paid his telephone bills averaging Sh.4,000 p.m.

He was granted free company products valued at Sh.3,500 p.m.

Calculate his taxable income:

ANSWER:

Mr. Ole Mboga

2011 Computation of taxable income

	Sh.
Basic salary	550,000
2 watchmen	138,000
Furniture 12% X 280,000	33,600
Car cc basis 86,400	336,000
24% X 1,400,000 336,000	
Telephone 30% X 48,000	14,400
Free Company Products	<u>42,000</u>
Taxable income	<u>114,000</u>

Housing Benefit – This arises where the employer has provided with accommodation or means of payment. Employees are categorized into four types for purposes of determination of housing benefit i.e.

- Ordinary employees and whole-time service directors;
- Agricultural employees
- Non whole-time employee service directors
- Employees provided with both accommodation and meals

Ordinary employees and whole-time service directors;

Housing benefit shall be the higher of:

- 15% of total gains from employment or
- Market rental value of the house

Less own contribution towards rent

N/B: whole-time service director – This is a director who;

- Devotes a significant amount of his time to the service of the company as a director in a managerial or technical capacity and
- He does not own more than 5% of the total share capital of the company

QUESTION:

Mr. Kayo received a salary of Sh. 40,000 in April 2011. He was provided with a company house to which he contributed 3% of his basic pay as rent. The market rental value of the house was Sh.10,000 per month. A company car of 2000 cc was provided for his personal use including a house servant whose salary of Sh. 5,000 per month was paid by the company.

Calculate his taxable income

ANSWER:

Mr. Kayo

Computation of taxable income

		Sh.
Basic Salary		40,000
Car cc basis		7,200
Servant		5,000
Housing benefit :		
15% * 52,200	7,830	}
Market Rental value	10,000	
Housing Benefit is the higher	10,000	
=		
Less own Contribution	(1,200)	8,800
Taxable Income		<u>61,000</u>

Agricultural employees – These are employees engaged in agricultural entities or farms. Housing benefits is determined as:

10% * Total gains from employment

N/B: an agricultural employee is whose terms and conditions of employment require that he resides within the farm.

Non whole-time service directors – These are directors whose definition falls outside that of whole time service directors i.e. they do not devote a significant amount of their time in the company in any capacity and hold more than 5% of the total share capital of the company.

Housing benefits is determined as the higher of:

- (i) 15% of total gains from all sources i.e. employment, business etc or
- (ii) Market rental value of the house

Less own contribution towards rent.

Employees provided with both accommodation and meals – such employees include those in hotel industry where both accommodation and meals are provided.

Housing benefit is determined as **20% of the gains from employment.**

Exemption of housing benefit from taxation

Housing benefit is not treated as taxable where:

- i) Housing is necessary due to the nature of work of the employee e.g. caretaker of a building, captain of a ship etc.
- ii) **It is for better performance of employment by the employee** e.g. doctors who resides in hospitals.
- iii) **Housing is provided for security reasons** e.g. game wardens working in game parks.

Where housing is provided for reasons other than the above, it shall be a taxable benefit.

Nicol V Austin

Austin who was a life governing director of a company entered into an agreement which provided inter alia that, the company should bear the cost of upkeep of his residence. The company wished him to continue to reside at the residence for the convenience and prestige of the business.

Held:

That the sums paid are assessable as profit of his office as the managing director.

NOTES:

- i) In case an employee had occupied only a portion of the house, housing benefit shall be computed on the basis which the commissioner considers to be just and equitable.
- ii) In case the employee had occupied the house for only part of the year, housing benefit is apportioned accordingly.

FRINGE BENEFITS

A fringe benefit arises when employees are granted loans by the employer at an interest rate that is lower than the prescribed/market interest rate. Fringe benefit arises on loans provided after 11th June 1998.

Fringe benefit is determined by a formula i.e.

Fringe benefits = Amount of loan (market interest rate – Low interest rate)ⁿ/12 where n is the number of months or period of loan

Fringe benefit tax is charged at the corporation tax rate and paid by the employer on a monthly basis i.e.

FBT /month = FB X Corporation tax X 1/n

QUESTION:

Mr. Zoa was granted a loan of sh.2M by his employer on 1st August 2011 at an interest rate of 5% p.a. The prescribed interest rate was 15% p.a.
Calculate fringe benefit tax.

ANSWER:

Fringe benefit = Amount of loan (market interest rate – low interest rate)ⁿ/12
= 2,000,000 (15% - 5%) 5/12
= 83,333

FBT/Month = FBT x Corporation tax X 1/n
= 83,333 x 30% x 1/5
= 5,000

NB: FBT is paid by the employer together with PAYE on or before the 9th day of the following month after the payroll month.

GIFTS AND REWARDS

Generally, gifts are not treated as taxable income in the hands of the recipient. This rule applies to personal gifts e.g. a gift by a person to his friend. However if a gift is received by virtue of employment for services rendered, it is a gain from employment and it is taxable income e.g. tips to a waiter. This also includes gifts made to employees as “Christmas gifts” or “long service awards”

Gifts are **taxable** where:

- The gifts are paid in relation to the services rendered.

- There is a contract for payment of such gifts.
- The gifts are paid by the employer in the course of the employment.
- The gifts are paid frequently or are anticipated in any kind of employment.
- The gifts are paid by a customer in the course of business or employment e.g. the gift from a patient to a doctor.

According to the cases above, tips given to taxi drivers, waiters or tour-guides will be taxable benefits. However rewards given to football players by well-wishers are not taxable.

A gift to the principal of a school by the PTA will not be taxable since such gifts are not from the employer.

Weston V Hearn

On completion of 25 years of service, Weston was given £250 which he contended was a voluntary payment.

Held

1. The sum was not a personal gift
2. This was an emolument by way of a bonus and since the employee had not left employment, the gift was from the employer and was therefore assessable to tax.

Calvert V Wainright

Wainright was employed by a tax hire company at a definite wage. The bargain made no reference to tips.

Atkinson J observed that; Tips received by a man as a reward for services rendered are assessable to tax. Personal gifts, gifts to a man on personal grounds, irrespective of whether services have been rendered or not are not assessable.

Held:

That the tips having been given in the ordinary way as remuneration for services rendered are assessable.

Ball V Johnson

A bank had a scheme of giving cash award to its employees who passed the institute of bankers examination.

Held:

1. The reason for the payment was not for services rendered but for the personal success of the employee in passing examinations and not remuneration for services rendered
2. The payments were not taxable.

Cooper V Blakiston

An appeal was made by the Bishop and supported by the church wardens stating that, it was the privilege and duty of the laity to augment the poor stipend of the clergy by personal free will gifts from which an offering will be collected on Easter Sunday.

Lord Chancellor: - Where a sum of money is given to an incumbent substantially in respect of his services, it accrues to him by reason of his office. There was a continuity of annual payments from any special occasion or purpose.

Lord Ash Bourne:- The whole machinery ecclesiastical, the Bishop, church wardens, church collections and I am able to see room for doubt that these are made for the vicar and became part of the profits which accrued to him by reason of his office.

Held:

That the Easter offerings were assessable.

Hochstasser V Mayer

A company operated a housing scheme for married employees transferred from one part of the country to another. Under the scheme, any employee would be compensated for any loss on the sale of his house in consequence of the employees transfer. Two employees entered into an agreement under the scheme and having sold their houses at a loss on transfer, received payments from the company.

Held:

That the payments were not profits accruing by virtue of an office or employment.

ALLOWABLE DEDUCTIONS AGAINST EMPLOYMENT INCOME

1. Subscriptions to professional associations such as ICPAK.
2. Contributions to home ownership savings plan (HOSP) subject to a maximum of Sh.48,000 p.a.
3. Contributions to a registered pension scheme subject to a maximum of Sh.240,000 p.a.
4. Interest on a loan borrowed to purchase owner occupied house subject to a maximum of Sh.150,000 p.a.
5. Direct expenses incurred by the employee in connection with employment e.g.
 - a. Travelling and entertainment expenses for salesmen.
 - b. Extra cost of living away from home when necessitated by employment
 - c. Cost of tools and equipment if the employee provides his own
 - d. Cost of special clothing provided if not provided by the employer

NON-TAXABLE EMPLOYMENT BENEFITS

1. Facilities – These are benefits granted to employees whose aggregate value is less than Sh.36,000 per annum.
2. Free meals – These are non – taxable benefits if provided to low income employees by the employer. A low income employee is one whose taxable income does not exceed the rate of 20% on graduated scale.

3. School fees – If payment by the employer is for the employee or his dependents, it is a non-taxable benefit provided that it is taxed on the employer.
4. Medical benefits – These are non-taxable benefits if provided under a medical scheme which is non-discriminatory.
5. Passages – where these are granted to expatriate employees who are not Kenya citizens it shall not be taxable.
6. Contribution to pension scheme by employers on behalf of employee.
7. Fringe benefits – Loans granted to employees at an interest rate that is lower than the prescribed interest rate are taxed on the employer who pays fringe benefit tax hence not taxable on employee.

QUESTION:

- a) Explain the meaning of the following terms as used in PAYE regulations.
 - i) Employer
 - ii) Tax free remuneration
 - iii) Tax deduction card
- b) Mr. Paul Mbaye, a Kenyan migrated to Canada in 2003, In December 2010, he was offered a job by a company based in Nairobi, Kenya which he accepted. The employment commenced on 1 January 2011.

The following details relate to his salary and benefits for the year ended 31 December 2011:

1. Monthly salary Sh. 250,000 (PAYE Sh. 27,000)
2. Passage allowance of Sh. 400,000 per annum for visiting his family in Canada
3. A fully furnished house. The house rent of Sh. 30,000 per month was paid by the employer. The cost of furnishing the house amounted to Sh. 200,000
4. A life insurance cover whose annual premium was Sh. 30,000 was paid by the employer
5. A motor vehicle (1750 cc) for both private and official use. 25% of the vehicle's total usage is estimated to be private. The vehicle was leased from Rental Ltd, a car hire and leasing company, at an annual lease charge of Sh. 130,000 payable by the employer. The book value of the car as at 1 January 2011 was Sh. 600,000 (original purchase price Sh. 1,200,000)
6. School fees for his daughter amounting to Sh. 60,000 per annum were paid by the employer and deducted from the employer's income statement.
7. He was provided with mobile phone airtime worth Sh. 3,000 per month by the employer. Approximately 30% of his mobile phone calls were for private purposes.
8. His salary was increased by Sh. 50,000 per month on 1 October 2011 and back dated to 1 July 2011.
9. He received a lumpsum pension of Sh. 360,000 during the year from his previous employer in Canada

Required:

- (i) Comment on the residential status of Mr. Paul Mbaye for tax purposes for the year ended 31 December 2011 (2 Marks)
- (ii) Compute the taxable income of Mr. Paul Mbaye for the year ended 31 December 2011. (12 Marks)
- (Total: 20 Marks)**

ANSWER:

- a) (i) **Employer** – For purposes of PAYE, the term employer includes:
- An agent, manager or other representative in Kenya of any employer who is outside Kenya.
 - Any person having control over employment and remuneration.
 - Any paying office of the government or other public authority.
 - Any trust or insurance company or either body paying pension to individuals.
- (ii) **Tax free remuneration**- The employer may pay the employees' salaries negotiated net of tax. In such cases the employer bears the burden of tax on behalf of the employees. The income received by employees is called tax free remuneration. However the tax paid by the employer on behalf of the employee is a taxable benefit.
- (iii) **Tax deduction card** - This is a document used for PAYE purposes. It is completed by the employer for each of the employees. It includes details of salary and benefits of the employee, personal relief granted and Tax paid each month. A copy of the tax deduction card is provided to the employee as a certificate of tax paid.
- b) (i) Mr. Mbaye is considered as a resident for tax purposes since he had a permanent home in Kenya during the year of income and was physically present.

(ii) Mr. Paul Mbaye**2011 Computation of Taxable Income**

	Sh.
Salary $(250,000 \times 6) + (300,000 \times 6)$	3,300,000
Passage Allowance	400,000
Furniture - $12\% \times 200,000$	24,000
Life insurance	30,000
Car – $25\% \times 130,000$	32,500
$25\% \times 24\% \times 1,200,000$	72,000
School fees	60,000
Mobile airtime – $30\% \times 36,000$	10,800
Housing benefits	
$15\% \times 3,889,800$	584,520
Market rental value	360,000
Total taxable income	<u>4,474,320</u>

WIFE'S INCOME

The income of a married woman living together with her husband is deemed to be the income of the husband for tax purposes.

A married woman is deemed to be living together with the husband, unless;

- They are separated under a court of competent jurisdiction.
- They are separated in such a manner that the separation is likely to be permanent.
- The wife is a resident person but the husband is not.

There are four types of income which must be assessed separately on a married woman. These include:

Employment income derived at arm's length - Employment income is derived at arm's length unless:-

- The wife is an employee of the husband.
- The wife is employed by a partnership in which the husband is also a partner.
- The wife is an employee of a trust or settlement created by the husband.
- The wife is employed by a company which is controlled 12.5% or more by either the husband or the wife or jointly by the couple.

PROFESSIONAL INCOME

This is income derived from professional practice such as accountancy and audit, medical or legal practice, engineering e.t.c

The wife's professional income is assessed separately on her.

BUSINESS OR SELF EMPLOYMENT INCOME

- The business income of a married woman is assessed separately on her.

RENTAL INCOME FROM PROPERTY

The rental income from the wife's property is assessed separately on her.

N/B:

- In case the income of the wife is assessed on the husband, only one personal relief is claimed as a deduction by the husband.
- Where the income of the wife is assessed separately she is entitled to claim her own personal relief as a deduction from tax liability.

COLLECTION OF TAX FROM THE WIFE

In case the income of a married woman is deemed to be the husband's for tax purposes he has the responsibility of accounting for tax. However, a married woman may assume responsibility for tax where the husband:

- Has been declared bankrupt or insolvent.

- Is of unsound mind.
- The wife is the main bread winner.
- The husband does not own property to be auctioned to recover tax liability.
- The husband cannot be traced.

QUESTION:

- (a) Outline four main canons of an optimal tax system. (4 Marks)
- (b) Highlight four objectives of fiscal policies in your country (4 Marks)
- (c) The following information relates to Mr. T. Kombe and his wife for the year ended 31 December 2011:

1. He was employed by Lipa Ltd as a sales manager on the following terms:
 - Basic pay per annum Sh. 900,000 (annual PAYE Sh. 250,000)
 - Annual bonus of Sh. 25,000
 - Monthly commission equal to 2% of monthly basic pay
 - Annual medical allowance (non-discriminatory scheme) of Sh. 180,000 paid on reimbursement basis. During the year, he was reimbursed Sh. 120,000 for medical cost incurred on self and family
 - Free lunch valued at Sh. 35,000 per annum
2. He obtained a loan from the employer amounting to Sh. 400,000 on 1st December 2011. The interest on the loan was specified by the employer as 5% per annum. Assume a prescribed interest rate of 8% per annum for the month of December 2011
3. He paid life premium amounting to Sh. 72,000 during the year for policies on self and family
4. His wife is employed by Mauzo Ltd as a financial analyst at a basic salary Sh. 60,000 per month. Mr. T. Kombe owns 25% of the ordinary share capital of Mauzo Ltd.
5. The following additional income accrued to his wife during the year:
 - She earned a profit of Sh. 400,000 from a supermarket business registered by her name but managed by her daughter. This profit was after deducting Sh. 120,000 paid as salary to the daughter during the year. The daughter was below eighteen years of age as at 31 December 2011.
 - She owns residential houses inherited from her father. The rental income received for the year amounted to Sh. 480,000.

Required:

- (i) The taxable incomes of Mr. T. Kombe and his wife for the year ended 31 December 2011 (10 Marks)
 - (ii) Briefly comment on the procedure for the filing of the wife's income tax returns (2 Marks)
- (Total: 20 Marks)**

ANSWER:**Canons of an optimal Tax system****Principle of equity**

Adam Smith stated that every tax payer should pay tax according to his ability and proportion of income. Persons with high incomes should pay more tax and a bigger proportion of their income than the persons with lower incomes.

Principle of certainty

Adam Smith also stated that the tax which every person should pay must be certain and not arbitrary.

This principle facilitates planning by both the government and the tax payers.

In case of the tax payers, they need to be certain about the dates and the amount of tax to be paid, the methods and the rates of tax used in order to plan their cash flows.

In case of the government, it should be certain about the amount of public revenues and the time it is expected to flow to the exchequer.

Principle of convenience

Every tax should be levied at the time or in a manner that is most likely to be convenient to the tax payers.

This principle encourages tax compliance by the tax payers e.g. a tax payer may pay installment tax in 4 equal installments during the year.

Income tax on employment income is paid at the end of the month i.e. when the employees have the means of payment after receiving their salaries.

Principle of economy

The tax system should be convenient to both the tax payer and the state. In the case of the tax payer, he should be left with some income after paying tax both for his needs and for saving and investments. A very heavy tax will discourage saving and investments, thus have a negative impact on the economy.

In case of the government, the cost of tax collection, administration and carrying out in-depth investigation should not exceed the tax revenue to be collected.

(b) Objectives of fiscal policies in the country

The main objectives of fiscal policy are the following:

- The achievement of a desirable price level.
- The achievement of a desirable consumption level.
- The achievement of a desirable employment level.
- The achievement of a desirable income distribution.

c) (i) Mr. and Mrs. T. Kombe**2011 Computation of taxable income and tax.**

Mr. Kombe	Sh.
Basic pay	900,000
Bonus	25,000
Commission	18,000
Free lunch	35,000
Wife's salary	<u>720,000</u>
Taxable income	<u>1,698,000</u>

Mrs. Kombe

Business income	400,000	
Add: Salary to daughter	<u>120,000</u>	520,000
Rented income		<u>480,000</u>
Taxable income		<u>1,000,000</u>

Tax computation**Mr. Kombe**

First Sh. (121,968 @10%) + (114,912 @ 60%)	81,144
Surplus (1,698,000 – 466,704) @ 30%	<u>399,388.8</u>
	450,532.8
Less tax at source T.A.S PAYE	(250,000)
Insurance relief 15% X 72000	(10,300)
Personal relief	<u>(13,944)</u>
Tax payable	<u>176,288.8</u>

Mrs. Kombe

First Sh. (121,968 @10%) + (114,912 @ 60%)	81,144
Surplus (1,000,000 – 466,704) @ 30%	<u>159,988.8</u>
	241,132.8
Less: Personal relief	<u>(13,944)</u>
Tax payable	<u>227,188.8</u>

Notes

- Medical benefits are not taxable since the scheme is non-discretionary
- Insurance relief is granted at 15% of premiums paid during the year with a maximum of sh.60,000 p.a on life and Education policies.
- It is also granted on premium paid for an education policy with a maturity period of 10 years.

(ii) Procedure for filing wife's income tax returns

- The income of the wife derived at arm's length is assessed separately on her.
- Income deemed to be the husband's for tax purposes is taxed on the husband.
- Where income is assessed separately on the wife she submits her own returns.
- Where the wife's income is deemed to be husband's for tax purposes, a return is filed in the name of the husband.

EMPLOYMENT INCOME RECEIVED IN LUMP SUM

Employment income is received in lump sum in case of:

- Backdated salary increment.
- Gratuity received in lump sum.
- Compensation on termination of employment contract.

BACKDATED SALARY INCREMENT

Backdated salary increment may be paid in lump sum or arrears.

Tax liability is calculated on the lump sum using a specific procedure as follows:

- Calculate tax liability on salary before the increment.
- Calculate tax liability on the total income i.e. salary + Increment p. a
- The difference in tax liability on the total income and on the salary received is tax liability on the arrears or lump sum.

QUESTION:

Mrs. Mjomba was granted a salary increment of 20% on 31 Dec 2011 which was back dated to 1st January 2010. Her salary for 2010 and 2011 was sh.680,000 and sh. 760,000 respectively.

Calculate the tax liability on the salary arrears for 2010 and 2011.

ANSWERS:

Mrs. Mjomba

Computation of tax liability

Year	Salary	Increment (20%)	Total
2010	680,000	136,000	816,000
2011	760,000	152,000	912,000

Tax computation**2010 Total income = 816,000****Sh.**

First Sh. (121,968 @ 10%) + (114,912 @ 60%)

81,144

Surplus (816,000 – 466,704) @ 30%

104,788.8

185,932.8**Salary = 680,000**

First Sh. (121,968 @ 10%) + (114,912 @ 60%) 81,144

Surplus (680,000 – 466,704) @ 30%

63,988.8(145,132.8)

Tax on arrears

40,800**2011 Total income = 912,000**

First Sh. (121,968 @ 10%) + (114,912 @ 60%)

81,144

Surplus (912,000 – 466,704) @ 30%

133,588.8

214,732.8**Salary = 760,000**

First Sh. (121,968 @ 10%) + (114,912 @ 60%) 81,144

Surplus (760,000 – 466,704) @ 30% =

87,988.8(169,132.8)45,600**Total tax on arrears**

2010 40,800

2011 45,60086,400**SERVICE GRATUITY**

Service gratuity is paid in lump sum although it relates to employment services rendered over the whole period. It is deemed to have accrued evenly or equally over the period of employment.

However, in case the year of accrual is earlier than the 4th year of backdating the income is treated as that of 5th year of backdating.

QUESTION:

Mr. Bakari left employment in Dec 2011 after 20 years of service. He was paid service gratuity of sh.660,000. His commencing salary was sh.400,000 p.a., which had been increasing at an average of sh,5,000 p.a. Show how the gratuity is treated for tax purposes.

ANSWER:

Mr. Bakari

$$\begin{aligned}\text{Gratuity (p.a)} &= \frac{\text{Lump sum}}{\text{Employment service}} \\ &= \frac{660,000}{20} \\ &= 33,000\end{aligned}$$

<u>Year</u>	<u>Salary</u>	<u>Gratuity(p.a)</u>	<u>Total income</u>
2011	495,000	33,000	528,000
2010	490,000	38,000	523,000
2009	485,000	33,000	518,000
2008	480,000	33,000	513,000
2007	475,000	528,000	1,003,000

Compensation on termination of employment

Employment contracts are classified into three categories for tax purposes:

- (i) A contract for a specified period which provides for compensation incase of termination before expiry of the contract.
 - The lump sum received as compensation is divided equally over the unexpired contract period.

QUESTION:

A contract for 5 yrs is terminated on 31 Dec 2008 after it had ran for only 3 yrs compensation is paid amounting to sh. 1,600,000. Show the tax treatment of compensation.

ANSWER:

$$\begin{aligned}\text{Compensation (p.a)} &= \frac{\text{Lump sum}}{\text{Unexpired contract period}} \\ &= \frac{1,600,000}{2} \\ &= \text{Sh.800,000}\end{aligned}$$

Compensation (p.a) is spread forward as follows:

<u>Year</u>	<u>Taxable income</u>
2009	800,000
2010	800,000

- (ii) A contract for unspecified period which provides for compensation on termination.
- The compensation received is divided by the employee's salary per annum at the time of termination.

QUESTION:

A contract for unspecified period provides for payment of sh.1.2m as compensation in case of termination. The contract is terminated on 31 Dec 2010 when the employee's salary is sh.55,000 per month.

Show the tax treatment of compensation

ANSWER:

$$\begin{aligned}\text{Salary per annum} &= 55,000 \times 12 \\ &= 660,000\end{aligned}$$

Compensation is spread forward as follows:

<u>Year</u>	<u>Taxable income</u>
2011	660,000
2012	540,000

- (iii) Where the contract is for unspecified period with no provision for payment of compensation. In this case if the employer pays compensation, it is of a voluntary nature and not obligatory.
- Tax liability extends to any payment received by the employee whether it is voluntary or obligatory in nature. The compensation is divided equally over a period of 3 yrs.

QUESTION:

A contract of employment is for unspecified period with no provision for compensation on termination. The contract was terminated on 31 Dec 2009 and a voluntary compensation of sh.900,000 was paid. Show the tax treatment of compensation.

ANSWER:

$$\begin{aligned}\text{Compensation p.a} &= \frac{\text{Lump sum}}{3\text{ yrs}} \\ &= \frac{900,000}{3} \\ &= 300,000\end{aligned}$$

Compensation p.a is spread forward as follows:

<u>Year</u>	<u>Taxable income</u>
2010	300,000
2011	300,000
2012	300,000

QUESTION:

Mrs. Alice Kosgei was employed by Ukweli Ltd. On a five year contract commencing 1 January 2007. The terms of the contract provided for a lump sum compensation of Sh.2,000,000 if the contract was terminated by the company before maturity.

The contract was terminated by the company on 31 December 2009.

Required:

The taxable amount of the compensation and the year(s) in which it would be taxed.

ANSWER:

$$\begin{aligned}
 \text{Compensation p.a} &= \frac{\text{lump sum}}{2\text{yrs}} \\
 &= \frac{2,000,000}{2} \\
 &= \text{Sh.1,000,000}
 \end{aligned}$$

Compensation p.a is spread forward as follows:

<u>Yrs</u>	<u>Taxable amount</u>
2010	1,000,000
2011	1,000,000

TAXATION OF PARTNERSHIPS

For purposes of imposing tax a partnership is not recognized as a “person” or legal entity that is distinct and separate from the partners.

It is formed with the motive of sharing profits among the partners, hence the income of a partnership is deemed to be that of the partners, and assessed on them.

S. 4 (b) states that “the gain or profits of a partner from a partnership shall be the sum of-

- i) Remuneration payable to him by the partnership together with interest on capital so payable less interest on drawings payable by him to the partnership;
- ii) His share of the total income of the partnership calculated after deducting the total of any remuneration and interest on capital payable to any partner and after adding interest on drawings payable by any partner to the partnership.”

Where a partnership makes a loss as calculated in (ii) above, the gains or profits shall be the excess of any of the amounts set out in (i) above, over his share of that loss.

Existence of a partnership

Whether a partnership exists or not is a question of fact. The basic criterion is whether two or more persons carry on a business in common with a view to profits. This suggests that the persons involved bear the attribute of a proprietor and have a profit motive. Other useful guidelines include:

- Usually a partnership deed or written agreement will be drawn up.
- There is a joint tenancy or tenancy in common.
- There is sharing of gross receipts or profits.

None of the above circumstances would constitute conclusive evidence of the existence of a partnership. Some common situation which pose difficulties in proving a partnership are whether:

1. Joint transactions may constitute a partnership;
2. The parties concerned are partners or nearly employees

A partner shall be taxed on the aggregate of the following income from the partnership:

- Remuneration paid to him by the partnership.
- Any interest on capital paid to him by the partnership less any interest paid by him to the partnership such as interest on drawings.
- Share of the adjusted partnership income.

PARTNERS ALLOCATION SCHEDULE

	A	B	C	TOTAL	
Salaries			XX	XX	XX XXX
Interest on capital			XX	XX	XX XXX
Less interest on drawings			XX	XX	XX XXX
Profit/ Loss Share			<u>XX</u>	<u>XX</u>	<u>XX XXX</u>
Adjusted partnership profit			XX	XX	XX XXX
Add: Other incomes					
Rental income				XX	XX - XXX
Family income			<u>XX</u>	<u>XX</u>	<u>XX XXX</u>
Total Taxable Income			<u>XX</u>	<u>XX</u>	<u>XX XXX</u>

The income from the partnership will be added to incomes from other sources and taxed on each of the partners as an individual using the graduated scale rates of tax.

Notes: -

- (i) Interest on drawings:-This is not a business income. It is treated as an expense of the individual partners by deducting from their share of income as individuals.
- (ii) Expenses that are specifically not allowed include:
 - Salaries commissions and bonuses paid to the partners
 - Interest on capital
 - Drawings

Key Terms

Legal entity – Recognized in law as a separate entity

Interest on drawings – Interest charged on cash drawings by partners

QUESTION:

Rotich, Mambo and Nora have been trading in partnership as Romano Enterprises sharing profits and losses in the ratio of 2:2:1 respectively. They have presented the following profit and loss account of the firm for the year ended 31 December 2011:

	Sh.000	Sh.000
Gross profit		24,800
Investment income (gross)		450
Miscellaneous income		<u>315</u>
		25,565
Deduct:		
Depreciation	110	
Office expenses	1,568	
Legal fees	360	
Sundry	630	
Trade expenses	380	
Partners' salaries, interest on	<u>13,350</u>	<u>(16,398)</u>
Capital and drawings		
Net profit		<u>9,167</u>

Additional information

1. Investment income comprises:	sh.000
Interest on bank deposits	210
Dividend on shares in quoted companies	130
Interest charged on partners' drawings: Rotich	50
Mambo	40
Nora	<u>20</u>
	<u>450</u>

2. Miscellaneous income comprises:

	Sh.000
Gain on sale of furniture and fittings	195
Insurance recoveries for stolen stock	<u>120</u>
	<u>315</u>

3. Office expenses comprise:

	Sh.000
Advertisements on billboards	250
Rent	800
General expenses (allowable)	<u>518</u>
	<u>1,568</u>

4. Legal fees include sh.150,000 incurred on a successful defense of a partner in a private legal suit.

5. Sundry expenses comprise:

	Sh.000
Donations to watoto orphanage	420
Debt recovery charges	90
Vehicle maintenance costs	<u>120</u>
	<u>630</u>

6. Trade expenses comprise:

	Sh.000
Subscriptions to a trade association	150
Value Added Tax (VAT) paid	170
Repairs to building	<u>60</u>
	<u>380</u>

7. Partners' salaries, interest on capital and drawings are analysed below:

	Rotich	Mambo	Nora	Total
	Sh.000	Sh.000	Sh.000	Sh.000
Salaries	4,000	4,500	3,700	12,200
Interest on capital	200	300	330	830
Drawings	<u>60</u>	<u>100</u>	<u>160</u>	<u>320</u>
	<u>4,260</u>	<u>4,900</u>	<u>4,190</u>	<u>13,350</u>

8. Capital allowances for the year ended 31 December 2011 were agreed with the tax authority at sh.480,000.

Required:

- (a) Adjusted partnership profit or loss for the year ended 31 December 2011. (12 Marks)
- (b) Distribution of the adjusted profit or loss amongst the partners. (4 Marks)
- (c) The tax liability for each of the partners for the year ended 31 December 2011 (4 Marks)

(Total: 20 Marks)

ANSWER:**(a) Romano Enterprises****2011 computation of adjusted profit (loss)**

	Sh.	Sh.
Net profit per accounts		9,167
<u>Add:</u>		
Depreciation	110	
Advertisement on bill boards	250	
Legal fees for partner	150	
VAT	170	
Partners' salaries, Interest on capital	<u>13,350</u>	<u>14,030</u>
<u>Deduct:</u>		
Investment income	450	
Gain on sale of furniture	195	
Capital allowances	<u>480</u>	<u>(1,125)</u>
Adjusted profit (loss)		<u><u>22,072</u></u>

(b) Allocation of profit to partners

	Rotich	Mambo	Nora	Total
	2/5	2/5	1/5	
	Sh.000	Sh.000	Sh.000	Sh.000
Salaries	4,000	4,500	3,700	12,200
Interest on capital	200	300	330	830
Interest on drawings (50)		(40)	(20)	(110)
Share of profit (loss)	<u>3660.8</u>	<u>3660.8</u>	<u>1830.4</u>	<u>915.2</u>
	<u>7810.8</u>	<u>8420.8</u>	<u>5840.4</u>	<u>22,072</u>

Tax computation**Rotich** Sh. 7,810,800

	Sh.
First Sh. (121,962 @ 10%) + (114,912 @ 60%)	81,144
Surplus (7,810,800 – 466,704) @ 30%	2,203,228.8
	<u>2,284,372.8</u>
Less p/relief	<u>(13,944)</u>
Tax payable	<u><u>2,270,428.8</u></u>

Mambo Sh. 8,420,800

	Sh.
First Sh. (121,962 @ 10%) + (114,912 @ 60%)	81,144
Surplus (8,420,800 – 466,704) @ 30%	2,386,228.8
	<u>2,467,372.8</u>

Less p/relief	(13,944)
Tax payable	<u>2,453,428.8</u>

Nora Sh. 5,840,400

	Sh.
First Sh. (121,962 @ 10%) + (114,912 @ 60%)	81,144
Surplus (5,840,400 – 466,704) @ 30%	1,612,108.8
	<u>1,693,252.8</u>
Less p/relief	(13,944)
Tax payable	<u>1,679,308.8</u>

CORPORATE BODIES

Corporate bodies are legal entities separate from the directors. These are taxable in their own names at the corporation tax rate. In case of a resident company profit is taxed at the rate of 30% whereas in case of a non-resident company the rate is 37.5%. The profit for tax purposes is calculated in a similar manner as in the case of any business. The same proforma we discussed earlier shall still be used for computation of taxable profit of a company. Allowable deductions and disallowable deductions we discussed in an earlier chapter will apply in computation of adjusted profit of a corporate body.

Interest income:

The interest income received by a corporate body is referred to as non-qualifying interest. It means that withholding tax of 15% deducted at source is not the final tax. The interest income is subject to further taxation; hence it is aggregated with other incomes of the company for tax purposes. However the withholding tax of 15% suffered at source is deducted or offset against tax liability to determine the tax payable.

Transactions between company and director or shareholder are treated as business for tax purposes.

QUESTION:

(a) List four types of income which are subject withholding tax when received by each of the following:

- | | |
|---------------------------|-----------|
| (i) Resident Persons | (4 Marks) |
| (ii) Non-resident persons | (4 Marks) |

(b) Jenga Ltd presented the following income statement for the year ended 31 Decemebr 2011:

Revenue	Sh.	Sh.
Gross Profit		36,000,000
Bad debts recovered		1,200,000
Gain on sale of shares		200,000
Dividends from Companies		8,500,000
Interest on post office savings bank account		1,300,000
Proceeds from sale of furniture		<u>60,000</u>
Total revenue		<u>47,260,000</u>
Expenditure:		
legal and accountancy fees	24,000,000	
Salaries paid in lieu of leave	45,000	
Donations	120,000	
Patents written off	60,000	
Repairs and renewals	1,420,000	
Interests on overdue loan	14,000	
Directors fees	2,450,000	
Bad debt – general	160,000	
Depreciation	180,000	
Partitions	64,000	
Purchase of furniture	128,000	
Salaries and wages	3,400,000	
Advertising	1,360,000	
Library books	148,000	
Stamp duty – transfer of land	360,000	
Electricity bills	171,000	
	<u> </u>	<u>34,080,000</u>
Net profit		<u><u>13,180,000</u></u>

Additional information:

1. Legal and accountancy fees include:

	Sh.
Staff contact agreement	600,000
Defense of a company driver on a traffic offence	36,000
Income tax appeal	18,000
Lease agreement (100 years)	46,000
Conveyance fees – land transfer	48,500

2. Repairs and renewals include:

Replacement of a car engine	75,000
Painting of a new factory extension	24,000
Redecoration of existing premises	16,000
Carpeting of the managers' offices	42,000
Conversion of a garage into an office	84,000

3. Advertising includes Sh. 80,000 spent on acquisition of a neon sign.

4. Electricity bills include Sh. 20,000 incurred on additional deposits as required by the power company.

5. Bad debts recovered include Sh. 640,000 relating to bad debts which were not previously allowed as an expense.

6. Capital allowances for the year ended 31 December 2011 were agreed with the tax authority at Sh. 250,000.

Required:

Adjusted taxable profit or loss for Jenga Ltd for the year ended 31 December 2011

ANSWER:

(a) Types of income which are subject to withholding tax when received by:

(i) Resident persons

- Interest
- Dividend
- Royalties
- Management fees
- Commission

(ii) Non resident persons

- Rent
- Dividend
- Pension
- Royalties
- Management fees
- Interest

(b) Jenga Ltd**2011 Computation adjusted profit or loss**

	Sh.	Sh.
Net profit as per accounts		13,180,000
Add:		
Legal fees – traffic offence	36,000	
- Income tax appeal	18,000	
- 100 year lease	46,000	
- Conveyance fees	48,500	
Donations	120,000	
Patents written off	60,000	
Replacement of a car engine	75,000	
Painting of a new factory extension	24,000	
Carpeting of the managers' offices	42,000	
Conversion of a garage into an office	84,000	
Bad debts – general	160,000	
Depreciation	180,000	
Partitions	64,000	
Purchase of furniture	128,000	
Neon sign	80,000	
Stamp duty	360,000	
Electricity Deposit	20,000	
Library Books	148,000	
		1,693,500
Deduct:		
Bad debts recovered	640,000	
Gain on sale of shares	200,000	
Dividend from companies	8,500,000	
Interests on post office savings bank account	1,300,000	
Proceeds from sale of furniture	60,000	
Capital allowances	250,000	
		(10,950,000)
Adjusted profit		<u>3,923,500</u>

CO-OPERATIVE SOCIETIES

Co-operative societies became taxable entities with effect from 1st Jan 1985. However, this only applies to designated Co-operative societies.

The term “designated” means a co-operative society which is registered under the co-operative societies Act.

Designated Co-operative societies are categorized into 3 types:

- Designated primary co-operative societies.
- Designated secondary co-operative societies.
- Designated primary co-operative societies registered as Sacco's.

Designated Primary Co-operative Societies

- These are co-operative societies whose members are individuals. In this category are included farmers Co-operative societies dealing with crops such as tea, coffee, sugarcane or farm products like milk.
- For tax purposes, “In the case of every Designated Primary Co-Operative society the income on which tax will be charged shall be the total income for that year deducting there-from an amount equal to the aggregate of bonuses and dividends declared for that year and distributed to the members in form of money or an order to pay money.”
- Where a Designated primary Co-operative society has distributed all income as bonuses and dividends to its members, Corporation tax liability will not arise. However if income is retained after the distribution of bonuses and dividends to the members, Corporation tax is payable at the rate of 30%. In addition withholding of 15% is deducted from the bonuses and dividends paid to the members. Such bonuses and dividends are the non-qualifying type which means that withholding tax of 15% suffered at source is not the final tax i.e. the dividend is subject to further taxation.

N/B: If the cooperative society makes a loss in any year of income, that loss cannot be carried forward to be offset against the future profit of the Co-operative society.

- Bonuses and dividend are treated as allowable expenses under the following conditions:
 - The bonuses and dividends must be paid out in cash or by cheque to the members.
 - The payment must be approved at the Annual General meeting.
 - Payment must be approved by the commissioner of co-operative societies.

QUESTION:

The following income statement was prepared by Jitegemee Co-operative Society Ltd, a district-based farmer's co-operative society, for the year ended 31 December 2011:

	Sh. '000'	Sh. '000'
Turn over		18,000
Profit from canteen operations		4,000
Interest income:		
Co-operative Bank Ltd (net)	1,200	
Treasury bills (net)	750	
Members' loans (gross)	3500	
Co-operative Insurance Company Ltd (net)	<u>80</u>	5,530
Rental Income		<u>3,800</u>
Total Income		<u>31,330</u>
Expenditure		
Cost of sales	7,200	
Staff costs	5,400	
Depreciation	1,000	
Corporation Tax (for year 2010)	2,800	
Insurance premium	600	
Dividend to members	4,200	
Honoraria to management committee	400	
Other operating expenses	<u>1,600</u>	<u>23,200</u>
Net Profit		<u>8,130</u>

Additional Information

1. Staff costs include court fines amounting to Sh. 200,000 and legal fees incurred in relation to:

Sh.

- Preparation of scheme of service for staff 180,000
- Drafting of the society's by-laws 120,000

2. Other operating expenses include Sh. 300,000 incurred to the preparation of the strategic plan for the co-operative society

Required:

- (i) Corporation tax payable by Jitegemee Co-operative Society Ltd, for the year ended 31 December 2011. (6 Marks)
- (ii) State the date(s) when the tax computed in (c) (i) above would payable (2 Marks)
- (iii) Comment on your treatment of interest income received by the co-operative society for the year ended 31 Dec 2011. (2 Marks)

ANSWER:**Jitegemee cooperative society Ltd.****2011 computation of adjusted profit (loss)**

	Sh.000	Sh.000
Net profit per accounts		8,130
Add:		
Drafting of by-laws	120	
Depreciation	1,000	
Corporation tax	2,800	
Strategic plan	300	4,220
Deduct:		
Profit from canteen	4,000	
Interest income:	5,530	
Rental income	<u>3,800</u>	<u>(13,330)</u>
Adjusted business profit/loss		(980)
Add:		
Interest income:		
Co-operative bank (gross) $1,200/85 \times 100$		1,411.76
Treasury bills (gross) $750/85 \times 100$		882.35
Co-operative insurance (gross) $80/85 \times 100$		94.12
Rental income		<u>3,800</u>
Total taxable income		<u>5,208.23</u>
Corporation tax payable		
$30\% \times 5,208.23$		1,562.49
Less withholding tax on interest:		
Co-operative Bank ($12\% \times 1411.76$)		(211.764)
T/Bills ($15\% \times 882.35$)		(132.353)
Co-operative insurance ($15\% \times 94.12$)		<u>(14.118)</u>
Corporation tax payable		<u>1,204,255</u>

Note:

- Interest income from loans to members is tax exempt since the members are the contributors or savers and borrowers at the same time.
- (ii) 2011 Installment tax:
- Corporation tax for previous year $\times 110/100$
- $= 2,800,000 \times 110/100$
- $= 3,080,000$

Due Dates:

- 1st Installment of 75% of tax i.e. Sh. 2,310,000 is payable by 20th September 2011.
- 2nd Installment of 25% of tax i.e. Sh. 770,000 is payable by 20th December 2011.
- Tax refundable (Sh. 3,080,000 – 1,204,255) of Sh. 1,875,745 by 30th April 2012.

- (iii) Tax treatment of interest income received by the co-operative society
- Interest received from loans to members is exempted from tax
 - Interest income received from Banks and other institutions is non-qualifying type, which means withholding tax of 15% deducted at source is not the final tax i.e. the gross interest income is subject to further tax. However withholding tax of 15% suffered at source is allowed as a deduction from the tax liability

DESIGNATED SECONDARY CO-OPERATIVE SOCIETIES (CO-OP UNIONS)

These are co-operative societies whose members are designated primary co-operative societies. Therefore these act as umbrella bodies or unions for designated primary co-operative societies. In this category are included KPCU, KFA, KUSCO etc.

The income tax act as states that “In the case of every designated secondary co-operative society, the income on which tax is charged is the total income for the year deducting there from an amount equal to the aggregate of bonuses and dividends declared for that year and distributed to the members in form of money or an order to pay money, but the deduction shall not exceed the income of the society for that year.

This implies that a designated secondary co-operative society can pay bonuses and dividends only from the current years income but not from profit retained from other years.

Where the society pays all income as bonuses and dividends to the members, no corporation tax liability shall arise. However if profit is retained after the distribution of bonuses and dividends to the members, corporation tax is payable at the rate of 30%.

Savings and credit co-operative societies (SACCOS)

Sacco's are typically designated primary co-operative societies, since the members are individuals who carry on the business of savings and credit. However the savings are from the members and credit is granted to the same members, therefore this constitutes a mutual transaction, since the saver is also the same as the borrower. Therefore, the interest received from loans to member is exempted from taxation.

In the case of a Sacco, the income tax Act states that the total income for any year shall be deemed to be the aggregate of:

- (a) 50% of the gross income from interest excluding interest from loans to members.
- (b) 50% of the gross income from dividends excluding dividends from quoted companies.
- (c) 100% of the gross rental income from property.
- (d) Gains from transfer of properties.
- (e) Any other income chargeable to tax but excluding royalties.

QUESTION:

a) Write brief notes on the following terms:

- (i) Pre-shipment inspection. (3 Marks)
- (ii) Insurance relief. (3 Marks)
- (iii) Taxation of accommodation and meals provided by the employer. (3 Marks)
- (iv) Mining allowance. (3 Marks)

b) The following information relates to the income and expenditure of Sawasawa Savings and credit co-operative Society (Sacco Ltd.) for the year ended 31 December 2011:

c)

	Sh. '000'	Sh '000'
Income:		
Interest: Members loans		2,800
Saving Accounts		160
Fixed deposit account		40
Other investment income		80
Rental Income		<u>500</u>
Gross Income		3,580
Expenditure:		
Salaries to staff	1,800	
Other operating expenses	<u>600</u>	<u>(2,400)</u>
Surplus		<u>1,180</u>

The society paid dividends and bonuses to members amounting to Sh. 600,000 for the year ended 31 December 2011

Required:

(i) Taxable profit or loss of sawasawa Sacco Ltd for the year ended 31 December 2011

(6 Marks)

(ii) Tax liability (if any) from the profit and loss computed in b (i) above. (2 Marks)

(Total: 20 Marks)

ANSWER:

(a)

(i) Pre-shipment inspection

- This is the practice of inspecting goods before shipment into the country.
- The main objective is to check the quality of goods vis-à-vis the Kenyan standards
- To check whether the value declared is reasonable for purposes of customs duty.
- It also aims at providing information on the possibility of piracy and counterfeit goods

(ii) Insurance relief

- It is granted to resident individuals in respect of premiums paid on their life or family's or spouse's or education policy, with maturity period of at least ten years
- Insurance relief is determined at the lower of 15% of premiums paid or a maximum amount of Sh. 60,000 per annum

(iii) Accommodation and meals provided by the employer

- Where the employer has provided accommodation and meals to the employee, the value of benefit is 20% of the gains from employment.
- In case meals are provided to employees other than low income, the taxable benefit on the employee is the cost of meals to the employer
- If meals are provided to low income employees, it is a non taxable benefit

N/B. A low income employee is one whose taxable income does not exceed the rate of 20% on the graduated scale.

(iv) Mining Allowance

- It applies at the rate of 40% on the qualifying capital expenditure in the first year of mining and 10% in each of the next 6 years.
- The qualifying capital expenditure for mining allowances includes:
 - Cost of prospecting for minerals
 - Expenditure on the acquisition of rights over the minerals
 - Expenditure on buildings and machinery that would have no value after mining operation cease.
 - Cost of development and administration prior to mining
 - Other tangible drilling costs
- Mining allowance only applies to specific minerals e.g. iron, limestone, gold etc

Sawa Sawa Sacco Ltd
2011 Computation of Taxable profit (Loss)

	Sh.000	Sh.000
Surplus		1,180
Add		
Expenditure		<u>2,400</u>
		3,580
Deduct		
Interest on members loans	2,800	
Interest on Saving A/C	80	
Interest on fixed deposit	20	
Other investment income	<u>80</u>	<u>(2,980)</u>
Adjusted taxable income		<u>600</u>
 (ii) Corporation tax liability		
30% x 600 =	180	
Less withholding tax:		
Savings account (15 x 160)	(24)	
Fixed deposit account (15% x 40)	(6)	
Corporation tax payable	<u>150</u>	

Or

Sawa Sawa Sacco Ltd
2011 Computation of Taxable profit (Loss)

Income	Amount Sh. '000'	Proportion Taxable	Taxable Amount
Interest on savings account	160	50%	80
Interest on fixed deposit	40	50%	20
Rental Income	500	100%	500
			<u>600</u>

N/B: Computation of corporation tax liability is as shown above.

CLUBS AND NON PROFIT MAKING ORGANIZATIONS

MEMBERS CLUBS

A member's club means a club or similar institution all of the assets of which are owned or held in trust for the members thereof. Section 21 (1) of the Act states that the total income of a member's club including entrance fees and subscriptions are taxable. These clubs are taxed at corporation tax rate (30%) prevailing in the year of income. However, where 75% or more of the income of a member's club is from member's only, then this club is not required to pay tax on its income. But the investment income of the club such as dividends, interest etc, will still be taxable.

TRADE ASSOCIATIONS

A trade association means anybody of persons who are engaged in different businesses of similar type and the object of which is to safeguard or promote the business interest of these persons. A trade association may elect to the commissioner to be treated as being in a business chargeable to tax as per section 21 (2). In this case, the association will be liable to tax on its total income including entrance fees and subscriptions from members. Trade associations are required to pay tax at corporate tax rate prevailing in the respective year of income. The trade associations are liable to tax for the year of income in which they elect to the Commissioner to be treated as trading association and succeeding years of income.

AMATEUR SPORTING ASSOCIATIONS

These associations are required to pay tax on their investment income only. Their income other than investment income have been exempted from tax as per paragraph 6 of 1st Schedule of the income tax Act (Cap 470). These associations are exempted from tax on their income other than investment income if:

- Their sole or main objective is to foster and control any outdoor sporting activity.
- Their members consist of amateurs or affiliated associations having the membership of amateurs.
- Their memorandum of association or by-laws have provisions defining amateurs or professionals, providing that no person may be, or continue to be a member of such an association if he is not an amateur.

EXPORT PROCESSING ZONES

The Eleventh schedule of the income tax Act sets out the provisions relating to the taxation of enterprises situated in export processing zones (EPZs)

For the first ten years from the date of commencement of business by an EPZ:

- Payments to the EPZ will be subject to withholding tax at non-resident rates;
- Payments by the EPZ to non-resident persons will be exempt from tax; and
- The EPZ will be exempted from corporation tax provided that it does not carry out in commercial activity. Commercial activities include trading in, breaking bulk, grinding, repacking or relabeling goods and industrial raw material. Thus if any commercial activity is carried out by the EPZ enterprise the exemption would not apply.

For a period of ten years commencing immediately after its initial ten year period, the EPZ will be subject to corporation tax at the rate of 25%.

Notwithstanding the above, an EPZ must submit annual tax returns and accounts. Employees and directors of EPZs if resident, are liable to tax and deduction of PAYE in the normal way

INSURANCE BUSINESS

Insurance companies are taxed like any other business. According to the Income Tax Act CAP 470, if an insurance company carries on life Assurance business together with other types of insurance business, then the life Assurance business is treated as a separate business from other classes. The insurance company can be mutual or proprietary. Mutual insurance business is the case where the shareholders are the policy holders.

General Insurance Business

The gains or profits in any year of income shall be the sum of:

- Gross premium received less premium returned and premium paid on re-insurance as relates to that business.
- The amount of other income from that business including any commission on re-insurance and any income derive from investments held in connection with that business.

Deducting from the sum arrived at above;

- A reserve for unexpired risks referable to that business at the end of that year of income and adding there to the reserve for unexpired risks deducted at the end of the previous year.
- The amount of claims admitted in that year of income less any amount recovered under re-insurance.
- Agency fees incurred in that year of income.
- Management fees.
- Interest paid on the return of premiums or maturity of policies.
- All other allowable expenses as per section 15 of the Income Tax Act.

Note:

- i) Loss incurred by a general insurance business can be offset from profits realized from other sources.
- ii) Any other income realized by an insurance company should be added to the underwriting profits realized.

QUESTION

Moto general insurance company Ltd provided the following details with respect to the financial year ended 31 Dec 2011.

	Sh
Bad debts	468,000
Investment income	960,000
Reserve for unexpired risks: 1Jan 2011	948,600
Commission on reinsurance accepted	3,484,900
Claims outstanding: 1 Jan 2011	676,200
Gross premium	24,648,600
Claims paid	4,826,000
Claims outstanding: 31 Dec 2011	1,850,000
Claims recovered on reinsurance	545,700
Legal expenses relating to claims	376,800
Commission on re-insurance ceded	728,900
Agency fees	1,296,400
Foreign exchange losses	392,700
Dividends from life insurance fund	216,400
Management fees	1,804,600
Bonus utilized in reduction of premium	371,700
Royalties from patent rights	1,460,000
Repairs of rented premises	264,800
Travelling expenses	89,400
Purchase of motor vehicle	800,000
Re-insurance premium paid	724,800
Returned premium	1,314,600
Rental income	560,000

Additional information

1. Agency fees include sh. 16,400 relating to the life insurance fund.
2. Management fees include sh. 24,200 which relates to tax consultancy.
3. Repair of rented premises includes sh. 14,800 for purchase of furniture.

Required:

A statement of adjusted taxable profit or loss for Moto General Insurance Company Ltd for the year ended 31 Dec 2011.

Answer:**Moto General Insurance Company Ltd
2011 computation of taxable profit (loss)**

	Sh.	Sh.
Gross premium	24,648,600	
Less returned premium	(1,314,600)	
Re-insurance premium	<u>(724,800)</u>	22,609,200
Reserve for unexpired risks 1 Jan 2011	948,600	
Commission on re-insurance ceded	728,900	
Royalties from patent rights	<u>1,460,000</u>	25,746,700
Less allowable expenses		
Claims paid	4,826,000	
Claims outstanding: 31 Dec 2011	1,850,000	
Claims outstanding: 1 Jan 2011	<u>(676,200)</u>	
	5,999,800	
Claims recovered on re-insurance	<u>(545,700)</u>	(5,454,100)
Bad debts		(468,000)
Commission on re-insurance accepted		(3,484,900)
Legal expenses relating to claims		(376,800)
Agency fees		(1,280,000)
Foreign exchange losses		(392,700)
Management fees		(1,780,400)
Bonus utilized in reduction of premium		(371,700)
Travelling expenses		(89,400)
WTA-motor vehicle expenses-25% x 800,000		<u>(200,000)</u>
		11,848,700
Add:		
Investment income		960,000
Rental income (note i)		<u>308,150</u>
Total taxable income		<u>13,116,850</u>

NOTES:

Rental income	sh
Gross rent	560,000
Less repairs (264,800-14,800)	(250,000)
WTA – Furniture	
(12.5% x 14,800)	<u>(1,850)</u>
	<u>308,150</u>

LIFE ASSURANCE BUSINESSES

The profits or gains for the year of income from life insurance whether mutual or proprietary shall be the sum of the following:

- The amount of actual surplus as determined under the Insurance Act and recommended by the actuary to be transferred from the life fund for the benefit of shareholders and policyholders.
- 30% of management expenses and commissions that are in excess of maximum amounts allowed by the Insurance Act.
- Any other amounts transferred from the life fund for the benefit of the shareholders.

The amount of management expenses and commissions allowed under the Insurance Act is determined using the scale below. The scale is based on premiums recoverable for the year of income.

Amount Sh.	Rate
1 - 5,000,000	25%
5,000,001 - 12,500,000	22.5%
12,500,001 - 20,000,000	20%
20,000,001 - 30,000,000	17.5%
Excess over 30,000,000	15%

Question:

The following information relates to ABC Life Assurance Company Ltd. for the year ended 31st Dec 2011.

- The fund balance was valued by an actuary at Sh.200million as at 31st Dec 2011. 40% of this fund balance was recommended to be transferred for the benefit of shareholders.
- Analysis of life assurance premiums during the year was as follows:

Sh.
Received during the year 100,000,000
Outstanding on 1 st Jan 2011 40,000,000
Outstanding on 31 st Dec 2011 20,000,000

- Management expenses and commissions paid during the year amounted to Sh.20 million and Sh.4,000,000 respectively. The company had no other income during the year.

Required:

Taxable income of ABC Life Assurance for the year ended 31st Dec 2011.

Answer:

Premiums received during the year:	Sh.
Received during the year	100,000,000
Add outstanding 31 st Dec 2011	20,000,000
Less outstanding at 1 st Jan 2011	(40,000,000)
	<u>80,000,000</u>

Maximum management expenses and commissions according to the insurance Act on Premium received: Sh. 80,000,000:

	Sh.
First 5,000,000 @25%	1,250,000
Next 7,500,000 @ 22.5%	1,687,500
Next 7,500,000 @20%	1,500,000
Next 10,000,000 @17.5%	1,750,000
Excess (80,000,000 – 30,000,000) @15%	<u>7,500,000</u>
	<u>13,687,500</u>
Management fees and commission: (20,000,000+4,000,000)	24,000,000
Less: Amount allowed (as above)	<u>(13,687,500)</u>
Excess	<u>10,312,500</u>

ABC LIFE ASSURANCE COMPANY LIMITED

2011- TAXABLE INCOME COMPUTATION

	Sh.
Surplus transferred to shareholders (40% × 200million)	80,000,000
Management expenses & commissions (30% x 10,312,500)	3,093,750
Taxable income	<u>83,093,750</u>

CAPITAL GAINS TAX

Overview

The CGT will be applicable on gains realized by companies and individuals on the transfer of property situated in Kenya on or after 1 January 2015. This in essence brings to tax any capital gains accumulated from the time of suspension of the CGT. The general tax rate applicable will be 5%.

The gains shall be determined by the amount by which the transfer value exceeds the adjusted cost of the property. Adjusted cost refers to cost of acquisition of the property and other costs incurred subsequently to enhance or preserve the property, provided that such costs had not been previously deductible for tax purposes.

The Finance Act does not specifically provide guidelines on how the CGT relating to the transfer of property shall be paid. It is expected that the CGT will be payable in the same manner as the stamp duty such that, evidence of payment of CGT may be required for the transfer of property to be registered. However, CGT due on the transfer of shares listed in the NSE (Nairobi Stock Exchange) by an individual is payable by the stock broker who conducts the transfer.

The Finance Act does not provide for taxation of indirect transfers of property in Kenya. Such transactions should therefore not be subject to CGT.

Determination of taxable gain

Capital gain shall be the amount by which the transfer value of the property exceeds the adjusted cost of that property. The adjusted cost of property refers to all costs incurred with respect to the property, whether at the date of acquisition or costs incurred after the acquisition to enhance the property. All costs incurred by the transferor in the process of transferring the property e.g., professional fees, advertisement, etc., will be deductible against the income realized. No cost will however be deductible when computing the capital gains if such costs had previously been deducted for tax.

Transfer value shall be the value of consideration and in cases where; there is no consideration given, or the value of consideration cannot be determined or in cases where the parties to the transfer are related parties, the commissioner may determine the market value of the property.

Transfer for CGT purposes

Transfer of property for purposes of CGT includes:

- Where property is sold, exchanged, conveyed or otherwise disposed of in any manner whatever (including by way of gift), whether or not for consideration

Or

- On the occasion of the loss, destruction or extinction of property whether or not a sum by way of compensation or otherwise, or under a policy of insurance, is received in respect of the loss, unless that sum is utilized to reinstate the property in essentially the same form and in the same place
- On the abandonment surrender, cancellation or forfeiture of, or the expiration of substantially all rights to, property, including the surrender of shares or debentures on the dissolution of a company

A Transfer shall not include:

- Transfer of property for the purpose only of securing a debt or a loan, or on a transfer by a creditor for the purpose only of returning property used as a security for a debt or a loan
- Issuance by a company of its own shares or debentures
- Vesting of property of a deceased person to personal representative
- Transfer by a personal representative of property to a person as legatee in the course of the administration of the estate of a deceased person
- Vesting in the liquidator, official receiver or other trustee by an order of a court of the property of a company

- Transfer by a trustee of property, which is shown to the satisfaction of the Commissioner to be subject to a trust, to a beneficiary on his becoming absolutely entitled thereto
- Compensation for property acquired by the government for infrastructure development

Capital gains tax for companies

Companies will be required to pay CGT on gains realized from transfer of property situated in Kenya. The definition of property has been derived from the Interpretation and General Provisions Act,¹ and includes property acquired or held for investment purposes, excluding road vehicles. This wide definition brings most investments held by a company into the ambit of CGT.

However, gains realized by companies on the transfer of assets which had qualified for the wear & tear deduction as well as on the transfer of property in exchange of other property pursuant to a business restructuring or re-organization found by the minister to be in public interest are exempt from capital gains tax.

Whereas the Eighth Schedule does not specifically provide for taxation of listed marketable securities for a company as is the case for individuals, the broad definition of the term property may be interpreted to mean that CGT will be applicable on gains from transfer of listed securities by companies.

Capital gains tax for individuals

Individuals will be required to pay CGT on gains realized from the transfer of land or any interest in land situated in Kenya as well as on marketable securities, whether or not they are listed in the stock exchange.

Taxation of gains realized by an individual from the transfer of property and marketable securities excluding listed shares shall be taxed in the same way as a company.

With regard to listed shares, the gain on shares shall be the amount by which the transfer value of the listed shares exceeds the adjusted cost of such shares.² The stock broker who conducts the transfer of the listed shares shall be responsible for collecting and remitting the tax.

Previously, the CGT rate applicable on gains realized on the transfer of listed shares by an individual was 7.5% as specified in the Eighth Schedule. Following an amendment to the Income Tax Act (ITA) through the 2014 Finance Act, these gains will now be subject to tax at 5%. An amendment to the ITA is however necessary to rationalize this position.

Transfer of an asset between spouses or former spouses as part of a divorce settlement or bona-fide separation agreement shall not be treated as a transfer for purposes of CGT.

Capital gains realized by individuals from under the following instances are exempt from CGT:

- Shares in the stock or funds of the Government, the High Commission or the Authority established under the Organization or the Community
- Shares of a local authority
- Transfer of private residence occupied continuously for a period of three years or more prior to the transfer
- Transfer of land whose value does not exceed KES30,000
- Transfer of agricultural property of less than 100 acres situated outside an area specified to be an urban area
- Transfer of land adjudicated under the registered Lands Act for the first time
- Transfer of property including listed shares for purpose of administering the estate of a deceased person

Impact

Taxpayers should review transactions involving the transfer of property where the transaction is expected to take place on or after 1 January 2015.

Endnotes

1. Under the Interpretation and General Provisions Act, property is defined to include money, goods, choses in action, land and every description of property, whether movable or immovable; and also obligations, easements and every description of estate, interest and profit, present or future, vested or contingent, arising out of or incident to property as herein defined.
2. Adjusted costs in the case of shares means: (i) the market price at which the shares could have been purchased at arm's length for shares acquired before 13 June 1975; and (ii) the amount or value of consideration for the shares for shares acquired on or after 13 June 1975.

INCOMPLETE RECORDS

These arise where the business has not kept a complete set of accounting records or part of the records are lost or destroyed. It is necessary to use all the available records and information including those from third parties such as debtors and creditors in order to prepare the income chargeable to tax for a business.

When determining the accuracy of the information provided by a taxpayer who has maintained incomplete records, verification is necessary to determine:

1. Inflated expenses which reduced taxable income and tax payable.
2. The authenticity and accuracy of the figures provided.
3. The omissions if any in the financial data

To establish the accuracy of the figures provided in the profit and loss account, the bank statement is examined for cash payments. Expenses accrued and prepaid are extracted from the balance sheet and adjustments made to determine the actual expenses for the year.

The main items affected by the lack of complete records include:

1. **Credit sales and debtor** – Where a business does not keep records of the sales on credit the value can be derived from the opening and closing balances of trade debtors, payments received from trade debtors during the period, bad debts and the discounts allowed for the period. This is illustrated below:

Debtors control account			
	Dr.		Cr.
Balance b/f	XX	Cash received	XX
Credit sales	XX	Sales return	XX
(balancing figure)			
		Discount allowed	XX
		Bad debts	XX
		Balance c/f	XX
	<u>XX</u>		<u>XX</u>

2. **Credit purchases and trade creditors** – A relationship exist between purchases of stock during a particular period, opening and closing balances of trade creditors and the amounts paid to creditors during the year. A creditor's control account is prepared to determine the credit purchases. This is illustrated below.

Creditors control account			
	Dr.		Cr.
Cash paid	XX	Balance b/f	XX
Discount received	XX	Credit purchases	XX
		(balancing figure)	
Purchase returns	XX		
Balance c/f	XX		
	<u>XX</u>		<u>XX</u>

3. **Mark-up.** It is the profit expressed as a **percentage of the cost of sales** i.e.

$$\text{Mark - up} = \frac{\text{Gross profit}}{\text{Cost of sales}} \times 100$$

4. **Margin** – It is **the gross profit expressed as a percentage of sales** i.e.

$$\text{Margin} = \frac{\text{Gross Profit}}{\text{Sales}} \times 100$$

Note:

Where the mark-up as a fraction is $\frac{1}{n}$, margin is $\frac{1}{n+1}$

Example:

Mark-up is 25%. What is margin?

Answer:

$$\begin{aligned} \text{Margin} &= \frac{1}{4+1} \\ &= \frac{1}{5} \end{aligned}$$

$$\begin{array}{rcl}
 & & \frac{5}{25} \\
 \text{N/B: } 25\% & = & \frac{100}{1} \\
 & = & \frac{4}{4}
 \end{array}$$

Question:

- a) Explain the factors that determine the extent to which the incidence of a tax can be shifted
- b) Fanikiwa Traders is a sole proprietorship firm that deals in household goods. The following details were extracted from the books of the firm for the year ended 31 December 2011:
- (8 Marks)

Receipts and payments account

	Sh.		Sh.
Balance brought forward	242,000	Payments to trade creditors	2,210,000
Payments received from trade debtors	5,000,000	Electricity expense	109,000
Cash sales	390,000	Telephone expense	36,000
		Rent expense	200,000
		Advertising expense	143,000
		Fixtures and fittings for office use	255,000
		Insurance expense	94,000
		Motor vehicle expenses	212,000
		Drawings by the proprietor	1,600,000
		Balance carried down	<u>773,000</u>
	<u>5,632,000</u>		<u>5,632,000</u>

Additional information:

1. The following balance were also obtained from the business records:

	1 January 2011	31 December 2011
	Sh.	Sh.
• Trade creditors	159,000	244,000
• Trade debtors	260,000	400,000
• Stock fittings	420,000	500,000
• Office furniture	320,000	220,000

2. Depreciation on fixed assets for the year ended 31 December 2011 amounted to sh. 200,000.
3. Electricity expense includes Sh. 40,000 incurred in relation to the private residence of the proprietor.
4. During the year, the firm purchased office furniture on credit for sh. 240,000

5. Drawings by the proprietor include Sh. 300,000 representing specific provision for bad debts
6. Rent expense includes sh. 50,000 spent on replacing a wooden door in the shop with a metallic door.
7. Closing stock as at 31 December 2011 amounted to Sh. 95,000.

Required:

Prepare a statement showing the taxable profit or loss for Fanikiwa traders for the year ended 31 December 2011.

(12 Marks)

(Total: 20 Marks)**Answer:**

- a) Factors that determine the extent to which the incidence of a tax can be shifted.
 1. Elasticities of demand and supply

The higher the elasticity of demand, the lower the incidence of tax on the consumer. The higher the elasticity of supply, the higher the incidence of tax on the consumer.
 2. Nature of markets

In an oligopolistic market (few sellers and many buyers) tax shifting to the buyers is high since the few sellers can team up to determine the market price. For many sellers and many buyers, a large portion of tax will be borne by the sellers. For a monopolistic market, the entire tax burden falls on the shoulders of the buyers.
 3. Time available for adjustment

The person who can adjust faster (buyer or seller) will be able to shift tax e.g. if the buyer can shift to substitute goods, the seller will bear the tax burden.
 4. Government policy on pricing

In case of Government price control, the supplier cannot increase price hence cannot shift tax burden to buyers.
 5. Geographical location

If taxes are imposed only on certain regions, it is hard to shift them to consumers because consumers will move to regions of low tax.
 6. Nature of tax (direct or indirect)

Direct taxes e.g. income tax cannot be shifted whatsoever, while indirect taxes can be shifted through increase in prices.
 7. Rate of tax

If too high, shifting can occur backwards or forwards.
If too low, it can be absorbed by the manufacturer.

b) Fanikiwa Traders

2011 Computation of taxable profit (loss)

	Sh.000	Sh.000
Sales: - Cash	390	
-Credit	<u>5,140</u>	5,530
Less cost of sales		
Opening stock	-	
Purchases	2,295	
Less closing stock	<u>(95)</u>	(2,200)
Gross profit		3,330
Less allowable expense		
Electricity expense (109 – 40)	69	
Telephone expenses	36	
Rent expense (200 – 50)	150	
Advertising expense	143	
Insurance expense	94	
Bad debts – specific provisions	300	
Wear & tear allowances (note iii)	<u>115</u>	(907)
Taxable profit (loss)		<u><u>2,423</u></u>

Notes:**i) Credit sales**

Trade debtors			
	Sh. 000		Sh. 000
Balance b/f	260	Receipts & Payments	5,000
Sales	<u>5,140</u>	A/C	<u>400</u>
	<u><u>5,400</u></u>	Balance c/f	<u><u>5,400</u></u>

ii) Credit purchases

Trade Creditors			
	Sh. 000		Sh. 000
Receipts & Payments	2,210	Balance b/f	159
A/C	<u>244</u>	purchases	<u>2,295</u>
Balance c/f	<u><u>2,454</u></u>		<u><u>2,454</u></u>

iii) Fixtures & fittings

	Sh.000		Sh.000
Balance b/f – Shop fittings	420	Depreciation	200
- Office furniture	320	Disposals	365
Fixtures & fittings	255	Balance c/f – Shop fittings	500
Office furniture	240	- office furniture	220
Metallic door	<u>50</u>		
	<u>1,285</u>		<u>1,285</u>

iv) Wear and Tear allowances

Class	IV 12.5%
Written down value 1.1.2011: - Shop fittings	420
- office furniture	320
Additions:	
Fixtures and fittings	255
Office furniture	240
Metallic door	50
Disposals (Note iii)	<u>(365)</u>
	920
Wear and tear allowance	<u>(115)</u>
Written down value on 31.12.2011	<u>805</u>

APPLICATION OF CASE LAW**LUMP SUMS****Beak v. Robson**

Robson entered into an agreement with his company to continue as a director and manager for five years at a fixed salary plus bonuses. By the last two clauses, he covenanted £ 7,000 not to compete with the company if he left it.

Lawrence: The £7,000 comes not from having or excising an office but from the absence from employment after the cessation of the office.

Lord Greene: Robson is selling to the company the benefit of a covenant which only comes into effect when the service is concluded. The £7,000 is not paid for performing the service in respect of which he is chargeable under schedule E.

Cowan v. Seymour

Cowan acted as unpaid secretary of a company and later as a liquidator. After liquidation, the remained a sum on hand which the shareholders voted unanimously to the secretary and chairman. The resolution stated “the late secretary be asked to accept a moiety of such balance.”

M.R. it is more in the nature of a testimonial to him for what he had done in the past while in office, which had then terminated.

Younger L.J. this was not a profit by reason of the office but was rarely a gift by persons in the position of beneficiaries who had appreciated and maybe had benefitted by the personal exertions of the holder of the office while he held it.

Held:

That the sum voted by the shareholders did not accrue to him by reason of an office or employment or profit and was not chargeable.

Cooper V Blakiston

An appeal was made by the Bishop and supported by the church wardens stating that, it was the privilege and duty of the laity to augment the poor stipend of the clergy by personal free will gifts from which an offering will be collected on Easter Sunday.

Lord Chancellor: - **Where a sum of money is given to an incumbent substantially in respect of his services, it accrues to him by reason of his office.** There was a continuity of annual payments from any special occasion or purpose.

Lord Ashbourne:- The whole machinery ecclesiastical, the Bishop, church wardens, church collections and I am able to see room for doubt that these are made for the vicar and became part of the profits which accrued to him by reason of his office.

Held:

That the Easter offerings were assessable.

Weston V Hearn

On completion of 25 years of service, Weston was given £250 which he contended was a voluntary payment.

Held

- 1. The sum was not a personal gift**
- 2. This was an emolument by way of a bonus** and since the employee had not left employment, the gift was from the employer and was therefore assessable to tax.

BENEFITS

Parker v. Charman

Parker was a director of a company on a salary and commission basis. His commission was credited to his account. In 1920 a dividend was proposed together with an announcement of a new share issue. Later, the price of the company's trading commodity fell from £125 to £15 per ton. The company was reluctant to pay the dividend. They also realized that the share issue would not be taken up. To support the credit of the company, Parker utilized his dividend and commission towards purchasing a large portion of the new issue.

Rowcatt. A company pays its debts in shares; it is applying the money which it owes its creditors by the consent of the creditor, in buying the company.

Lord Hanworth MR. This commission was a sum which Mr. Parker did receive and subsequently appropriated to the benefit of the company.

Held:

That the appellant was assessable on the full amount of remuneration credited to him.

Richardson v. Lyon

By agreement the company agreed to pay the annual premium on a policy on the life of the employee.

Held:

That the payments are part of emoluments of his office.

Weight V Salmon

An employee of a company was given the privilege of obtaining unissued shares at a value that was less than the prevailing market price.

Held:

Although the employee did not sell any of the shares, there was no restriction to do so if he wished. The privilege represented money's worth, for services rendered to the company equivalent to the difference between the par and the market value which was accessible.

Non-cash benefits include:

Nicol V Austin

Austin who was a life governing director of a company entered into an agreement which provided inter alia that, the company should bear the cost of upkeep of his residence. The company wished him to continue to reside at the residence for the convenience and prestige of the business.

Held:

That the sums paid are assessable as profit of his office as the managing director.

Expenses

Friedson v. Glyn Tom.

Glyn Tom was a curate at Faversham. He left there to take up a curacy at Edmonton. He claimed the expenses of removal

Samkey J. There is all the difference in the world between an expense which you have to incur in order to go to a place to take up your duties and an expense incurred in the performance of your duties.

Held:

That the deduction is not an allowable deduction

Ricketts v. Colquhoun

Ricketts was a barrister living and practicing in London. He also held the office of Recorder of Portsmouth. He claimed as a deduction from his emolument as Recorder, the travelling expenses to Portsmouth and the hotel expenses while he was there.

Viscount Cave L.C. The expenses are incurred not because the appellant holds the office of Recorder, but because of living and practicing away from Portsmouth, you must travel to that place before he can begin to perform his duties. The expenses are incurred partly before he enters upon the duties and partly after he has fulfilled them.

Held:

The expenses are not an allowable deduction.

Eagles V. Levy

Levy had been the chairman and managing director of a company. He started a high court action for the recovery of the balance of remuneration which he claimed was due to him. On the second day of the hearing, the action was settled without a court order. Counsel for the company stated in court that “the sum is a comprehensive sum, there are no cost on either side in the matter” levy claimed his expenses of £6000 in making the action, as a deduction from the emoluments recovered.

Finlay J. The £45,000 per annum did not to any extent represent costs but on the contrary, it was a sum from which cost were excluded. This was not a sum which can be deductible.

Held:

That the costs of the action were not necessarily incurred in the performance of his duties

QUIZ

Question 1

- a) With reference to the principle of equity in taxation, distinguish between ‘vertical equity’ and ‘horizontal equity’. (4 Marks)
- b) Highlight four arguments in favour of direct taxes (4 Marks)
- c) S. Barasa is a sales manager with Timau Millers Ltd. The following information to his income for the year ended 31st December 2011:
1. Basic pay Sh. 960,000 per annum (PAYE Sh. 120,000 per annum)
 2. He provided with house leased by the employer at Sh. 50,000 per month. He contributes 3% of his basic pay towards the house rent.
 3. On 1 July 2011, he was provided with a loan by the employer amounting to Sh. 4,200,000 at an interest rate of 4% per annum to enable him to purchase a residential house. He moved to the new house 1 August 2011.
 4. He is a member of a registered pension scheme. During the year, he contributed Sh. 180,000 to the scheme while the employer contributed an equal amount.
 5. He operates a canteen which is located within the employer’s premises. The employer deducts Sh. 2500 per month as rent for the canteen, although the market rental value is Sh. 8,000 per month. The canteen reported a taxable profit of Sh. 120,000 for the year ended 31 December 2011
 6. He is provided with a motor vehicle (2000cc) for both official and private use. On average, three quarters of the motor vehicle usage is for official purposes. The motor vehicle cost Sh. 1,600,000 in year 2008 but was valued at 1,000,000 as at 31 December 2011.
 7. During the year the employer paid the following bills for him

Sh.

• School fees (expensed in the company’s books)	80,000
• Telephone Bills	30,000
• Grocery Bills	12,000
• Watchman Wages	36,000

8. During the year, the employer contributed Sh. 20,000 for him to Mali Golf Club.
9. He is married with three children. The life insurance premium for himself and family amounting to Sh. 22,000 per annum were paid by the employer during the year.
10. He also owns a farm which reported a loss of Sh. 80,000 for the year ended 31 December 2011. He estimates that five per cent of the farm output is consumed by his family.

Required:

- (i) The taxable income of S. Barasa for the year ended 31 December 2011 (10 Marks)
- (ii) Tax payable (if any) from the income computed in c (i) above (2Marks)

(Total: 20 Marks)

Question 2

- (a) State four grounds on which a taxpayer can lodge an appeal with the local committee
(4 Marks)
- (b) Mr. Alex Makokha is a tax manager with Otieno and Kalei Associates, a firm of Certified Public Accountants (CPAs). During the year of income ended 31 December 2011, he reported the following:
1. Basic salary per month sh.75,000 (PAYE SH.14,000 per month).
 2. He is provided with a motor vehicle of 2000 cc by the employer. The motor vehicle was leased from Magari Leasing Ltd. For sh.22,500 per month. As at 1 January 2011, the motor vehicle was valued at sh.400,000 after deducting accumulated depreciation of sh.150,000.
 3. He was housed by the employer in a fully furnished house (cost of furniture, sh.180,000) until 30 September 2011. During this period, he contributed 10% of his basic pay as rent.
 4. On 30 September 2011, he obtained a mortgage from Nyumba Building Society Ltd. For sh.4,000,000 at an interest rate of 18% per annum. He shifted his own residential house with effect from 1 October 2011.
 5. The employer paid his life assurance premiums amounting to sh.100,000 during the year.
 6. He is a member of a registered retirement benefits scheme to which he contributed sh.15,000 per month while the employer contributed an equal amount.
 7. During his spare time, he provided free tax advice to his friends. These services were valued at sh.100,000.
 8. His wife owns residential property. During the year, she reported the following:
 - Gross rental income sh.400,000 per annum.
 - Repair and renovation costs before letting sh.80,000.
 - Municipal council rates sh.8,000 per annum.
 - Insurance for the property sh.12,000 per annum.
 - Construction of a fire exit as per Municipal Council regulations sh.30,000.

Required:

- (i) Total taxable income for Mr. Alex Makokha for the year ended 31 December 2011.
(14 Marks)
- (ii) Tax liability for Mr. Alex Makokha
(2 Marks)
- (Total: 20 Marks)**

QUESTION 3:

- (a) John Sululu had an outstanding loan balance of Sh. 1,000,000 from the employer as at 31 December 2011. The interest on the loan was fixed at 4% per annum.

Required:

- (i) Determine the fringe benefit tax payable for the month of December 2011 assuming a prescribed interest rate of 6 % per annum. (3 Marks)
- (ii) State who is responsible for remitting the tax determined in (a) (i) above (1 Mark)
- (b) Naivasha Dairy co-operative Society Ltd. prepared the following income statement for the year ended 31 Dec 2011.

	<u>Sh.</u>	<u>Sh.</u>
Sales of milk and other products		21,600,000
Dividend from quoted companies		<u>40,000</u>
Revenue		21,640,000
<u>Expenditure:</u>		
Legal fee on overdraft	125,000	
Income tax paid (year 2010)	807,000	
Donations	68,000	
Bad debts reserve	160,000	
Repairs maintenance	82,000	
Loss on sale of investment	60,000	
Education workshop for members	120,000	
Committee sitting allowance	300,000	
Interest on overdraft	200,000	
Purchase of stationery	100,000	
Bonuses and dividends for farmers	<u>12,000,000</u>	<u>(14,022,000)</u>
Net surplus		<u>7,618,000</u>

Required:

- (i) Determine the tax payable by the co-operative society for the year ended 31 Dec 2011.
(6 Marks)
- (ii) State the date(s) when the tax computed in (a) above would be payable.
(2 Marks)

(c) Distinguish between the following sets of terms as used in taxation:

- (i) Trading receipts and balancing charge (4 Marks)
- (ii) Objects and Appeals (4 Marks)

(Total: 20 Marks)

Question 4:

- a) Mr. Claus Ochochi, a businessman, reported an accounting profit of Sh. 800,000 for the year ended 31 December 2011. However, an assessment of the income and expenditure of his business by the revenue authority revealed a taxable profit of Sh. 300,000 only for the year ended 31 December 2011.

Required:

Identify possible reasons for the differences between the accounting profit and the taxable profit of Mr. Claus Ochochi as reported above. (4 Marks)

- b) Sweetfruit Ltd processes various types of fruit juice for sale.

The company reported a net profit of Sh. 7,855,500 for the year ended 31 December 2011. This profit was after debiting and crediting the following items.

	Sh.
Opening stock	1,950,000
Purchases	18,900,600
Salaries and wages	6,750,000
Lease amortization	375,000
Gross sales	42,000,000
Rental income	10,500,000
Electricity and water expense	2,400,000
Interest expense	4,500,000
Rent, rates and taxes	1,800,000
Donations to a political party	240,000
Closing stock	2,550,000
Profit on sale of shares	100,500
Impairment of assets	528,000
Depreciation	1,353,000
Cost of stolen stock	1,800,000
Legal expenses	1,200,000
Dividend income (gross)	1,800,000
Interest income (net)	3,150,000
Repairs and maintenance	2,970,750
Bad debts	2,031,000
Proposed dividend	1,800,000
Redundancy payments to employees	3,270,900
Insurance compensation received	750,000
Business promotion cost	1,440,750
Miscellaneous income (not taxable)	315,000

Additional information:

1. Legal expenses were incurred in relation to:

	Sh.
Drafting of a lease agreement (100 years)	180,000
Settling customer disputes	120,000
Conveyance fee on purchase of land	300,000
Issue of debentures	<u>600,000</u>
	<u>1,200,000</u>

2. Bad debts were analyzed as follows:

Bad debts account

	Sh.		Sh.
Bad debts written off	381,000	Balance brought forward:	
Balance carried down:		General provision	6,750,000
General provision	7,200,000	Specific provision	1,500,000
Specific provision		Profit loss account	
	<u>2,700,000</u>		<u>2,031,000</u>
	<u>10,281,000</u>		<u>10,281,000</u>

3. Included in repairs and maintenance was Sh. 300,000 incurred on renovation of a factory building.
4. Capital allowances for the year ended 31 December 2011 were agreed with tax authorities at Sh. 2,730,000.
5. Dividend income received was analysed as follows:

	Sh.
Dividend from a subsidiary company	600,000
Dividend from shares held in a commercial bank	<u>1,200,000</u>
	<u>1,800,000</u>

6. Interest income comprised of:

	Sh.
Interest from an account with foreign bank	1,350,000
Interest from Treasury bills	<u>1,800,000</u>
	<u>3,150,000</u>

7. Insurance compensation received was in relation to the debtors who had defaulted on payment.

Required:

- (i) Taxable profit or loss of Sweetfruit Ltd for the year ended 31 December 2011. (10marks)
- (ii) Tax liability (if any) due from the company for the year ended 31 December 2011. (2marks)
- c) The following statement was made by a senior official of the revenue authority in your country during one of the workshops held to induct new taxpayers on tax policies.

“One of the merits of taxation is that it creates civic consciousness on government activities”.

Required:

Explain the above statement in the context of the role of taxation in a country. (4marks)

(Total: 20marks)

ANSWERS

Question 1

(a)

- **Vertical equity**

It means that there is reasonable differences in taxation of persons with equal abilities to pay i.e. different people with different incomes don't pay the same amount of tax.

- **Horizontal equity**

It means that there is equal taxation of persons with equal ability to pay i.e. persons with the same income levels should pay equal amounts of tax.

(b) Arguments in favour of direct taxes:

2. Fair distribution of income and wealth

- Direct taxes are more effective in reducing the inequalities of income and wealth.

3. Ability to pay

- Direct taxes are related to the income levels of a person.

4. Revenue elasticity

- As income levels go up the revenue to the government also goes up.

5. Certainty

This is in relation to the manner, time of payment and the amount of tax to be paid.

6. Economical

- The cost of collection of direct taxes is low.

7. Simplicity

- Direct taxes are simple and easy to understand.

8. Civil responsibility

- Direct taxes instill a spirit of Civil responsibility i.e. tax payers would want to know how their money is used by the government.

(c)

S. Barasa

2011 computation of taxable income

	Sh.
Basic salary	960,000
Canteen (8,000 – 2500)12 mths	66,000
Car.cc basis $\frac{1}{4} \times 86,400$	21,600
$\frac{1}{4} \times 24\% \times 1,600,000$	96,000
School fees	80,000
Telephone 30% X 30,000	9,000
Grocery bills	12,000
Watchman	36,000
Golf club	20,000
Life assurance	22,000
Housing benefit	

15% X 7/12*1,301,000	113,837.5	
Market rental value	350,000	
Housing Benefit is higher	350,000	
Less own contribution	(16,800)	
(3%*7/12*960,000)		
Less contribution to pension		
Actual	180,000	
Set limit	240,000	(180, 000)
30% gains from employment	490,260	
Business income		120,000
Total taxable income		<u>1,574,200</u>
<u>Tax computation</u>		
First Sh. (12,968 @ 10%) + (114,912 @ 60%)		81,144
Surplus (1,574,200-466,704) @ 30%		<u>332,248.8</u>
		413,392.8
Less T.A.S PAYE		(120,000)
Life insurance 15% X 22000		(3,300)
Personal relief		<u>(13,944)</u>
Tax payable		<u>689,541.6</u>

Notes

- Mortgage interest is not granted as allowable deduction since the loan is not from a recognized financial institution.
- Farming loss is carried forward to be set off against profits from farming in future years.
- Insurance relief is granted on life or education policies on self, spouse or child at 15% of total premium paid during the year, with a maximum of sh.60,000 p.a.

Question 2:

(a) Grounds for lodging an appeal with the local committee:

- Where the commissioner has refused to amend an assessment
- Where the commissioner has refused to refund tax
- Where the commissioner has refused to waive penalties
- A dispute involving the valuation of assets for purposes of capital allowances
- Where the commissioner has issued a notice to the taxpayer requiring him to maintain his books and records in a particular format

(b) (i) Mr. and Mrs. Makokha**2011 computation of taxable income**

Mr. Makokha		Sh.
Basic salary		900,000
Car. Cc. basis	86,400	270,000
Leasing charge	270,000	
Furniture 1% X 9 X 180,000		10,800
Life assurance		100,000
Housing benefits		
15 % (9/12 * 1,270,000) + 10,800	145,305	
Less 9/12 X 10% X 900,000	(67,500)	76,995
Less contribution to pension		
Actual	180,000	(180,000)
Set limit	240,000	
30% earning from employment 407,338.5		
(30% x 1,357,795)		
Less mortgage interest		
Actual 3/12 X 18% X 4,000,000	180,000	(37,500)
Set limit 3/12 X 150,000	37,500	
Taxable income		<u>1,140,295</u>

Mrs. Makokha

Rental income (Note i)	<u>350,000</u>
------------------------	----------------

(ii) Tax computation**Mr. Makokha**

First Sh. (121,968 @ 10%) + (114,912 @ 60%)	81,144
Surplus (1,140,295 – 466,704) @ 30%	<u>202,077.3</u>
	283,221.3
Less T.A.S – PAYE	(168,000)
Insurance relief (15% X 100,000)	(15,000)
P/relief	<u>(13,944)</u>
Tax payable	<u>86,277.3</u>

Mrs. Makokha

First Sh. (121,968 @ 10%) + (114,912 @ 15%)	29,433.6
Surplus (350,000 – 236,880) @ 20%	<u>22,624</u>
	52,057.6
Less personal relief	<u>(13,944)</u>
Tax payable	<u>38,113.6</u>

NOTES

Rental Income	Sh.
Gross Income	400,000
Less municipal rates	(8,000)
Insurance	(12,000)
Fire exit	(30,000)
Taxable Income	<u>350,000</u>

Question 3:**(a) (i) Fringe Benefit Tax**

Fringe benefit = Amount of loan (Prescribed interest rate – low interest rate) $\frac{n}{12}$

Where n is the number of months

$$= 1,000,000(6\% - 4\%) \frac{1}{12}$$

$$= 1,666.667$$

Fringe benefit tax = Fringe benefit x corporation tax x $\frac{1}{n}$

$$= 1,666.667 \times 30\% \times \frac{1}{1}$$

$$= 500$$

- (ii) It is the responsibility of the employer to calculate and remit fringe benefit tax to the tax authority by the 9th day of each month.

(b) Naivasha Dairy Co-operative Society Ltd.**2011 computation of adjusted profit (loss)**

	<u>Sh.</u>	<u>Sh.</u>
Net profit per accounts		7,618,000
Add:		
Legal expenses on overdraft		125,000
Income tax	807,000	
Donations	68,000	
Bad debt reserve	160,000	
Loss on sale of investment	<u>60,000</u>	1,220,000
Deduct:		
Dividend from quoted companies		<u>(40,000)</u>
Adjusted business profit (loss)		<u>8,798</u>
Corporation tax liability: 30% X 8,798		2,639.4
(ii) Installment tax:		
807,000 X 110/100	887,700	

Due dates

1st installment (75%) Sh. 665,775 is payable by 20.9.2011

2nd installment (25%) Sh. 221,925 is payable by 20.12.2011.

Balance (including penalty) Sh. 2,102,040 is payable by 30/4/2012.

(c) (i) **Trading receipt** - Where the assets of an entire class of wear and tear are disposed at a value that is higher than the written down value of assets in the same class, the gain or surplus is a trading receipt in case the business is a going concern. A trading receipt is a taxable business gain

Balancing charge – Where the assets of an entire class of wear and tear are disposed at a value that is higher than the written down value of assets in the same class, the gain or surplus is a balancing charge in case the business is under liquidation. A balancing is a taxable business gain.

(ii) **Objections** – A tax payer has the right to lodge an objection against an assessment issued by the commissioner within 30 days after receiving the assessment. A valid notice of objection must be:

- Made in writing.
- State the grounds of objection.
- Made within 30 days.

Appeals – A tax payer who is aggrieved with the decision of the commissioner may lodge an appeal with the established bodies of appeal such as:

- Local committee
- Tribunal
- High court
- Court of appeal

Question 4

a) **Possible reasons for the difference between the accounting profit and taxable profit of Mr. Claus Ochochi**

- Inclusion of non taxable income in the reported profit for example gain on sale of fixed assets which is not taxable.
- Failure to deduct certain allowable deductions from the accounting profit for example capital allowances such as wear and tear allowances.
- Deducting from the accounting profit certain expenditures which are not allowable for example salary to the owner of the business.
- Failure to include incomes which are taxable in the accounting profit.
- Failure to disclose all income and expenditure to the revenue authority but including in the accounting profit.
- Other reasons such as arithmetical errors, poor record keeping etc

b) (i)

Sweet fruit Ltd**2011 Computation of Taxable profit or Loss**

	Sh.	Sh.
Reported profit		7,855,500
Add:		
Lease amortization	375,000	
Impairment of assets	528,000	
Rent, Rates and taxes	1,800,000	
Depreciation	1,353,000	
Donation to Political Party	240,000	
Legal Expenses – 100 year lease	180,000	
- conveyance fees	300,000	
Repairs and Maintenance – renovation	300,000	
Bad debts – increase in general provision	450,000	
Proposed dividend	<u>1,800,000</u>	7,326,000
Deduct:		
Rental income	10,500,000	
Profit on sale of shares	100,500	
Dividend income	1,800,000	
Interest income	3,150,000	
Miscellaneous income	315,000	
Capital allowances	<u>2,730,000</u>	(18,595,500)
Adjusted business profit or loss		(3,414,000)
Add:		
Rental income		10,500,000
Interests from treasury bills (gross)		
(1,800,000 x 100/85)		<u>2,117,647.059</u>
		<u><u>9,203,647.059</u></u>

(ii) Corporation tax liability:

$$\begin{aligned}
 30\% \times 9,203,647.059 &= 2,761,094.118 \\
 \text{Less withholding tax on interest} &= (317,647.209) \\
 (15\% \times 2,117,648.059) &= \underline{\underline{2,443,446.909}}
 \end{aligned}$$

c) Role of taxation in creating civic awareness or consciousness

Taxes, especially direct taxes create civic consciousness among the taxpayers. Tax payers are conscious that they are paying taxes to the government and therefore take interest in the activities of the state. This interest is focused on whether public expenditure is incurred from public welfare or not. Such consciousness puts a check on the wastage of public expenditure in the country.

TOPIC 8

CAPITAL DEDUCTIONS

INTRODUCTION

Key terms

Investment deduction: Is a capital deduction given on cost of buildings and machinery which are used for manufacture, on cost of a ship, and on cost of a hotel building.

The investment deduction on buildings and machinery is intended to encourage new investments in the manufacturing sector

The investment deduction is deducted in the income tax computation, or in arriving at the taxable income/loss

Industrial Building allowance: This is a capital deduction or allowance given in respect of capital expenditure on an industrial building

The amount of industrial building allowance is deducted in the income tax computation or in arriving at the taxable income/loss for year or period

Wear and Tear allowance: The wear and tear deduction is a capital deduction on machinery used for business. The deduction is made against income

Farm works deduction: This is a capital deduction granted only in respect of capital expenditure on agricultural land. The farm works deduction is deducted in the income tax computation

The deductions or allowances are at standard rates for all taxpayers depending on the nature of the capital expenditure incurred.

Section 16 of the income tax expressly provides that in calculating the gains or profits of a person no deductions can be made for expenditure of a capital nature. The same principle is applied in disallowing capital losses, exhaustion of capital e.g. depreciation of fixed assets.

- Capital Allowances are allowable deductions granted on the capital expenditure incurred to acquire assets that are utilized in the business to generate taxable income.
- Capital allowances are granted for the following reasons:
 - To encourage new industrial enterprises;
 - To allow such deductions as may just and reasonable as representing the diminution in value of fixed assets during a particular year.
 - To encourage exportation
- Capital allowances include the following:
 - (i) Investment deduction (ID)
 - (ii) Industrial building deduction (IBD)

- (iii) Framework deductions (FWD)
- (iv) Diminution in value of loose tools and implements

The capital deductions are important because:

- a) Some offer incentives to business by allowing capital expenditure otherwise not claimable.
- b) Some act as standard depreciation for income tax purpose. The depreciation and similar charges are not allowable expenses against taxable income.

These are referred to as deductions (allowances) under the Second Schedule to the Income Tax Act.

The manner of calculating and computing the various capital deductions or allowances is given below.

The wear and tear deduction is a capital deduction on machinery used for business. The deduction is made against income. As we shall see later, the deduction is made in the income tax computation (or in arriving at the taxable income or loss for the year) after disallowing any depreciation and similar charges against taxable income.

As noted earlier any capital loss, diminution, exhaustion of capital, such as depreciation, amortisation, loss on sale of assets, obsolescence, provision for replacement, are not allowable expenditure against income.

But the Income Tax Act recognises the loss of value of assets used in business through usage, passage of time or obsolescence and so grants the wear tear allowance.

As per paragraph 7 of the Second Schedule to the Income Tax Act ... —where during a year of income machinery owned by a person is used by the person for the purpose of his business, there shall be made in computing the person's gains or profits ... a deduction ... referred to as a 'wear and tear deduction'.¹

It should be noted that machinery qualifies for wear and tear deduction where:

- i. Owned by a person, and
- ii. Used by the person for business anytime during the year of income.

INVESTMENT DEDUCTION (ID)

This is a claim granted in the year the asset is first used on the capital expenditure incurred on factory buildings and machinery as an incentive to encourage investments in the manufacturing sector.

Investment deduction is granted to encourage:

- The development of industries in normal manufacture, tourism and shipping.
- Exportation to earn foreign exchange e.g. in the case of Export Processing Zones enterprises.
- To encourage foreign investment in Kenya

The qualifying capital expenditure for purposes of investment deduction includes:

1. Construction of a factory building.
2. Installation of new or imported second hand processing machinery.
3. Construction of a hotel building certified to be an industrial building.
4. Purchase of machinery utilized for ancillary purpose such as:
 - Generation, transformation and distribution of electricity.
 - Machinery for clean up and disposal of effluent and other waste products.
 - Machinery for the reduction of environmental damage
 - Machinery for water supply and disposal
5. From 1 January 1995, specified civil works are eligible for investment deductions.
Civil works includes:
 - a. Roads parking areas.
 - b. Railway lines and related structures.
 - c. Water, industrial effluent and sewerage works.
 - d. Communication and electrical posts and pylons and other electrical supply works.
 - e. Security walls and fencing.
6. From 1 July 1999, workshop machinery for the maintenance of machinery used for manufacturing.
7. From 1 January 2010, purchase of filming equipment by a local film producer.

Rates of ID are:

Year	Nairobi & Mombasa	Elsewhere
1988	10%	60%
1989	25%	75%
1990-94	35%	85%
1995-00	60%	60%
2001	100%	100%
2002	85%	85%
2003	70%	70%
2004-2012	100%	100%

Notes

- (i) With effect from 1st January 2010, Investment Deduction is granted at the rate of 150% on capital expenditure incurred in an investment within satellite towns adjoining Nairobi, Mombasa, and Kisumu provided that the value of investment is Sh. 200M or more.
- (ii) An industrial building that qualifies for ID must be new i.e. it must not have been used before for any other purpose.
- (iii) When non-qualifying expenditure is included in the cost of an industrial building that qualifies for investment deduction, such expenditure shall also qualify for ID if the proportion to the total cost is 10% or less.
Example of non qualifying expenditure and administration offices, showrooms, retail shops and residential areas not meant for workers.

Question:

BB Ltd constructed a factory building at a total cost of Sh.10m. The cost of construction comprised:

	Sh.000
Land	2,000
Office	600
Show room	300
Factory	<u>7,100</u>
	<u>10,000</u>

Answer:

Non qualifying cost X 100

Total cost

$$\frac{600 + 300}{600 + 300 + 7100} \times 100 = 11.25\%$$

$$600 + 300 + 7100$$

Qualifying cost is only the factory cost of sh. 7,100,000

Cost of office and show room will not qualify for ID.

INVESTMENT DEDUCTION FOR BONDED MANUFACTURERS (IDBM)

This is an additional incentive that was granted to manufacturers to encourage manufacture for export purposes. IDBM was introduced in Kenya in 1988. Capital expenditure that qualified for IDBM had to fulfill the following specific conditions.

1. The expenditure must qualify for ordinary ID.
2. The manufacturer must obtain a license from the customs department indicating that the manufacture was for export purposes.
3. Where a person fails to manufacture for export for at least 3 years, IDBM granted was clawed back, which means the commissioner recover the amount of IDBM that was granted.

Currently no IDBM is given since the rate of I.D is at 100%

RATES OF IDBM**Nairobi and Mombasa**

	1988	1989	1990-94	95-00	2001	2002	2003	2004-2012
Normal ID	10%	25%	35%	60%	100%	85%	70%	100%
IDBM	<u>70%</u>	<u>75%</u>	<u>65%</u>	<u>40%</u>	<u>-</u>	<u>15%</u>	<u>30%</u>	<u>-</u>
	<u>80%</u>	<u>100%</u>	<u>100%</u>	<u>100%</u>	<u>100%</u>	<u>100%</u>	<u>100%</u>	<u>100%</u>

ELSEWHERE

Normal ID	60%	75%	85%	60%	100%	85%	70%	100%
IDBM	<u>25%</u>	<u>25%</u>	<u>15%</u>	<u>40%</u>	<u>-</u>	<u>15%</u>	<u>30%</u>	<u>-</u>
	<u>85%</u>	<u>100%</u>	<u>100%</u>	<u>100%</u>	<u>100%</u>	<u>100%</u>	<u>100%</u>	<u>100%</u>

WEAR AND TEAR ALLOWANCES

Class	I	II	III	IV
	(37.5%)	(30%)	(25%)	(12.5%)
W.D.V 1.1.09				
Additions:				
Computers		400		
Fork lift	1,500			
Saloon car			2000 ^R	
Office furniture				800
Aircraft			<u>16,000</u>	
	<u>1,500</u>	<u>400</u>	<u>18,000</u>	<u>800</u>
WTA	<u>(562.5)</u>	<u>(120)</u>	<u>(4,500)</u>	<u>(100)</u>
W.D.V 1.1.10	937.5	280	13,500	700
WTA	<u>(351.563)</u>	<u>(84)</u>	<u>(3,375)</u>	<u>(87.5)</u>
W.D.V 1.1.11	585.937	196	10,125	612.5
WTA	<u>(219.726)</u>	<u>(58.8)</u>	<u>(2,531.25)</u>	<u>(76.563)</u>
W.D.V 31.12.11	<u>366.211</u>	<u>137.2</u>	<u>7,593.72</u>	<u>535.937</u>

Industrial Building deduction.

Nature of Building	Qualifying Cost	I.B.D2.5%	Residue c/fwd
Directors house	6,000	150	5850

INDUSTRIAL BUILDING DEDUCTION (IDB)

This is granted as allowable deduction on the capital expenditure incurred on the construction of an industrial building.

In case of an ordinary industrial building, IDB is granted on the rate 10% p.a on straight line basis, before year 2010 the rate was 2.5% per annum. For a hotel building certified as an industrial building IDB is granted at the rate of 10% with effect from 1st Jan, 2011 (4% p.a up to Dec 2010). An industrial building is defined as a building used for the purpose of:

- Milling such as posho mill, sawmill etc.
- Factory building for large industries.
- Commercial undertakings for transportation purposes e.g. bridges, tunnels etc.
- Buildings used for the storage of goods such as stores, or warehouses
- Prescribed dwelling houses for the workers or staff quarters.
- Buildings used for the welfare of workers such as sports pavilion, canteens, social halls, health clinics etc.
- Hotel building certified as an industrial building.
- Substantial renovations to the existing industrial building.
- A 50% industrial building allowance can be claimed on a hostel or educational building from 1 Jan 2010. This allowance also applies to buildings used for training.
- From 1 Jan 2008, 5% industrial building allowance can be claimed on residential buildings built for rental purposes to low income earners in approved, planned development area.
- From 1 Jan 2010, 25% industrial building allowance can be claimed on qualifying commercial buildings.

Notes

- i) A building would qualify as an industrial building if it is used for purposes of milling, factory or other similar purpose.

In *IRC v LEITH HARBOUR AND DOCK COMMISSIONERS* it was held that grain elevators were within the expression “mills, factories and other similar premises”.

In *ELLERKER v UNION COLD STORAGE CO LTD*, cold stores were held to be within that expression on the basis that they were equipped with machinery for the purpose of subjecting meat and other commodities to an artificial temperature, and thus were building in which goods were treated or processed by means of machinery provided for that purpose.

- ii) A building qualifies as an industrial building if it is in use for the purpose of a business, which consists of manufacture of goods or materials or the subjection of goods or materials to any process.

In *VIBROPLANT LTD v HOLLAND* it was held that a building used by plant hire operators for cleaning, servicing and repairing the plant on the premises was not an industrial building on the basis that each item of plant was treated individually according to the amount of servicing it needed.

In *BUCKINGHAM v SECURITAS PROPERTIES LTD* it was held that a building which was used inter alia, for breaking down bulk cash into individual wage packets was not an industrial building.

- iii) The expression industrial building does not include a retail shop, showroom, office or dwelling house.

In *IRC v LAMBHILL IRONWORKS LTD*, a company carried on business as structural engineers. The company claimed industrial building allowance on its drawing office. The drawing office was used for the preparation of drawings for tenders and making scale drawings

and blue prints for contracts already place with the company. The company contended that the office was used for industrial purposes. The revenue department contended that the drawing office was an “office”.

It was held that, the drawing office was an industrial building on the grounds that it was in use for purposes ancillary to the industrial operations carried on in the rest of the works.

- iv) Where an **industrial building is utilized** for only **part of the year IBD is apportioned** accordingly e.g. BB Ltd constructed an industrial building for sh. 6m. The factory was brought to use on 1st April 2011. Calculate capital allowances claimed by BB Ltd.

BB LTD

Industrial building deductions

<u>Nature of building</u>	<u>Qualifying cost</u> Sh.000	<u>IBD</u> 10%	<u>RESIDUE</u> C/F
Factory	6,000	<u>400^R</u>	5600

- v) Where an industrial building is purchased from a certified contractor, the qualifying cost for capital allowances is the purchase price. However where an industrial building is purchased from any other person, the qualifying cost for ID is the cost of construction.
- vi) Where a building changes hands more than once before it is put into use, the new owner shall claim capital allowances based on his purchase price. However, where a building has already been put into use the new owner can only claim IBD based on the qualifying cost of the seller of the building.

QUESTION:

Mr. J K purchased industrial buildings from Mr. J.P in August 2011 at a cost of sh. 10 million. The buildings were constructed by Mr. J.P at a total cost of sh. 8 million which comprised of;

	Sh. 000
Factory building	4,000
Administration offices	800
Show room	400
Canteen	1,200
Store	<u>1,600</u>
Total Cost	<u>8,000</u>

The buildings were put into use by Mr. J.P in April 2003.

Required

Calculate the capital allowances claimable by Mr. J.K

ANSWER:

Mr. J.K

2011 computation of capital allowances**Industrial building deduction**

Nature of building	QC <u>Sh000</u>	Residue <u>b/f</u>	IBD <u>@ 2.5%</u>	Residue <u>C/F</u>
Factory	1,200	950	12.5 ^R	937.5
Canteen	1,200	950	12.5 ^R	937.5
Store	1,600	1266.667	<u>16.667^R</u>	1,250
			<u>41.667</u>	

NOTES

- (i) The industrial buildings had already been put into use, hence the qualifying cost for IBD is the construction cost. The purchase price of Mr. JK is irrelevant. The applicable I.B.D rate is 2.5%. Since the building were put to use in the year 2003 when the rate was 2.5%.

- (ii) Factory building

$$\begin{aligned} & \text{Non-Quantifying cost / Total cost} \times 100 \\ &= 800+400/800+400+ 4000 \times 100 \\ &= 23.1\% \end{aligned}$$

Therefore, Cost of Administration Offices and showroom will not qualify for ID.

- (iii) IBD Quantifying cost for factory

$$(100\% - 70\%) 4,000 = 1,200$$

$$\text{Cost (1-rn)} = \text{NBV}$$

Where: r is IBD rate

n is No. of years of use.

Substituting in the equation:

$$1,200 (1-0.025 \times 8^{4/12}) = 950$$

- (iv) Canteen

$$\text{Cost (I-rn)} = \text{NBV}$$

$$1,200 (1-0.025 \times 8^{4/12}) = 950$$

- (v) Store

$$\text{Cost (I- rn)} = \text{NBV}$$

$$1,600 (1 - 0.025 \times 8^{4/12}) = 1,266.667$$

QUESTION:

- a) Many governments are gradually shifting their focus from direct taxes to indirect taxes as their main source of tax revenue.

Explain four possible reasons for this trend

(8 Marks)

- b) On January 2010, Pesa Manufacturers Ltd commenced operations in Nairobi. The company incurred capital expenditure on the following assets before starting operations:

	Sh.
Industrial building	24,000,000
Forklift	960,000
Processing machinery	1,200,000
Peugeot 504 pick-up (second hand)	480,000
Water boilers	600,000
Workers quarters	1,480,000
Furniture & fittings	240,000
Milling machine	1,800,000
Borehole	640,000
Computers	720,000
Office partitions	180,000
Tractor	780,000
Sports pavilion	440,000
Staff canteen	560,000
Conveyor belts	400,000
Saloon car (new)	2,500,00

Additional Information

1. The cost of the industrial building includes:

	Sh.
Warehouse	4,000,000
Showroom	200,000
Retail shop	300,000
Dwelling house	180,000

The rest of the industrial building was used for manufacturing purposes.

- Workers quarters were occupied with effect from 1 October 2011.
- The saloon car was partly used for private purposes. Private use of the motor vehicle was agreed with tax authority as 40% of the total mileage for each year. The saloon car was disposed of in year 2011 at Sh. 800,000.
- The cost of computers includes software purchase for Sh.120,000

Required:

Capital allowances due to Pesa Manufacturers Ltd. For the year ended 31 December 2010 and 2011

ANSWER:

(a)

Reasons for the shift from direct to indirect taxes:

- **Wide coverage** – indirect taxes are based on consumption to which all persons are subject through purchase of goods or services. Hence the taxpayer bracket is wider unlike direct taxes which are only based on income, yet a number of people may not be earning any income.
- **Diversification** - Due to the wide variety of goods and services, indirect taxes can be charged on these goods and services thus increasing revenue.
- **Economical** – In most cases, traders collect and remit the tax hence minimal collection costs.
- **Elasticity** – The taxes are easy to adjust since the rates are based on the percentage of the value of goods or services.
- **Tools of economic policy** – the taxes can easily be used by the government to reduce the consumption of harmful goods or encourage the consumption of locally manufactured goods

Pesa Manufacturers Ltd

2010 – 2011 Computation of Capital Allowances

Investment Deduction

	Nature of Asset	Qualifying cost Sh. 000	ID @100%
2010	Industrial building	20,000	20,000
	Processing Machine	1,200	1,200
	Water boilers	600	600
	Milling Machine	1,800	1,800
	Borehole	640	640
	Conveyor Belts	400	<u>400</u>
			<u>24,640</u>
2011	-	-	<u>Nil</u>

Industrial Building Deduction

	Nature of building	Qualifying cost Sh. 000	Residue B/F	IDB @ 10%	Residue C/F
2010	Warehouse	4,000	-	400	3,600
	Sports pavilion	440	-	44	396
	Staff canteen	560	-	56	504
				<u>500</u>	
2011	Staff Canteen	560	504	56	488
	Warehouse	4,000	3,600	400	3200
	Sports pavilion	440	396	44	352
	Workers quarters	1,480	-	37	1443
				<u>537</u>	

WEAR AND TEAR ALLOWANCES

CLASS	I	II	III	IV
	37.5%	30%	25%	12.5%
Written down value on 1 Jan 2010	-	-	-	-
Additions:				
Forklift				960
Pick-up			480	
Furniture & Fittings				240
Computers		600		
Office partitions		180		
Tractor	780			
Saloon car			2,000	
	<u>780</u>	<u>780</u>	<u>2,480</u>	<u>1,200</u>
Wear and Tear Allowance	(292.5)	(234)	(620)	(150)
Written down value on 1 Jan 2011	<u>487.5</u>	<u>546</u>	<u>1,860</u>	<u>1,050</u>
Disposals:				
Saloon car			(640)	
	<u>487.5</u>	<u>546</u>	<u>1,220</u>	<u>1,050</u>
Wear & Tear allowance	(182.813)	(163.8)	(305)	(131.25)
Written down value on 31 Dec 2011	<u><u>304.688</u></u>	<u><u>382.2</u></u>	<u><u>915</u></u>	<u><u>918.75</u></u>

Notes:

- (i) Capital allowance on computer software is effective from 1st January 2010 at the rate of 20%
- (ii) Disposal of saloon car

$$\frac{\text{Sales Proceeds} \times \text{restricted value}}{\text{Cost}}$$

$$\frac{800 \times 2000}{2,500} = 640$$

WEAR AND TEAR ALLOWANCES

- These are granted as **compensation for the loss in value** of plant and machinery that is used repeatedly in a business.
- There is no statutory definition of what is plant and machinery for purposes of capital allowances.

In **YARMOUTH v FRANCE**, Lindley, LJ stated that:

“There is no definition of plant in the Act but in its original sense it includes whatever apparatus is used by a businessman for carrying on his business, not his stock in trade which he buys or makes for sale, but all goods and chattels, fixed or moveable, live or dead, which he keeps for permanent employment in his business.”

- Two tests have been applied by courts to determine what constitute plant for purposes of capital allowances:

The setting test distinguishes plant as part of the apparatus with which the trade is carried on from the assets that form part of the setting in which a trade is carried on.

In **J. LYONS & CO LTD v A.G. Uthwatt J** stated that the question at issue was “are the assets properly to be regarded as part of the setting in which the business the business is carried on or as the part of the apparatus for carrying on the business?”

The functional test – A structure will be regarded as plant if it fulfills the function of a plant in the traders operations.

BARCLAY, CURLE & CO LTD v COMMISSIONERS OF INLAND REVENUE. The company carried on business as ship repairers and incurred capital expenditure of £500,380 on the concrete work used in the construction of a new dry dock and £186,928 on excavating the land for the dry dock. The company claimed capital allowances on the whole of the expenditure, on the grounds that it was spent on the provision of the machinery or plant for purposes of the business. The revenue department contended that the expenditure was not on the provision of machinery or plant but on an industrial building or structure.

It was **held that the concrete work was plant on the basis of the function of the dock. Once it was decided that the dock was plant, the cost of the excavation was expenditure on the provision of machinery or plant.**

- Machinery is **categorized into 4 classes** for purposes of WTA. Each class with a specific rate.
- Wear and tear is expressed as a **percentage of the aggregate value of each class** of machinery.

The classes of machinery and the respective rates of wear and tear are as follows:

Class I 37.5%	Class II 30%	Class III 25%	Class IV 12.5%
<u>Heavy Self propelling Earth Moving Machinery e.g.</u>	<u>Office electronics & machinery e.g.</u>	<u>Other self machinery e.g.</u>	<u>Other Machinery & equipment e.g.</u>
• Caterpillar • Tractors • Lorry's (3 tones) • Buses • Train engine • Mobile cranes • Fork lift • Combine harvester etc	• Computers • Printers • Scanners • Photocopiers • Calculators • Computer peripherals • Duplicating machines • Electronic typewriters • Electronic tax registers etc	• Tuk-tuk • Motor cycles • cars • Lorries • Minibuses • Aircraft • Delivery vans • Pick ups etc	• Furniture & Fittings • Milking machinery • Plough • Wheelbarrow • Bicycle • Telephones • Fax Machines • Switchboards • Mobile phones • Ships • Trailers • Lift • Conveyor belts • Carpet • Curtains • Partitions • Signboard • Alarm systems - Etc

Computer software's qualify for capital allowance at 20% per annum.

COMPUTATION OF WEAR AND TEAR ALLOWANCES

When calculating wear and tear allowances, a residual value is brought forward from the previous accounting period, called the written down value. Assets purchased during the year are pooled in the wear and tear schedule at the qualifying cost, while assets disposed during the year are deducted from the respective pool or class of wear and tear at the qualifying cost.

ASSETS PURCHASED DURING THE YEAR

The qualifying cost for wear and tear allowances in case of asset purchased during the year include:

1. Custom duty and VAT paid on imported machinery, insurance in transit, Installation costs e.t.c
2. In case an asset is traded in or partly exchanged for a new asset, the qualifying cost shall be the sum of the traded in value of the old asset plus additional cash paid.
3. If an asset is acquired through hire-purchase, the qualifying cost is the cash price of the asset.
4. In case of a non-commercial vehicles the qualifying cost is restricted as follows:

Year	Restricted qualifying cost
1990-96	100,000
1997	500,000
1998-2005	1,000,000
2006-todate	2,000,000

N/B: A **commercial vehicle** is one that is:

- Designed for the carriage of goods e.g. pick-up.
- Used for hire such as taxi.
- Used for public transport with a carrying capacity of 7 passengers or more excluding the driver.

Any other vehicle which falls outside the above definition is a non-commercial vehicle whose cost is restricted as shown above.

ASSETS DISPOSED DURING THE YEAR

The qualifying costs for assets disposed during the year include:

1. Sales proceeds of an asset.
2. In case insurance compensation is received for an asset destroyed, the amount is treated as the disposal value of the asset.
3. Where a non-commercial vehicle whose cost was restricted for wear and tear in the year of purchase is disposed, the disposal value is restricted as follows:

$$\frac{\text{Sales proceeds}}{\text{Cost}} \times \text{restricted value in the year of purchase}$$

4. Where the assets of an entire class of wear and tear are disposed at a value that is higher than the written down value of assets in the same class, the surplus or gain is a trading receipt if the business is a going concern or a balancing charge if the business is under liquidation. A trading receipt or balancing charge is a taxable business gain.

5. Where the assets of an entire class of wear and tear are disposed at a value that is lower than the written down value of assets in the same class, the deficit or loss is a trading loss if the business is a going concern or a balancing deduction if the business is under liquidation. A trading loss or balancing deduction is a tax allowable expense.

QUESTION:

Bidii Farm enterprise is a dairy farming entity owned by Mr. Jared Mkulima

The following income statement relates to Bidii Farm enterprise for the year ended 31 December 2011:

	Sh.	Sh.
Sales		13,700,000
Gross Profit		<u>2,800,000</u>
Administrative Expense	200,000	
Salaries & wages	400,000	
Traveling & Marketing expenses	75,000	
Stationery expense	39,000	
Telephone expense	49,000	
Accountancy charges	25,000	
Rent expense	180,000	
Water & electricity expenses	14,000	
License fees	5,000	
Depreciation	105,000	
Bank charges	5,000	
Interest on bank loan	<u>15,000</u>	<u>1,112,000</u>
Net profit		<u>1,688,000</u>

Additional Information:

- License fees include Sh. 3,500 incurred to register a trademark owned by the farm.
- A third of the rent expense relates to grocery store owned and managed by Mrs. Mkulima, the wife of Jared Mkulima
- Salaries & wages include the following:

	Sh.
Wages paid to workers of the grocery	100,000
Entertainment allowance paid to Mrs. Mkulima	40,000

- Included in the farm sales is Sh. 300,000 being sales realized by the grocery store during the year ended 31 December 2011

5. Extract from the property, plant and equipment movement schedule were as follows

	Fixed Asset		
	Computers	Motor Vehicles	Furniture & Fittings
	Sh.	Sh.	Sh.
Cost: January 2008	70,000	250,000	80,000
Auditions	120,000	400,000	10,000
Depreciation for the year	40,000	30,000	35,000

6. Before the close of the year on 31 December 2011, all motor vehicles were traded in at a value of Sh. 750,000 in part exchange for a new tractor costing Sh. 2,400,000. The balance due for the tractor was to be repaid over a period of 24 months commencing 1 January 2012.

7. The balances on the wear & tear schedule for capital allowance purpose were as follows

	Class II	Class III	Class IV
	Sh.	Sh.	Sh.
Balance as at 1 January 2011	60,000	200,000	70,000

8. A farm house costing Sh. 1,200,000 was constructed during year 2008 and utilized from 1 October 2011.

Required:

- Capital allowances due to Bidii Farm Enterprise for the year ended 31 December 2011.
- Taxable profit or loss of Bidii Farm Enterprises for the year ended 31 December 2011.
- Briefly explain to Mr. Jared Mkulima the relevance of the following terminologies in the context of the farm's transactions:
 - Hobby farming
 - Trading receipt

ANSWER:**a) Bidii Farm Enterprises****2011 Computation of capital allowances****Wear and tear allowances**

Class	I 37.5%	II 30%	III 25%	IV 12.5%
Written down value				
1 Jan 2011		60,000	200,000	70,000
Additions				
Computers		120,000		
Motor vehicles			400,000	
Furniture and fittings				10,000
Tractor	2,400,000			
Disposals:				
Motor vehicle			750,000	
	<u>2,400,000</u>	<u>180,000</u>	<u>(150,000)</u>	<u>80,000</u>
Trading receipt	-	-	150,000	-
Wear and tear				
Allowances	<u>(900,000)</u>	<u>(54,000)</u>	<u>-</u>	<u>(10,000)</u>
Written down value				
31/12/2011	<u><u>1,500,000</u></u>	<u><u>126,000</u></u>	<u><u>Nil</u></u>	<u><u>70,000</u></u>

Farm work deductions (100%)

$$\text{FWD} - 100\% \times 400,000 = \underline{400,000}$$

N/B: qualifying cost for farm work deductions for the farm house is restricted to only 1/3 of the construction cost.

b) Computation of taxable profit (loss)

	Sh.000	Sh.000
Net profit per account		1,688
Add:		
Wages (grocery store)	100	
Entertainment (Mrs. Mkulima)	40	
Rent expenses $1/3 \times 180 =$	60	
Depreciation	105	
Trading receipt	150	
Trade mark	<u>3.5</u>	458.5
Deduct:		
Sales – grocery store	300	
WTA	964	
FWD	<u>400</u>	(1,664)
Adjusted business profit (loss)		<u><u>482.5</u></u>

OR

2011 Computation of taxable profit (loss)

	Sh.000	Sh.000
Gross profit per accounts		2,800
Add:		
Trading receipt		<u>150</u>
		2,950
Deduct		
Admin expenses	200	
Salaries and wages (400- 140)	260	
Traveling and marketing	75	
Stationery expenses	39	
Telephone exp	49	
Accounting charges	25	
Rent exp	120	
Water and Electricity expenses	14	
License fee (5-3.5)	1.5	
WTA (wear and tear allowances)	964	
FWD	400	
Bank charges	5	
Interest on loan	15	
Sales – grocery store	<u>300</u>	(2,467.5)
Adjusted business profit (loss)		<u><u>482.5</u></u>

- (i) **Hobby farming** - where the farmer consumes 25% or more of the produce from farming activities, it is called hobby farming and the income is not taxable.
In regard to Bidii farm enterprises, there is no information on the farm produce consumed by Mr. Mkulima or his family hence it is treated as business income which is taxable.
- (ii) **Trading receipt** - where the assets of an entire class of wear and tear are disposed at a value that is higher than the written down value of assets in the same class, the gain or profit is a trading receipt if a business is a going concern or a balancing charge if the business is under liquidation.
A trading receipt or balancing charge is taxable business gain.
In regard to bidii farm enterprises, motor vehicles are disposal or traded in at a value that is higher than the written down value in class III, hence the trading receipt of 150,000 is a taxable business gain.

FARMWORK DEDUCTIONS

These are allowable deductions granted on capital expenditure incurred on the construction of farm works that are utilized in a farming business.

The rate of farm work deduction is 100% per annum effective from 1st January 2010.

2007-2009 - 50%

Up to 2006 - $33\frac{1}{3}\%$

Farm works include:

- A farm house that may be occupied by the farm owner or manager.
- Labour quarters for farm workers.
- Other immovable structures that are necessary for the operations of a farm e.g. Fences, cattle dip, irrigation networks, fish ponds etc.

N/B

- (i) Where a farm house is occupied by the farm owner. The cost qualifying for farm work deduction is restricted to only a third ($\frac{1}{3}$) of the total cost of construction.
- (ii) In case a farm house is occupied by a farm manager, the total cost of construction shall qualify farm work deduction since the farm house is occupied wholly and exclusively for farming business.
- (iii) A full year's farm work deduction is claimed for any farm works constructed during the year provided that the farming business is carried on for the whole year.
- (iv) Farm work deductions are apportioned where the farming business is carried on for only part of the year.

QUESTION:

- a) Name the conditions that must be fulfilled in order for a building to qualify for industrial building deductions (6 Marks)
- b) Karua and Company Limited was incorporated in 2010 but did not start business until 1 January 2011 when the company commenced the business of processing tea.

The following details related to the acquisition of fixed asset in the year 2011:

	Sh.
Land and Building	6,500,000
Plant & machinery	4,000,000
Motor Vehicle – 2 saloon cars	2,000,000
Tractor	5,000,000
Lorry (2 tons)	2,500,00
Furniture & Fittings	600,000
Construction of drainage	150,000
Fencing of farm	50,000
Farm House	600,000
Irrigation System	750,000
Labour Quarters	1,200,000
Computers	220,000
Milking Machinery	300,000

The following further information is provided

1. The company kept 10 cows and constructed a cattle dip worth Sh. 400,000 for the animals during this year.
2. Included in land and building is the cost of land valued at Sh. 2,000,000.
3. One saloon car was disposed of for Sh. 500,000 which was half the cost price.

Required:

Capital deductions for Karua and Company Limited for the year of income 2011 (14 Marks)

(Total: 20 Marks)

ANSWERS:

- a) Conditions that must be fulfilled for a building to qualify for industrial building deductions are:
- The building must be used for the purpose of milling e.g. Saw mill, flour mill etc.
 - Building used for manufacturing e.g. factory.
 - A hotel building certified to be an industrial building.
 - Prescribed dwelling houses for workers.
 - Buildings used for storage e.g. warehouse.
 - A building used for the welfare of workers e.g. clinic, sports pavilion etc.
 - Specified civil works constructed with effect from 1 January 1995

Karua and company Ltd
2011 computation of capital allowances

Investment Deduction

Nature of assets	Qualifying cost	ID @ 100%
Building	4,500	4,500
Plant and machinery	4,000	<u>4,000</u>
		<u>8,500</u>

Wear and tear allowances

Class	I	II	III	IV
	<u>37.5%</u>	<u>30%</u>	<u>25%</u>	<u>12.5%</u>
W.D.V. 1.1.2011	-	-	-	-
Additions				
2 saloon cars			2,000	
Tractor	5,000			
Lorry (2T)			2,500	
Furniture and fittings				600
Computers		220		
Milking machinery				300
Disposals				
Saloon car			(500)	
	<u>5,000</u>	<u>220</u>	<u>4,000</u>	<u>900</u>
WTA	<u>(1,875)</u>	<u>(66)</u>	<u>(1,000)</u>	<u>(112.5)</u>
W.D.V.31.12.2011	<u>3,125</u>	<u>154</u>	<u>3,000</u>	<u>787.5</u>

Farm work Deduction

Nature of farm work	Qualifying Cost	Year of claim
	<u>Sh.000</u>	<u>2011</u>
Drains	150	150
Fencing	50	50
Farm house	600	600
Irrigation system	750	750
Labour quarters	1,200	1200
Cattle Dip	400	<u>400</u>
FWD claim		<u>3,150</u>

MINING ALLOWANCES

These are allowable deductions granted on the capital expenditure incurred to acquire assets utilized in mining operations.

The cost that qualifies includes capital expenditure on:

- Searching, discovery, testing and winning access to minerals.
- Expenditure incurred in acquiring the rights over the minerals i.e. patent rights.
- Provision of specialized mining machinery.
- Construction of buildings or works which would have no value after mining operation cease.
- Expenditure on development, general administration and management prior to the commencement of mining operations.

N/B: Mining allowances are granted at rate of 40% in the 1st year of mining and 10% from the 2nd to the 7th year.

Specified minerals in regard to Kenya include:

- Beryl
- Copper
- Gold
- Mica

Expenditure on acquisition of the site of mineral deposits or the site on which buildings are constructed do not qualify for mining allowances.

Minerals do not include common clay, Murram, sand, limestone, sulphur, dolomite, bauxite, and sodium or potassium compounds.

QUESTION:

Tullow mining company Ltd started prospecting for minerals in Turkana in 2008. Expenditure relating to research testing and winning access to minerals amounted to sh.120m. The company paid sh.6m to the government to acquire the rights over the minerals and sh.80m for the purchase of land.

Labour quarters were constructed at a cost of sh.5m; a senior manager's house was constructed on the site at a cost of sh.3m and the director's house at a nearby trading centre at a cost of sh.6m. Specialized processing machinery for mining was acquired at sh.300m, computers at sh.400,000, a fork lift for sh.1.5m, a saloon car for the general manager at sh.2.4m, furniture for the office at sh.800,000.

An aircraft was acquired for sh.16m and a store was constructed at a cost of sh.600,000.

Mining operations commenced in January 2009.

Calculate the capital allowances due to the company from 2009 to 2011.

ANSWERS:**Tulow mining company Ltd.****2009-2011 computation of capital allowances**

Mining allowances	Qualifying Cost	2009	2010	2011	
Nature of Expenditure	Sh.000	40%	10%	10%	
Research, testing e.t.c	120,000		48,000	12,000	12,000
Patent rights	6,000	2,400	600	600	
Labour quarters	5,000	2,000	500	500	
Senior manager's house	3,000	1,200	300	300	
Specialized machine	300,000	120,000		30,000	30,000
Store	600	240	60	60	
		<u>173,840</u>	<u>43,460</u>	<u>43,460</u>	

SHIPPING INVESTMENT DEDUCTION

Shipping ID is granted as allowable deduction on the capital expenditure incurred to acquire a ship which is utilized in a shipping business to generate taxable income.

Shipping ID is granted on capital expenditure which includes:

- Purchase of a new, unused power driven ship of more than 495 tonnes.
- Purchase and subsequent refitting of a used power driven ship of more than 495 tonnes.

Shipping ID is granted at the rate of 40% on the qualifying capital expenditure

Wear and tear allowances are granted on the cost of the ship net of the shipping ID at the rate of 12.5% p.a.

In case a ship is disposed before five years have elapsed, the shipping ID that was granted would be clawed back by the commissioner, i.e. the amount of shipping ID which had been claimed will be recovered. However wear and tear allowances will be deducted from the clawed back amount.

Question:

Mwambao shipping company limited acquired a ship, MV. Poa of 600 tons at a cost of Sh.25,000,000 in the year 2008. The ship was disposed in the year 2011 for Sh.20,000,000. Calculate the capital allowances claimable for the years 2008 to 2011.

Answer:

Mwambao Shipping company Ltd

2008 – 2011 computation of capital allowances

Shipping investment deduction

	Name of ship	Qualifying Cost Sh. 000	SID @ 40%	Residue for WTA
2008	MV. Poa	25,000	10,000	15,000

Wear and tear allowances

Class	IV 12.5%
Written down value on 1.1.2008	-
MV. Poa	15,000
Wear and tear allowance	(1,875)
WDV 1.1.2009	13,125
WTA	(1,640.625)
WDV 1.1.2010	11,484.375
WTA	(1,435.547)
WDV 1.1.2011	10,048.828
Disposal	(20,000)
	(9,951.172)
Trading receipt	9,951.172
	Nil

Notes

- MV. Poa is disposed before five years have elapsed hence the shipping investment deduction claimed in year 2008 is clawed back or recovered by the commissioner.
- Wear and tear allowances for the three year period when the ship was used is granted as compensation on the clawed back amount.
- The clawed back amount is calculated as follows:
 $\text{Cost} (1-r)^n = \text{net book value (NBV)}$
 $10,000,000 (1-0.125)^3 = \text{Sh.}6,699,218.75$

OTHER DEDUCTIONS

Diminution in value of loose tools and implements

This is allowable deduction against taxable income. In a workshop, loose tools may consist of spanners, screwdrivers, bolts and nuts etc.

In a farm loose tools and implements consist of slashers, rakes, pangas etc.

A hotel may acquire loose tools such as utensils, cutlery etc.

The nature of loose tools and Implements is such that, these are susceptible to breakages.

Diminution or loss in value is claimed at the rate of $33\frac{1}{3}\%$ per annum on a straight line basis.

APPLICATION OF CASE LAW

- 1) A building would qualify as an industrial building if it is used for purposes of milling, factory or other similar purpose.

In IRC v LEITH HARBOUR AND DOCK COMMISSIONERS it was held that grain elevators were within the expression “mills, factories and other similar premises”.

In ELLERKER v UNION COLD STORAGE CO LTD, cold stores were held to be within that expression on the basis that they were equipped with machinery for the purpose of subjecting meat and other commodities to an artificial temperature, and thus were building in which goods were treated or processed by means of machinery provided for that purpose.

- 2) A building qualifies as an industrial building if it is in use for the purpose of a business, which consists of manufacture of goods or materials or the subjection of goods or materials to any process.

In VIBROPLANT LTD v HOLLAND it was held that a building used by plant hire operators for cleaning, servicing and repairing the plant on the premises was not an industrial building on the basis that each item of plant was treated individually according to the amount of servicing it needed.

In BUCKINGHAM v SECURITAS PROPERTIES LTD it was held that a building which was used inter alia, for breaking down bulk cash into individual wage packets was not an industrial building.

- 3) The expression industrial building does not include a retail shop, showroom, office or dwelling house.

In IRC v LAMBHILL IRONWORKS LTD, a company carried on business as structural engineers. The company claimed industrial building allowance on its drawing office. The drawing office was used for the preparation of drawings for tenders and making scale drawings and blue prints for contracts already place with the company. The company contended that the office was used for industrial purposes. The revenue department contended that the drawing office was an “office”.

It was held that, the drawing office was an industrial building on the grounds that it was in use for purposes ancillary to the industrial operations carried on in the rest of the works.

WEAR AND TEAR ALLOWANCES

1. There is no statutory definition of what is plant and machinery for purposes of capital allowances.

In YARMOUTH v FRANCE, Lindley, LJ stated that:

“There is no definition of plant in the Act but in its original sense it includes whatever apparatus is used by a businessman for carrying on his business, not his stock in trade which he

buys or makes for sale, but all goods and chattels, fixed or moveable, live or dead, which he keeps for permanent employment in his business.”

2. Two tests have been applied by courts to determine what constitute plant for purposes of capital allowances:

The setting test distinguishes plant as part of the apparatus with which the trade is carried on from the assets that form part of the setting in which a trade is carried on.

In J. LYONS & CO LTD v A.G. Uthwatt J stated that the question at issue was “are the assets properly to be regarded as part of the setting in which the business the business is carried on or as the part of the apparatus for carrying on the business?”

The functional test – A structure will be regarded as plant if it fulfills the function of a plant in the traders operations.

BARCLAY, CURLE & CO LTD v COMMISSIONERS OF INLAND REVENUE. The company carried on business as ship repairers and incurred capital expenditure of £500,380 on the concrete work used in the construction of a new dry dock and £186,928 on excavating the land for the dry dock. The company claimed capital allowances on the whole of the expenditure, on the grounds that it was spent on the provision of the machinery or plant for purposes of the business. The revenue department contended that the expenditure was not on the provision of machinery or plant but on an industrial building or structure.

It was held that the concrete work was plant on the basis of the function of the dock. Once it was decided that the dock was plant, the cost of the excavation was expenditure on the provision of machinery or plant.

Key terms

Qualifying capital expenditure – This is the cost that is used in granting capital allowances.

Industrial buildings – These are defined as buildings used for certain specific purposes such as milling, manufacture, hotel etc.

Pooling method – It is the method used in classifying machinery for purposes of obtaining aggregates for each class of wear and tear.

Reducing balance – It is used to claim wear and tear allowances. The claim for each year reduces since it is based on the balance of the previous year.

Straight line method – The same amount is claimed as a deduction each year e.g. for industrial building deduction.

SUMMARY

- Capital allowances are incentives granted as deductions to manufacturers to encourage investment.
- Investment deduction (ID) is granted on capital expenditure incurred to acquire industrial buildings, plant and machinery.
- Investment deduction for bonded manufacturers (IDBM) is granted as additional incentive to encourage manufacture for export under specific conditions.
- Shipping investment deduction is granted on capital expenditure incurred to acquire a ship under specified conditions.
- Mining allowances are granted on capital expenditure incurred to acquire assets used in mining operations.
- Industrial building deduction (IBD) is granted on capital expenditure incurred to acquire industrial buildings utilized in a business, including hotel buildings.
- Wear and tear allowances are granted on machinery utilized to generate taxable income in a business.
- Machinery is categorized into four classes or pools for purposes of wear and tear allowances.
- Farm work deductions are granted on capital expenditure incurred to acquire farm works which are utilized in a farming business to generate taxable income.
- Diminution in value is granted as a deduction on the cost of loose tools and implements that are utilized in a business.

QUIZ

Question 1:

- a) A group of women in your neighbourhood have pooled some capital which they intend to invest in securities that would generate income in form of interest and dividend. The leader of the women group has approached you for information on taxation of interest and dividend income accruing from various investments.

Required:

Briefly advise the women group on the taxation of income accruing from:

- | | |
|------------------------------|-----------|
| (i) Treasury bills. | (2 Marks) |
| (ii) Preference shares. | (2 Marks) |
| (iii) Fixed deposit accounts | (2 Marks) |
| (iv) Ordinary shares. | (2 Marks) |

- b) Biashara Ltd commenced the business of manufacturing on 1 January 2010 after incurring expenditure on the following assets

	Sh.
Processing Machinery	1,800,000
Factory building (including showroom Sh. 480,000)	4,800,000
Godown	1,500,000
Parking Bay	800,000
Trailer (for a tractor)	400,000
Saloon ,motor vehicle	2,000,000
Computers	900,000
Tractor	1,500,000
Furniture	460,000
Staff canteen	1,200,000

During the year ended 31 December 2011, the following transactions took place related to the assets:

1. The saloon motor vehicle purchase in year 2010 was traded in for a pick up costing 2,500,000. The trade in value of the saloon vehicle was Sh. 1,800,000.
2. All assets in class II were disposed of for Sh. 900,000
3. Electronic typewriters were purchased at Sh. 300,000 and carpets at Sh. 120,000
4. A factory extension was constructed and put into use from 1 October 2011. The cost of the extension was Sh. 1,500,000 which included material storage room whose cost was Sh. 200,000
5. Staff quarters were constructed at a cost of Sh. 800,000 and occupied from 1 September 2011.

Required

Capital allowances due to Biashara Ltd, for the years ended 31 December 2010 & 2011

(12 Marks)

(Total: 20 Marks)

Question 2:

- (i) List four types of buildings that qualify for industrial building deduction (IBD) under the second schedule of the income tax Act (Cap 470) (4 Marks)
- (ii) X Ltd a manufacturing company constructed an industrial building at a cost of Sh. 5,000,000 on 1 May 2011. The company sold the building before use to another manufacturing company, Y Ltd, for sh. 8,000,000. Y Ltd was unable to used the building and sold it to Z Ltd which used the building from 1 October 2011 for manufacturing purposes

Required:

Explain the basis of computing the capital allowances for the building above for the year ended 31 December 2011
(4 Marks)

Madini mining company Ltd has been prospecting for gold in Kakamega District since 1995. In year 2009, the company discovered huge deposits of the mineral and commenced mining operations on 1 July 2009.

The following expenditure was incurred on 1 July 2009:

	Sh.
Patent rights paid to the government	4,800,000
Payment of local council license fees	840,000
Construction of labor quarters at site	1,200,000
Construction of go down in Kakamega town	2,680,000
Construction of go down at site	780,000
Purchase of specialized machinery for mining	1,960,000
Transport of specialized machinery to site	450,000
Purchase of 10 tone lorry	1,920,000
Purchase of tools and implements for mining	90,000
Purchase of computers	900,000
Purchase of furniture and fittings	360,000
Purchase of a Toyota Hilux pick-up	1,400,000

Additional information:

1. The company had incurred exploration expenses amounting to sh. 1,500,000 as on 1 July 2009.
2. The administration expenses incurred prior to 1 July 2009 amounted to sh. 3,000,000.

Required:

Compute the capital allowances due to Madini Mining Company Ltd for the years ended 31 December 2009, 2010 and 2011.

(12 Marks)

(Total: 20 Marks)

Question 3:

a) Define the following terms:

- | | |
|----------------------------------|-----------|
| (i) Impact of a tax | (2 Marks) |
| (ii) Incidence of a tax | (2 Marks) |
| (iii) Tax point for VAT purposes | (2 Marks) |

b) Mr. J Mavindu. Owns a twenty acre farm in Ruiru on which he grows coffee and rears livestock. The following is a summary of the farm transactions for the year ended 31st December 2011.

Sh.	
Sale of tractor	500,000
Sale of livestock (cost Sh. 320,000)	840,000
Sale of coffee	5,580,000
Purchase of feeding troughs for livestock	150,000
Purchase of a tractor	820,000
Purchase of fertilizer	164,500
Purchase of coffee plants	120,000
Clearing land for planting coffee	80,000
Construction of gabions	190,000
Construction of a pig sty	300,000
Construction of a cattle dip	600,000
Planting of wind-breaks	18,600
Presumptive tax paid	90,000
Mortgage interest on farm house	124,200
Subscription to farmers association	60,000
Labour wages	172,000
Electricity expense	86,400
Water expense	44,600
Provision for loss on crop failure	128,000
Livestock stolen (market value)	85,000

Additional information:

1. The wear and tear allowance was agreed with the tax authority at Sh.200,000 for the year ended 31st December 2011.

Required:

- (i) The taxable income of Mr. J Mavindu. for the year ended 31st Dec 2011.

(12 Marks)

- (ii) The tax liability accruing from the income computed in (i) above.

(2 Marks)

(Total: 20 Marks)**Question 4**

- a) Many flower growers and exporters are unaware of the benefits accruing from registering for VAT and claiming capital allowances available to them under the income tax Act. Write brief notes on the benefits arising in the two areas

(5 Marks)

- b) You have been approached by the directors of Flower Export Ltd to help them do their income tax returns for 2011. The following information is available.

Written down values at 1 January 2011 per self assessment return submitted are as follows:

	Sh.
Motor vehicle - Lorries	250,000
- Tractors	375,000
- Pick-up and saloons	1,250,000
Farm House (constructed in 2011)	300,000
Computers	750,000
Plant	475,000
Equipment	275,000
Furniture	725,000

During the year the company purchased and sold the following:

1. Mercedes Benz for use by the director costing Sh. 2,500,000
2. Security systems were fixed into company's Lorries to comply with the insurance requirements. The cost to the company was Sh 250,000.
3. The company traded – in four Nissan Sunny cars which were purchased in 2009. The trade-in value of each of the cars was Sh..1, 800,000(Net book value of Sh. 1,600,000).
4. Four new cars were bought at Sh..2, 500,000 each. The vehicles are used by the senior officers of the company and their rating is 1300cc.
5. Equipment worth Sh. 1,650,000 was acquired while carpet worth Sh. 450,000 was disposed off and furniture with net book value of Sh. 460,000 was disposed of.
6. Computers worth Sh. 1,250,000 were acquired for purposes of speeding up computerization of the company's operations.
7. The company's adjusted profit before wear and tear allowances is Sh 1,599,000.

Required:

- i) Compute the capital allowances for Flower Export Ltd as at 31 December 2011.
(13 Marks)
- ii) Calculate the tax liability for the year.

(2 Marks)

(Total 20 Marks)

Question 5

Bahari shipping company Ltd commenced business in year 2005. In January 2011, the written down values of assets were: Class I Sh. 1.8m, Class II Sh. 1.5m, Class III Sh. 1.4m, Class IV Sh. 2m. During the year, the company purchased a new ship MV. Tewa(498T) at a cost of Sh.6m, MV. Yao (900T) acquired in 2008 for Sh.8m was disposed at Sh.5m. The company also acquired MV. Poa (600T) at Sh.9m and disposed MV.Sawiya acquired in year 2005 at a disposal value of Sh.4m. Other machinery acquired during the year include:

- Two forklifts at Sh. 1.5M each
- 4 Computer installed in the ship Sh.250,000
- 4 saloon cars purchased at Sh.2.4m each.

The assets disposed during the year include:

Furniture which was destroyed by fire and insurance compensation received amounted to Sh.350,000 (cost was 500,000).

2 saloon cars purchased in 2005 were disposed at sh.800,000 each. The cars had cost sh.1.5m each. A tractor purchased in 2008 was stolen and insurance compensation was received amounting to sh.450,000 (cost was sh.900,000)

The company reported a profit of sh.7m before deducting capital allowances.

Required:

Calculate the capital allowances for the year.

Calculate the adjusted profit or loss for tax purposes.

Question 6:

- a) Outline the benefits which may accrue to a country from being a signatory to the “most favoured nation status” agreement.

(4 Marks)

- b) Style Ltd obtained a license from the Customs and Excise department on 15 December 2009 to manufacture leather Jackets for export. The company commenced its operations on 2 January 2010.

The following information relates to the company’s operations for the financial years ended 31 December 2010 and 2011:

1. The company incurred the following costs prior to the commencement of its operations:

	Sh.
Purchase of land	8,000,000
Demolition of an old building on the land	500,000
Factory construction	12,000,000
Stone perimeter wall	1,400,000
Staff canteen	800,000

2. Part of the factory construction costs related to the following:

	Sh.
Store	700,000
Office	1,740,000

3. Other assets acquired prior to 2 January 2011 comprised:

	Sh.
Water pump	200,000
Sewage treatment plant	700,000
Factory machinery	400,000
Lorry (10 tones)	3,600,000
Heating plant	500,000
Furniture and fittings	120,000
Photocopier	150,000
Delivery van	1,800,000
Computer and printers	380,000
Fork lift	1,500,000

4. A borehole was drilled at a cost of sh 800,000 and utilized with effect from 1 July 2010.

5. An extension to the factory and a loading bay were constructed and utilized with effect from 1 January 2011. The extension cost sh. 4,800,000 while the loading bay cost sh. 600,000.

6. The following additional assets were acquired on 1 January 2011:

	Sh.
Imported machinery (including import duty of sh.600, 000)	2,400,000
Fax machine	120,000
Pick up	2,000,000
Conveyor belts	640,000

7. On 1 July 2011 Style Ltd ceased to manufacture for export and instead started selling the leather jackets in the local market. The export manufacturing license was subsequently withdrawn by the customs and Excise department with effect from 1 July 2011.

8. The company disposed of the following assets on 1 July 2011:

	Sh.
Lorry (10 tones)	2,200,000
Heating plant	480,000
Photocopier	100,000

The company reported a net profit (before deducting capital allowances) of sh. 7,200,000 for the year ended 31 December 2011.

Required:

- Determine the capital allowances due to Style for the years ended 31 December 2010 and 2011. (14 Marks)
- Determine the tax payable (if any) by Style Limited for the year ended 31 December 2011. (2 Marks)

(Total: 20 Marks)

ANSWER**Question 1**

(a)

- (i) **Interest from treasury bills** - withholding tax of 15% deducted at source is the final tax i.e. there is no further taxation.
- (ii) **Dividend from preference shares** – withholding tax of 5% deducted at source is the final tax.
- (iii) **Interest from fixed deposit accounts** – withholding tax of 15% deducted at source is the final tax, if income is received by individuals
- (iv) **Dividend from ordinary shares** – withholding tax of 5% deducted at source is the final tax.

(b)

Biashara Ltd**2010 - 2011 Computation of Capital Allowances****Investment Deduction**

	<u>Nature of assets</u>	<u>Qualifying Cost</u> <u>Sh.000</u>	<u>ID @ 100%</u>
2010	Factory building	4,800	4,800
	Processing machinery	1,800	1,800
	Parking bay	800	<u>800</u>
			<u>7,400</u>
2011	Factory extension	1,300	<u>1,300</u>

Industrial Building Deduction

	<u>Nature of building</u>	<u>Qualifying Cost</u> <u>Sh. 000</u>	<u>Residue b/f</u>	<u>IDB @ 10%</u>	<u>Residue C/F</u>
2010	Godown	1,500	-	150	1,350
	Staff canteen	1,200	-	120	1080
				<u>270</u>	
2011	Godown	1,500	1,350	150	1200
	Staff canteen	1,200	1,080	120	960
	Storage room	200	-	5	195
	Add staff quarters	800	-	26.667 ^R	773.333
				<u>301.667</u>	

Wear and Tear Allowances

Class	I 37.5%	II 30%	III 25%	IV 12.5%
Written down value on 1 Jan 2010	-	-	-	-
Additions:				
Trailer				400
Saloon motor vehicle			2,000 ^R	
Computers		900		
Tractor	1,500			
Furniture				460
	<u>1,500</u>	<u>900</u>	<u>2,000</u>	<u>860</u>
Wear & Tear allowance	<u>(562.5)</u>	<u>(270)</u>	<u>(500)</u>	<u>(107.5)</u>
Written down value on 1 Jan 2011	<u>937.5</u>	<u>630</u>	<u>1,500</u>	<u>752.5</u>
Additions:				
Pick-up			2,500	
Electronic typewriters		300		
Carpets				120
Disposals				
Saloon motor vehicle			(1,500)	
	<u>937.5</u>	<u>930</u>	<u>2,500</u>	<u>872.5</u>
Wear and Tear allowance	<u>(351.563)</u>	<u>(279)</u>	<u>(625)</u>	<u>(109.063)</u>
Written down value on 31 Dec 2011	<u><u>585.938</u></u>	<u><u>651</u></u>	<u><u>1,875</u></u>	<u><u>763.438</u></u>

Question 2:

(a) (i) Buildings that qualify for industrial building deduction (IBD)

Industrial buildings used for the purpose of:

- Milling e.g. saw mill
- Factory used for manufacture
- Prescribed dwelling houses for workers
- Hotel buildings
- Storage e.g. warehouse

(ii) Z Ltd shall claim capital allowances based on the purchase price from Y Ltd. the rate of investment deduction was 100% in year 2011, hence the total purchase price of the industrial building by Z Ltd is claimed as investment deductions.

Madini Mining Company Ltd**2009-2011 Computation of capital allowances**

Mining allowances	Q C	2009	2010	2011
Nature of expenditure	sh000	40%	10%	10%
Patent rights	4,800	1,920	480	480
Administration expenses	3,000	1,200	300	300
Exploration expenses	1,500	600	150	150
License fees	840	336	84	84
Labor quarters	1,200.4	480.16	120.04	120.04
Godown on site	780	312	78	78
Specialized machinery	450	<u>180</u>	<u>45</u>	<u>45</u>
		<u>5028.16</u>	<u>1257.04</u>	<u>1257.04</u>

Industrial Building Deduction

Nature of building	Q C	Residue	IBD	Residue
	Sh 000	b/f	2.5%	c/f
2009 Godown at Kakamega	2,680	-	<u>33.5^R</u>	2,646.5
2004 Godown at Kakamega	2,680	2,646.5	<u>67</u>	2,579.5
2005 Godown at Kakamega	2,680	2,579.5	<u>67</u>	2,512.5

NB: In the year 2009, the rate for IBD was 2.5%. it will be applied onward until the residue is zero.

Wear and Tear allowances

Class	I	II	III	IV
	37.50%	30%	25%	12.50%
W.D.V.31.12.09	-	-	-	-
Additions				
Lorry (10T)	1,920			
Computers		900		
Furniture and fittings				360
Pick-up			1,400	
	<u>1,920</u>	<u>900</u>	<u>1,400</u>	<u>360</u>
WTA	(360 ^R)	(135 ^R)	(175 ^R)	(22.5 ^R)
W.D.V.1.1.10	<u>1,560</u>	<u>765</u>	<u>1,225</u>	<u>337.5</u>
WTA	<u>(585)</u>	<u>(229.5)</u>	<u>(306.25)</u>	<u>(42.1875)</u>
W.D.V.1.1.11	<u>975</u>	<u>535.5</u>	<u>918.75</u>	<u>295.3125</u>
WTA	<u>(365.625)</u>	<u>(160.7)</u>	<u>(229.6875)</u>	<u>(36.9141)</u>
W.D.V.31.12.11	<u>609.375</u>	<u>374.85</u>	<u>689.0625</u>	<u>258.3984</u>

Diminution in value

Item	Qualifying	Year of claim		
	Cost sh 000	2009	2010	2011
Tools and implements	90	<u>15^R</u>	<u>30</u>	<u>30</u>

Question 3:**(a)**

- i. **Impact of a tax** – This the person on whom tax is imposed and who bears the responsibility of accounting for the tax to the tax authority.
- ii. **Incidence of a tax** – This is the person who bears the money burden of a tax i.e. it is where tax payment is made.
- iii. **Tax point for VAT purposes** – The tax point is where VAT becomes payable, defined as the earliest of when:
 - A supply of goods or services is made;
 - An invoice is issued in respect of a supply;
 - Payment is received for all or part of the supply;
 - A certificate is issued by an architect, surveyor or any person acting in a supervisory capacity in respect of the service.

(b) (i)**MR. J. Mavindu****2011 COMPUTATION OF ADJUSTED PROFIT OR LOSS**

Income	Sh.	Sh.
Sale of livestock		840,000
Sale of coffee		<u>5,580,000</u>
Total income		6,420,000
Less Expenses:		
Purchase of fertilizers	164,500	
Purchase of coffee plants	120,000	
Clearing land for planting coffee	80,000	
Construction of gabions	19,000	
Planting wind breaks	18,600	
Mortgage interest	124,200	
Subscription to farmers association	60,000	
Labour wages	172,000	
Electricity expense	86,400	
Water expense	44,600	
Wear and tear	200,000	
Farm work deductions (Note i)	1,050,000	
	<u>320,000</u>	(2,459,300)
Cost of livestock sold		
Taxable profit		<u>3,960,700</u>

(ii) Tax Computation

	Sh.
First Sh. (121,968 @ 10%) + (114,912 @ 60%)	81,144
Surplus (3,960,700 – 466,704) @ 30%	<u>1,048,198.8</u>
	1,129,342.8
Less Personal relief	<u>(13,944)</u>
	<u><u>1,115,398.8</u></u>

Notes**i. FARMWORK DEDUCTION**

Nature of farm work	Qualifying cost Sh.	Residue B/F	Year of claim 2005
Feeding troughs	150,000	-	150,000
Pig sty	300,000	-	300,000
Cattle dip	600,000	-	<u>600,000</u>
Farm work deduction claim			<u><u>1,050,000</u></u>

- ii. Cost of clearing land for planting coffee is allowable since it is part of permanent or semi permanent crops.
- iii. Provision for loss on crop failure is not allowable
- iv. Cost of livestock stolen is not allowable as an expense.
- v. Purchase of a tractor is a capital expenditure which is not allowable expense
- vi. Sale of a tractor is capital in nature hence not a taxable income.
- vii. Presumptive is not allowable as an expense
- viii. Capital expenditure on the prevention of soil erosion by a farmer is allowable as an expense e.g. construction of gabions

Question 4**Answer**

(a)

- i) **Registration for VAT** – incase the flower growers and exporters register for VAT, they can claim the input tax paid on their purchases as a refund since under the VAT Act cap 476, exports are zero rated for VAT purposes.
- ii) **Capital Allowance available under the income tax act** – the flower growers and exporters can claim capital allowances as allowable expenses e.g.
 - Wear and tear allowances on the cost of machinery such as tractors, lorries, pickups etc
 - Farm work deductions on the cost incurred on farm structures such as fences, farm house etc.
 - Diminution in value on the cost incurred on loose tools and implements such as spades, slashers etc

Flower Export Ltd**2011 Computation of capital allowances****Wear and tear allowances**

Class	I	II	III	IV
	<u>37.5%</u>	<u>30%</u>	<u>25%</u>	<u>12.5%</u>
W.D.V.1.1.11				
Lorries	1,250			
Tractor	375			
Pick-up and saloons			1,250	
Computers		750		
Plant				475
Equipment				275
Furniture				725
<u>Additions</u>				
Mercedes Benz			2,000 ^R	
Security system				250
4 new cars			8,000 ^R	
Equipment				1,650
Computers		1,250		
<u>Disposals</u>				
4 Nissan sunny cars			(6,890.625)	
Carpet				(450)
Furniture				(460)
	<u>625</u>	<u>2,000</u>	<u>4,359.375</u>	<u>2,465</u>
WTA	<u>(234.375)</u>	<u>(600)</u>	<u>(1,089.844)</u>	<u>(308.125)</u>
W.D.V.31.12.11	<u>390.625</u>	<u>(1,400)</u>	<u>(3269.531)</u>	<u>(2,156.875)</u>

NOTES

i) Nissan sunny cars

Cost $(I-r)^n = \text{NBV}$

$$\begin{aligned} \text{Cost} &= \text{NBV} / (I-r)^n \\ &= 1,600 / 0.875^2 \\ &= 2,089.796 \end{aligned}$$

ii) Disposal of Nissan sunny

Sales proceeds/Cost $\times$ restricted value

$$1,800 / 2,089.796 \times 2,000 = 1,722.656$$

Hence 4 cars = 6,890.625

iii) Farm work deductions = 100% $\times$ 300
= 300

b)Flower export Ltd**2011 Computation of adjusted profit (loss)**

	Sh 000	Sh 000
Reported profit before wear and tear		1,599
Less wear and tear allowances		
Class I	234.375	
II	600	
III	1,089.844	
IV	308.125	
Farm work Deductions (note iii)	<u>300</u>	(2,532.344)
Adjusted profit (loss)		<u>(933.344)</u>
Corporation tax liability		<u>nil</u>

Question 5:**Bahari shipping company Ltd****2011 computation of capital allowances****Shipping investment deduction**

Name of ship	Qualifying cost	SID	Residue for
	Sh.000	40%	WTA
Mr. Tewa (498 T)	6,000	2,400	3,600
Mr. Poa (600T)	9,000	<u>3,600</u>	5,400
		<u>6,000</u>	

Wear and tear allowances

Class	I	II	III	IV
	37.5%	30%	25%	13.5%
W.D.V 01.01.11	1,800	1,500	1,400	2,000
Additions:				
Mr. Tawa				3,600
Mr. Poa				5,400
2 Folk lifts	3,000			
4 Computers		250		
Saloon cars			4,000 ^R	
Disposals:				
Mr. Yao				(5,000)
Mr. Sawiya				(4,000)
Furniture				(350)
2 saloon cars			(1,066.667)	
Tractor	<u>(450)</u>	<u> </u>	<u> </u>	<u> </u>

	4350	1750	4333.333	1650
WTA	<u>(1,631.25)</u>	<u>(525)</u>	<u>(1,080.333)</u>	<u>(206.25)</u>
W.D.V 31.12.11	<u>2,718.75</u>	<u>1,225</u>	<u>3,250</u>	<u>1,443.75</u>

Computation of adjusted profit loss

	Sh.000	Sh.000
Reported profit		7,000
Add:		
Clawed back amount		<u>2,143.75</u>
		9,143.75
Deduct:		
Shipping ID	6,000	
WTA	3,445.833	<u>(9,445.833)</u>
Adjusted profit (loss)		<u>(302.083)</u>
Corporation tax liability		Nil

NOTES

Clawed back amount – MV. Yao

$$\begin{aligned}\text{Shipping ID} &= 40\% \times 8,000 \\ &= 3,200\end{aligned}$$

Deduct wear & tear allowances for 3 years:

$$\begin{aligned}\text{Cost } (1-r)^n &= \text{NBV} \\ 3,200(0.875)^3 &= \underline{\underline{2,143.75}}\end{aligned}$$

Question 6:

- a) Benefits of being a signatory to the most favoured nation status agreement
- A country that grants MFNS on imports will have its imports provided by the most efficient supplier. This may not be the case if the tariffs differ according to the country of exports.
 - MFNS allows smaller countries in particular to participate in the advantages that larger countries often grant to each other, whereas on their own small countries would often not be powerful enough to negotiate such advantages by themselves.
 - Granting MFNS has domestic benefits i.e. having one set of tariffs for all countries simplifies the rules and makes them more transparent. It also lessens the frustration problem of having to establish rules of origin to determine which country a product must be attributed to for purposes of customs.
 - MFNS restrains domestic special interests from obtaining protectionist measures e.g. lobbying for high tariffs to prevent cheap imports from a developing country.

b)

Style Ltd

2010 - 2011 Computation of capital allowances

Investment Deduction			
	Nature of assts	Qualifying Cost	ID @ 100%
		Sh. 000	Sh. 000
2010	Factory	10,060	10,060
	Perimeter wall	1,400	1,400
	Water pump	200	200
	Sewerage plant	700	700
	Factory machinery	400	400
	Heating plant	500	500
	Borehole	800	800
			<u>14,060</u>

ID @100%

2011	Factory extension	4,800	4,800
	Loading bay	600	600
	Imported machinery	2,400	2,400
	Conveyor belt	640	640
			<u>8,440</u>

Industrial building deduction

	Nature of building	Qualifying Cost	Residue b/f	IBD @ 10%	Residue c/f
		Sh. 000	Sh. 000	Sh. 000	Sh. 000
2010	Staff canteen	800	-	80	720
	Store	700	-	70	630
				<u>150</u>	
2011	Staff canteen	800	720	80	640
	Store	700	630	70	560
				<u>150</u>	

Wear and Tear Allowances

Class	I	II	III	IV
	37.50%	30%	25%	12.50%
Written down value 1.1.2010	-	-	-	-

Additions

	Lorry (10 T)	3,600		
	Furniture and fittings			120
	Photocopier		150	
	Delivery van		1,800	
Q	Computers and printers		380	

Forklift	1,500			
	<u>5,100</u>	<u>530</u>	<u>1,800</u>	<u>120</u>
WTA	(1,912.5)	(159)	(450)	(15)
Written down value 1.1.2011	<u>3,187.5</u>	<u>371</u>	<u>1,350</u>	<u>105</u>
Additions				
Fax machine				120
Pick-up			2,000	
Water pump				52.5
Sewerage plant				183.75
Factory Machinery				105
Heating plant				131.25
Disposals				
Lorry	(2,200)			
Heating plant				(480)
Photocopier		(100)		
	<u>987.5</u>	<u>271</u>	<u>3,350</u>	<u>217.5</u>
WTA	(370.313)	(81.3)	(837.5)	(27.1875)
W.D.V. 31.12.2011	<u>617.1875</u>	<u>189.7</u>	<u>2,512.5</u>	<u>190.3125</u>

(ii)

Computation of taxable profit (Loss)

	Sh. 000	Sh. 000
Reported Profit		7,200
Deduct		
ID	8,440	
IBD	150	
WTA	<u>1,316.30</u>	<u>(9,906.3)</u>
Taxable profit (Loss)		<u>(2,706.3)</u>
No corporation tax is payable		

Notes

i) Factory construction

	Sh. 000
Construction cost	12,000
Less store	<u>(700)</u>
Total cost	<u>11,300</u>

Non Qualifying cost x 100

$$= \frac{\text{Total cost}}{11,300} \times 100$$

$$= \frac{1,740}{11,300} \times 100$$

$$= 15.4\%$$

Therefore cost of office will not qualify for ID

ii) ID Qualifying cost

Sh 000

Total cost 11,300

Less office (1,740)

9,560

Add: Demolition of old Building 500

10,060

TOPIC 9

ADMINISTRATION OF INCOME TAX

OVERVIEW OF INCOME TAX ACT

Income tax in Kenya is charged under the income tax Cap 470. The Act contains provisions relating to:

- Ascertainment of income.
- Assessment of tax.
- Collection of tax
- Entitlement to personal relief

The income tax Act Cap 470 was enacted on 20 December 1973 to replace the former East Africa income tax management Act. It contains:

- 14 parts
- 133 sections
- 13 schedules
- 8 subsidiary legislation

IDENTIFICATION OF NEW TAX PAYERS

The finance Act 1992 introduced the thirteenth Schedule to the income tax Act which took effect from 1st January 1993. A **personal identification number** (PIN) shall be required for tax purposes for any of the following **transactions**:

Institution	Purpose of transaction
• Commissioner of lands • Local Authorities • Registrar of motor vehicles	• Registration of title and stamping of instruments • Approval of plans and payment of water deposits • Registration of motor vehicles and transfer of motor vehicles, licensing under traffic act
• Registrar of Business Names • Registrar of Companies • Insurance companies • Ministry of Commerce • Commissioner of VAT • Kenya Power	• New registrations • New registrations • Underwriting of policies • Importing licenses or trade licensing • Applying for registration • Payment of deposit for power connection

TAX ASSESSMENT: SELF-ASSESSMENT, ADDITIONAL ASSESSMENTS AND ESTIMATED ASSESSMENTS

ASSESSMENT

- Assessment means computation of tax liability on any income derived in a particular year.
- In case a person has submitted a self assessment return to the tax authority, the commissioner may:
 - Accept the assessment return and consider the amount declared in the return as the correct self assessment, in which case no further notification will be given.
 - If the commissioner has reasonable cause to believe that the self assessment return is not true or correct, he may determine according to the best of his judgment the amount of income of that person and prepare an assessment on that basis.
- In case a person has not submitted a self assessment return for any year and the commissioner considers that he has income chargeable to tax, he may determine the amount of income of that person to the best of his judgment and prepare an assessment on that basis.

The time limits for making assessments.

- An assessment may be made at any time by the commissioner for any year of income before the expiry of 7 years. However, in case fraud or willful negligence has been committed, an assessment may be made at any time.
- In case of an assessment upon the executors or administrators of the estate of a deceased person, an assessment must be made before the expiry of 3 years after the year in which the person died.

REMITTANCE OF TAX: INSTALLMENT TAX, FINAL TAX

- Payment of installment tax serves as an assessment to installment tax. The tax is payable not later than the 20th day of the month of the current accounting year. The commissioner may issue an installment tax assessment in the event of failure to pay tax in time; tax assessed is payable within 30 days of service of the assessment.
- The amount of the installment tax payable is the lesser of:
 - The tax payable by the person on his total income for the year:
 - The tax assessed, or in the absence of an assessment, estimated as assessable for the proceeding year of income, multiplied by 110%.
- Installment tax is not payable in the case of an individual to the extent the total liability to tax for a year of income does not exceed Sh. 40,000.
- Installment tax is payable in four equal installments after the commencement of the accounting period on the 20th day of the fourth, sixth, ninth and twelfth month.

- For agricultural enterprises installment tax is payable on the 20th day of the ninth month while the second installment is due on the 20th day of the twelfth month.
- Adjustment to installment tax payable is required where there are changes in the length of a company's accounting period, where companies have merged or have been acquired or where substantial transfer of assets between companies have taken place.

TURNOVER TAX

Turnover tax with effect from 1 January 2007 for businesses with a turnover of less than Sh. 5 Million p.a. the applicable rate is 3% of the gross receipt of the business.

Turnover shall not apply to:

- Employment income.
- Exempt incomes.
- Incomes subject to final withholding tax.
- Business incomes below Sh.500,000.

Turnover tax is charged at the rate of 3% on gross sales per annum. No expenditure or capital allowance shall be granted against turnover tax.

For income tax purpose, turnover tax is a final tax.

For turnover tax purposes, the tax period means every 3 calendar months commencing 1st of January of every year that is, turnover tax payers shall submit a quarterly return. Payment shall be made on or before the 20th day of the month immediately following the end of the quarter.

For turnover tax purposes, registered tax payer shall maintain the following records;

- Cashbook
- Sales receipts and invoices (daily sales summary)
- Purchase invoices
- Bank statements

Benefits of Turnover tax

- It simplifies tax procedures.
- It simplifies tax computation.
- Makes filing of returns easier.
- Simplifies record keeping
- Reduces cost of compliance

OPERATION OF PAYE SYSTEM

- Employers are required to deduct tax from payment made to employees in respect of employment income. The PAYE rules set out the manner in which this is to be done, and the tax tables are issued on which the appropriate deductions should be based.
- Employers no longer have to refer lumpsum payments to their domestic taxes department for notification of tax deductible, but may now calculate the appropriate tax themselves.
- Under the PAYE rules, all deductions made by an employer must be paid to the domestic taxes department before the ninth day of the month following the month in respect of which the deductions are made.
- PAYE deductions are included in an individual self assessment return and are deducted from the tax calculated on his total income in that return.
- PAYE must be deducted on the value of all benefits in kind, including loans at favourable rates of interest paid to an employee, in addition to that calculated on the value of salary and housing benefits.
- For loans granted to employees after 11 June 1998, the employer is required to account for fringe benefit tax at the resident corporate tax rate, on the difference between the interest actually paid by employees and the market interest rate. The market interest rate is the average rate of interest for the 91 – day treasury bills issued in the month prior to the in which the tax is charged. The fringe benefit tax is payable by the employer on a monthly basis on or by the 9th day of the month following the month in respect of which it is due.

TAX COMPLIANCE AND TAX AUDIT

RETURNS

- Every person liable to tax must submit a self assessment return of income for each year.
- In case of an individual, the return of income must be submitted by 30th of June every year. However with effect from Jan 2011 those individuals whose only income is from employment need not submit self assessment returns.
- In case of a company self assessment returns must be submitted by the end of the 6th month after the end of the accounting period.
- The commissioner may, where he considers it appropriate, send to any person return forms to enable that person to furnish the required return of income.
- Currently returns of income may be submitted online to the tax authority.
- Audit procedure (PAYE Audit). This is the examination of records and documents prepared for purposes of PAYE.
- The audit is carried out by officers from the revenue authority.
- The tax officers will check details such as:
 - If the correct PAYE amounts were deducted.
 - If all amounts paid to employees were included in the pay roll.
 - The correct transfer of PAYE details to the tax deduction cards.

- Ascertaining that the tax deducted was paid to the bank for transfer to the tax authority.
- In addition to the ordinary PAYE audit an audit may be triggered by:
 - Material fluctuation of PAYE payments from one month to another.
 - Where PAYE is not usually paid on time.
 - In case of non-compliance detected in a normal tax examination of VAT or corporation tax.
 - Information emerging from related companies that have been audited and non-compliance is detected.
 - Information from third parties or information from newspaper reports.
 - Where salaries and wages figures as per the audited accounts are higher or lower than the amounts reflected in the PAYE returns.

PAYE RETURNS

It is a system of deducting tax from an employee's employment income at the end of every month. It is computed on graduated scale rate and personal relief is granted. The tax so deducted is payable to pay master general by 9th of the following month but where 9th falls on a weekend/holiday it should be paid on the last working day before 9th.

The normal offences committed in respect of paye are:

1. Non-operation of PAYE systems, non deducted of all the paye, not accounting for the PAYE deducted, non-submission of PAYE return by 28th Feb of the following year. Penalty is 25% of outstanding tax or sh. 10,000 whichever is higher.
2. Late payment (remittance) of PAYE deducted. Penalty is 20% of outstanding paye and an interest at the rate of 20% p.m. compound.

Employers' responsibilities in respect of PAYE

- i. At the beginning of the year, the employer is required to collect all the documents of paye for each employee from DTD e.g. Tax tables, Tax deduction cards (p9s)
- ii. In course of the year
 - The employer should compute paye for each employee on a monthly basis
 - Fill in the details in the tax deduction card
 - Pay the PAYE deducted by 9th of the following month to the tax department.
- iii. At the end of the year
 - Reconcile the PAYE deducted and PAYE paid
 - Complete the tax deduction cards fully
 - File PAYE returns by 28th Feb of the following year.

PAYE return comprises of:

1. **Tax deduction card i.e. form P9s.** This shows an employee's employment income and paye due including reliefs for every month.

There are 3 types of tax deduction cards.

a) Form P9A

It is used for all employees earning over Shs. 11,135p.a. including non-cash benefits over sh. 3,000 p.p. and all company directors whether receiving benefits or not (nil certificate at the back)

b) Form P9A (HOSP)

Used for all employees eligible to a defined home ownership savings plan contribution

c) Form P9B

Used in circumstances where the employer bears the burden of tax on behalf of the employee i.e. tax free remuneration

2. **Employee supporting list i.e. Form P10A.** It shows the total tax paid for each employee for the whole year.
3. **End of the year certificate employers i.e. Form P10.** It shows the total tax paid month by month for all employees. If all the tax deducted has been paid to the tax department, the total of P10A should be equal to the total of P10.
4. **Form 10A.** Used for fringe benefits tax returns. It shows the total loan amount advanced to all the employees and tax paid on such benefits.
5. **Form P10C.** It is the employers' certificate for the government ministries and National assembly.
6. **Form P11.** This is the pay in slip. It is a receipt for acknowledgement of payment of tax.

OBJECTIONS, APPEALS AND RELIEF OF MISTAKE

NOTICE OF ASSESSMENT

The commissioner may serve or issue a notice of assessment to the tax payer which contains information that:

1. The tax payer has not been assessed or he has failed to submit his own self assessment returns.
2. The amount of income assessed.
3. The tax reliefs to which the tax payer is entitled.
4. The taxes already paid at source.
5. Information in regard to penalties or interest on the unpaid tax.
6. The due dates for payment of tax.

7. Information regarding the right of the taxpayer to raise an objection to the assessment from the commissioner.

TYPES OF ASSESSMENTS

1. *Self assessment*

It was introduced with effect from the year of income ending 1992. It modified the final returns.

It is required to be made by both individuals and companies. A tax payer is required to compute own taxable income, tax payable and make payments in accordance with his assessments. This tax is due by last day of the 4th month after the accounting year end. For businesses whose year end is on 31 December, the self assessment returns should be submitted by 30th June.

In case of failure to submit a self assessment return, the commissioner of income tax may issue an estimated assessment and charge a penalty of 20% of tax due and an interest of 2% per month on tax dues plus penalty as long as the tax remains unpaid.

The self assessment return should be submitted by:

- All liable body corporate
- Individuals with other income apart from employment
- All partnerships, i.e. only the income detail of partners is required.

Final return

A final return is submitted by partnerships only. It is due by the end of the 4th month following the partnership account year end.

Since a partnership is not a separate taxable entity each partner will be required to submit his own return of income as an individual.

The final return will contain:

- The total income or loss of the partnership and how this was shared between the partners. Supporting documents must be submitted alongside the return.
- A signed declaration that the return of income contains a full and true statement of a partnership income or loss.

Other returns include:

- Pay as you earn (PAYE) returns – required by 28th of the following month
- Withholding tax return – dividends, royalties, interests, commissions

Notice of assessment

The commissioner shall assess every person who has income chargeable to tax as expeditiously as possible after the expiry of the time allowed to that person under the Act for the delivery of the return of income.

Where a person has delivered a return of income the commissioner may:

- i. Accept the return and deem the amount that person has declared as his self assessment in which case no further notification is required, or
- ii. If he has reasonable cause to believe that the return is not true and correct, he may determine according to the best of his judgement the amount of true income of that person and assess him accordingly
- iii. Where a person has not delivered a return of income for a year of income, whether or not he has been required by the commissioner to do so but the commissioner considers that the person has income chargeable to tax for that year, he may according to the best of his judgement determine the amount of income for that person and assess him accordingly.

Service of notice of assessment

A notice of assessment is the tax bill which is issued by the commissioner of domestic taxes to all tax payers for each year of income.

After the introduction of the self assessment return, assessments only originate from tax payers rather than the commissioner. This means that a person who is chargeable to tax is required to submit a return with self assessment.

All assessments must be submitted with:

- i. Audited accounts where applicable
- ii. Income tax computation
- iii. A cheque or balance of tax deducting installment tax paid and withholding tax
- iv. Dividend tax account where applicable
- v. A cheque for compensating tax where applicable

Collection and recovery of taxes

Where taxes assessed are not collected by due dates the collector of income tax has the power to collect the tax due as a debt owed to the government. Such a debt can be collected as follows:

- i. The tax payer can be sued for the recovery in a court of law
- ii. The taxes collected through an authorized agent
- iii. Restraining order against tax payer. In case the commissioner can seize the property of the defaulting taxpayer, which would be auctioned so as to satisfy the tax debt.

Content of an assessment

- i. A notice to the taxpayer that he has been assessed under the Income Tax Act Cap 470 of the laws of Kenya.
- ii. Information to the person assessed that he has a right to object where he does not agree to the assessment
- iii. The tax assessed and loss carried forward
- iv. The amount of relief available, i.e. for individuals
- v. Amount of any tax paid at source
- vi. Any penalties and interests where applicable as per the Income Tax Act

- vii. Any amount of tax payable and due dates where taxes have been overpaid, a tax credit should be reflected.

2. *Installment assessment*

The commissioner may make an installment assessment for tax in respect of any person after the expiry of the time allowed to that person under the Act for the payment of installment tax. When a person has paid installment tax he shall be deemed to have been assessed for the purposes of installment tax on the basis of installment tax paid.

3. *Estimated assessment*

This is issued by the commissioner of income tax on any income that he estimates to the best of his knowledge where:

- The tax payer has failed to submit installment returns
- The tax payer has failed to submit self assessment returns
- The C.I.T. does not agree with the tax payers self assessment return
- Returns have been made but the documents accompanying them do not satisfy the commissioner.

Penalties are normally charged of 5% per annum based on the outstanding tax. The minimum penalty being Sh.5,000 in case of a body corporate and Sh.1,000 in case of an individual.

4. *Additional assessment*

It is issued by the income tax department after the tax payer has submitted his self assessment return. Additional assessment is issued when income tax department discovers that there are some incomes which have not been declared by the tax payer or discovers some expenses claimed by the tax payer which do not relate to business.

Where under declaration or non-declaration of income is through fraud or willful negligence, heavy penalties are normally imposed.

In case of a tax payer, 200% of the tax evaded and in case of the agent or the accountant, a fine of up to Sh. 200,000 is imposed or imprisonment of up to 2 years or both.

5. *Amended assessment*

This is issued by the commissioner where a tax payer has lodged a notice of objection to the commissioner against an assessment or has applied for relief of error or mistake or has made an appeal to the local committee tribunal or court against an assessment.

Amended assessment is not considered to be a different assessment as such as it is issued to correct an error in the previous assessment. Amended assessment can either be amended upwards or downwards.

NOTICE OF OBJECTION TO AN ASSESSMENT

A person may object to the assessment from the commissioner.

An objection is raised formally and becomes valid if it is submitted and accepted by the commissioner.

A notice of objection is considered to be valid if:

- It is made in writing.
- It states the grounds of objection or the reasons for raising the objection.
- It must be made within 30 days from the date of receiving the notice of assessment from the commissioner.

LATE NOTICE OF OBJECTION

In certain cases, a person may not be able to raise an objection within 30 days as stipulated.

However he may lodge a late notice of objection on the following grounds:

- Sickness.
- Absence from Kenya.
- Any other reasonable cause e.g. failure to receive the notice of assessment on time.
- If there was no reasonable delay on the part of the taxpayer e.g. where he had sent the objection on time but it was delayed in the post office.

POWERS OF THE COMMISSIONER ON RECEIPT OF A NOTICE OF OBJECTION

Where the commissioner receives a valid notice of objection from a tax payer he may:

1. **Amend the assessment in accordance with the objection** in which case he will issue an amended assessment to the tax payer.
2. **Propose to amend the assessment in the light of the objection**, in which case if the tax payer agrees with the proposed amendments, he will issue agreed amended assessment. However, if the tax payer does not agree with the proposed amendments the commissioner issues a non-agreed amended assessment.
3. **Refuse to amend the assessment**, in which case the commissioner issues a notice confirming the estimated assessment he had issued.
4. **Take no action**. The commissioner may take no action where the notice of objection from the tax payer is not valid.

RELIEF OF ERROR OR MISTAKES S.90 (2) OF INCOME TAX ACT

Where a person after having made a return of income and assessed on his return discovers that he had made a mistake of fact in the return as a result of which he had been assessed excessively, he may within 7 years after the year of income to which the return relates makes an application to the commissioner for relief. In case the relief is granted by the commissioner the amount is repaid.

APPELLANT BODIES

APPEALS

Where the commissioner issues a non-agreed amended assessment or a notice confirming the estimated assessment, the tax payer may lodge an appeal to the relevant bodies which include:

- Local committee
- Tribunal
- The high court
- Court of appeal

LOCAL COMMITTEE

This is an appeal body established by the minister for finance through a notice in the Kenya gazette.

The duties of a local committee are to hear and determine tax appeals on tax disputes lodged by the taxpayer against the commissioner.

The local committee consists of a chairman and not more than 8 other members

The members usually hold office for a period of 2 years.

The local committee hears appeals on the following matters.

1. Refusal by the commissioner to amend an assessment
2. Where the commissioner has issued a non-agreed amended assessment.
3. Where the commissioner has refused to refund tax.
4. Where the commissioner issues a notice to the tax payer requiring him to maintain books and records in a particular format.
5. Where the commissioner refuses to waive penalties.
6. In case of a dispute involving the valuation of assets for purposes of capital allowances.

TRIBUNAL

It consists of a chairman and 4 other members.

There is only one tribunal that sits in Nairobi.

A tribunal deals with appeals against assessments by the commissioner **involving:**

1. **Transactions designed or intended to avoid tax liability** i.e. where the commissioner is of the opinion that the purpose for which a transaction was effected was the avoidance of tax liability.
2. **Avoidance of tax liability through non-distribution of dividends.** A company must distribute at least 40% of its distributable earnings as dividends to ordinary shareholders; failure by a company in this regard is called shortfall distribution. It means that revenue in form withholding tax on dividends of 5% will be avoided. The commissioner may issue an additional assessment based on the shortfall distribution of dividends.

Procedure for computing shortfall distribution of dividends

1. Ascertain the profits before tax from operating activities
2. Compute corporation tax at 30% and arrive at profit after tax
3. Deduct the permissible retention of 60% of profit after tax in order to arrive at the distributable amounts, that is, 40% of profit after tax from business operations.
4. Add other incomes to arrive at total distributable amounts
5. Ascertain the amount distributed to members as dividends, the difference between distributable amounts and distributed amounts is known as short fall distribution.

NB:

If a tax payer is unable to pay out the distributable amount as dividends, he has a right to make a representation to the Commissioner of Domestic Taxes requesting him not to enforce the distribution.

In his representation he has to include the following:

- a. A statement of liquidity position of the company, that is, current assets Vs Current liabilities
- b. A confirmation that the directors do not owe the company any amount
- c. The planned capital requirements
- d. The development plan of the company for the future

HIGH COURT

A party to an appeal to the local committee or tribunal who is dissatisfied with the decision may appeal to the high court.

An appeal to the high court may be made on a question of law or law and fact.

COURT OF APPEAL

A party to an appeal who is dissatisfied with the decision of the high court may appeal to the court of appeal on the following grounds:

- The decision of the high court was contrary to the law.
- The decision failed to determine material issues of law.
- A substantial error or mistake in the procedure provided by the Act produced an error or mistake in the decision of the case.

COLLECTION AND RECOVERY OF TAXES**COLLECTION OF OVER DUE TAX**

- The income tax Act empowers the commissioner to effect the recovery of unpaid tax, which is delegated to the collector of the income tax.
- The methods used for recovery of unpaid tax include:
 - By an Agent
 - By suit of court action
 - By distraint

- By notice to the commissioner of lands to hold title of property owned by the tax payer as security for the tax due and unpaid.

REFUND OF TAXES AND WAIVERS

- Where the commissioner is satisfied that a tax payer has over paid tax in respect of any year of income, the overpaid tax must be refunded.
- Where the person claiming the refund has any tax due, the amount refundable will be offset against the tax due.
- The time limit to claim the refund of overpaid tax is seven years after the expiry of the respective year of income

OFFENCES, FINES, PENALTIES AND INTERESTS

Under the income tax Act the offence committed by tax payers can be categorized as:

- Failure to comply with a notice
- Submission of incorrect returns
- Submissions of fraudulent return
- Obstruction of officers

Where taxpayer has committed an offence under the Act, the commissioner can impose penalties which are listed below:

OFFENCE	PENALTY
• Failure to keep adequate books of accounts	Sh. 20,000
• Failure to submit a final return with self – assessment	5% of the normal tax
• Failure to submit a compensating return	5% of compensating tax for each month
• Omission, claim or statement due to fraud or gross negligence	Additional tax not exceeding twice the tax concealed
• Underestimation of installment tax	20% of the difference between installment tax payable and that paid.
• Penalty and interest on unpaid tax	Prior to 11 June 2010, 20% of tax unpaid plus interest of 2% per month. With effect from 13 June 2008, the 2% interest shall not exceed 100% of the principle tax
• General penalty – offence under the act for which no other penalty is specified.	Maximum fine of Sh. 100,000 and / or imprisonment not exceeding six months.

CHAPTER SUMMARY

- The income tax Act Cap 470 has provisions relating to assessment and collection and recovery of tax.
- The tax authority can obtain relevant information about a taxpayer through PIN which is required in various transactions.
- Assessments refer to tax computation on income derived in any year.
- Every taxpayer is required to submit a return on income together with his self assessment for any year of income.
- Where a tax payer has failed to submit his own self assessment a commissioner may issue assessments based on his judgment.
- Installment tax is payable in advance during the year of income based on estimated tax liability.
- Where a taxpayer has been issued with an estimated assessment by the commissioner he has a right to raise an objection against the assessment.
- In case a taxpayer is aggrieved with the decision of the commissioner he may appeal to the established appellant bodies.
- The income tax Act empowers the commissioner to collect and recover overdue taxes from the taxpayers.
- Where a taxpayer commits an offence under the act the commissioner has powers to impose fines, penalties and interests

QUIZ

Question ONE:

- (a) Now that there is self assessment under the Income Tax Act, does the commissioner of Income Tax have to issue any assessment? Explain (3 Marks)
- (b) Does an individual person have to raise an objection for tax assessed under the Income Tax Act now that there is self assessment? Explain (3 Marks)
- (c) Mr. Banu Shah provided the following information for the year ended 31 December 1996:
- He was employed as a full time director of Letex Limited at a salary of Sh. 80,000 per month (P.A.Y.E Sh. 31,200 per month was deducted)
 - Free goods worth Sh. 30,000 were received from the company in the year for personal use.
 - He enjoyed free medical treatment under a medical scheme operated by the company which was assessed at Sh. 50,000 in the year.
 - Mr. B. Shah and his wife operate a company fully owned by them whose taxable income has been agreed at Sh. 200,000 after charging wife's salary of Sh. 120,000 (P.A.Y.E. Sh. 22,000).
 - Latex Limited provided him with free housing from 1 August 1996 prior to which he lived in his own house.
 - His wife also works as a nurse in a private hospital and earned Sh. 20,000 per month (P.A.Y.E Sh. 11,500 before letting. The house had a mortgage of Sh. 2,000,000 and Sh. 600,000 was paid on it of which Sh. 330,000 was capital.

Required:

- i) Total taxable income of Mr. Banu Shah for 1996. (9 Marks)
- ii) Tax payable / repayable on the income computed above. (3 marks)
- iii) Comment on the importance of P9 A in Income Tax Returns. (2 Marks)

(Total: 20 Marks)**ANSWER****Answer:**

(a) **Yes**-The commissioner may issue assessments which include:

1. Estimated assessment

It is issued by the commissioner where the tax payer has failed to file his own self assessment.

2. Amended assessment

It is issued by the commissioner where the tax payer has raised an objection against the estimated assessment. It may be agreed or non-agreed amended assessment.

3. Additional assessment

It is issued by the commissioner where a tax payer had filed his own self assessment but the commissioner is of the opinion that some income was not disclosed or other income is discovered which was not included in the self assessment

(b) **No**. Where a person has discovered that due to errors and mistakes in his self assessment returns tax was overpaid, he may appeal to the commissioner for the relief of errors, or mistakes in which case the overpaid tax may be refunded.

Mr. Banu Shah**2011 computation of taxable income**

		Sh.
Basic salary		960,000
Housing benefit $15\% \times \frac{5}{12} \times 960,000$		60,000
Less mortgage interest		
Actual $\frac{7}{12} \times 270,000$	157,500	(87,500)
Set limit $\frac{7}{12} \times 150,000$	87,500	
Business income	200,000	
Add: Wife's salary	<u>120,000</u>	320,000
Rental income note (iii)		<u>37,500</u>
Total taxable income		<u><u>1,290,000</u></u>

Tax computation

First Sh. (121,963 @10%) + (114,912 @ 60%)	81,144
Surplus (1,290,000 – 466,704) @ 30%	<u>246,988.8</u>
	328,132.8
Less T.A.S PAYE –Self	(374,400)
-Wife	<u>(22,000)</u>
Tax refundable	<u>(68,267.2)</u>

Importance of form P9A

This is a tax deduction card prepared by the employer for each of his employees

It serves as a certificate of tax and pay to the employee.

Notes

1. Free goods are non taxable benefits since the aggregate value is less than sh.36,000 p.a
2. Medical benefits enjoyed the employee under a medical scheme which is non-discriminatory are not-taxable benefits.

3. Rental income	Sh.
Gross	150,000
Less interest 5/12 X 270,000	<u>(112,500)</u>
Taxable income	<u>37,500</u>

4. Repairs and paintings before letting of property is capital expenditure hence not allowable.
5. Wife's employment income will be taxed separately on her.

APPLICATION OF ICT IN TAXATION:**iTax**

iTax is a web-based system developed to simplify revenue collection in Kenya by allowing taxpayers to simply update their tax registration details, file tax returns using Microsoft Excel or Open Office, register all tax payments and make status enquiries with real-time monitoring of their ledger/account.

iTax is a web-enabled tax collection system by KRA to end the inefficient manual processes. It's an answer to simplify the tax processes, shorten time taken to file returns and increase revenue collection. The system is automatic, updates the employee and employer ledgers in realtime after filing and sends them notifications whether the returns have been filed successfully or rejected.

The iTax system is used to collect taxes on three types of income-employment **income**, **business income** and **rental income**. iTax allows users to apply for their KRA TAX PIN, check certificate, generate e-slip, file their returns electronically, view your ledger, check status and as well apply for a tax compliance certificate or file VAT, Income Tax, PAYE and Standards levy for KRS.

The system was launched countrywide to help simplify taxpayers registration and as well enable them to file returns from wherever they are. iTax aimed to end the reliance on the old KRA web-based system which was tedious to use and still had manual processes for taxpayers to follow up unlike this automatic iTax system.

Taxpayers can use iTax to file returns for Pay As You Earn (PAYE), Value Added Tax (VAT), Individual annual Income Tax Return (IT1), and agency revenue that includes Sugar Development Levy and Kenya Bureau of Standards.

To register for iTax, one needs to provide their e-mail address and a unique password. Those that already have a KRA PIN only need to provide their PIN to log in

The system has a security stamp everytime a user logs in and as well has a mental sum to determine if the data is being entered into the system by a machine or a human being.

Agencies that have access to KRA data include banks, Safaricom's M-Pesa, Kenya Bureau of Standards, the Foreign Affairs dept, taxpayers, KRA staff, the company registrar, treasury, ICPAK, and the ministry of lands.

To those looking for refunds, KRA only has deposit accounts which means it can never withdraw the cash for its own use and has to requisition for money from the treasury for its own operations as well as for taxpayers refunds.

For those who have no Internet, the iTax System can also be accessible at various cyber cafes and within Huduma Centres countrywide with support officers on standby to help taxpayers. Go to <http://itax.go.ke> , enter your PIN or User ID or sign up for a PIN if you're registering and start filing before the June 30th deadline as the new iTax system automatically penalises taxpayers that haven't paid when the deadline hits.

TOPIC 10

ADMINISTRATION OF VALUE ADDED TAX

INTRODUCTION AND DEVELOPMENT OF VAT

VAT is a tax on expenditure that is collected by suppliers of goods and services and passed on to the government.

VAT is charged on the supply of goods and services in Kenya by a taxable person in the cause of or in furtherance of any business carried on by that person and on the importation of goods and services into Kenya.

VAT was introduced in Kenya 1990 to replace sales tax. The decision to replace sales tax with VAT was as a result of the perceived deficiencies in the sales tax system which includes:

- The sales tax system was a single stage system- sales tax was levied only once at the manufacture level. However, in a country where tax evasion is widespread, a single stage tax system will result in a higher loss of revenue than would normally be the case if the system was multi stage.
- Where the inputs for manufacturing were subject to sales tax, the imposition of sales tax on the finished product will result in the imposition of tax on another tax i.e. cascading effect.
- The sales tax system had a limited scope - sales tax was levied only on certain specific manufactured Goods. Services were not within the scope of tax. Therefore sales tax had a narrow tax base as compared to VAT, with the result that the revenue yield was comparatively low.
- VAT is an indirect tax, It is essentially a tax on the domestic expenditure or consumption. Under VAT, it the end user or consumer that ultimately bears the tax burden.
- VAT is charged on each transaction in the production and distribution chain.

QUESTION:

A manufacturer purchased raw materials at sh. 1 m on which VAT was charged at 16%. At each stage of the production and distribution chain conversion cost of 25% was incurred and a markup of 30% included to determine the selling price. Calculate the total VAT collected for the government.

ANSWER:

	Value Sh.000	VAT Sh.000
Supplier		
Cost of materials	1,000	
VAT @ 16%	<u>160</u>	160
	<u>1,160</u>	
Manufacturer		
Purchase of materials	1,000	
Conversion cost @ 25%	<u>250</u>	
	1,250	
Mark-up @ 30%	<u>375</u>	
Selling price	1,625	
VAT @ 16%	<u>260</u>	260
	<u>1,885</u>	
Less input VAT		<u>(160)</u>
		<u>100</u>
Wholesaler		
Purchase of product	1,625	
Additional cost @25%	<u>406.25</u>	
	2,031.25	
Mark-up @ 30%	<u>609.375</u>	
Wholesale price	2,640.625	
VAT @ 16%	<u>422.5</u>	422.5
	<u>3,063.125</u>	
Less input VAT		<u>(260)</u>
		<u>162.5</u>
Retailer		
Purchase of product	2,640.625	
Additional cost @ 25%	<u>660.156</u>	
	3,300.181	
Mark-up @ 30%	<u>990.234</u>	
Retail price	4,291.015	
VAT @ 16%	<u>686.562</u>	686.562
	<u>4,977.577</u>	
Less input VAT		<u>(422.5)</u>
		<u>264.0</u>

Total VAT collected for Cost

	Sh.000
Supplier	160
Manufacturer	100
Wholesaler	162.562
Retailer	<u>264</u>
	<u>686.562</u>

NB

- The illustration above demonstrates that it is the end user or consumer to bears the burden of tax. The participants in the production and distribution chain are simply the collection agents of the government.
- It also shows that incase there is tax evasion, the loss of revenue by the government is minimized.

REGISTRATION AND DE-REGISTRATION OF TAXABLE PERSONS

REGISTRATION FOR VAT

- Registration, de-registration and changes affecting registration are dealt with in the sixth schedule of the VAT Act.
- Compulsory registration applies to any person who in the course of his business has supplied taxable goods or taxable services or expects to supply taxable goods or taxable services, or both, the value of which is Sh. 5,000,000 or more in a period of twelve months.
- Any person who meets the above conditions is a taxable person and should, within thirty days of becoming a taxable person, apply for registration.
- Voluntary registration is permissible under the law, but is granted at the discretion of the commissioner.
- Where a person qualifies for registration, a registration certificate shall be issued within ten working days after receipt of the application by the commissioner.
- Where an application for registration is made within 30 days of becoming a taxable person, the effective date for registration is deemed to be the 30th day from the date the person became a taxable person. However, the commissioner has the discretion to vary the effective date, and in practice, the date of receipt of the certificate applies.
- Every registered person is required to display the registration certificate in a clearly visible place in his business premises. Where a person has more than one place of business, certified copies (by the commissioner) must be displayed in each of those places.
- A group of companies that is owned or substantially controlled by another person may apply to be registered and treated as one person, subject to the discretion of the commissioner.

- The commissioner may de-register a group of companies upon giving a notice of thirty day to each company in the group if he is satisfied the group registration has caused or is causing undue risk to revenue, or one of the companies ceases to make taxable supplies, or the person in whose name the group is registered ceases to have a substantial control of the group.
- Upon registration, a person who has in stock goods on which tax has been paid, or has constructed a building or civil works or purchased assets within one year before registration, he may, within thirty days or such longer period as allowed by the commissioner, claim the input tax charged thereof. Such a person must have submitted the application for registration within the prescribed time limit.

DEREGISTRATION

- If the value of taxable turnover does not exceed five million shillings in any period of twelve months, a registered person may apply for de-registration and will be subject to turnover tax under the Income Tax Act, upon notifying the Commissioner.
- A person applying for de-registration should notify the Commissioner of the value of his supplies in the relevant periods and the description and value of taxable materials and other goods in stock.
- If the commissioner is satisfied that the trader should be de-registered, he will do so from the date when that person pays the tax due in respect of goods and materials on which tax has not been paid or input tax has been claimed.
- Where a person ceases to make taxable supplies, he must notify the commissioner immediately, of the date of cessation and submit a return showing details of taxable assets, materials and other goods in stock and their value and pay any tax due on such assets and goods within thirty days from the date he ceased to make taxable supplies.

CLASSIFICATION OF TAXABLE GOODS AND SERVICES

Supplies may be classified into three types for VAT purposes:

- Standard rated supplies.
- Zero rated supplies.
- Exempt supplies.

STANDARD RATED SUPPLIES

These are supplies that are subject to VAT at the standard rate of 16% or in case of electricity 12%. The input tax on standard rated supplies is deductible against the output tax.

Suppliers making standard rated supplies must register for VAT and the value of such supplies is taken into account in considering whether a person is to register for VAT or not.

ZERO RATED SUPPLIES

It means that tax is charged at zero (0) % on the supply but the supply is treated as a taxable supply in every other respect.

The value of zero rated supplies is taken into account in determining whether a supplier is a taxable person who is required to register for VAT

A registered person making zero rated supplies will not charge VAT on his supplies but can obtain a refund of the input tax paid on his purchases.

EXEMPT SUPPLIES

VAT is not chargeable on exempt supplies the value of exempt supplies is disregarded in determining the minimum turnover required for registration.

A person who makes only exempt supplies cannot obtain any refund of the input tax suffered on their purchases.

Exempt services

1. Financial services excluding:
 - Financial and management advisory services
 - Safe custody services
 - Trustee services
2. Insurance and re-insurance services
3. Education and training services offered to students
4. Medical, dental, veterinary and nursing services
5. Sanitary and pest control services rendered to domestic households
6. Agriculture, animal husbandry and horticultural services
7. Social welfare services provided by charitable organisation
8. Burial and cremation services (up to time of disposal)
9. Transportation of passengers by any means of conveyance except where the means of conveyancing is hired/leased.
10. Postal services

CHANGES AFFECTING REGISTRATION

A registered person is required to notify details to the commissioner within fourteen days of the following changes:

- Change of address of the place of business; or
- Additional premises which are, or will be used for the purpose of the business; or
- Premises used for the business cease to be so used; or
- Business or trading name is changed; or

- An interest of more than thirty per cent of the share capital of a limited company has been acquired by a person or group of persons; or
- The person authorized to sign returns is changed; or
- The partners in a partnership are changed; or
- A change occurs in the trade classification of the goods or services supplied.

SUPPLY OF SERVICES

The following shall be designated services and shall be taxed at whatever threshold;

- a. Accounting services including any type of audit, book keeping or similar services
- b. The provision of reports, advice, information or similar technical service in the following areas:
 - Management, financial and related consultancy
 - Recruitment, staffing and training
 - Market research
 - Public relations
 - Advertising
 - Actuarial services
 - Material testing services, excluding medical, dental or agricultural testing services.
- c. Computer services of any description including the provision of bureau facilities, system analysis and design, software development and training but excludes training offered to students in the furtherance of education and which is not part of user training or other business training.
- d. Legal and arbitration services including any services supplied in connection therewith
- e. Services supplied by architects, drawings and interior designers
- f. Services supplied by land and building surveyors, quantity surveyors, insurance assessors, fire and marine surveyors, loss adjusters or similar services.
- g. Services supplied by consulting engineers
- h. Services supplied by auctioneers, estate agents and valuers
- i. Services supplied by agents excluding insurance agents
- j. Services supplied by contractors
- k. Services supplied by clearing and forwarding agent
- l. Services supplied by brokers, excluding services supplied by insurance brokers, stock exchange brokers and tea and coffee brokers dealing exclusively in tea and coffee for export
- m. Services supplied by security and investigation organisations including rental of security equipment and installation.

Imported services

Where a person in Kenya imports a taxable service from overseas, the importer will be required to account for the VAT to the VAT department. This is referred to as reverse charge. In order to assist the collection of tax, the Central Bank is required to ensure that any person applying for foreign exchange has remitted the fees overseas and has accounted for VAT to the department. Such a person will be required to produce a tax clearance certificate from the commissioner of VAT certifying that the VAT has been paid.

ACCOUNTING FOR VAT, TAXABLE VALUE, TIME OF SUPPLY

ACCOUNTING FOR VAT

VAT is charged where:

- The supply of goods or services and on the importation of goods or services into Kenya;
- The supply is a taxable supply;
- The supply is made by a taxable person;
- The supply is made or provided in Kenya; and
- The supply is made or provided in the course of the furtherance of a business carried on by the taxable person.

The expression “supply” includes:

- The sale, supply or delivery of taxable goods to another person;
- The sale or provision of taxable services to another person;
- The appropriation of taxable goods or services by a registered person for his own use outside the business;
- The making of a gift of any taxable goods or taxable services;
- The letting of taxable goods on hire, leasing or other transfers;
- The provision of taxable services by a contractor to himself in constructing a building and related civil engineering works for his own use, sale or renting to other persons;
- The appropriation of taxable goods by a registered person for use in the business where, if supplied by another person, the tax charged on the supply would have been excluded from the deduction of input tax; and
- Any other disposal of taxable goods or provision of taxable service.

TAXABLE VALUE

The charge for VAT is determined by the value attributable to the supplier of goods and services. The general rule for determining the value of a supply is as follows:

- Where a supplier and a buyer are independent of each other and dealing at arm’s length, the value for tax is the price for which the supply is provided;

- Where the supplier and the buyer are not independent of each other, the taxable value of the supply is the price at which the supply would have been provided in the ordinary course of business by a supplier who is independent of the buyer; and
- If in the above case the price cannot be determined, the commissioner is empowered to fix the price at the open market selling price.

In determining the price of goods for purposes of ascertaining the value for tax, the charges for the following items must be included;

- Wrapper, package, box, bottle or other container in which the goods are contained;
- Any other goods contained in or attached to such wrapper, package, box, bottle or other container; and
- Any liability the purchaser has to pay to the vendor by reason of the supply in addition to the selling price, including excise duty, and any amount charged for advertising, financing, servicing, warranty, commission, transportation etc.

Where taxable goods are sold in returnable containers which were purchased or imported tax paid then no tax will be chargeable in respect of the containers.

Where tax has been charged in respect of returnable containers, which are then returned to the supplier, the supplier will be entitled to take credit for the tax in his next succeeding return.

For taxable goods imported into Kenya, the taxable value is the value for duty (whether duty is payable or not) plus the duty actually paid.

The taxable value in respect of imported services is the price charged for the supply.

Where goods are purchased under hire purchase terms the consideration for the supply will represent the cash price and the additional interest or finance charge will be disregarded in determining the value of the goods.

Where interest is charged for late payment on the price of a taxable supply, it shall be disregarded in determining the value of goods.

TIME OF SUPPLY/TAX POINT

Tax becomes due and payable at the time when;

- Goods are supplied or services have been rendered; or
- An invoice is issued in respect of the supply; or
- Payment is received for all or part of the supply; or
- A certificate is issued by an architect, surveyor or any person acting in a supervisory capacity in respect of the service, whichever time shall be the earliest.

The time of supply in respect of imported services is the earlier of:

- The time when the services are rendered; or
- When payment for the service is made; or
- When an invoice is received in respect of the service.

CHARGE TO TAX, DEDUCTIONS OF INPUT TAX, APPORTIONMENT METHOD OF INPUT TAX

The input tax which may be deductible by a registered person is maybe:

- The whole of the input tax incase all supplies are taxable.
- Such part of the tax as can be attributed to taxable supplies where only a proportion of the supplies are taxable.
- Where a person makes both exempt and taxable supplies, he may only claim the input tax attributable to taxable supplies. However he can claim the whole of the input tax if input tax related to exempt supplies is always less than 5% of the total input tax.

QUESTION:

The management of Masaa Ltd a registered supplier of vatable goods presented the following information relating to the companies transactions for the month of October 2011.

	Sh.
Sales at standard rate	36,000,000
Sales at zero-rate	14,000,000
Export sales	4,000,000
Exempt sales	6,000,000
Purchase at standard rate	30,000,000
Purchase at zero rate	12,000,000
Salaries and wages	6,000,000
Purchase of ETR	120,000

Required:

Determine the VAT payable or refundable by the company for the month of October 2011

ANSWER**Output tax**

Nature of supplies	Supplies Value Sh. '000'	VAT
Standard- rate	36,000	5,760
Zero- rate	18,000	0
Exempt	6,000	-
		<u>5,760</u>

Input tax

Std- rate purchases	30,000	4,800
Zero -rate purchases	12,000	0
ETR	120	<u>19.2</u>
		<u>4,819.2</u>

Deductible input tax:

$$= \frac{\text{Value of taxable supplies}}{\text{Value of total supplies}} \times \text{Input Tax}$$

$$= \frac{54,000}{60,000} \times 4,819.2$$

$$= \underline{4,337.28}$$

$$\begin{aligned} \text{VAT payable} &= \text{Output tax} - \text{Deductible input tax} \\ &= 5,760 - 4,337.28 \\ &= \underline{1,422.72} \end{aligned}$$

VAT RECORDS**RECORD KEEPING**

Paragraph 7 of the VAT Regulations and the seventh schedule to the Act prescribes the records to be kept which include:

1. Copies of all invoices issued in serial number order;
2. A VAT account showing totals of the output tax and input tax in each period and the tax payable or refundable;
3. Copies of all credit and debit notes issued, in chronological order;
4. Purchase invoices, copies of customs entries. Receipts for the payment of customs duty or tax, credit and debit notes received, all to be filed chronologically;
5. Details of the amounts of tax charged on each supply made or received;

6. Totals of the output and the input tax in each period and a net of the tax payable or the excess input tax at the end of each period;
 7. Details of goods manufactured and delivered from the factory;
 8. Details of each supply of goods and services from the business premises; and
 9. Copies of stock records kept in a chronological order.
- All records must be kept in the Kiswahili or English language and for a period of five years from the date when the last entry was posted.
 - The commissioner is empowered to issue a notice requiring a taxable person to keep such records or take such action as the commissioner may specify.
 - The commissioner is empowered to allow a taxpayer to file returns and receive other information electronically.
 - The commissioner is empowered to require any person to use an electronic tax register for purposes of accessing information that may affect the tax liability of that person.

TAX INVOICES

- Every registered person who makes a taxable supply on credit must issue a tax invoice at the time of making payments to the supplier. In the case of a cash sale, a tax invoice must be issued immediately upon payment for the supply. A simplified tax invoice may be issued in respect of cash sales from retail outlets.
- No tax invoice should be issued on any supply which is not a taxable supply or if the supplier is not registered. If an invoice is issued in contravention of this requirement, the tax collected shall be payable to the commissioner within seven days of the date of the invoice.
- A tax invoice must be generated from a register or attached to a register receipt. The details required on a tax invoice are:
 - The name, address, PIN, and VAT registration number of the supplier;
 - The serial number of the invoice
 - The date of the invoice
 - The date of supply, if different from the date of the invoice
 - The name, address, PIN, and VAT registration number of the person to whom the supply was made
 - The description, quantity and price of the goods or services being supplied
 - The taxable value of the supply, if different from the price charged
 - The rate and amount of tax charged on each of the supply
 - Details of whether the supply is a cash or credit sale, and details of cash or other discount, if any;
 - The total value of the supply and the total amount of VAT charged
 - A logo unique to his business; and
 - The unique identification number of the electronic tax register, printer or special secure fiscal device for record signing.

CREDIT NOTES

- A credit note may be issued where goods are returned or for good and valid business reasons, a supplier decides to reduce the value of a supply after a tax invoice has been issued. The amount to be shown on the credit note is the amount of the reduction.
- A credit note must be issued within twelve months after the issue of the relevant tax invoice.
- A credit note must show the following details:
 - a. The serial number;
 - b. The name, address and PIN of the person to whom it is issued; and
 - c. Sufficient details to identify the tax invoice on which the supply was made and the tax that was originally charged.
- Where a credit note has been issued, the relevant adjustments are made in the month in which the credit note was issued.
- The recipient of a credit note shall reduce the input tax for the month in which the credit note is received.

DEBIT NOTES

- Where a tax invoice has been issued and subsequently, the supplier wishes to make a further charge in respect of that supply, he may either issue a debit note or a further tax invoice.
- A debit note is required to show all the details required of a tax invoice as listed above. In addition, it should show details of the tax invoice issued at the time of the original supply.
- The recipient of a debit note may claim credit for the further tax charged, if eligible, in the month in which the further charge was made, or in the next month.

VAT RETURN

Every registered person is required to submit a monthly Vat return to the commissioner giving the following details:

- Showing separately for each rate tax, the total value of supplies, the rate of tax and the amount of tax payable for the supplies made during the month;
- Showing separately for each rate of tax the total values of supplies, the rate of tax and the amount of tax paid in respect of which input tax is claimed;
- Where necessary, to state that no supplies were made or received during the tax period.

The VAT return is completed for every month on form VAT 3 and is accompanied by a VAT 3A, showing input tax claimed and VAT 3B, showing zero – rated supplies. The return must be submitted to the commissioner by the 20th day of the following month. Where the 20th day falls on a weekend or public holiday, the return shall be submitted on the last working day prior to the weekend or public holiday.

VAT DUE FOR PAYMENT OR CREDIT

VAT ACCOUNT

The VAT account is posted with monthly totals. The total input tax is debited to the account and the total output tax is credited.

If the debit side is greater than credit side (debit balance) the balance is VAT refund which is carried forward to be offset against the output tax of the following month. However where the credit side is greater than the debit side the balance is the VAT payable to the commissioner by the 20th day of the following month.

The VAT account is completed as follows:

Profoma of VAT a/c

	Sh.		Sh.
Sundry creditors' (VAT on credit purchases)	xx	Sundry debtors (VAT on credits sales)	xx
CB (VAT on cash purchases)	xx	CB (VAT on cash sales)	xx
Sundry debtor's (VAT on sales returns)	xx	sundry creditors (VAT on purchase returns)	xx
VAT payable (bal)	<u>xx</u>	VAT refund (c/f) (bal)	<u>xx</u>
	<u>xx</u>		<u>xx</u>
VAT refund b/f	xx		

REMISSION, REBATE AND REFUND OF VAT

REMISSION OF VAT

Remission of tax applies to all taxable persons. The remission granted shall only apply in respect of:

- Capital goods excluding motor vehicles, imported or purchased for investment, subject to the regulations;
- Taxable goods for emergency relief purposes subject to specified conditions;
- Goods and taxable services imported or purchased by a company that has been granted an oil exploration or prospecting license, subject to specified conditions;
- Capital goods and equipment for use in a customs bonded factory for export only;
- Official aid funded projects;
- Goods for use by the Kenya Armed Forces;
- Goods including motor vehicles imported or purchased by any company granted geothermal resource license;

- Goods and services for use in the construction or expansion of private universities, excluding student hostels and staff housing, subject to the approval of the minister for finance;
- Goods and service for the construction of more than 20 housing units for low income earners, subject to the regulations.

REBATE AND REFUND OF VAT

The commissioner will refund tax in the following circumstances:

- Where the amount of input tax exceeds the amount of output tax as a result of either the trader making zero – rated supplies or having incurred physical capital investment the input tax of which exceeds Sh. 1,000,000;
- Where VAT charged has been withheld by the buyer of the taxable supplies;
- Where taxable goods has been manufactured in or imported into Kenya and tax has been paid in respect of those goods and before being used those goods are subsequently exported under customs control;
- Where tax has been paid in error.

Where a person has supplied goods or services and has accounted for or paid tax on that supply, but has not received any payment from the buyer, he may apply for a refund or remission of the tax on the following conditions;

- A period of 3 years has elapsed from the date of supply;
- The buyer has become insolvent.

Refund in respect of bad debts

An application for refund of tax in respect of bad debts must be made within 5 years from the date of supply and must be accompanied by the following:

- i. A document issued by the person with whom he proves the insolvency of the debtor, specifying the total amount proved.
- ii. A copy of the tax invoice in respect of each supply upon which the claim is based
- iii. Evidence that every effort has been made to recover the amount owed
- iv. A declaration that the seller and the buyer are independent of each other. No refund will be made if the applicant is not up to date in submitting all VAT returns
- v. When input exceeds output tax and this is a common feature of business e.g. zero rated persons.

PRIVILEGES AND RIGHTS OF A VAT REGISTERED PERSON

RIGHTS OF A REGISTERED PERSON

Under the VAT Act, a registered trader has the following rights:-

- To deduct allowable input tax.
- To get a refund where input tax exceeds output tax as a result of either dealing with zero rated supplies or making heavy capital investment.
- To get relief for stock in trade as at the time of registration.
- To get relief or refund on capital goods (Including buildings) acquired or put up within twelve (12) months prior to the date of registration.
- To get a refund of bad debts.
- To defer payments of tax to a date not later than the 20th day of the month succeeding that in which tax is charged.
- To request for reconsideration of an assessment.
- To appeal to the tribunal.
- To demand that every authorized officer identifies himself or herself.
- Have free access to the commissioner or any other authorized officer.
- To expect that information obtained in the course of duty by the VAT officers shall be treated in confidence.

OBLIGATIONS OF A TAXPAYER

On the other hand, a registered trader has obligations under the VAT Act which includes:-

- To apply for registration.
- To charge VAT at the right rate on all taxable supplies.
- To pay tax to his registered suppliers.
- To issue a tax invoice for every supply made by him.
- To submit monthly returns to the VAT Department on or before 20th day of the month succeeding that in which tax is charged.
- To pay to the commissioner any amount he may have charged on an invoice by error.
- To keep full, and true records written and retain them for five years.
- Install and maintain a functional electronic tax register machine
- To avail records to authorized officers of the department at reasonable time for inspection.
- To produce for examination by the commissioner or an authorized officer any records, books of accounts balance sheets or other documents as may be required.
- To allow an authorized officer to enter premises upon which he carries on business
- To notify details to the changes affecting his business.
- To pay VAT due (Output tax - input tax) to the commissioner on or before 20th day of the following month.
- To display the VAT certificate of registration in a clear visible place within the business premises

WITHHOLDING VAT AGENTS

- These are institutions which have been appointed by the revenue authority for purposes of withholding VAT tax from the supplier of goods or services.
- Input tax is withheld from the seller of goods or services and a copy of withholding certificate is issued.
- VAT withholding agents include:
 - Government ministries
 - State corporations or parastatals
 - Banks and insurance companies

OFFENCES, FINE, PENALTIES AND INTEREST

OFFENCES AND PENALTIES

OFFENCE	PENALTY
• Late payment of tax	• Interest at 2% per month compounded
• Failure to comply with the commissioner's notice to pay money owed to a taxable person from whom tax is due, or furnish a return showing monies held or due to a person from whom tax is due	• Fine not exceeding Sh. 15,000 and/ or up to six months imprisonment and liability to pay the amount discharged
• Failure to produce books, records or provide information as required by an authorized officer	• Fine not exceeding Sh. 15,000 and/or up to six months imprisonment
• Failure to produce books, records, statements or other documents or to attend summons or to answer questions put by the VAT tribunal	• Fine not exceeding Sh. 15,000 and/or up to two years imprisonment
• Making false statements, producing false documents, providing false information, involvement in fraudulent evasion of tax, a non-registered person who holds himself out as a registered person	• Fine up to Sh. 400,000 or double the tax evaded, whichever is the greater. In addition, any taxable goods connected with the commission of the offence may be forfeited.
• Failure to display registration certificate in a visible place in the business premises	• Default penalty of up to Sh. 20,000 and a fine of up to Sh. 200,000 and/ or imprisonment for up to two years
• Late submission of application for registration	• Penalty of Sh. 20,000

• Failure to apply for registration	• Penalty of Sh. 100,000
• Failure to issue a tax invoice as required	• Penalty of between Sh. 10,000 and Sh. 200,000. Any goods connected with the offence are liable to forfeiture
• Failure to keep proper books or records	• Penalty of between Sh. 10,000 and Sh. 200,000
• Failure to submit a return	• Penalty of Sh. 10,000 or 5% of the tax due, whichever is the higher
• General penalty for offences under the Act for which no specific penalty is prescribed	• A maximum fine of Sh. 200,000 and/ or up to three years imprisonment
• Failure to withhold VAT, remit withheld VAT, submit withholding VAT return or issue a withholding VAT certificate at the time of payment	• Penalty of Sh. 10,000 Or 10% of tax due, whichever is higher
• Withholding VAT without being appointed as a withholding VAT agent	• Penalty of Sh. 10,000 or 10% of tax due, whichever is higher
• Making a fraudulent claim for VAT refund	• Penalty of double the amount claimed or to imprisonment for a period not exceeding three years or both.

REQUIREMENTS OF OBJECTIONS AND APPEALS

VAT TRIBUNAL

- The tribunal is established by the minister and consists of the chairman and two or more members also appointed by the minister. The minister may make rules prescribing the manner in which the appeal may be made to the tribunal, prescribing the procedure to be adopted in hearing an appeal, the manner in which it shall be convened and a scale of costs.
- Any person aggrieved by any decision of the commissioner may appeal to the tribunal within 30 days of being notified of the decision. However the tax payer must have:
 - Submitted all his monthly returns;
 - Paid tax as computed by him in his returns.
- Further, the tax payer must pay 50% of the tax assessed by the commissioner before his appeal can be registered. If the tribunal decides in favour of the tax payer, the tax so deposited is credited to be offset against his future tax liability under the Act.
- Within 14 days of giving the notice to the commissioner, the appellant is required to submit 5 copies of the memorandum of the appeal to the secretary of the tribunal. Within two days after submitting the memorandum to the secretary the appellant shall serve the commissioner with the copy of the memorandum including the statement of facts and the relevant documents.

- If the commissioner is not satisfied with the facts of the appellant he shall file a statement of facts within 21 days together with 5 copies to the secretary of the tribunal.
- If the commissioner has no objection to the statement of facts he shall give a written notice to the secretary and to the appellant. The appellant shall appear before the tribunal either in person or through an advocate. The tribunal may confirm, reduce, increase or annul the assessment or make such other order at its discretion

TAX COMPLIANCE AND TAX AUDIT

- Tax compliance refers to registration for VAT, payment of tax, submission of documents and general compliance with any other requirements of the VAT Act.
- Assessments of tax will usually be made where:-
 - A taxable person fails to submit the monthly return (VAT 3);
 - An inspection by the VAT department of the taxpayer's books and records reveals discrepancies which give rise to additional tax.
- There are basically two types of assessments, factual assessment or the best evidence assessment. The factual assessment is based on the records of a taxpayer and is normally used to correct mistakes in the returns. The best evidence assessment is used where the tax authority has no facts available in which case the commissioner uses whatever evidence that is available from the taxpayer or other sources.
- Where a factual assessment has been made after an inspection of the taxpayers records, the taxpayer may request a reconsideration of the assessment incase he has new evidence that could change the assessment.
- An aggrieved taxpayer may within 30 days of a decision by the commissioner appeal to the appeals tribunal established by the minister to hear and settle VAT disputes.
- The decisions of the tribunal are subject to appeal to the high court however the aggrieved party must first pay the tax in dispute.

TAX AUDITS

AUDIT OF VAT REFUND CLAIMS

IT is a requirement that all VAT refund claims should be audited by an accountant. The audit certificate is required to authenticate the amount claimed. The audit should follow the same stringent rules of a normal audit. The auditor must ensure the VAT refund audits are properly planned and is conducted to ensure that an opinion on the truth and fairness of the amount claimed can be given. The commissioner of DTD has undertaken to refund the amount claimed within 2 weeks of receiving a claim accompanied by a clean audit opinion but they also reserve the rights after making such repayments to visit the registered persons or review the audit working papers to verify the claims themselves.

Vat refund claim audit was introduced to:

- i. Avoid delay in remittance and processing of the claim
- ii. Reduce the workload at the VAT department
- iii. Avoid the tying up of the funds that could be used by the registered person and the commissioner
- iv. The need for the assurance that the amount refundable has been accurately computed.

Audit procedures on VAT refund claim

- i. Review and document the adequacy of the system of recording and accounting for VAT
- ii. Ensure that a VAT control account is maintained and reconciled
- iii. Establish why the trader is in a refund position
- iv. Check that due output tax on supplies has been charged
- v. Input claims should be supported by the proper invoices and suppliers documents and VAT numbers.
- vi. Ensure that correct VAT rates have been applied
- vii. If there are categories of sales, that is, exempt sales, zero rated sales and taxable standard sales, then the input tax should be apportioned accordingly.
- viii. VAT orders have been considered to ensure that input tax which is not claimable has not been claimed as of furniture and fittings, entertainment, food, fuel, petrol etc
- ix. VAT should be claimed within 6 months of VAT invoice. In case it is not it will be withdrawn
- x. Ensure that all VAT returns were submitted in time, if not compute the penalties and interest to be deducted from the claim if the trader has not done so.
- xi. Prepare a statement analyzing the correct claim.

Auditors certificate under VAT regulations**(Registered persons)****Period (ended 2011)**

We have examined the attached claim for refund of VAT amounting to Ksh.xxxx made by (registered person) from dd.mm.yy to ensure compliance with the VAT Act and regulations, and have obtained all information and explanations necessary for the purpose of our examination. Our examination was designed to enable us to obtain reasonable assurance that the claim is free from material misstatements and included verification, on a test basis, of evidence supporting the amount. It also included an assessment of the adequacy (registered persons) system of recording and accounting for VAT.

In our opinion the attached VAT claim gives a true and fair view of the amount claimed and is properly refundable under the VAT Act and regulations.

Certified Public Accountant**Date****Key Terms**

Tax invoice – This is a document issued by a supplier of goods or services who is registered for VAT.

Taxable supplies – These are supplies that are subject to VAT at the standard rate of 16% or 12% in case of electricity. Taxable supplies also include zero – rated supplies.

Zero-rated supplies – These are supplies that are subject to VAT at the rate of 0% but are treated as taxable supplies in all other respects.

Exempt supplies – These are supplies that are exempted from VAT

Remission of tax – This refers to waiver of tax. The power to remit tax is vested in the minister for finance

Refund of Tax – This refers to the repayment of tax to the taxpayer by the commissioner.

CHAPTER SUMMARY

- VAT was introduced in 1990 to replace sales tax.
- VAT is charged on the supply of taxable goods or services made in Kenya by a taxable person in the course of furtherance of any business and on the importation of goods and service in Kenya.
- Compulsory registration for VAT applies to any person who in the course of his business has supplied taxable goods or services the value of which Sh. 5,000,000 or more in a period of 12 months.
- If the value of taxable turnover does not exceed Sh. 5,000,000 in any period of 12 months, a registered person may apply for de-registration and will be subject to turnover tax under the income tax Act.
- A registered person must submit a VAT return by the 20th day of the month following the month of transactions.
- Withholding VAT agents are persons or institutions appointed by the commissioner to withhold VAT from the suppliers of taxable goods or services.
- VAT remission is made under the conditions specified in section 23 of the VAT act.
- The commissioner has power to impose penalties fines and interests on offence committed by tax payers on the VAT Act.
- Where taxpayer has failed to submit VAT returns the commissioner will issue assessments based on factual evidence or the best available evidence.
- An aggrieved taxpayer may within 30 days of a decision by the commissioner appeal to the appeals tribunal.

QUIZ**QUESTION 1:**

(a) Citing examples briefly explain the term “withholding VAT agents” (4 Marks)

(b) Mr. Thomson Maweale is a registered accountant operating under the name Maweale and Associates. During the month ended 31 December 2011, the firm undertook the following transactions:

December:

- 1: Audited the accounts of Marura County Council and raised an invoice of Sh. 60,000 excluding VAT.
- 2: Undertook financial consultancy assignment for Jakumu Traders and raised an invoice of Sh. 96,000 inclusive of VAT.
- 6: Reviewed the internal control systems of Waalimu Sacco at an agreed fee of Sh. 70,000 exclusive of VAT.
- 8: Audited the accounts of the Nairobi branch of Starcoach Traders, a business entity with its headquarters in Kampala, Uganda. The fees were agreed at Sh. 100,000 exclusive of VAT.
- 15: Billed Maendeleo Traders Sh. 69,000 inclusive of VAT for debt collection services rendered.
- 20: Provided management consultancy to Watoto Children’s Home on a voluntary basis. The value of the services was Sh. 23,200 exclusive of VAT.
- 24: Undertook tax consultancy work for Mapesa Bank Ltd. and raised an invoice of Sh. 150,000 exclusive of VAT.
- 30: Prepared the final accounts for Kisii Supermarket Ltd and raised an invoice of Sh. 116,000 inclusive of VAT.
- 31: Received goods worth Sh. 60,000 from Maendeleo Traders in full settlement of the amount billed for services rendered on 15 December.

Additional Information:

1. Kisii Supermarket Ltd, was wound up on 31 December 2011 before settling the amount due to Maweale and Associates.
2. The following expenses were paid by the firm during the month:

	Sh.
Salaries and wages	800,000
Electricity	5,600
Telephone	8,400
Water	5,200
Fuel	16,000
Garbage collection	720
Computer repairs and maintenance	2,800
Rent	12,000

The above expenses are stated as VAT exclusive where applicable.

Required:

- (i) VAT account in the books of Mawele and Associates for the month of December 2011 (12 Marks)
- (ii) Assume Mawele and Associates did not submit a VAT return together with any payment until 20th April 2012.
- Compute the penalties payable (inclusive of interest) by the firm. (4 Marks)
- (Total: 20 Marks)**

QUESTION 2:

- (a) List four circumstances under which the customs department may revoke a license granted to a manufacturer of excisable goods. (4 Marks)
- (b) Explain the following terms as used in customs control:
- i) Clean report of findings (CRF) (4 Marks)
 - ii) Bond security (4 Marks)
- (c) The following information was extracted from the books of Sasumua Traders, a registered business for Value Added Tax (VAT) purposes, for the month of August 2011:

	Sh.
Export sales	150,000
Imported goods for resale (dutiable value)	900,000
Telephone expenses	72,000
Audit fees	180,000
Purchases at zero rate	240,000
Exempted sales	184,000
Sales at standard rate	3,500,000
Purchase at standard rate	1,480,000

Transactions are stated as exclusive of VAT where appropriate. The rate of VAT is 16%

Additional Information for the month of August 2011:

- Sasumua Traders received debit notes and credit notes of Sh. 400,000 and Sh. 200,000 respectively for standard rated supplies
- The imported goods for resale were subject to customs duty at the rate of 30%. These goods were subsequently transported to the business premises at a cost of Sh. 40,000 and repackaged at a cost of Sh. 10,000. The goods were then sold at a mark-up of 20% (the sales proceeds on these goods were not included in the reported sales at standard rate).
- A debtor for goods sold at standard rate for Sh. 120,000 was declared bankrupt.

Required:

The amount of VAT payable (if any) by Sasumua Traders for the month of August 2011

(8 Marks)

(Total: 20 Marks)

ANSWER**Question 1:**

(a) Withholding VAT agents

- These are institutions which have been appointed by the revenue authority for purposes of withholding VAT tax from the supplier of goods or services.
- Input tax is withheld from the seller of goods or services and a copy of withholding certificate is issued.
- VAT withholding agents include:
 - Government ministries
 - State corporations or parastatals
 - Banks and insurance companies

(b) Mawele and Associates

VAT A/C

Dec	Sh.	Dec	Sh.
Maendeleo Traders (16% X 60,000)	9,600	Marura Council (16% X 60,000)	9,600
Kisii Supermarket (Bad debt relief)	16,000	Jakumu Traders (16/116 X 96,000)	13,241
Electricity (12% X 5,600)	672	Waalimu Sacco (16% X 70,000)	11,200
Telephone (16% X 8,400)	1,344	Star Coach Traders (16% X 100,000)	16,000
Garbage collection (16% X 720)	115	Maendeleo Traders 16/116 X 69,600	9,600
Computer repairs (16% X 2,800)	448	Watoto Home (16% X 23,200)	372
Rent (16% X 1,200)	1,920	Mapesa Bank (16% X 160,000)	24,000
VAT Payable	73,254	Kisii Supermarket (16% X 116,000)	16,000
	<u>103,353</u>		<u>103,353</u>

N/B:

- VAT is not levied on water
- VAT on fuel is prohibited from being claimed hence not deductible.

(i) Penalties

Non-filing of VAT return = Sh.10,000

Interest of 2% p.m compounded i.e. $V(1+r)^n - V$

$$73254 (1.02)^3 - 73254 = 4,483.73 + 10,000$$

Total penalty = 14,483.73

Question 2:

(a) The commissioner may revoke, suspend or refuse to renew a license where he is satisfied that:

- The licensee has been convicted of an offence involving dishonesty or fraud.
- The licensee has become bankrupt.
- The factory or the plant therein is of such nature or so maintained that goods manufactured are likely to be adversely affected.
- The factory is so designed, equipped or sited as to render its supervision difficult.

(b) (i) Clean report of findings (CPF)

- It is a document issued to the importer after the goods are subjected to pre-shipment inspection.
- The pre-shipment inspection is carried out in the country of origin before shipment of goods.
- It shows dutiable value of goods and the customs coding.
- It is issued by the global testing, inspection and certification of the organization after the satisfactory inspection of the subject goods and the receipt of the final documents.
- It authorizes the goods to be imported.

(ii) Bond security

- This is where the tax payer delivers a document as proof of legal ownership of an asset and enters into a binding agreement to fulfill the obligations with regard to compliance and payment of customs duty.
- If the taxpayer fails to fulfill the conditions he loses the asset.

Sasumua Traders**Output tax**

Nature of supplies	Supplies Value Sh. '000'	VAT Sh. '000'
Standard rate	3,500	560
Imported goods (SP)	1,464	234.24
Bad debt relief	(120)	(19.2)
Zero rate (exports)	150	0
Exempt	184	-
Total output tax		<u>775.04</u>

Input tax	Supplies value	VAT
	Sh. '000'	Sh. '000'
Standard rate purchases	1,480	236.8
Debit note	400	64
Credit note	(200)	(32)
Imported goods	1,170	187.2
Audit fees	180	28.8
Telephone expenses	72	<u>11.52</u>
		<u>496.32</u>

Deductable input tax

Value of taxable supplies x input tax

Value of total supplies

1,494/5,178 X 496.32

= 478.683

VAT Payable = output tax – deductible input tax

= 775.04 – 478.683

= 296.357

Note

(ii) Imported goods

	Value
	Sh.000
Value of imports	900
Customs duty at 30%	<u>270</u>
Value for VAT	1,170
Transport	40
Packaging	<u>10</u>
	1,220
Mark-up @ 20%	<u>244</u>
Selling price	<u>1464</u>

TOPIC 11

CUSTOMS TAXES AND EXCISE TAXES

CUSTOMS PROCEDURE

INTRODUCTION

Customs and Excise duties are charged under the custom and excise Act cap 472. The custom department is charged with the responsibility of controlling imports and exports, enforcing prohibitions and restrictions and collecting revenue on both imports and excisable goods.

- On arrival cargo from an aircraft, vehicle or vessel which unloaded must be declared to customs in a prescribed form within 21 days. The goods should be entered either for home consumption, transit, transshipment, warehousing or to an export processing zone.
- Where there is insufficient information, the declaration maybe made on provisional status subject to approval by the proper officer. Where provisional entry has been allowed, the proper officer will require the owner to deposit an amount estimated as the duty payable.
- Where goods have not been entered for clearance within 21 days, they will be deemed as deposited in a customs warehouse where rent will be charged at the prescribed rates. Where goods are not removed from the customs warehouse within the notice period granted by customs, they may be sold by public auction to recover customs duty and warehouse rent payable on them.

TAX POWERS AND RIGHT TO REVENUE

POWERS OF THE COMMISSIONER OF CUSTOMS AND EXCISE

1. S. 9 of customs and excise Act states that the commissioner can appoint and fix the limits in the Kenya gazette of:
 - Ports
 - Customs airport
 - Customs areas
 - Entrances and exits
 - Routes in Kenya over which goods in transit can be conveyed
 - Bonding stations i.e. area appointed by the commissioner for air crafts and vessels arriving or departing from a port may be kept.
 - Places of loading and unloading of goods within a port.
 - Places of examination of goods.
 - Places for landing and embarkation of persons.

2. Provision of suitable accommodation for offices
3. Power to permit roads, area, place, boarding station, route entrance and exit etc to be used on a temporary basis if so appointed
4. Power to disclose information to a person in the service of the government in the revenue department for official duties.
5. Power to compound an offence by agreement
6. Power to revoke a license issued to manufacture excisable goods
7. Power to furnish to a competent authority any information, certificate or official import document etc of goods in or from a foreign country
8. Power to require information from importers concerning dumping of goods

POWERS OF THE OFFICERS

To prevent smuggling and evasion of duty the Act gives the following powers to officers:

1. Power to require vessels to board failure to which the master of the ship or vessel is liable to a fine of sh. 100,000 and seizure of the vessel.
2. Power to require a vessel to depart from the Kenyan port within 12 hours, failure to which a maximum fine of Sh.100,000 is imposed and the vessel is liable to forfeiture.
3. Power to patrol freely and move the vessels i.e. He can take the aircraft of vessel to a place convenient for investigation of smuggling or evasion without any legal liability to the office.
4. Power to board a vessel and make a search. If the master of the ship refuses he is liable to;
 - a) A fine not exceeding Sh. 500,000 or
 - b) 3 years imprisonment
 - c) Forfeiture of goods
5. Power to require persons entering or leaving Kenya to answer questions concerning their luggage.
6. Power to search persons where he has reasonable grounds to believe that the person has excisable goods or uncustomed goods. However, a female officer can only search a female person
7. Power to seal and search premises. They can seal, lock or secure:
 - a) Buildings, rooms or receptacle of a plant
 - b) Excisable goods or material in a factory
 - c) Aircraft, vessels, vehicles or container
8. Power to have a search warrant issued by the magistrates to enable the officer to enter day and night premises to seize and carry away uncustomed goods, plant or documents

IMPORTS AND EXPORT DUTIES

DUTY

- Duty is defined to include:-
Customs duty, excise duty, levy, cess, imposition of tax, surtax
Imposed on goods by the commissioner

CUSTOMS DUTY

- This is the duty or tax paid on goods imported through any port of Kenya or goods imported and which are specified in the first schedule of the Customs and Excise Act
- Goods subject to customs duty include:
 - Machinery
 - Textiles
 - Electronics
 - Vehicles
 - Food commodities
- The **purposes of customs duty** are:
 - To **raise revenue** for the government.
 - To **protect local industries** e.g. impose high customs duty to discourage consumption of imports.
 - To **prevent dumping of goods** into the Kenyan Market e.g. impose high anti – dumping duty
 - To **discourage production of harmful goods** e.g. excise duty imposed on manufacture of beer and cigarettes.

EXPORT DUTY

- This is **tax** that is **imposed on goods which are exported to foreign countries**. The main purposes of excise duties are:
 - To **raise revenue** for the government.
 - To **discourage the exportation of certain goods** e.g. scrap metal, hides and skins.
 - To **encourage the use of materials locally** e.g. scrap metal.

GOODS SUBJECT TO CUSTOMS CONTROL

S.12 of the Custom and Excise act specifies goods which are subject to customs control:

1. Imported goods through the post office from the time of importation to delivery of goods for home or importation whichever happens first.
2. Dutiable goods and excisable goods on which duty has not been paid.
3. Goods which have been seized and all goods under notice of seizure.
4. Goods on board and aircraft or used within a port or place in Kenya
5. Goods under drawback from time of claim of drawback
6. Goods subject to export duty from the time of bringing to the port for export to the time of exportation.
7. Goods subject to restriction on exportation
8. Goods pending exportation and are stored in a customs area with the permission of a proper office.

VALUATION OF IMPORTS AND EXPORTS

Customs valuation is based upon the world trade organization (WTO) agreement on customs valuation which establishes a custom valuation system that primarily bases the customs value on the transaction value of imported goods. The customs value of imported goods constitutes the taxable bases for customs duties.

VALUATION OF EXPORTS

The value of export goods whether exempt from duty, liable to specific duty or liable to

Ad-volorem duty shall include:

- The cost of goods to the buyer outside Kenya
- Packaging charges
- Any Levy, cess, duty, tax or surtax
- Transport and all other charges up to the exit from Kenya

Sec 127(b) states that where goods for exportation or re-exportation are below the normal price, the commissioner or any authorized officer will cause the goods to be revalued or appraised in accordance with the rate and price at which goods of similar kind and quality have been exported or imported. Re-exportation occurs when goods are imported from outside Kenya and then exported outside Kenya without being used in Kenya. The value of goods for exportation purposes consist of:

- Landed cost at the time of importation
- Transport and all other charges up to the time of delivery of goods on board the exporting vessels or aircraft at a place of exit from Kenya.

Once goods are re-valued or appraised a certificate of appraisal shall be granted by the officer indicting the appraised value.

Exchange rate for exports

To determine the value of export goods in Kenya shillings, the exchange rate used shall be the higher of:

- The prevailing current bank rate of sight drafts as last notified by CBK
- The rate applied by banks or financial institutions
- The commissioner may use weighted average of prevailing bank exchange rates in force during the previous week subject to any revaluation or ordinary valuation as notified by CBK.

Valuation of imported goods sec 127(C)

For the purpose of levying duty of imported goods shall be the sum of:

- The value ascertained for the purpose of import duty
- The amount of import duty and dumping duty if any.

When determining the value, the following assumptions are made:

- Imported goods are delivered to the Kenyan buyer at the port of importation.
- The seller bears the freight, insurance, commission and other charges, expenses and costs relating to sale of goods.
- The buyer/ importer shall bear any duty/ tax chargeable in Kenya.
- The proceeds from resale of imported goods in Kenya shall not accrue directly or indirectly to the seller or a person related to him.
- The price of imports is not influenced by commercial, financial or other relationship between the seller and the buyer (importer)

For locally manufactured goods excise duty is imposed. For the purpose of levying Ad Valorem excise duty the value of locally manufactured goods shall be the Ex-factory or selling price. Ex-factory selling price is the price at which goods can be sold from the factory exclusive of VAT and excise duty. It consists of:-

- Cost of wrapper, package, box, bottle or other container in which excisable goods are packed.
- Cost of any other goods contained or attached to the wrapper, package, box, bottle etc
- Incidental cost of goods e.g. transportation costs, advertising costs, financial costs, commission given to seller, or any cost incurred in delivery of goods to the purchaser.

WTO Customs Valuation Methods

Kenya adopted the WTO's Agreement on Customs Valuation, which came into effect from 1 January 2000. The methods adopted are contained in the Finance Act 1999. The significant feature of the new methods is that the revenue authority can no longer arbitrarily fix the value for duty. Under this system, Customs Authorities' role is to be trade facilitators and not barriers to the free flow of goods.

Tanzania and Uganda, which are classified as Least Developed Countries, (LDCs) are required to implement the agreement from 1 January 2006.

The thrust of the new method is to value goods at the transaction value. The general principle is that goods should be valued based on their actual price, which is generally shown on the invoice. There are six methods that can be used. In most cases the first method will suffice, but where there is no transaction value or transaction value is rejected by Customs department, the other five methods apply in their hierarchical order.

Method 1 – Transaction Value

The customs value is the transaction value (the price paid or actually payable, including all payments made as a condition of sale:

The following conditions apply:

1. There are no restrictions imposed as to the disposal of the goods by the buyer other than restrictions which:
 - Are imposed by law (e.g. a firearms dealer is restricted under the law)
 - Limit the geographical area in which the goods can be resold (say under a distributorship contract)
 - Do not substantially affect the value of the goods.
2. The price should not be subject to some conditions for which a value cannot be assigned to the goods.
3. No part of the proceeds of the disposal of the goods will accrue directly or indirectly to the seller.
4. The buyer and seller should not be related. If they are related, the relationship should not influence the price. The following will be added to the transaction value if incurred by the buyer and not the transaction value:
 - Commissions and brokerage (Except buying commissions)
 - Packaging and container costs and charges
 - Royalties and license fees
 - The cost of transport, insurance and related charges up to the port of discharge (CIF basis)
 - Assists (i.e. material, components, tools, dyes and moulds) supplied by the importer free of charge or at a reduced cost in connection with the production of the goods.

This method relies heavily on the documentation provided by the importer. However, Customs must be satisfied as to the truth or accuracy of the documents. If Customs is in doubt, the burden of proof of the value of the goods shifts to the importer. The new valuation method pre-supposes that customs authorities including the local prices of such goods. If the value presented by the importer is rejected, then Customs department is obliged to give a written explanation or if the importer so requests, within thirty days of request. Should a consignment fail to meet the conditions of method 1, then method 2 will be used.

Method 2- Transaction value of identical goods

Where the value of duty cannot be ascertained using method 1, then the transaction value of identical goods sold by other sellers in Kenya will be applied.

Goods are identical if they are:

- The same in all respects, including physical characteristics, quality and reputation
- Produced in the same country as the goods to be valued
- Produced by the producer of the goods being valued.

The following conditions must be fulfilled before the transaction value of identical goods is used:

- The identical goods must be sold in the same commercial level
- The identical goods must be sold in substantially the same quantities as the goods are being valued.
- The identical goods must have been imported into Kenya at or about the same time as the goods being valued.

Where the application of this method produces more than one transaction value, the lowest value shall apply.

If this method does not give an acceptable Customs Value, then method 3 applies.

Method 3- Transaction value of similar goods

This is similar to method 2 but deals with similar rather than identical goods. In this context, goods are similar if:

- They have similar characteristics
- They have similar components
- They have similar quality and reputation, which make them commercially interchangeable in their performance or functions.

The transactions value will be subject to certain adjustments to take account of quality, and /or commercial level factors.

Method 4

This is strictly not a valuation method but guidance for the use of methods 5 and 6. Under the guidelines, where methods 1, 2 and 3 fail to produce an acceptable value then method 5 or method 6 (where 5 does not work) will apply. The guideline merely provides that where an importer so requests, method 6 can be considered before method 5.

Method 5 deductive value

The value for duty is the unit price of identical or similar imported goods sold in Kenya in the same condition as they were imported in the greatest aggregate quantity at or about the same time of importation of the goods being valued.

The unit price will be subject to the following deductions.

- Commissions payable
- Profits
- General expenses
- Cost of materials and components supplied by the importer free of charge or at reduced prices
- duties

Method 6- Fall back method

This is applied as a last resort when the other methods have failed to give acceptable Customs value. It provides that the value for duty will be determined using any of the previous methods in a flexible manner subject to specified conditions.

Obviously, many importers will avoid getting this far and try to reach a compromise with customs. However, if the first three methods do not work, it is advisable to proceed to method 6 before evaluating method 5. As specified under method 4, the importer has to request this.

It is not possible for one to state at this point which method will be suitable for a particular importer without a thorough and careful evaluation of the surrounding circumstances. Whichever method is applied, one can reap maximum benefit only through careful planning.

NB: It is possible that disputes will arise in the valuation of the imports between Customs and importers. The new rules make provision for this and allow importers to collect the goods after depositing or securing the duty demanded. Under the Kenyan legislation, the importer is entitled to appeal to higher authorities within the Customs Department. Such disputes must be resolved by Customs within six months. If the importer is not satisfied with the manner in which the dispute is resolved by Customs, then he can refer the matter to the high court.

PROHIBITION AND RESTRICTION MEASURES

DUMPING

Imported goods are deemed to have been dumped in Kenya if:

1. Goods are sold in Kenya at a price lower than the cost of importing i.e. cost of insurance, freight, duties or taxes, cost of goods etc. in the country exporting the goods.
2. The export price in the country, which is exporting the goods, is less than the fair market value or price of goods in that country.
3. If the country exporting goods to Kenya had imported the goods and;
 - (a) The export price of goods in the original country is less than fair market price in that country.
 - (b) The export price of goods in the country, which is exporting, is less than fair market price in that country.

Anti- dumping measures imposed by the government include:

- a) Imposing high dumping duty.
- b) Imposing a quota (limiting the amount of imports) on particular persons or any organization dumping goods in Kenya.
- c) Having a pre-shipment inspection at the ports.

The inspection of imported goods is to ensure that;

- There is no evasion of duty / tax
- The imported goods, which are being shipped inland, have been acquired legally.
- The right goods have been shipped as per the orders.

- d) Getting a clean report of finding

This is a report issued by international transporters e.g. Bureau de veritas to certify that;

- (a) The importer legally owns the goods
- (b) Those good have been legally acquired.
- (c) Goods are of the correct value.
 - The imported goods are as per the specifications as indicated at the time of importation.

- e) Filling in of import declaration forms (IDF)

These are forms supplied by customs department to the importer to ensure that:

- He declares the goods he is importing.
- Indicates the correct value of such imported goods.
- To enable the government to determine the value and amount of foreign currency flowing out of the country.

- f) The transporting Lorries or vessels may be escorted upcountry to borders to ensure that the goods transported to another country e.g. Burundi through the Kenya port are not dumped in Kenya.
- g) Having the importers code number to restrict the imports by the importers.

PROHIBITED IMPORTS

1. False or counterfeit money.
2. Indecent or obscene prints, books, painting.
3. Articles marked with ceremonial ensigns or coat of arms of Kenya.
4. Adverts to promote sale of medicine to cure cancer, T.B and Aids etc.
5. Distilled beverages with injurious chemicals which can affect the health of individuals e.g. Methanol, hyssop etc.

RESTRICTED IMPORTS

1. Tear gas.
2. Traps for killing or capturing game animals.
3. Silencers or firearms and sound moderators.
4. Articles bearing boy scouts or girl guides, emblems or tokens.
5. Postal franking machines unless permitted by the manager of postal Kenya.

TRANSIT GOODS AND BOND SECURITIES

Customs bonds are used to suspend payment of import duty. Some transactions that require bonds include transit, warehousing, temporary importation and inward processing. All bonds must be witnessed by a customs officer and guaranteed by an insurance company or a bank. Where the conditions of the bond have not been complied with, the commissioner may require the person who has given the security to pay the amount secured. For the purposes of enforcing security, the guarantor of the bond is treated as having the same status as the principal.

All importers and guarantors must ensure that bonds are duly cancelled and document showing proof of cancellation maintained.

BONDED SECURITY

A bond is commitment to honour certain terms and conditions and to fulfill obligations relating to an agreement. The failure to honour the commitment leads to consequences, which include forfeiting of an asset that may have been given out as a security.

Forms of security:

1. Cash deposits: A taxpayer can deposit cash with the customs department to ensure compliance with payment of tax.
2. Bond security: A tax payer may be required to deliver a document indicating the legal ownership of an asset. He will therefore enter into a binding commitment to fulfill his obligation with regard to compliance and payment of tax failure to which he will loose the asset.
3. Use of guarantors or sureties: This is where a 3rd party gives his guarantee that a taxpayer will comply with the terms and conditions of the Act.
4. Partly by bond and partly by cash deposits.

DISCHARGE OF A BOND / SURETY

A bond may be withdrawn if:

1. The conditions of the bond are fulfilled or performed.
2. On expiry of 3 years the Commissioner may discharge the bond and ask for fresh securities.

EXCISABLE GOODS

Excise duty is the tax imposed on goods manufactured locally and specified on the 5th schedule of the Customs and Excise Act – excisable goods include:

- Beer
- Soda
- T.V.
- Cigarettes
- Shoes
- Textiles
- Furniture

RULES OF ORIGIN AND THEIR ECONOMIC CONSEQUENCES

These are a set of criteria used to determine the origin of goods for purposes of customs duty. Under COMESA the rules of origin or the criteria goods should meet to attract preferential tax treatment are:

- The goods should be wholly produced in the member states.
- The goods should be produced in the member states and the cost insurance and freight (CIF) value of any imported materials in the goods should not exceed 60% of the total cost of materials used in the production of the goods.

- The goods should be produced in the member states and should be classified under a tariff heading other than that of the imported materials used in the production of the goods.
- The goods should be designated by the council of ministers as “goods of particular importance to the economic development of the member state” and should contain not less the 25% value added.

Key terms:

Importation – This refers to bringing in to the country from a foreign country.

Prohibited goods – This are goods which may not be imported into the country

Restricted goods – This are goods which may only be brought in to the country subject to compliance with certain requirements set by customs and excise department.

Certificate of origin – This is a document showing that goods originate from a partner state of East African Community

Rules of origin – This is the criteria that is used to determine goods that qualify for preferential tax treatment under the EAC or COMESA treat.

Ad valorem duty – This is customs duty rate that is applied on the value of the imported goods

Specific duty – This customs duty rate applied on the quantity, weight, volume or other specified unit of measure to determine the amount of duty payable.

EAST AFRICAN COMMUNITY CUSTOMS MANAGEMENT ACT

The East African Customs Management Act establishes the department of customs which is responsible for the management of the customs law in the East African Community.

The decisions, rulings, opinions, guide lines and interpretations given by the directorate, the world trade organization or the customs corporation council shall be taken into consideration when determining the value of imported goods.

The East African Community Customs Management Act came into force on 1 January 2005 whilst the regulations which facilitate the operationalisation of the EACCMA came into force with effect from 1 January 2007

CHAPTER SUMMARY

- Imported goods are subject to custom duty
- Customs duty maybe ad valorem or specific duty
- Exports are subject to export duty whose main purpose is to discourage the exportation of certain commodities.
- Prohibited imports are goods that cannot be imported under any circumstances.
- Restricted imports are goods that maybe imported under strict conditions which must be complied with.
- Customs bonds are used to suspend payment of import duty.
- Excisable goods are goods that are subject to excise duty on which duty has not been paid.
- Rules of origin are a set of criteria that determine whether goods qualify for preferential tax treatment under East African Community and COMESA

QUIZ

1. Write short notes on the following:-
 - (a) Custom Duties
 - (b) Excise Duties
 - (c) Export Duties
2. In what circumstances may customs duty paid be refunded?
3. Write short notes on the following:-
 - (a) Import Declaration Form (I.D.F)
 - (b) Pre – Shipment Inspection (PSI)
 - (c) Restricted Imports.
 - (d) Prohibited Imports.

ANSWER

1. (a)

Customs duty

This is the duty or tax paid on goods imported through any port of Kenya or goods imported and which are specified in the first schedule of the Customs and Excise Act

Goods subject to customs duty include:

- Machinery
- Textiles
- Electronics
- Vehicles
- Food commodities

(b) Excise

Excise duty is the tax imposed on goods manufactured locally and specified on the 5th schedule of the Customs and Excise Act – excisable goods include:

- Beer - Soda
- T.V. - Cigarettes
- Shoes - Textiles
- Furniture

(c) Export duty

This is tax that is imposed on goods which are exported to foreign countries. The main purposes of excise duties are:

- To raise revenue for the government.
- To discourage the exportation of certain goods e.g. scrap metal, hides and skins.
- To encourage the use of materials locally e.g. scrap metal.

2. circumstances under which customs duty paid maybe refunded

The customs duty paid on imported goods may be refunded under the following circumstances;

- Where goods are returned to seller.
- Where goods are lost or destroyed by accident.
- Where goods are damaged, destroyed or pillaged during a voyage or while under customs control.
- Where duty has been paid in error or overpaid or there is a cancellation of a bond given as a security.
- Where goods have been abandoned to the customs department by the importer who had paid the duty.
- Where imports are used in production of exports or specified duty exempt goods.
- Duty paid by privileged persons and institutions e.g. UN, Armed forces, ILO, UNDP, WHO, FAO, ETC.

3.**(a) Import Declaration Form (I.D.F)**

These are forms supplied by customs department to the importer to ensure that:

- He declares the goods he is importing.
- Indicates the correct value of such imported goods.
- To enable the government to determine the value and amount of foreign currency flowing out of the country.

(b) Pre – Shipment Inspection (PSI)

This inspection of imported goods is to ensure that;

- There is no evasion of duty / tax
- The imported goods, which are being shipped inland, have been acquired legally.
- The right goods have been shipped as per the orders

(c) Restricted Imports. These are goods whose importation is controlled and subject to certain conditions being fulfilled for example the importation of fire arms

(d) Prohibited Imports. These are goods whose importation is strictly not allowed under any circumstances and the importation is illegal for example hard drugs